Phil A. DeCicco
Deputy General Counsel and Vice President

April 6, 2020

VIA ELECTRONIC FILING
Honorable Michelle Phillips, Secretary
New York State Public Service Commission
Office of the Secretary, 19th Floor
Three Empire State Plaza
Albany, New York 12223

Re: Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

Dear Secretary Phillips:

The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid hereby submit their Initial Brief in connection with the above matters.

Should you have any questions or concerns, please do not hesitate to contact me. Thank you.

Respectfully submitted,

/s/ Philip A. DeCicco
Philip A. DeCicco
Deputy General Counsel and Vice President

Attachments

cc: Active Parties in Cases 19-G-0309 and 19-G-0310 (via DMM)
Hon. James A. Costello
Hon. Maureen F. Leary

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STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

Initial Brief Of

The Brooklyn Union Gas Company d/b/a National Grid NY

And

KeySpan Gas East Corporation d/b/a National Grid

April 6, 2020

TABLE OF CONTENTS

I. INTRODUCTION 1

II. PROCEDURAL BACKGROUND 9

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS 13

IV. REVENUES 13
A. Gas Sales Forecast 13
B. Newtown Creek Imputation 16
C. RDM Per Class Versus Per Customer 20
D. Purchased Gas 21

V. EXPENSES 21
A. Operation and Maintenance 21
B. Amortization of Regulatory Deferrals 86
C. Depreciation 88
D. Property Taxes 94
E. Amortization of Excess Accumulated Deferred Federal Income Taxes 99
F. Amortization of Expenses 101
G. CSC O&M Tracker 102

VI. RATE BASE ISSUES 103
A. Capital Projects And Expenditures 103
B. Net Plant True-up 130
C. CapEx Reporting Requirements 130
D. Earnings Base Capitalization / Working Capital - City/State Construction Accounts Receivable Balance 130

VII. FINANCIAL ISSUES 134
A. Return on Equity 136
B. Capital Structure 167

C. Long Term Debt: Forecast Versus Existing Interest Rates 168
D. Credit Metrics 169
E. Earnings Sharing Mechanism 173

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES 178
A. Revenue Forecast 178
B. ECOS Study 179
C. Revenue Allocation 183
D. Rate Design 187
E. Bill Impacts 188
F. Non-Firm Service Classes 189
G. Make Whole / Rate Compression 197
H. Lost And Unaccounted For Gas 199
I. Other Contested Items 201
J. Uncontested Items 204

IX. GAS POLICY AND ENERGY EFFICIENCY 207
A. Energy Efficiency 207
B. Green Gas Tariff 210
C. Utility Energy Services Contracts Program 210
D. Fuel Switching Calculator And Allocation To Affiliates 212
E. Demand Response 213
F. Geothermal 214
G. Power to Gas Demonstration Project (KEDLI) 217
H. Hydrogen Blending Study 218
I. Renewable Natural Gas Interconnection Program 219
J. Greenhouse Gas Inventory Methodology 220
K. Earnings Adjustment Mechanisms 221
L. Platform Service Revenues 225
M. EmPower Replacement Program Incentive Mechanism (KEDLI) 226
N. Number Of Electric Vehicles In Companies' Fleets 227
O. Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act 228
P. Proposed Changes to Supply Planning Process 228

X. GAS SAFETY 229
A. Performance Metrics 230
B. Forecasts for Safety Programs 253
C. NYC Local Law 152 256
D. Methane Detector Deployment 258
E. Inside Meter Relocations; Inactive Accounts 258
F. Service Line Inspections 261
G. Use of NRA Balances 262

XI. CUSTOMER SERVICE 263
A. Customer Service Performance Metrics; Performance Measures In A One-Year Case 263
B. Terminations/Uncollectible Incentive Mechanism 276
C. Credit/Debit Card Payments and Fees 281
D. Collections 284
E. Customer Service Enhancements 291
F. Outreach and Education 291
G. Economic Development Programs 292

XII. LOW INCOME PROGRAM 293
A. Calculating Discounts And Eligibility 293
B. Budget And Low Income Program Offerings 296
C. Reconciliation 298
D. Reporting Requirements 299
E. Request for Additional Full-Time Equivalent Employee for Energy Assistance Program Participation 299
F. Increasing EAP Participation (KEDLI) 300
G. Customer Balance Transfers 303
H. Elimination of Reconnection Fees For Energy Affordability Program Customers (KEDNY) 306
I. Miscellaneous Customer Service Items 307

XIII. MANAGEMENT AUDIT COMPLIANCE 308

XIV. CONCLUSION 310

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PUBLIC SERVICE COMMISSION

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Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

INITIAL BRIEF OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID

Honorable James A. Costello
Honorable Maureen F. Leary

I. INTRODUCTION

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") are seeking to reset their rates for the twelve-month period ending March 31, 2021 ("Rate Year"). Tr. 2065, lines 20-21; Tr. 2303, lines 2-5. As demonstrated in a record that contains the testimony and exhibits of more than 70 KEDNY and KEDLI witnesses, including direct, corrections and updates, rebuttal, and three supplemental testimonies, updated rates are required to provide the Companies with the financial resources necessary not only to enhance the Companies' core gas operations and provide better service to customers, but also to support New York State's energy policy objectives, which are evolving rapidly. This pace of change is exemplified by the events that took place during these rate proceedings – (i) New York's adoption of the Climate Leadership and Community

Protection Act of 2019 ("CLCPA"), the most progressive decarbonization legislation in the United States, (ii) unexpected delays in the construction and operation of new upstream pipeline capacity, (iii) the settlement of issues arising from a moratorium on new gas services,[1] and (iv) the New York State Public Service Commission's (the "Commission") aggressive new energy efficiency targets[2] – all of which will impact the Companies' cost of providing services to gas customers in New York. These developments have also contributed to these proceedings extending well beyond the traditional eleven-month period, with a final order likely to be released no sooner than July 2020.

In the near term, no event will have a greater impact on the Companies customers than the coronavirus ("COVID-19") global pandemic rapidly spreading across the country. New York State has declared a state of emergency in response to COVID-19. The government has directed the closure of schools statewide and limited public gatherings. Many businesses, including retail stores, gyms, theaters, and casinos, have been directed to close and restaurants may only serve food on a delivery or take-out basis. Other essential businesses, such as grocery stores, gas stations, pharmacies, and medical facilities, are operating on limited hours. These precautions, while necessary for public health and safety, will financially impact residents in the Companies' service territories and across the State. COVID-19 has also impacted the Companies' operations, as the Companies have suspended non-essential work activities out of concern for public and employee safety. The Companies have also temporarily suspended collections-related activities,

[1] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Order Adopting and Approving Settlement* (issued and effective November 26, 2019) ("Case 19-G-0678 Order").
[2] Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative, *Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025* (issued and effective January 16, 2020) ("NE:NY Order").

including service disconnections, to lessen the financial hardship caused by the COVID-19 pandemic. These policies will remain in effect at least until the end of April – but New York State and its residents will emerge from this difficult situation and the Companies must be positioned to support our customers' energy needs.

During a period of great change in the energy industry, and in the face of uncertainty in the wider economy, the Commission's support is vital to enable the Companies to deliver the critical investments that will pave the way for the transition to New York's energy future. These investments include projects to modernize the gas networks such as critical reliability projects that will support new customer connections in the Companies' service territories, the upgrade of the Companies' outdated customer information system, the implementation of new digital information technology solutions such as the Gas Business Enablement ("GBE") program, and innovative projects that will enable non-traditional supply options such as renewable natural gas and hydrogen to play an appropriate role in delivering New York's energy needs. Recognizing the dual imperative to advance energy policy and manage customers' bills, these filings balanced the need for continued investment with the need to maintain affordability and protect our most vulnerable customers. Among other efforts to moderate bills, the Companies undertook an aggressive cost efficiency effort, known as the Accelerate Program, that reduced the Companies' revenue requirements by approximately $50 million – an unprecedented level of savings to be delivered in a single year. Tr. 2014, lines 16-18; Tr. 2264-65, lines 20-21 and 1.

The record demonstrates that the Companies have advanced comprehensive, measured proposals that will enable the critical investments necessary to support the State's sustainability goals while mitigating bill impacts through aggressive efficiency efforts. Unfortunately, the adjustments and proposals made by the Department of Public Service Staff ("Staff"), if adopted,

would effectively deny the Companies the funding necessary to modernize their systems and deliver on the shared goals of the Companies, the Commission, and the State. The revenue requirements proposed by Staff do not provide the Companies with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on their investments, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals. If the Staff recommendations are substantially adopted, the Companies face the very real possibility of having their credit ratings downgraded, resulting in higher costs to customers in the future.

Staff arrives at this result by proposing a return on equity ("ROE") of just 8.2 percent, which would be the lowest ROE approved for a gas distribution utility in the United States in more than 40 years. This proposed ROE implausibly implies that the Companies, who face an uncertain future for securing adequate supplies of natural gas, as well as the risks associated with maintaining and operating natural gas distribution systems in a world that is increasingly focused on decarbonization, are the least risky energy utilities in the United States. Moreover, although Staff says throughout its testimony that the Companies should invest at levels the Companies deem appropriate, Staff's proposals effectively deny the Companies funding for the programs and investments they believe are critical to advancing safety and reliability. Indeed, in many cases, Staff's proposals would require KEDNY and KEDLI to absorb material costs of doing business. Specific examples include:

- *Information Technology*. A disallowance of $114.4 million of the Companies' projected capital information technology ("IT") investments that must be incurred to modernize KEDNY and KEDLI's aging information systems infrastructure and

enable key customer and operations programs such as the new Customer Information System ("CIS").

- *GBE Program*. A disallowance of more than $57 million in costs that are being incurred for the benefit of customers to progress the GBE project, which is needed to build a modern platform that enhances safety and supports customer requirements.
- *Unidentified Savings*. An adjustment to impute more than $13 million of incremental, unidentified savings on top of the more than $50 million in savings already reflected in the Rate Year.
- *Newtown Creek*. An adjustment that effectively requires KEDNY to absorb a portion of the costs of the Newtown Creek project notwithstanding (i) the agreement in the Joint Proposal in the 2016 KEDNY and KEDLI Rate Case Order[3] that the Company would proceed with the project, (ii) the Commissions' recently-articulated position that the Companies should be doing more to develop additional local renewable natural gas resources,[4] and (iii) the project aligns with New York City's and the State's climate change goals.
- *Future of Heat*. Virtually no funding for the Companies' Future of Heat programs, which are designed to advance cost-effective, reliable, heating sources that help reduce carbon emissions from the gas network in alignment with the State's goals.

[3] Cases 16-G-0058 and 16-G-0059, 2016 KEDNY and KEDLI Rate Cases, *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans*, Appendix 1 – Joint Proposal, at Section IV.5.6, pages 22-23. ("2016 KEDNY and KEDLI Rate Case Order").

[4] *See*, Case 19-G-0678 - Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Order Instituting Proceeding and to Show Cause* (Issued and Effective October 11, 2019) at 5-6.

Tr. 1982-83, lines 7-20 and 1-6; Tr. 2240, lines 5-19.

To support many of their positions, Staff essentially creates new ratemaking standards. For decades, the standard has been that in the absence of imprudence a utility is entitled to recover its costs.[5] Moreover, since 1977, the Commission has followed its Policy Statement on Test Periods in Major Rate Proceedings[6] that permits utilities to utilize a forward-looking test year and reflect updates for material changes that arise after a rate filing is made and are known and measurable. Certain of Staff's proposed adjustments turn those standards upside down. For instance, Staff proposes to disallow the costs associated with a new damage prevention mark out contract that was entered two months ago, effectively denying the Companies' the right to update their filings in the manner permitted under the Commission's Test Period Policy Statement, primarily because the Companies failed to give advance notice that the update might be coming prior to it becoming known and measurable. Tr. 3636-38. Staff also proposes to deny recovery of a management wage increase that was paid out to employees last July and is therefore known and measurable because Staff, in its opinion, believes a lesser increase is simply more appropriate. Tr. 2366, lines 3-8; Tr. 5275, lines 22-24. In addition, in proposing more stringent gas safety targets for calendar year 2020, Staff's position is that the Companies should have begun implementing the new targets – because Staff made the proposals in their testimony – and that Commission should now adopt these new targets six or seven months into the performance year, even though Staff acknowledged that

[5] *See Matter of National Fuel Gas Distrib. Corp. v Public Serv. Commn. of the State of N.Y.*, 16 N.Y.3d 360, 369 (2011) ("a utility company seeking a rate change has the burden proving that the requested regulatory action is 'just and reasonable.' However, a utility's decision to expend monetary resources is presumed to have been made in the exercise of reasonable managerial judgment. DPS carries the initial burden of providing a rational basis to infer that the utility may have acted imprudently before the burden shifts to the utility to demonstrate that its decision was prudent when made.").

[6] *Statement of Policy on Test Periods in Major Rate Proceedings*, 17 NYPSC 25-R (1977) ("Test Period Policy Statement").

the Companies need to plan ahead of time to meet these new targets. Tr. 4144-45, lines 15-25 and 2-10. These recommendations are neither just nor reasonable under any circumstances.

In addition to proposing significant disallowances of costs that the Companies will need to incur in the Rate Year, Staff also proposes a series of downward-only true-ups for costs associated with full-time equivalents, paving, and credit card costs. Tr. 1983, lines 7-13. At the same time, while the Companies have agreed to tracking mechanisms on the costs associated investments in utility plant and information systems, Staff rejects the limited true-ups sought by the Companies for costs over which they have limited control such as property taxes and City State Construction ("CSC") operations and maintenance ("O&M") cost spending. *Id.* The proposed downward only true-ups effectively preclude the Companies from retaining efficiencies they may find to offset the costs that Staff proposes to disallow and thus achieve the additional productivity that Staff proposes to impute. On top of this, Staff proposes to modify the Companies' performance metrics substantially, adding more stringent targets, but not providing funding to meet these new targets. These proposals not only disregard recent Commission precedent holding that performance metrics are not appropriate in a one-year case, they also render it unlikely that the Companies will be able to meet these more challenging targets if they take effect in the middle of a calendar year. These proposals would effectively result in further disallowances of costs by increasing the likelihood that the Companies will incur negative revenue adjustments.

The combined effect of all of Staff's adjustments is that the Companies would be required to manage unprecedented risks associated with an uncertain supply situation and the impacts of rapidly evolving decarbonization and climate change policies, while being saddled with the lowest ROE authorized for a gas utility in more than 40 years and then effectively precluded from earning

it. This end-result is unreasonable and unjustified and creates grave concern as to whether the Companies will be able to continue to attract necessary capital on commercially reasonable terms.

For decades, the combination of stable earnings, generally manageable business risks, and declining or stable market interest rates have allowed the Companies to access capital markets on favorable terms and reduce borrowing costs for the benefit of customers. Without a reasonable return on equity, funding for incremental capital investments, and support for timely recovery of operating expenses, the Companies are at risk of credit quality downgrades that would further increase the Companies' risks and raise costs for customers.

Over the term of their current rate plans, the Companies have invested billions of dollars in their gas distribution networks to support safe operations, met and exceeded all customer and gas performance metrics, and improved their compliance performance year over year. In only the last year, the regulatory landscape has seen significant changes that will have material impacts on KEDNY and KEDLI's costs and programs going forward. The Companies' proposed rate plan was designed to address in a balanced manner issues raised by Staff and other stakeholders and take important step changes necessary to lead the transition to New York's energy future. To that end, the Companies believed – and continue to believe – that a multi-year settlement was and will be in the best interests of all parties, as it would provide the Companies with the financial resources necessary to run the business while enabling all parties to work collaboratively on efforts to further the future of gas in New York. The Companies provided three additional years of data to facilitate such a settlement, and also proposed to carry forward the $50 million in forecast Rate Year savings to each of the Data Years[7] as a way to further mitigate the rate requests. Despite these efforts, it does not appear that a multi-year settlement is possible at this time. Accordingly, the Companies

[7] The Data Years are the twelve months ending March 31, 2022 ("Data Year 1"), March 31, 2023 ("Data Year 2"), and March 31, 2024 ("Data Year 3") (collectively, the "Data Years").

urge the Commission to determine the contested issues in these proceedings in a manner that preserves the Companies' financial integrity and funds the necessary investment to assist the Companies in maintaining and enhancing their operations and supporting the State's long-term energy goals.

II. PROCEDURAL BACKGROUND

A. Initial Filing

On April 30, 2019, KEDNY and KEDLI filed tariff leaves and supporting testimony and exhibits for new rates and charges for gas service to be effective April 1, 2020. The new tariffs were designed to increase gas delivery revenues for KEDNY and KEDLI by approximately $237 million and $49 million, respectively. The twelve months ended December 31, 2018 was the Historic Test Year. The testimony and exhibits were prepared under the assumption that Transcontinental Gas Pipe Line, LLC's Northeast Supply Enhancement ("NESE") project would be in-service by the winter of 2020/2021.

The initial filing included cost projections for the three Data Years beyond the Rate Year in the interest of exploring a multi-year rate plan settlement between the Companies and the parties that would allow for a phase in of the revenue increases and the ability to manage the impact on customers' bills.

B. Conferences and Discovery

Administrative Law Judges ("ALJs") James A. Costello and Maureen F. Leary were appointed to conduct the proceedings. On May 30, 2019, the ALJs held a procedural conference that was immediately followed by a technical presentation by the Companies discussing various aspects of the rate filings.

On June 5, 2019, the ALJs issued a Ruling on Schedule that provided dates for certain activities in the cases, including the filing of parties' initial and rebuttal testimony and hearings. The active parties engaged in extensive discovery throughout the proceedings with the Companies responding to more than 1,650 information requests.

C. Supplemental Testimony

As agreed with Staff and discussed with the active parties at the procedural conference held on May 30, 2019, the Companies filed supplemental testimony on June 11, 2019 to illustrate the potential revenue requirement and other impacts to the Companies' rate filings in the event the NESE project was not available during the proposed rate plan period.

D. Corrections and Updates

KEDNY and KEDLI filed corrections and updates testimony and exhibits on July 3, 2019, updating the revenue requirement to approximately $196 million and $61 million, respectively.

E. Parties' Testimony

On August 30, 2019, ten parties, including Staff, filed testimony and exhibits addressing the Companies' filings. These parties included: the City of New York ("NYC"), the Public Utility Law Project ("PULP"), the Environmental Defense Fund ("EDF"), the Utility Intervention Unit of the New York Department of State's Division of Consumer Protection ("UIU"), the Long Island Power Authority ("LIPA"), Estates NY Estate Services LLC ("Estates"), the Sane Energy Project ("Sane"), New York State Laborers' Organizing Fund, and Bob Wyman.

F. Rebuttal Testimony

KEDNY and KEDLI and four other parties each filed rebuttal testimony and exhibits on September 18, 2019. In their rebuttal testimony, the Companies adjusted the revenue requirements to assume the NESE project would not be in service during the Rate Year. The updated revenue

requirements for KEDNY and KEDLI were approximately $190 million and $67 million, respectively.

G. Settlement Discussions and Make Whole and Other Provisions

On September 10, 2019, the Companies filed with the Commission a Notice of Impending Settlement Discussions. To facilitate settlement discussions and promote the orderly conduct of these proceedings, the Companies filed requests to extend the suspension period and hearing dates on September 25, October 31, November 12, and December 9, 2019.

The Companies were agreeable to the extensions with the understanding that Staff supported a make whole provision that would assure the Companies will be restored to the same financial position they would have been in had there been no extension and new rates went into effect on April 1, 2020 and specific additional provisions relating to the Companies' next rate filings. These additional provisions included: (i) a Commission grant of a limited waiver of the Commission's Test Period Policy Statement permitting the Companies to use a historic test year consisting of the twelve months ending December 31, 2019 in their next base rate filings; and (ii) a Commission determination that a make whole provision will be implemented effective April 1, 2021, in connection with new rates established by the Commission in response to the Companies' next base rate filings. The purpose of this make whole provision would be to keep the Companies and their customers in the same position they would have been had the Companies filed for new rates by April 30, 2020, with the intention that the Companies would file their next base rate filings on or about 15 days following issuance of a Commission order in the instant proceedings.

On February 10, 2020, the Commission issued an order, holding that the Companies should be made whole for the period between March 29, 2020, and the date the Commission sets new rates, charges, rules and regulations in the final rate decision in these proceedings.[8]

H. Additional Supplemental Testimony

On December 10, 2019, the ALJs issued a "Ruling Modifying Procedural Schedule" for the submission of supplemental testimony related to the impacts of the settlement agreement between the Companies and Staff in Case 19-G-0678 concerning the gas supply constraints in downstate New York and related moratorium.[9] The Companies submitted their supplemental testimony on December 13, 2019.

On January 21, 2020, the ALJs issued a "Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order." Pursuant to that Ruling, on January 29, 2020, the Companies filed their third supplemental testimony to reflect the impacts of the Commission's NE:NY Order on the rate filings. The filings updated the revenue requirements for KEDNY and KEDLI to approximately $200 million and $60 million, respectively.[10] Staff and Sane also filed supplemental testimony on January 29.

I. Hearings

Hearings were held over nine days between February 10 and February 25, 2020 and involved cross-examination of various witnesses produced by the Companies, Staff, and other

[8] Cases 19-G-0309 and 19-G-0310, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY and Gas East Corporation d/b/a National Grid for Gas Service*, Order on Extension of Maximum Suspension Period of Major Rate Filings (issued and effective February 10, 2020), at Ordering Paragraph 3 ("February 10 Make Whole Order").
[9] *See* Case 19-G-0678 Order.
[10] Staff recommends a delivery rate increase of $56.087 million for KEDNY and a decrease of $16.958 million for KEDLI. Exhibit 515 (SRRP-6), Page 1; Exhibit 514 (SRRP-5), Page 1.

parties. The hearing record of these proceedings consist of over 5,789 pages of evidentiary transcripts and 734 exhibits.

III. SUMMARY OF REVENUE REQUIREMENT AND RATE DRIVERS

A comparison of the Companies' and Staff's Rate Year revenue requirements is presented in Appendix 1. The appendix includes a summary page and an O&M expense adjustment page that illustrates the Companies' and Staff's cost of service positions as of the Companies' third supplemental filing and Staff's second supplemental filing.

IV. REVENUES

A. Gas Sales Forecast

1. The Commission Should Adopt The Companies' Gas Sales Forecasts

During these proceedings, the Companies filed several updated versions of their gas sales forecasts as well as the pre-filed testimony and exhibits of Company Witness Theodore Poe Jr. to support those forecasts. Updates to the forecasts were provided to reflect the changing effects of the gas moratorium settlement in Case 19-G-0678, implement certain corrections and updates, and incorporate the effect of the NE:NY Order. The Companies presented testimony and exhibits in support of their final gas sales forecasts on January 30, 2020 in Company Witness Poe's third supplemental testimony. Tr. 5198-5201; Exhibits 395-402. Other than the limited issues noted below, all versions of the Companies' gas sales forecasts were essentially uncontested on the record by Staff and other intervening parties. As discussed below, the Companies believe that the issues raised have already been addressed or lack sufficient support for the Commission to modify the Companies' final gas sales forecast. Therefore, based on the evidence presented, the Companies' gas sales forecast is reasonable and should be adopted.

Company Witness Poe's third supplemental testimony presented a Rate Year forecast of 1,687,554,812 therms and 1,058,168,612 therms for KEDNY and KEDLI, respectively. Tr. 5200-01. These forecasts represented reductions to the Companies' prior forecasts to reflect the incremental demand response and energy efficiency impacts of the NE:NY Order, as well as the prior adjustments to reflect the effects of the gas moratorium settlement in Case 19-G-0678. *Id.*

The Staff Rates Panel filed supplemental testimony on January 29, 2020 proposing three adjustments to the Companies' gas sales forecasts. Tr. 2997-98, lines 15-24 and 1-5. Staff claimed the adjustments were necessary to (i) reflect the increased incremental energy efficiency gas usage reductions from the NE:NY Order; (ii) revise the Companies' forecast decrease in non-firm customers; and (iii) reflect the effect of the gas moratorium on actual meter counts. *Id*. As an initial matter, the Companies note that Staff's proposed adjustments were filed ***before*** Company Witness Poe's third supplemental testimony, which specifically incorporated the energy efficiency gas usage reductions from the NE:NY Order. Staff agreed with the Companies' incorporation of energy efficiency measures in the gas sales forecasts in their response to IR NG-88. Exhibit 733 at page 1 of 2. Therefore, no modification is required to the Companies' sale forecast for this issue.

With respect to Staff's adjustment to the Companies' non-firm customers, the Companies do not believe Staff's position is accurate or supported by historic data. The Companies' forecasts included a decrease in temperature controlled ("TC") customer meter counts to reflect historic trends in customers converting to firm service classifications from non-firm TC classifications. Exhibit 520 (SRP-11), IR DPS-1057, pages 21-22 of 62. Staff proposes to "maintain the historical proportion of non-firm customers to the number of customers in the applicable firm commercial and multi-family service classes" based on Staff's belief that the number of non-firm customers

will increase as a result of the Companies' energy efficiency and demand response programs. Tr. 2999, lines 11-14. Staff then removed the monthly average of non-firm customer conversions from the otherwise applicable firm service classification and used that adjusted customer count to forecast their change in customer usage. Tr. 2999-3000. This adjustment is purely based on Staff's belief and speculation and is not supported by historical data showing movement out of this service classification. Further, based on the workpapers provided by Staff in response to IR NG-88, it is clear that Staff's adjustment is one-sided as Staff increased the customer count in the non-firm TC classification, but failed to make a corresponding reduction in the number of customers in the firm service classifications. Exhibit 733, Attachments 1-2. If no movement were to occur in the non-firm service classifications, as Staff believes, then there should be an offset or reduction to the number of firm customers forecast. Accordingly, as Staff's adjustment is not supported by the data and contains inherent flaws in the distribution of customer counts, it should be rejected by the Commission.

Finally, Staff adjusted the Companies' meter counts to include actual meter counts through November 2019 and forecast meter counts through December 2019 to adjust customer count and corresponding usage. Tr. 2998-99. Notwithstanding these updates, the Companies believe that their forecasts in Company Witness Poe's third supplemental testimony, which were based on actual meter counts as of February 2019 and subsequently updated to incorporate the effects of the moratorium settlement in Case 19-G-0678 and energy efficiency measures from the NE:NY Order, are the most comprehensive forecasts using available data, especially in light of the issues identified in the Companies' response to IR DPS-1057, and therefore should be adopted. Exhibit 520 (SRP-11), IR DPS-1057, page 3 of 62.

In sum, the record fully supports adoption of the Companies' revenue forecasts for ratemaking purposes in these proceedings.

B. Newtown Creek Imputation

1. KEDNY Should Be Afforded The Opportunity To Recover The Full Costs Of The Newtown Creek Renewable Natural Gas Project

KEDNY's Newtown Creek project, located at the NYC Newtown Creek Wastewater Treatment Plant, seeks to reduce greenhouse gas emissions by promoting renewable natural gas ("RNG") as a long-term supply source. Tr. 102. The project will permit KEDNY to capture the biogas generated from the wastewater plant, filter it through a purification system, and upgrade it to pipeline quality natural gas. *Id*. The gas can then be odorized and injected into KEDNY's distribution system. *Id*.

The record shows that the Newtown Creek project will provide several benefits that align with New York's clean energy goals. Specifically, the project will expand the concept of RNG as a viable alternative to conventional natural gas, thus diversifying the supply of gas. Tr. 103. The project will also provide a new method for managing local waste resources and reduce greenhouse gas emissions. *Id*. In total, KEDNY anticipates that the Newtown Creek project will produce approximately 277,500 dekatherms of pipeline quality RNG, reducing Carbon Dioxide ("CO_2") emissions by approximately 16,000 tons annually. *Id*. Moreover, in a separate partnership, NYC is working with Waste Management to incorporate processed food waste into the wastewater sludge at National Grid. *Id*. The combined projects have the potential to reduce annual CO_2 emissions by 90,000 metric tons. *Id*.

In KEDNY's previous base rate case, Case 16-G-0059, the parties agreed in the Joint Proposal resolving the case to the following provision concerning the Newtown Creek project:

> KEDNY will continue to develop the Newtown Creek biogas purification project. Because the ultimate in service date and final capital costs are not

> known at this time, the costs are not included in the revenue requirement. Once the project is in service, KEDNY is permitted to defer the return of and return on the Newtown Creek project and have those costs reviewed for potential recovery in its next base rate filing. The revenue requirement for the Newtown Creek project will be subject to a $1.6 million annual exclusion (prorated from the in service date) for 20 years. The $1.6 million amount and the 20 year time period will be subject to review for possible modification in KEDNY's next rate case. The revenue requirement associated with the project will reflect a 40 year depreciable life. CNY agrees to support KEDNY's reasonable efforts to mitigate the effects of the revenue requirement exclusion, including, but not limited to, supporting KEDNY's application(s) for property tax abatements, to the extent such efforts are permitted by applicable law. Further, any revenues from KEDNY's share of the sale of gas at a premium (*i.e.,* in excess of the weighted average cost of gas) or environmental credits generated from the project will be used to offset the revenue requirement exclusion.[11]

KEDNY proposes to include the full costs of the Newtown Creek project in its revenue requirement in this proceeding.[12] Tr. 104. In addition, KEDNY expects to generate revenues from the project associated with the sale of RNG produced from the project as well as from monetizing the environmental attributes of the project. Tr. 105. KEDNY proposes to true up revenue from the project to the amount reflected in rates. *Id*. KEDNY has included a revenue estimate of $1.9 million per year comprised of $1 million in revenue from gas sales and $0.9 million in revenue from the sale of environmental attributes. Tr. 105-106. Any revenues realized above the level necessary to fully reimburse customers for project costs would be shared equally between customers and NYC beginning in the fifth year after the project becomes operational. Tr. 106. As permitted under the Joint Proposal, KEDNY also proposes to do away with the $1.6 million

[11] *See* Section 5.6 of the Joint Proposal dated September 7, 2016 in Cases 16-G-0058 and 16-G-0059. The Joint Proposal was adopted by the Commission in the 2016 KEDNY and KEDLI Rate Case Order. Tr. 3806.

[12] The revenue requirement consists of $37.898 million of capital (Tr. 3815, 3817), $0.688 million of O&M expense in the Rate Year (Tr. 3816), property tax, net of the tax abatement obtained from NYC, as well as a 20-year depreciation life. Tr. 104-05.

revenue requirement exclusion for the project based on the fact that the project is projected to deliver monetary and societal benefits[13] greater than $1.6 million. Tr. 107-08.

The Staff Policy Panel ("SPP") recommends imputing $3.3 million of annual revenue associated with the Newtown Creek project in KEDNY's revenue requirements – an amount equal to the cost of the project. Tr. 3623-24. The SPP asserts that this result is appropriate because KEDNY chose to proceed with the project even though it knew that the cost of the project would be greater than the value of the RNG produced. Tr. 3624.

2. Staff's Proposed Revenue Imputation Associated With The Newtown Project Is Unreasonable And At Odds With Commission Policy

Staff's proposed imputation of $3.3 million of revenues associated with the Newtown Creek project should be rejected for a number of reasons. First, in Case 16-G-0059, Staff agreed with KEDNY and the other parties that KEDNY would continue to develop the Newtown Creek project even though the record shows that Staff was aware that the capital costs of the project would exceed $30 million and that the revenues from sales of gas from the project would not exceed the revenue requirement. Tr. 3675-76. It would be unreasonable and unfair for the Commission to adopt Staff's proposed revenue adjustment and impose the risk of recovering the costs of the project on KEDNY after Staff agreed to, and the Commission approved, a joint proposal that required the Company to complete the project.

More importantly, however, Staff's proposed revenue imputation is at odds with New York State policy that encourages the development of RNG resources even where such resources may be more expensive than conventional gas resources. Specifically, in Consolidated Edison Company of New York, Inc.'s ("Con Edison") most recent base rate proceeding in Case 19-G-

[13] These benefits include the property tax exemption obtained from NYC. Tr. 107.

0066, the Commission approved a provision of a joint proposal that permits Con Edison to purchase RNG even though it is more expensive than conventional natural gas supplies.[14] This decision was consistent with the Commission's previous statements in the Companies' service moratorium proceeding in Case 19-G-0678 that the Companies should have been more aggressive in seeking out, *inter alia*, RNG as an alternative source of local gas supply.[15]

As the Companies' Future of Heat panel testified, the fact that the unit cost of RNG is greater today than conventionally produced gas is not surprising and is reminiscent of similar comparisons between wind and solar electric renewables to fossil fuels a decade ago. Tr. 182. If the cost disparity between RNG and traditional natural gas is ever going to be narrowed, and if RNG is going to become more prevalent, there must be regulatory support for investments such as the Newtown Creek project. Tr. 187. Adoption of the Staff recommendation to require the revenue from an RNG facility to fully offset the cost of an RNG project at this time would place an unmanageable level of risk on RNG development and discourage the future development of RNG in New York.

In addition, the SPP's revenue imputation recommendation unreasonably fails to recognize that the benefits of the Newtown Creek project extend far beyond the cost of the RNG produced. The Newtown Creek project has been highlighted as a case study for utility RNG interconnections, as well as the potential for public-private partnerships to reduce metropolitan greenhouse gas

[14] Cases 19-E-0065 and 19-G-0066, Consolidated Edison Company of New York, Inc., *Order Adopting Terms Of Joint Proposal And Establishing Electric And Gas Rate Plans* (issued and effective January 16, 2020) at 79. The Commission adopted a Joint Proposal dated October 16, 2019 in which it states (at 93), "[t]he Signatory Parties further acknowledge that such purchases may be more costly than conventional gas supplies." In advancing its recommended revenue imputation in this case, the SPP was not aware of this provision. Tr. 3680.

[15] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests By National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Order Instituting Proceeding and To Show Cause* (October 11, 2019) at 6.

emissions. Tr. 183-84. The Staff revenue imputation adjustment unreasonably ignores these important benefits.

KEDNY acknowledges that the Newtown Creek project was challenging on many levels. However, the fact that KEDNY had to overcome those challenges does not support the adoption of a Staff revenue imputation adjustment that would only serve to punish KEDNY and discourage future RNG development. For all these reasons, Staff's proposed revenue imputation should be rejected.[16]

C. Revenue Decoupling Mechanism ("RDM") Per Class Versus Per Customer

1. The Companies' RDM Proposals Are Uncontested And Should Be Adopted

The Companies propose the following changes to their current RDMs:

- Implement a revenue per class mechanism for SC 1B customers;
- Remove incremental growth incentives in SC 2 and SC 3 RDMs;
- Expand the RDMs to SC 1A; and
- Change the timing of the RDM reconciliation to a fiscal year basis.

Tr. 2845, lines 17-21.

No parties objected to the Companies' proposals. Therefore, the Commission should adopt the Companies' RDM proposals. As suggested by Staff, the Companies will update the RDM targets based on the final revenue and customer counts approved by the Commission in these proceedings. Tr. 2846, lines 2-8.

[16] KEDNY also points out that Staff initially used a Newtown Creek project capital cost estimate that was higher when it calculated the imputed revenue adjustment than the capital cost estimate used to calculate Staff's general revenue requirement. Staff confirmed this inconsistency in response to an information request (Exhibit 667 (NG-13)), and has corrected this error in its updated plant forecast revenue requirement.

D. Purchased Gas

The Companies are not aware of any issues concerning their purchase gas cost in these proceedings.

V. EXPENSES

A. O&M Expense

1. Consultants – AlixPartners (KEDNY and KEDLI)

Staff proposes to disallow $1.146 million and $0.714 million of costs for KEDNY and KEDLI, respectively, associated with work performed by AlixPartners, a consultant utilized by the Companies in the Historic Test Year to support delivery of their IT portfolios. Tr. 2349, lines 13-15; Tr. 2346, lines 20-23; Tr. 1986, lines 19-21. The basis for the adjustment is Staff's opinion that the charges will not recur in the Rate Year. Tr. 2347, lines 9-13. The record demonstrates, however, that Staff's opinion is incorrect and that similar costs will indeed recur in the Rate Year.

a. Consultants Will Be Used To Assist With The Efficient Delivery Of The IT Portfolio, Deliver The Process Improvements Recommended By The Staff IT Panel, And Address Cybersecurity Risks, Among Other Things, In The Rate Year

In proposing the adjustment, Staff takes a very narrow view of what constitutes recurring work for purposes of forecasting Rate Year consultant costs. Specifically, Staff's position is that the individual work performed by AlixPartners in the Historic Test Year, such as work to refresh the Companies' IT strategy and assist with the efficient delivery of the IT portfolio, will not recur in the Rate Year because this work was already undertaken by AlixPartners. Tr. 2348-49. This is an incorrect assumption for several reasons.

First, as Staff conceded during cross-examination, in reviewing Historic Test Year consultant costs to determine if normalizing adjustments are required, the purpose of the review is not to see if the same consultant will perform the same exact work in the Rate Year but whether

the costs are representative of what will be incurred in the Rate Year. Tr. 2461-62. Specifically, Staff testified:

> Q. No, I appreciate your position. I understand it. I'll talk about it further in a minute, but I would like an answer to my question. And my question was, you're not looking to see when you're reviewing that list, if the precise cost will recur or if the same consultant will perform the same work. You're all looking to see whether the costs in the historic test year are representative of what being incurred in the rate year. Is that correct?
>
> A. Yes.

Tr. 2462, lines 3-14.

In that regard, the Companies, like all utilities today, utilize consultants like AlixPartners to provide services aimed at ensuring the efficient delivery of the IT portfolio given the rapidly evolving and increasingly complex nature of IT work. While Staff contends that "it is not reasonable" for the Companies to use a consultant to perform this type of work again in the Rate Year, the Companies submit that it would be unreasonable if they did not. Tr. 2349, lines 3-7. While the Companies may not use AlixPartners again in the Rate Year, the Companies will most certainly continue to engage consultants like AlixPartners to proactively look for ways to maintain existing IT efficiencies and ensure the cost-effective operation of the IT portfolio. Tr. 1987, lines 3-11. This work would be expected of any entity with an IT portfolio as large as the Companies – especially given the benefits that can accrue to customers from this work. *Id.* Therefore, these costs are fully expected to recur in the Rate Year and should not be adjusted from the cost of service. *Id.*

Second, the precise work performed by AlixPartners in the Historic Test Year is but one item under a broad category of work performed by consultants to assist with the prudent management of the Companies' IT portfolio. The Companies agree that some of the work performed by AlixPartners, such as refreshing the Companies' IT strategy or executing a

transformation plan, may not recur in the Rate Year. Tr. 2348-49. However, that does not mean that other work performed by IT consultants such as AlixPartners to evaluate and assess the IT portfolio will not recur.

For instance, Staff conveniently ignores that in addition to helping the Companies refresh their IT strategy and execute a transformation plan – the work that Staff contends will not recur in the Rate Year (Tr. 2348-49) – AlixPartners also performed work to: (i) identify IT efficiency opportunities; (ii) benchmark and identify best practices of other IT organizations,; (iii) analyze system investment opportunities; (iv) assist with contract negotiations to improve vendor spend; and (v) identify and assess cyber security and compliance risks. This work is set forth in the purchase orders found in Exhibit 504 (SRRP-3), pages 803 and 810-11 of 943. This work will continue to be required in the Rate Year whether performed by AlixPartners or another consultant, as it helps ensure, among other things, that IT costs are delivered at the lowest costs for customers. In fact, the work performed by AlixPartners resulted in significant savings to customers that are reflected in the revenue requirements.[17]

Additionally, the Staff IT Panel made a number of recommendations in these proceedings to enhance the Companies' IT performance, such as the development of key performance indicators. Tr. 1010-16. Surprisingly, the Staff Revenue Requirements Panel, which supports the adjustment to consultant costs, testified that it was entirely unaware of this recommendation. Tr. 2463, lines 17-24. The Staff IT Panel also testified that "[t]he field of cybersecurity is one in which the risks, threat actors/vectors, and technologies involved are constantly changing and increasing in complexity at a breakneck pace." Tr. 982, lines 19-23. As a result, the Staff IT Panel

[17] The revenue requirement includes savings of $5.5 million in the Historic Test Year and $16.6 million of savings in the Rate Year from the work performed by AlixPartners. Exhibit 504 (SRRP-3), IR DPS-931, page 795 of 943; Tr. 1988, lines 8-14.

recommended that "utilities remain constantly vigilant and seek new and innovative ways to bolster their cyber security posture." Tr. 983, lines 15-18. The work recommended by the Staff IT Panel will be required in the Rate Year and will necessitate the use of consultants such as AlixPartners to assist the Companies. To that end, Staff agreed that it would be reasonable for the Companies to utilize a consultant to look for ways to improve their IT performance, help them reduce IT costs, help them implement the incremental process improvements recommended by the Staff IT Panel, and help them stay abreast of cybersecurity issues in the Rate Year. Tr. 2468-69, lines 25 and 2-22.

Accordingly, Staff's adjustment should be rejected as it is clear that the Companies will require the use of consultants to perform work to ensure the efficient delivery of the IT portfolio, implement IT process improvements, benchmark with other utilities, and address cybersecurity risks. This work was performed by AlixPartners in the Historic Test Year – resulting in significant benefits to customers – and will continue to be performed by AlixPartners or other like consultants in the Rate Year.

2. Contractors – Snow Removal Costs (KEDNY Only)

Staff proposes a downward adjustment to snow removal costs for KEDNY only based on the use of a three-year average. Tr. 2353, lines 19-24. Staff claims that a three-year average will "smooth out" year to year changes and "produce a more reasonable Rate Year forecast." Tr. 2354, lines 1-4. The adjustment reduces KEDNY's Historic Test Year contractor expense of $3.337 million by $1.263 million, to $2.074 million. Tr. 2352, lines 21-23; Tr. 2354, lines 7-9. KEDNY disagrees with Staff's adjustment and believes that use of the Historic Test Year to forecast snow removal costs is reasonable and appropriate. There are two main reasons that KEDNY's position is reasonable and should be adopted.

a. KEDNY's Forecast Of Snow Removal Costs Is Reasonable and Been Consistently Forecast In The Same Manner

First, use of the Historic Test Year treats customers and the Company fairly over time. This expense has been forecast the same way in several past KEDNY, KEDLI, and Niagara Mohawk rate cases, and Staff has never proposed using a different methodology. Tr. 1990, lines 2-4. In KEDNY's last rate case (Case 16-G-0059), the rate allowance for snow removal expense was approximately $0.689 million. *Id.,* lines 4-5. Actual expenses in calendar years 2017 and 2018 (rate years 1 and 2 of the current rate plan) were $1.8 million and $3.337 million, respectively. *Id.,* lines 5-7. Calendar year 2019 (rate year three) expense at the time KEDNY's rebuttal testimony was filed in September 2019 was $2.115 million – ***more than three times the rate allowance***. Tr. 1990, lines 7-9. Therefore, KEDNY did not fully recover its actual snow removal costs at any time during the current rate plan. Utilizing Staff's proposed three-year average in this case is inconsistent with the historic forecasting methodology and would continue the inequitable result of including a rate allowance that prohibits KEDNY from fully recovering its costs of this expense. There is no reason to believe that Staff's approach will result in a more accurate forecast of Rate Year expense.

Second, use of a consistent forecasting methodology helps minimize controversy by avoiding situations such as the one here where parties pick and choose different methodologies depending on the end-result. Notably, Staff is not proposing to use a three-year average to calculate KEDLI's snow removal expense, but instead is using the Historic Test Year expense as the basis for the Rate Year forecast. Tr. 1990-91, lines 18-20 and 1.

For all these reasons, Staff's adjustment should be rejected.

3. Other Expense – Fines and Summonses (KEDNY Only)

Staff proposes a 25 percent disallowance of KEDNY's Historic Test Year costs associated with fines and summonses incurred by KEDNY for work performed in New York City. Tr. 2563, lines 16-20; Tr. 2596, lines 4-9. According to Staff, the proposed disallowance is a "conservative approach" to reflect the process improvements undertaken by KEDNY to reduce the number of fines and summonses and account for those that Staff contends result from circumstances under KEDNY's control. Tr. 2563-64, lines 20-24 and 1-4. The disallowance reduces the revenue requirement by $0.920 million. Tr. 2564, lines 9-13. There are several reasons why Staff's proposed adjustment should be rejected.

a. Staff's Adjustment Is A Double-Count Of An Adjustment KEDNY Made To Reflect The Benefits Of The GBE Program

The first reason why Staff's adjustment should be rejected is that KEDNY's revenue requirement already reflects savings associated with a forecast reduction in fines and summonses in the Rate Year, resulting from process improvements planned to be delivered by the GBE Program. Specifically, Exhibit 56 (CJC-5), Schedule 2, shows a reduction to KEDNY's revenue requirement of $1.423 million in operating expenses in the Rate Year. KEDNY has therefore included an adjustment in excess of the one proposed by Staff. Staff was entirely unaware of this adjustment when asked about it during cross-examination, and Staff's lack of awareness resulted in a double-count of the anticipated savings associated with KEDNY's efforts to reduce fines and

summonses in the Rate Year. Tr. 2608, lines 5-7. For this reason alone, Staff's proposed disallowance should be rejected. [18]

b. Staff's Adjustment Demonstrates A Fundamental Lack of Understanding Of The Realities of Performing Work in NYC, the Significant Efforts Undertaken By KEDNY To Reduce Its Level Of Fines and Summonses, And Does Not Include Any Evidence Showing That Reductions Above Historic Test Year Levels Can Be Achieved

Staff's claim that fines and summonses are under KEDNY's control and, as a result, KEDNY should bear a portion of these costs demonstrates a fundamental lack of understanding about the reasons why fines and summonses are incurred and KEDNY's ability to cost-effectively avoid them. These costs are incurred in the ordinary course of business as KEDNY must regularly excavate in streets and sidewalks in one of the largest and most densely populated metropolitan areas in the country. Tr. 1992-93, lines 5-21 and 1-3. While KEDNY takes precautions to avoid fines and summonses, given the nature of many construction projects, these costs are not cost-effectively avoidable above the level of reductions that KEDNY has already achieved in the Historic Test Year. *Id.* Fines and summonses are often the result of unanticipated field conditions (*e.g.,* subsurface facilities, parking conditions, heavy traffic) that require KEDNY to work in a larger area or for a longer period than was contemplated at the time the permit was secured. *Id.* KEDNY could take additional measures solely for purposes of avoiding violations, such as repeated demobilizations and remobilizations to avoid working past permit times, but such measures would not be as efficient and would result in more customer disruptions and increased

[18] It is important to note that the savings included by KEDNY in the revenue requirement are an annual amount beginning April 1, 2020. *Id.* Because implementation of the GBE Program is delayed, this means that KEDNY's ability to achieve the forecast savings will also be delayed. As such, it would be particularly inappropriate to add Staff's adjustment on top of KEDNY's adjustment given that the projected savings from the GBE Program will not materialize as anticipated. If the Commission were to agree with Staff's adjustment, the savings of $1.423 million associated with the process improvements to reduce fines and summonses due to implementation of the GBE Program must be removed from the revenue requirement.

costs. *Id.* Thus, while KEDNY will continue its efforts to avoid fines and summonses to the extent practicable, these charges are a reasonable cost of doing business in New York City and should be fully recoverable from customers.

As part of the Joint Proposal in Case 16-G-0059, KEDNY was required to file an annual report describing its efforts to reduce fines and summonses. Tr. 2596, lines 10-14. The purpose of the report was to provide Staff with visibility and assurance around KEDNY's efforts to reduce these costs. Agreeing that KEDNY has undertaken a number of efforts to reduce its level of fines and summonses, and citing to those efforts, as detailed in KEDNY's calendar year ("CY") 2018 annual report (Exhibit 411 (SAP-1), pages 23-35 of 503), Staff testified that a 25 percent reduction "reasonably captures the anticipated savings" associated with these efforts and that it is "reasonable to assume" the benefits associated with these efforts will come to fruition in the Rate Year. Tr. 2563-64, lines 20-23 and line 1; Tr. 2597, lines 4-11.[19] Aside from citing their belief and stating that its "reasonable to assume" benefits will come to fruition, however, Staff has not provided any evidence to show that these efforts will reduce costs in the Rate Year beyond the level of savings incurred in the Historic Test Year.

Specifically, the CY 2018 report, which Staff relies upon to support their adjustment, does not quantify any savings that can be delivered in the Rate Year. Exhibit 411 (SAP-1), pages 23-35 of 503. Rather, it reflects cost reductions achieved in the Historic Test Year that have already been reflected in the revenue requirement, as discussed below. Moreover, Staff conceded that they

[19] It is worth noting that, when asked during cross-examination how they arrived at a 25 percent disallowance, Staff testified "less than 10%" is associated with savings and "more than 15%" is associated with the costs that are allegedly under KEDNY's control. Tr. 2600, lines 22-24. One would expect that such an important breakdown would appear somewhere in Staff's pre-filed testimony, exhibits, or workpapers. It does not, however. Tr. 2601, lines 6-8. KEDNY submits that the reference to a breakdown of savings for the first-time during cross-examination – after KEDNY had submitted its rebuttal testimony challenging the adjustment – calls into question the credibility of the proposed disallowance.

did not quantify any savings associated with any of the efforts cited in the CY 2018 report. Tr. 2602, lines 5-22. They simply said "we believe the associated benefits have not yet fully been realized. So it's hard to quantify that." Tr. 2602, lines 20-22. Staff's adjustment is nothing more than a thinly disguised productivity adjustment. The record shows that the only quantified savings reasonably anticipated in the Rate Year are those associated with the GBE Program that KEDNY already reflected in the revenue requirements of which Staff was unaware. Tr. 2608, lines 5-7. Staff provided no evidence as to how any benefits from the efforts cited in the CY 2018 report can deliver incremental savings in the Rate Year.

Moreover, Staff fails to recognize that KEDNY's efforts have prevented even greater increases in these costs and that the Historic Test Year reflects the reasonably expected results from these efforts. Tr. 1993-94, lines 5-17. A 25 percent improvement beyond these efforts is simply unreasonable. As explained in rebuttal, achieving the results obtained to date was difficult and many of the savings resulted from initiatives that could be easily implemented at the time but are not repeatable. *Id.* Additionally, even with KEDNY's efforts to obtain reductions in this area, the enforcement practices of the New York City Department of Transportation ("DOT"), which continues to expand its code enforcement resources and capabilities, are evolving such that new areas triggering fines and violations are always emerging despite KEDNY's best efforts to react to changing circumstances and continuously improve performance.[20] *Id.* In fact, the CY 2018

[20] For example, KEDNY recently experienced increased scrutiny on issues related to traffic flow and pedestrian accessibility – areas that have not been a major focus in the past and that are resulting in fines above Historic Test Year levels despite KEDNY's prudent efforts. Tr. 1993-94, lines 20-21 and 1-9. The Commission's regulations and KEDNY's procedures require that, for leak investigations, excavations be kept open to vent trapped gas readings to make the area safe before permanent repairs can be made. *Id.* This requires KEDNY to barricade the excavation to avoid pedestrian injury. *Id.* The DOT, however, requires that the full width of the sidewalk be kept open outside of the time stated on the permit, thus bringing KEDNY's work into conflict with DOT requirements and resulting in fines that are unavoidable. *Id.*

annual report specifically cites the changes in DOT enforcement practices as driving an increase in fines and summonses notwithstanding KEDNY's overall improvement. Exhibit 411 (SAP-1), pages 31 of 503.

c. Staff's Adjustment Ignores The Impact Of The Increased Capital Plan On The Level Of Fines And Summonses – And That The Companies Did Not Make A Normalizing Adjustment To Account For the Increased Work In Forecasting The Rate Year

Another reason why Staff's adjustment should be rejected is that it ignores the impact that KEDNY's expanded workplan has on the level of fines and summonses. The capital plan reflects incremental CSC work and leak prone pipe removal work above Historic Test Year levels. Tr. 1994, lines 11-17. As explained in the CY 2018 report and the response to IR DPS-928, an increase in the amount of permitted work will likely result in more fines and summonses despite KEDNY's best efforts to avoid these costs. Exhibit 411 (SAP-1), page 32 of 503; Exhibit 350 (RRP-4R), page 40-42 of 46. Indeed, page 9 of the CY 2018 report contains a table that depicts the violations per permit ratio normalized from 2016 to 2018. Exhibit 411 (SAP-1), page 32 of 503. The table shows a reduction of approximately 40 percent in the number of violations incurred by KEDNY in the Historic Test Year on a normalized basis if the volume of work had not increased. *Id.;* Tr. 2604, lines 18-23. In that regard, Staff agreed that KEDNY could improve its performance in terms of the number of violations per permit but that the number and costs associated with violations could increase or remain the same if the number of permits increase.[21] Tr. 2602-03, lines 23-25 and 2-14.

[21] As shown in the CY 2018 report, KEDNY has experienced a 230 percent increase in the number of street opening permits over the last four years, going from 20,000 permits in 2014 to 66,000 in 2018. Exhibit 411 (SAP-1), page 32 of 503. This number is expected to increase given the forecast growth in the capital plan reflected in this filing.

Importantly, to forecast Rate Year costs, KEDNY used the Historic Test Year as a base and applied inflation. Tr. 2605, lines 18-21. KEDNY did not make a normalizing adjustment to account for the impact that the incremental capital workplan will have on the level of fines and permits in the Rate Year although such an adjustment would have been reasonable based on historic data. Tr. 2607, lines 9-16. Therefore, KEDNY's Rate Year forecast already reflects a reduction in fines and summons as reflected in the CY 2018 annual report. While KEDNY will continue its ongoing efforts to reduce the number of fines and violations received, the costs are ultimately largely an unavoidable cost of doing business in New York City and are not expected to significantly decrease in the coming years. Accordingly, a 25 percent adjustment is not reasonable or achievable given the issues experienced in the field and the significant increase in work that will occur in the Rate Year.

For all these reasons, Staff's adjustment should be rejected.

4. Service Company Rent Expense – IT Costs (KEDNY and KEDLI)

a. The Companies' Proposed IT Capital Investment Program Is Necessary To Provide Customers With Safe And Adequate Service And Ensure The Security Of Systems And Networks

IT capital projects and investments that are shared across operating companies are implemented and owned by National Grid USA Service Company ("Service Company"). Tr. 825, lines 16-18. The costs of these investments are allocated to KEDNY and KEDLI (and the other operating companies that utilize and/or benefit from the investments) in the form of rent expense. Tr. 825, lines 18-20. National Grid's proposed Rate Year IT capital investment is $243.846 million and total IT operating expense is $318.7 million. Exhibits 280 and 281.

Staff proposes to reduce National Grid's Rate Year IT capital spend by nearly half, from the proposed level of $243.846 million to $129.4 million. Tr. 1019, lines 4-8; Exhibit 519, p. 1 of 6. The proposed IT capital program cuts would have significant impacts on the rent expense

recovery Staff recommends the Companies should be allowed. Exhibit 519, p. 1 of 6. Staff also recommends dramatic reductions in Rate Year IT operating expense (Exhibit 519, p. 1 of 6), which would severely affect National Grid's ability to develop and advance very important IT projects for customers. Staff's proposed adjustments to the Companies' IT capital plans and operating plans would result in an unreasonable disallowance of costs for projects and investments that are integral to the Companies' ability to provide safe, adequate and secure service and should be rejected.

b. Staff's Proposed Adjustment to Remove $57.4 million from the GBE Project Forecast is Arbitrary and Would Result in An Unreasonable Disallowance of Prudent Costs Needed to Provide Safe and Adequate Service

The Staff Information Technology Panel ("SITP") proposes an adjustment to reduce the investment forecast for the GBE Program by $57.4 million, comprised of: (i) $12.2 million related to testing and training; (ii) $21.17 million related to increased legacy project integration complexity; and (iii) a $24.03 million reduction for allowance for funds used during construction ("AFUDC"). Tr. 989-90, lines 20-24 and 1-13. Staff's proposed adjustment is not based on a determination that some portion of the GBE program is unnecessary or unwarranted, and Staff does not make any recommendation as to what the Companies should have done differently. Tr. 1053-54, lines 17-25 and 2-4; and Tr. 1061, lines 15-19. Rather, Staff bases its recommendation to reduce the GBE project forecast based on what it believes would be a "reasonable budget." Tr. 1061, lines 8-13. Staff's proposed adjustment has no factual basis and should be rejected.

Between the 2017 Niagara Mohawk Rate Case filing (Cases 17-E-0238 and 17-G-0239) and the filings in these cases, the total planned budget for the GBE Program increased from $458.1 million to $515.4 million. Tr. 3422, lines 13-16. This amount excludes $20.1 million of GBE Program development costs incurred by the Companies for which they are not seeking recovery.

Tr. 3422, lines 16-19. Since the 2017 Niagara Mohawk Rate Case, National Grid has completed the procurement process as well as launched the Detailed Design and Delivery Phase of the GBE Program, which firmed up the program spending details. Tr. 3423, lines 8-10. The implementation of the project has also revealed unanticipated program complexities and upward cost pressures due to several factors, including challenges replacing aged systems and developing legacy system interfaces, increased training and software costs and an underestimation of AFUDC. Tr. 3423, lines 11-21.

The SITP's general sense of a "reasonable budget" is not informed by any finding that the Companies' efforts to implement the GBE Program are unreasonable. Further, as the SITP indicated, no member of that panel has any direct experience with implementing or overseeing a large information technology project or program. Tr. 1054-55, lines 25 and 2-9. The Companies agree the costs of the GBE Program are significant; however, they are being incurred so the Companies can continue to provide safe and reliable service for customers, and to provide the foundation for enhanced capabilities that support operational and performance improvements. The Companies' Rate Year rates also include cost reductions related to the GBE Program, and the savings to be delivered once the GBE Program is fully implemented are projected to significantly exceed the investments in the enhanced capabilities of the program. Tr. 3409-11, lines 4-21, 1-21 and 1-3; Exhibit 56 (CJC-5). Staff's proposed $57.4 million downward adjustment is not based on any factual support or expertise and the Commission should reject it.

c. Staff's Proposed Removal of the Customer Information System ("CIS") Project from the Rate Case Would Significantly Impact Implementation of a Critically Needed Investment and is Counter to the Practice of Addressing Utility Rates in Comprehensive Rate Case Proceedings

The Staff Consumer Services Panel ("SCSP") proposes that the Companies remove the CIS project from this case, and instead file a separate petition for approval of the project and the

associated cost recovery, which would be outside of the context of a rate case. Tr. 1452, lines 8-20; Tr. 1021-22, lines 18-25 and 2-3. Based on the SCSP's recommendation, the SITP proposes to remove $15.411 million of operating expense in the Rate Year, and reduce the Service Company's Rate Year capital forecast by $70.2 million to reflect elimination of the CIS project from the case. Tr. 884, lines 6-10.

The CIS project will replace legacy systems that are over 30 years old for KEDNY and over 20 years old for KEDLI. Tr. 925, lines 12-16. The Companies need a new CIS to provide the functionality for new customer services and billing system capabilities to respond to rapidly changing market needs and regulatory demands. To the extent CIS funding is not timely available and implementation is delayed, that functionality and the corresponding benefits will be delayed and the Companies and their customers will be exposed to increased risks associated with the outdated legacy systems. Tr. 884, lines 18-20.

Staff does not contend that the CIS project is unnecessary; but, rather, that the project plan is not sufficiently developed and had not been analyzed and vetted through National Grid's internal process. Tr. 1452-53, lines 23-24 and 1-4. However, as the Companies' IT Panel testified, National Grid did recently approve the CIS project sanction paper, which provides a timeline for the commencement of the project in April 2020. Tr. 918-20, lines 13-25, 2-25, and 2-10. Moreover, even accepting Staff's argument that the CIS project plan is not sufficiently developed as accurate, there is no doubt the Companies will need to incur substantial operating and capital costs in the Rate Year to be able to meaningfully advance the project. Tr. 885, lines 1-9. Indeed, even if the final CIS solution differs from the current project design, National Grid nevertheless will need to expend far more than the CIS-related capital and O&M expenditures that are forecast for the Rate Year to develop and implement the project. Tr. 885, lines 6-9. Therefore, given the

need for funding to move the CIS project forward, it is reasonable for the Commission to authorize the CIS-related expenditures in these rate cases to enable the Companies to proceed with the first phase of the CIS project and avoid further unnecessary delay in implementing a modern CIS solution for customers.

Finally, Staff's proposal of a separate petition outside of the ongoing rate case process would introduce an element of uncertainty into the Companies' financial planning that is both unreasonable and unnecessary. Given that the best information available at this time indicates the Companies will be making significant expenditures during the Rate Year on the CIS project, and that the Companies filed the necessary cost and schedule information to support recovery of CIS project costs as part of this rate case, Staff's proposal that the CIS project costs be handled outside the context of this rate case should be rejected.

d. Staff's Proposed 25.5 Percent Forecasting Adjustment is Arbitrary and Unreasonable, Not Supported by Historical Performance, and Would Result in Disallowing Prudent Costs Incurred for Projects Needed to Provide Safe and Adequate Service

To achieve its recommended Rate Year IT cost recovery, Staff first removes the entire CIS project capital investment amount from the case, and then applies an additional 25.5 percent ($44.214 million) downward "forecasting adjustment" to the remaining Rate Year IT capital budget. Exhibit 519, p. 1 of 6. Thus, Staff recommends that the Companies' Rate Year IT capital budget be based on total spending of $129.396 million, compared to the $243.846 million budget supported by the Companies—a $114.45 million, or 47 percent, reduction. *Id*.

To arrive at this 25.5 percent adjustment, Staff considered National Grid's actual and budgeted IT capital expenditures for fiscal years ("FY") 2015 through 2019. Staff selected four of the five years of results and applied a linear regression analysis to predict what the FY 2021 capital budget should be. Tr. 996-97, lines 15-24 and 1-17. Staff intentionally excluded the

FY2017 results from its analysis—the mid-year of the five-year range Staff reviewed, and the only year in that period where actual spend exceeded the budget. Staff used only those years where the IT capital spend was below the budget for its regression analysis. Tr. 1030-31, lines 10-25 and 2.

Contrary to Staff's approach to setting the IT capital budget of looking at past spend and predicting what future spend should be, the budgets National Grid proposed are based largely on a bottom-up determination of individual projects that the Companies plan to invest in before the end of the Rate Year, including the CIS and SAP S/4 HANA projects. Tr. 889, lines 4-12. The project-by-project budget is set forth in Exhibit 280 (ITP-4CU). Although the Companies do not support Staff's historic regression analysis to establish the future IT capital budget, there is no dispute that if Staff had used actual results from the entire five-year period, the regression analysis would have performed differently and would have produced a higher predicted Rate Year value. Tr. 893, lines 11-18, Exhibit 341 (ITP-1R), p. 2 of 2.

Staff's proposed forecasting adjustment also is not supported by the historical results that Staff says it considered. National Grid's actual annual spending over the five-year period FY2015-FY2019 was on average eight percent below budget, not 25.5 percent. Tr. 893-94, lines 21-22 and 1-8. This eight percent average annual underspend equates to approximately $8.8 million each year, and certainly does not support a 25.5 percent, or $44.2 million, downward adjustment. Staff's proposed forecasting adjustment is also in sharp contrast to the Companies' most recent IT investment performance. Through January 2020, the IT function had invested $132 million of its annual $151 million budget, and was on track to achieve the budget amount by fiscal year end. Tr. 893, lines 7-10.

Although the Companies can appreciate Staff's desire that the IT capital plan be delivered at a lower cost (Tr. 1061, lines 4-13), implementing the forecasting adjustment Staff proposes

would result in a substantial and arbitrary reduction in funding and would jeopardize the Companies' efforts to provide safe, adequate, and secure service. Staff's proposed forecasting adjustment should be rejected. At the same time, however, the Companies appreciate that Staff has concerns about whether the Companies will be able to spend their proposed IT capital budgets in the Rate Year. To address those concerns, the Companies agree with Staff's proposal to impose a downward only tracker on the Companies' IT-related capital spending. Tr. 913. A tracker will both ensure that customers are not required to pay for IT investments that are not placed in service in a timely manner and eliminate the need for Staff's "forecasting adjustment."

e. Staff's Proposal to Limit SAP S/4 HANA Project Capital Investment Recovery To An Amount Within The $129.4 Million Rate Year IT Capital Investment Level is Infeasible and Would Deny Sufficient Funding for this Important Project

The SITP agrees with the need for the SAP S/4 HANA project. Tr. 1003, lines 8-11. However, Staff recommends that because the design phase of the project has not been sanctioned yet, that the Companies should adjust the capital expenditures for the project to work within Staff's recommended Rate Year IT budget of $129.4 million. Tr. 1003, lines 11-17. Given the size and importance of the SAP S/4 HANA project, and the Staff's agreement with the proposition that the Company should not be eliminating IT projects from its IT capital budget beyond the CIS project (Tr. 1061, lines 4-13), Staff's suggestion that the Rate Year costs of the SAP S/4 HANA project should be squeezed into the reduced $129.4 million budget proposed by Staff is infeasible.

Since the date of the SITP's initial testimony in this case, National Grid has approved the sanction of the SAP S/4 HANA project. Tr. 918-920, lines 13-25, 2-25, and 1-10. This sanction includes, among other things, the cost, timelines, and anticipated implementation phases of the program. Tr. 919, lines 18-25. The Companies' request in this case is for the allocable recovery of proposed SAP S/4 HANA costs, with an opportunity to defer amounts in excess of the level

reflected in rates. Tr. 901-02, lines 5-21 and 1-9. Such an approach is reasonable and should be adopted in light on the importance of the program and the need to implement it before the existing SAP platform is no longer supported.

f. The Service Company's Capital Structure And Long Term Cost of Debt Should Be Used To Determine The Service Company Asset Recovery Charge

The Service Company owns a number of assets that are used either to provide service to affiliates or are used by affiliates on a shared basis. Tr. 5219. These assets include IT equipment and software. *Id*. When the Service Company owns the assets, it charges affiliates, including the Companies, an asset recovery charge that includes the pre-tax return on the asset net of deferred taxes. *Id*. The Service Company's return is based on its capital structure which consists of 50 percent long-term debt and 50 percent equity. *Id*. The Service Company's long-term debt is priced at 3.7049 percent. Tr. 5246. All parties agree that the Service Company cost of equity should be identical to that determined for the Companies in these proceedings. Tr. 5254, 1005.

The SITP proposes that the SFP's recommended weighted average cost of capital should be used for the Service Company return. Tr. 1005. Their recommendation unreasonably ignores the facts that (i) the Service Company maintains its own capital structure separate and distinct from the Companies, and (ii) the Service Company's long-term debt is lower than the Companies' costs. Tr. 5224. The Service Company's capital structure and costs of long-term debt are conservative and should be sued for ratemaking purposes in these proceedings.

g. Staff Recommends Certain IT-Related Process Changes That Are Unnecessary And Would Impair National Grid's Ability To Manage The IT Organization And Investment Plan

The SITP proposes several process and reporting changes for KEDNY and KEDLI that the Companies agree with. For example, the Companies agree to provide periodic and annual reporting on their IT programs as was adopted for Niagara Mohawk in Cases 17-E-0238 and 17-

G-0239. Tr. 904-05, lines 1-20 and 1-15. The Companies also agree to include enhanced reporting on the progress of cyber security projects through National Grid's investment sanctioning process. Tr. 903, lines 13-18. However, the Companies oppose Staff's recommendation that the Companies develop performance indicators relating to sanction papers. Tr. 1015-16, lines 22-24 and 1.

As the Companies' IT Panel testified, the metrics Staff proposes would require substantial resources and time to develop and track. Tr. 903, lines 4-6. Further, Staff does not explain what value the information it seeks to track would provide even if the Companies could readily measure it. As stated above, the Companies' have agreed to comprehensive information reporting and periodic meetings with Staff regarding their IT programs. Given the resources it would take to try to capture such metrics, and the absence of any identified value to be gained from such information even if it could be captured, there is no basis for adopting such a metric. The context of a litigated one-year rate case further supports rejecting Staff's recommendation to impose such a metric.[22]

Staff also recommends that in future rate filings, the Companies proposed IT capital budgets be supported by sanction papers, that National Grid's Chief Information Officer ("CIO") should attest to the costs and benefits of individual programs and projects that make up the approved budget, and that after projects are closed, the CIO should attest to and report on the actual costs and benefits achieved through the IT investment plan. Tr. 3786, lines 1-9.

The Companies oppose these recommendations. First, as noted above, the Companies have agreed to comprehensive reporting on their IT investment plans that would provide Staff with the information and transparency to evaluate the reasonableness and status of the Companies' IT

[22] *See* Case 16-G-0257, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corp., *Order Establishing Rates for Gas Service* (issued and effective April 20, 2017) (performance benchmarks may be appropriate as part of a negotiated resolution of a multi-year rate plan, but the Commission has determined they are less warranted in a one-year litigated case), pages 64-65.

investments. Staff's contention that the attestation requirement would provide accountability for the Companies to deliver their investment plans (Tr. 3786, lines 16-18) ignores that the Companies are already accountable to deliver on their IT capital plans. The Companies have agreed to a one-way downward reconciliation mechanism on IT project Service Company rent expense as Staff had proposed. Tr. 913, lines 11-17. The one-way downward tracker protects customers in the event the Companies do not deliver on their IT capital plans. There is no evidence or rationale to suggest that imposing an attestation obligation would provide any additional customer protection. In short, the attestation recommendation would present an unnecessary intervention into the Companies' internal IT management process with no concomitant benefit and should be rejected.

The Companies also disagree with Staff's recommendation that future proposed rate case budgets be supported by projects only with completed sanction papers. The dynamic nature of an operating utility results in the maturity of IT projects within investment plans varying with time. Although the Companies strive to ensure that the information supporting the proposed IT budget reflects the most current and developed information available at the time, it may not be possible or practical to establish going-forward budgets based solely on projects that have completed the National Grid sanction process. Tr. 907. This is especially the case where the Companies are attempting to present multi-year spending plans and budgets. The Companies are open to collaborating with Staff on opportunities to improve the process for developing IT plan budgets; however, Staff's recommendation that future IT budgets be based only on sanctioned programs or projects represents an unwarranted intrusion on the Companies' internal budgeting and management processes and should be rejected.

5. Labor (KEDNY and KEDLI)

a. Management Wage Increase

i. Staff's Proposed Management Wage Increase Adjustment Is Arbitrary And Unsupported

Staff recommends disallowing $0.270 million and $0.167 million of operating expenses for KEDNY and KEDLI, respectively, based on the claim that a 3.0 percent management wage increase is "more reasonable" than the actual 3.35 percent increase that was paid to employees in July 2019 and the 3.10 percent annual wage increase projected for July 1, 2020. Tr. 2366, lines 3-8; Tr. 5275, lines 22-24. Staff supports its adjustment by citation to the "World at Work" survey, which shows a forecast of "Total Salary Budget Increases" of 3.0 percent for the actual 2019 median and projected 2020 median. Tr. 5275, lines 17-20. Staff's position is without merit and should be rejected.

In these filings, the Companies presented a compensation study showing that National Grid's management compensation is below the market median of a representative peer group of utility and non-utility companies' total compensation. Exhibit 116 (MPH-2), Schedule 1, Page 1 of 1.[23] Staff performed an independent assessment of the results of the study and concluded that National Grid's total compensation was within the reasonable range of plus or minus 10 percent of median total compensation of its similarly situated peers, which Staff acknowledged is the standard for determining whether a company's compensation is market competitive and has been used by Staff to evaluate compensation benchmarking results in numerous prior rate cases. Tr. 5267-68, lines 22-24 and 1-11; Tr. 5270, lines 13-18.

[23] National Grid's total compensation is at 96 percent of the median total compensation of the peer group. Exhibit 116 (MPH-2), Schedule 1, Page 1 of 1.

Further, the record shows that the 3.35 percent increase paid to employees in July 2019, which is comprised of a 3.1 percent average increase in base pay and a 0.25 percent increase for career path progressions, does not cause National Grid's total management compensation to exceed the median compensation of the peer group. Tr. 4945, lines 5-9. The 3.1 percent annual wage increases for July 2020 similarly will not cause National Grid's total management compensation to exceed the median compensation of the peer group. *Id*., lines 9-12.

Specifically, as depicted in Table 1 below, the compensation study shows that National Grid's total cash compensation is $127.31 million compared to the peer group's median total cash compensation of $139.02 million. If National Grid's total cash compensation of $127.31 million were increased by 3.35 percent – the wage increase that was paid to employees in July 2019 – the result would be $131.57 million, which continues to be below the median cash compensation of the peer group. If National Grid's total cash compensation of $127.31 million were increased further by 6.45 percent – which is 3.35 percent plus 3.1 percent (the wage increase forecast for July 2020) – the result would be $135.52 million, which is still below the median cash compensation of the peer group.

Table 1: Analysis of Wage Increase on the Compensation Study[24] ($ million)

	National Grid	Increase by 3.35%	Increase by 6.45%	Peer Group[25]
Total cash compensation	$127.31	$131.57	$135.52	**$139.02**

[24] Exhibit 116 (MPH-2), Schedule 1, Page 1 of 1.
[25] For the purpose of this analysis, the Companies held the peer group's cash compensation constant even though it is likely that the median value of the peer group's cash compensation will increase every year due to wage inflation. This further demonstrates the reasonableness of the Companies' proposed wage increases.

Staff has provided no evidence whatsoever to show that a wage increase that would keep the Companies' total cash compensation below the market median is somehow imprudent or excessive. For this reason alone, the inquiry should end, and Staff's recommendation should be rejected.

Notwithstanding, the basis of Staff's adjustment is the World at Work survey, which is but one of several authorities in the field of compensation and benefits used by companies to evaluate wage increases. Tr. 4945-46, lines 20-21 and 1-6. Staff's use of a single data point to justify their adjustment is unreasonably limited and fails to incorporate a review of other data sources in the industry. Prior to approving the salary increases, National Grid conducted a holistic review of numerous, available market studies, including the World at Work survey, and used the average of the median merit increases from those studies for its wage increases, as shown in the following table, which is reproduced from Company Witness Maureen Heaphy's rebuttal testimony. Tr. 4946, lines 1-6.

Table 1A: Authorities Used By National Grid To Support The Management Wage Increase

Data Source	Forecast Increase
Aon Hewitt	3.10%
Culpepper	3.09%
Mercer	3.30%
World at Work	3.00%
Salary Com	3.00%
CRI	3.00%
ERI	3.20%
Pay Factors	3.10%
Average	**3.1%**

Lastly, Staff ignored the fact that included within the 3.35 percent increase was a 0.25 percent increase for career path progressions. Tr. 4947, lines 4-10. These costs are a legitimate business expense required to retain high performing employees as they advance to more senior levels across the organization. *Id*. While not needed, this would be yet another reason why Staff's proposed adjustment is unreasonable and should be denied.

In this case, the Companies have provided unrefuted evidence that their management wage increase (i) was paid out to employees in July – thereby constituting a known and measurable expense that was actually incurred, (ii) is within (and, in fact, lower than) market, and (iii) adding both the July 2019 and July 2020 wage increases still results in the Companies' total cash compensation being lower than the market median of the peer group. Staff has offered no evidence to the contrary. Staff's adjustment is based solely on their opinion – which stands in direct contradiction of the evidence – that a 3.0 percent wage increase is more reasonable. This is completely arbitrary and unsupported, and, moreover, seeks to adjust a known and measurable change. For these reasons, the adjustment should be denied.

b. Vacancy Rates

i. There Is No Justification For Staff's Vacancy Adjustment, As The Companies' Labor Expense Forecast Accounts For Vacancies

Staff proposes imputing a vacancy adjustment to the Companies' labor expense forecast. Tr. 2358, lines 14-16. The adjustment is specific to full-time equivalents ("FTEs") who directly charge their time to either KEDNY or KEDLI and does not include Service Company employees who may allocate their time to KEDNY or KEDLI. Tr. 2356, lines 13-17. The basis for this adjustment is Staff's assumption that the Companies do not account for vacancies when forecasting Rate Year labor expense. *Id*., lines 10-12. Staff claims a vacancy rate is warranted citing the difference in the number of KEDNY and KEDLI FTEs authorized in the 2016 KEDNY and

KEDLI Rate Case Order and the number of FTEs at the end of the Historic Test Year in the present cases, which is a difference of 48 FTEs for KEDNY and 63 FTEs for KEDLI. Tr. 2360, lines 7-17. Staff's vacancy adjustment results in a reduction to KEDNY and KEDLI's Rate Year labor expense of $2.759 million and $3.229 million, respectively. Tr. 2365, lines 20-23. There are several reasons why Staff's adjustment is without merit and should be denied.

To forecast Rate Year labor expense, the Companies used as a base the actual employees on payroll as of December 31, 2018 (the end of the Historic Test Year). Tr. 1999, lines 19-21. By using this methodology, the forecast specifically accounts for vacancies that existed as of the end of the Historic Test Year. Tr. 1999-00, lines 17-21 and 1-19. Indeed, Staff agreed during cross-examination that the Rate Year forecast includes only those positions that were actually filled as of December 31, 2018, and ***excludes*** positions that were open or vacant as of that date, even though such positions existed. Tr. 2477-78, lines 16-25 and 2-17. Specifically, the record shows:

> Q. So am I correct that after removing employees on long-term leave and then adjusting the head count for seasonal and temporary employees, the companies used as a base actual employees on payroll as of December 31st, 2018 to develop the rate year labor expense forecast.
>
> A. Yes, that is correct.
>
> Q. Okay. And to the extent there were unfilled positions as of that date, these positions were not included in the company's rate year labor expense forecast. Is that correct?
>
> A. That's correct.
>
> Q. Meaning that if KEDNY had 5 gas mechanic positions in [a] department, but only one of those positions was filled on December 31st, 2018, KEDNY's rate year labor expense forecast reflected only the cost of that one mechanic position that was actually filled. Is that right?
>
> A. Can you just clarify, is this a hypothetical question?

Q. It's a hypothetical.

A. Then yes, that would be correct.

Q. And the 4 positions that were then vacant as of that date were not reflected in the labor expense forecast, correct?

A. That is correct.

Id.

In rebuttal, the Companies submitted evidence showing there were 617 management positions and 202 union positions for KEDNY, KEDLI, and the Service Company vacant at the end of the Historic Test Year and therefore not reflected in the Rate Year labor expense forecast. Tr. 2000-01, lines 5-19 and table 1. Despite acknowledging that the forecast includes vacancies, Staff testified that, in calculating their adjustment, they did not add back the vacancies that existed as of December 31, 2018. Tr. 2480, lines 3-7. This is clearly unreasonable and a double-count of vacant positions.

It is unclear if Staff's proposed vacancy adjustment was an intentional double count or Staff was simply confused as to how the forecast was developed. While National Grid has consistently used the same methodology to forecast labor expense over the last three rate proceedings dating back to 2012, this is the first time that Staff has ever proposed a vacancy adjustment. Tr. 2003, lines 1-8. Staff's response to various IRs appears to show some confusion on their part. In IR NG-07, the Companies asked if it was Staff's position that there were no vacancies included in the December 31, 2018 headcount. Exhibit 636. Staff responded that "the Companies did not account for vacancies from the end of the Historic Test Year, through the Rate Year" in developing the labor expense forecast. *Id.* In that same response, however, Staff acknowledged that "the Companies based their Rate Year labor forecast on the actual number of employees on the payroll at December 31, 2018." *Id.* Subsequently, in the response to IR NG-42,

Staff clarified their response, agreeing that unfilled positions were not included in the forecast. Exhibit 638. They claimed, however, that the number of open positions shown by the Companies in rebuttal was inconsistent because the Companies stated they do not track vacancy rates. *Id.* While the Companies do not track vacancies in the precise manner Staff requested (*i.e.,* by month, by position type), the Companies have the ability to identify the number of open positions at year-end. At no time has Staff offered any evidence to contradict the Companies' statement that there were 617 management and 202 union vacant positions for KEDNY, KEDLI, and the Service Company (a portion of which allocated their time to KEDNY and KEDLI) at the end of the Historic Test Year. Tr. 2000-2001, lines 5-19 and table 1. Staff's adjustment effectively applies a vacancy adjustment on top of a labor forecast that already reflects vacancies, which is clearly improper and understates labor expense in the Rate Year.

Moreover, Staff's adjustment ignores other reasons that account for differences between the level of operating company employees between the time of the last rate case and the end of the current Historic Test Year. Specifically, it ignores that employees could have transferred between the Service Company and the KEDNY and KEDLI operating companies between the time of the two rates cases – a scenario that Staff agreed was possible. Tr. 2482, lines 18-23. This is important because the Companies performed an analysis in rebuttal showing that the total headcount for KEDNY, KEDLI, and the Service Company, as of December 31, 2018, ***exceeded*** the total headcount authorized in Cases 16-G-0058 and 16-G-0059 (the "2016 KEDNY and KEDLI Rate Cases") by approximately 1,300 FTEs. Tr. 2001-02, lines 5-10 and table 2. While there were less KEDNY and KEDLI operating company employees in 2018 than reflected in the 2016 KEDNY and KEDLI Rate Cases, there were 1,306 more Service Company employees who may allocate

their time or a portion of their time to KEDNY and KEDLI. Tr. 2002, table 2 and lines 4-12.[26] This analysis undercuts Staff's claim that the headcount as of December 31, 2018 was lower than the headcount authorized in the 2016 KEDNY and KEDLI Rate Order.[27] Importantly, in calculating their proposed vacancy adjustment, Staff did not undertake any effort to determine whether any work function had been transferred from KEDNY or KEDLI to the Service Company. Tr. 2485, lines 16-25.

A final reason why Staff's adjustment is improper is that Staff cites the Companies' hiring of incremental FTEs to justify a vacancy rate, stating that a portion of the incremental FTEs will be hired internally. Tr. 2363, lines 15-18. While this may be the case for a small subset of work, it ignores that the incremental FTEs are needed to perform incremental work forecast in the Rate Year and that the Companies will still need FTEs to perform the current workload. For instance, the Enhanced Contractor Safety Program, which the Staff Pipeline Safety Panel supports, requires 118 FTEs to assign one inspector to every crew absent having shareholders fund those costs. Tr. 4119, lines 4-9. By applying a vacancy adjustment to a labor expense forecast that already reflects vacancies, the net result is that the Companies will not receive funding in rates to assign one inspector to every crew.

The record amply demonstrates that the Companies' forecast of Rate Year labor expense accounts for vacancies just in a different manner than Staff proposes. Staff's adjustment is a double-count as it applies a vacancy adjustment on top of a forecast that already reflects vacancies.

[26] In general, the allocation of labor expense from the Service Company to KEDNY and KEDLI is approximately 20 percent. Twenty-percent of 1,306 FTEs is approximately 260 FTEs – which is significantly more than the 48 FTEs for KEDNY and 63 FTEs for KEDLI for which Staff bases their adjustment.

[27] The following example demonstrates the inequity of Staff's adjustment. If KEDNY had transferred half of the FTEs included in rates in the 2016 KEDNY and KEDLI Rate Cases to the Service Company, where those employees continued to do the same job, Staff's methodology would result in a 50 percent vacancy rate even though there would be no change in the resources devoted to KEDNY or the costs that it incurred.

In addition, Staff's adjustment ignores the reasons why there would be differences in headcounts between the time of the two rate cases. It appears that Staff in National Grid's prior rate cases understood these reasons and therefore never believed that a vacancy adjustment was warranted. For all these reasons, Staff's vacancy adjustment is inappropriate and should be rejected.

c. New Hire True Up

i. Staff's Proposed New Hire True Up Is Unwarranted In A One-Year Litigated Case

In addition to their vacancy adjustment, Staff proposes to "continue" the downward-only new hire true-up that was set forth in the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases. Tr. 2379-80, lines 21-24 and 1-2. This recommendation should be rejected as there is no basis for a downward-only true up of labor expense, especially in a one-year litigated proceeding. The new hire true-up was agreed to as part of the comprehensive settlement establishing a multi-year rate plan in the 2016 KEDNY and KEDLI Rate Cases. Tr. 2493, lines 20-23. A similar reconciliation was not included in the Joint Proposal in the 2017 NMPC Rate Case. Tr. 2011, lines 8-13. The Companies are unaware of any Commission precedent authorizing a downward-only true up in a one-year case. Therefore, Staff's proposal should be denied.

d. Energy Efficiency FTEs

In their initial proposal in this case, the Companies proposed adding seven incremental FTEs to support their significantly expanded energy efficiency portfolio design and implementation. Tr. 52-53, lines 19-20 and 1-10. Staff agreed it is reasonable for the Companies to add the seven proposed incremental FTEs. Tr. 680-81, lines 23-24 and 1-2. In support of its position, Staff noted that: "[t]he Companies are significantly ramping up energy efficiency-related initiatives. Specifically, the KEDNY energy efficiency target increases by 32% in 2019 and 55%

in 2020 and for KEDLI the energy efficiency target increases by 26% in 2019 and 45% in 2020." Tr. 680, lines 18-23.

As noted in the Companies' Supplemental Testimony filed January 29, 2020, the NE:NY Order "ramps up the energy efficiency targets by 114 percent and 22 percent for KEDLI and KEDNY, respectively for 2021 through 2025." Tr. 229, lines 16. To enable them to meet the increased energy efficiency targets in the NE:NY Order, the Companies proposed adding eight incremental FTEs to the seven proposed initially (fifteen total). The basis for and details of the additional FTEs was explained by the Companies in testimony (Tr. 230-32). The addition of the eight incremental FTEs would begin in the Rate Year and would be staggered over time. *Id*. Adding these FTEs is vital to enabling the Companies to meet the targets of the NE:NY Order and achieve the State's clean energy goals, and should be approved.

6. Transportation Expense – Forecast of Vehicle Replacements (KEDNY and KEDLI)

Staff proposes a downward adjustment of $0.619 million for KEDNY and $0.559 million for KEDLI to the lease component of transportation expense. Tr. 2374, lines 8-20. The adjustment is based on Staff's belief that the Rate Year costs are "excessive" because the Company forecasts replacing 180 and 163 more vehicles for KEDNY and KEDLI, respectively, from the end of the Historic Test Year through the end of the Rate Year than it had during the prior three-year period. Tr. 2369, lines 9-18; Tr. 2371, lines 2-5. Staff's adjustment should be rejected.

a. Staff's Adjustment Unreasonably Ignores The Companies' Detailed Fleet Plan

Specifically, the record demonstrates that the Companies' forecasts are supported by a detailed fleet plan that carefully considers the type of vehicle, the age of the vehicle, maintenance history, and work for which the vehicle is utilized to develop a projected replacement date for each vehicle. Tr. 2004, lines 15-18. Staff has submitted no evidence that rebuts or contradicts the

reasonableness of the Companies' replacement schedule, and instead unreasonably substitutes its own judgement in place of the Companies' detailed fleet plan, which is used to manage the reliability of the fleet of vehicles used to deliver safe and reliable service to customers throughout downstate New York.

In the 2016 KEDNY and KEDLI Rate Cases, Staff proposed a combined adjustment of $1.671 million in transportation lease expense, which was reflected in the Joint Proposal adopted by the Commission. Tr. 2004, lines 20-21; Tr. 2256, lines 1-3. To manage vehicle replacements within this rate allowance, the Companies modified their vehicle replacement schedule to stretch out the lifecycle of certain vehicles. Tr. 2005, lines 1-10; Tr. 2256, lines 3-13. This adjustment increased the average age of vehicles that are needed to provide service to the Companies' customers and help maintain and operate the gas network. *Id.* KEDNY and KEDLI estimate that replacements of approximately 88 and 96 vehicles, respectively, were delayed by Staff's prior adjustment and therefore included in the forecast of replacements in these rate proceedings.

While Staff opines that it is "inappropriate" to assume that vehicles with expiring leases will be replaced in the Rate Year because the Companies in the past have used vehicles past their lease dates, Staff inappropriately assumes that a management practice adopted to address a one-time circumstance can be continued indefinitely. Tr. 2371, lines 5-10. If Staff's adjustment were adopted, the Companies' ability to maintain a reliable fleet would be compromised. Tr. 2005-06, lines 13-20 and 1-18. The lease end date is based on the expected lifecycle of each vehicle. *Id.* While the timing of replacements varies depending on the specific conditions of the vehicles (*e.g.,* depending on the performance or usage of the vehicle, the asset life may fall short of or exceed the planned lifecycle), in general each vehicle with a lease term that has expired should be replaced to ensure reliable fleet operations. *Id.* While the Companies were able to increase the average age

of their fleet over the past three years to stay within the budgeted rate allowance without unduly compromising reliability, this cannot continue indefinitely if the Companies hopes to maintain a reliable vehicle fleet. *Id.* The Companies need to replace more vehicles than they have in the past three years to restore the reliability of the vehicle fleet to its optimal level given the adjustments made by Staff in the 2016 KEDNY and KEDLI Rate Cases. *Id.* A further adjustment in these proceedings would be unwarranted.

In sum, the Companies do not believe that deviating from the planned lifecycle replacement is reasonable or in the best interests of customers, as it will lead to higher maintenance costs and potentially compromise the integrity of KEDNY and KEDLI's vehicle fleet. Tr. 2006, lines 9-13; Tr. 2257, lines 10-14. Staff has submitted no evidence to contradict the soundness of the Companies' fleet replacement plan. For these reasons, Staff's adjustment must be denied.

7. Uncollectible Accounts (KEDNY and KEDLI)

a. The Commission Should Forecast Uncollectible Expense Using the Three-Year Average As Recommended By The Companies

In their direct testimony, the Companies calculated their net-write off rates using a three-year aggregated average ratio of uncollectible amounts to total regulated revenues based on the three calendar year periods ending December 2016, 2017, and 2018 (the Historic Test Year). Tr. 1109-10. This resulted in net write-off rates of 0.9142 percent and 0.6341 percent in the Rate Year for KEDNY and KEDLI, respectively. Tr. 1110, lines 1-11; Exhibit 192, Schedule 1; Exhibit 193, Schedule 1. The Companies used these rates to develop the Rate Year uncollectible expense forecast of $16.23 million for KEDNY and $7.31 million for KEDLI. Tr. 1112, lines 1-6.

Staff proposes to use the three-year period ending May 2019 to calculate the net write-off rates. Tr. 2552, lines 7-16. Staff asserts that use of this data will produce a more accurate level of uncollectible expense in the Rate Year as it will incorporate programs recently implemented by

the Companies, including targeted outbound calling campaigns, email campaigns, and an outbound calling group, that will reduce uncollectible expense in the Rate Year. Tr. 2552-54. If adopted, Staff's proposal would result in decreases to the Companies' forecast of uncollectible expense in the Rate Year of $1.081 million and $0.442 million for KEDNY and KEDLI, respectively. Tr. 2551, lines 7-10.

Staff's proposal should be rejected as the Companies' efforts to reduce collections expense are already reflected in the Companies' calculation and the three-year period proposed by Staff is not aligned to the Rate Year. While the Companies may continue these and other collections-related programs during the Rate Year, the mere operation of such programs is not a guarantee that the Companies will be actually able to further reduce this expense, as the expense is entirely reliant upon external factors beyond the Companies' control – the customers' ability to pay their bills. Indeed, while the Companies' efforts have moderated uncollectible expense over the past few years, this expense experiences annual variability and is actually projected to increase due to the Companies' recent reduction in the number of accounts terminated for non-payment, along with the Companies' recent suspension of collection activities, including service disconnections, to assist customers in light of the COVID-19 pandemic.[28] Tr. 1107-08.

Additionally, the Companies' current rate plans are based on calendar years (*i.e.* the period running from January 1 – December 31) and the Rate Year will be based on the Companies' fiscal year (*i.e.* the period running from April 1 – March 31). Tr. 1176, lines 3-7. The three-year period of data proposed by Staff to forecast uncollectible expense bears no rational relationship to either calendar year or fiscal year data, which serve as the points of reference for virtually all other

[28] Case 17-E-0238, *et al*., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service, *Order Postponing Approved Electric and Gas Delivery Rate Increases and Updated Reduction to the Low Income Discount Credit and Temporarily Waiving Certain Tariff Fees* (issued and effective March 25, 2020).

calculations and targets proposed in these cases. Staff's proposal is not tied to a specific triggering event and indeed Staff does not propose to use all of the 2019 data. Rather, Staff randomly selects a time period that ends at a point midway through a calendar year two months in to the Companies' fiscal year, ostensibly for no other reason than to artificially reduce the Companies' forecast of uncollectible expense.

Therefore, for the reasons noted above, Staff's proposal should be rejected and the Commission should adopt the Companies' forecast.

8. Site Investigation and Remediation ("SIR") (KEDNY and KEDLI)

On behalf of the Companies, Charles F. Willard testified regarding the Companies' SIR Programs and the recovery of costs incurred under those Programs. Tr. 3444-3518. The Companies' SIR Programs and cost recovery were also addressed by the Staff SIR Panel (Tr. 3519-64) and PULP witness William D. Yates. The Companies' SIR Programs include activities related to the management, investigation, and remediation of activities at manufactured gas plant ("MGP") and federal Superfund sites. Tr. 3454-58, 3584-88. Currently, KEDNY has whole or partial responsibility for 27 MGP sites and two federal Superfund Sites. Tr. 3554-55; Exhibit 172. KEDLI is wholly or partially responsible for 29 MGP sites; 16 of these 29 MGP sites are actively managed, while the remaining 13 sites have received a "No Further Action" determination with no ongoing obligation. Tr. 3484-85; Exhibit 182.

a. The Companies' SIR Programs Are In Full Compliance With The SIR Generic Order And Regulatory Requirements And Timetables

Mr. Willard's testimony presented information that fully complies with the requirements set forth in the Commission's SIR Generic Order. The SIR Generic Order requires utility rate filings to:

> provide sworn testimony (1) establishing that the remediation process is in compliance with existing timetables and DEC requirements, or providing

> explanations for any divergence; (2) discussing the utility's SIR cost control efforts, including an attestation to utility compliance with the best practices inventory; and (3) indicating the results of any internal process the utility may have conducted with respect to review of SIR procedures, and in particular explaining how internal controls are brought to bear on site investigation and remediation projects.[29]

Mr. Willard demonstrated that the Companies are generally in compliance with existing timetables and Department of Environmental Conservation ("DEC") and Environmental Protection Agency ("EPA") requirements for their SIR sites and sponsored an exhibit demonstrating each Companies' compliance. Tr. 3457-58, 3487-88; Exhibits 177 and 186. Mr. Willard stated that there were no variances between DEC timetables and work performed at KEDLI's MGP sites in the Historic Test Year. Tr. 3487. He further stated that the variances at six of KEDNY' MGP sites were due to circumstances outside KEDNY's control, including "site access constraints, negotiated work scope changes due to changes in regulatory or site conditions, and regulatory reviews or approvals." Tr. 3458. Finally, he stated that both Companies update the DEC bi-monthly and KEDNY updates the EPA monthly on the status of each site, and, based on these updates, Mr. Willard understands that the DEC and EPA are satisfied with the Companies' progress. Tr. 3458, 3488.

The record shows that the Companies' cost management practices are in accordance with those set forth in the Inventory of Best Practices for Utility SIR Programs established in accordance with the SIR Generic Order and as clarified by the DEC. Tr. 3475, 3494. Mr. Willard provided examples of the Companies' cost control efforts, which include: use of experienced staff and contractors; competitive bidding processes for contractor and consultant procurement; review of

[29] Case 11-M-0034, Proceeding on Motion of the Commission to Commence Review and Evaluation of the Treatment of the State's Regulatory Utilities' Site Investigation and Remediation (SIR) Costs, *Order Concerning Costs for Site Investigation and Remediation* (Issued and Effective November 28, 2012) ("SIR Generic Order"), pages 30, 32, Ordering Clause 3.

detailed monthly invoices from vendors; challenging the DEC and EPA work plans when more cost effective and equally protective remedies are available; outreach to local communities; pursuing insurance cost recovery; identifying potentially responsible parties and working collaboratively with property owners. Exhibits 613 and 614. Mr. Willard noted that, in the Companies' previous rate cases, the Commission has found that the Companies' cost control measures were cost effective and reasonable, and that the Companies were pursuing all appropriate cost control efforts. Tr. 3475, 3494.

Mr. Willard further testified that the Companies have established internal control processes to review SIR procedures. Specifically, National Grid has "conducted internal reviews of the administration and management of the SIR group, as well as the adequacy of controls to meet significant environmental obligations." Tr. 3477, 3496. Moreover, the Companies' have established internal procedures for the selection of contractors and consultants, as well as review of contractor and consultant invoices. Tr. 3477, 3496; Exs. 613, 614. In response to a Staff IR DPS-410, the Companies also detailed the processes, results, and response to internal audits for work performed under SIR consultant contracts. Exhibit 506.

The Staff SIR Panel agreed that the Companies have demonstrated that their SIR Programs are in compliance with all applicable regulatory requirements and timetables. Tr. 3532. The Staff SIR Panel concluded that it "believe[s] that the consultant and remediation contractor procurement and competitive bidding practices enable the Companies to effectively carry out the SIR programs, while using competitive bidding processes that minimize costs for individual sites." Tr. 3536.

No other parties testified regarding the Companies' compliance with regulatory requirements or timetables or with the SIR Generic Order. All record evidence indicates that the Companies have met all the applicable requirements to their SIR programs.

b. The Commission Should Authorize Full Recovery Of The Companies' Forecast SIR Costs As Set Forth In Mr. Willard's Testimony

As discussed above, it is undisputed that the Companies are in compliance with all applicable regulatory requirements and timetables, including those set by the DEC and EPA for the Companies' SIR sites and by the Commission in the SIR Generic Order. It is also uncontroverted that the Companies have effectively controlled costs related to their SIR Programs. As such, the Companies should be permitted to recover their full forecast SIR costs, as proposed in Mr. Willard's testimony.

Mr. Willard testified that the Companies should be permitted to recover their forecast SIR costs in base rates, along with the amortized historic SIR costs as authorized in the 2016 KEDNY and KEDLI Rate Cases. At KEDNY, the requested base rate recovery includes: (i) $66.088 million in forecast MGP-related SIR costs; (ii) $20 million associated with the remediation of KEDNY's Superfund sites, Gowanus Canal and Newtown Creek; and (iii) the current amortization of $18.521 million, representing one-tenth of the forecast deferral balance at December 31, 2016. Tr. 3472. At KEDLI, the requested base rate recovery includes: (i) $6.6 million in forecast MGP-related SIR costs; and (ii) the current amortization of $14.168 million, representing one-tenth of the forecast deferral balance at December 31, 2016. Tr. 3492.

Mr. Willard described the Companies' process for forecasting SIR costs at their MGP sites in the Rate Year. For MGP sites, because the DEC schedule for the Rate Year is not yet available, the Companies used the current approved DEC schedule for fiscal year 2019 and the anticipated work for fiscal year 2020 to forecast the scope of work. The Companies considered the status of each site and worked with project managers for the sites to account for site progress and potential delays, including delays that KEDLI negotiated with the DEC to best manage program and project resources. After determining the scope of work, the Companies forecast the cost of the work,

taking into account the nature of work and expected remedy, site specific conditions, past spending, and estimates from the Companies' consultants. Tr. 3461-62, 3490-91. Mr. Willard explained the major drivers of SIR costs at the MGP sites for both Companies. At KEDNY, while work continues on 24 MGP sites, the SIR cost request is primarily drive by work done at the following: Citizens Gas Works; Fulton Municipal Gas Works; Metropolitan Gas Works; and the Greenpoint sites. Tr. 3463-65, 3491. SIR Program Activities, which include pursuit of cost recovery from other parties and legacy insurance policies, are also a significant driver of KEDNY's SIR costs. Tr. 3465. At KEDLI, costs are driven by costs at three sites: Patchogue; Belle Harbor; and Babylon. Cost projections for all the Companies' MGP sites are set forth in the exhibits to Mr. Willard's testimony. Exhibits 181 and 189.

Mr. Willard also set out the reasoning behind including $20 million in SIR costs for KEDNY's Superfund sites in base rates. Mr. Willard testified that, while KEDNY expects to incur significant SIR costs for work performed in the Rate Year for Gowanus Canal and Newtown Creek, "the precise amounts of these costs…remains difficult to estimate with reasonable certainty given the dynamic scope of these projects and the number of parties involved." Tr. 3470-71. As a result, Mr. Willard testified that KEDNY used the Historic Test Year costs of $20 million as the baseline Rate Year costs for the Superfund sites. Tr. 3473.

The Staff SIR Panel agreed with the inclusion of $20 million associated with KEDNY's Superfund sites as well as the Companies continued annual recovery of the SIR deferral balance as of December 31, 2016. Tr. 3546. The Staff SIR Panel also agreed with the Companies' proposal to continue the SIR Recovery Surcharge (Tr. 3545-46) and did not oppose the Companies' proposal to continue the current SIR deferral mechanism (Tr. 3473, lines 8-14; Tr. 3492-93, lines 21 and 1-4). However, Staff disagreed with the Companies' Rate Year forecast for MGP costs.

Tr. 3546. Although the Staff SIR Panel recognized the Companies' effort to account for potential delays and other factors forecasting MGP costs, Staff "do[es] not have confidence that the forecasts can be relied upon given the large margin between the Companies' MGP rate allowance, and what costs were actually incurred during the previous rate period." Tr. 3549. Staff, therefore, recommended "use of a projected average for the Companies' MGP sites based on [the Companies'] projections for Fiscal Year(s) 2021 through 2024," to "levelize" SIR costs and "stabilize rate impacts." Tr. 3549-50. Based on this four-year average method, the Staff SIR Panel recommended downward adjustments to Rate Year SIR expense of $15.168 million for KEDNY and $1.734 million at KEDLI. Tr. 3551.

The Companies submit that the Commission should adopt the Companies' Rate Year SIR forecasts, and reject Staff's use of a projected four year average, for several reasons. As discussed by Mr. Willard, the DEC only approves a one-year schedule covering the current fiscal year, with a less formal discussion of "the anticipated logical progression of work at each site for an additional year." Tr. 3456-57. As such, the Companies' forecast for the current fiscal year benefit from a clearly defined, DEC-approved scope of work, while future years are more speculative. As such, the Commission should rely on the Companies' forecasts, which rely on these more certain, approved work schedules, rather than Staff's projections that take into account more speculative schedules in future years. Mr. Willard testified in his rebuttal testimony that "[b]ased on the latest available information, the Companies believe that key work activities driving the Companies' forecast of SIR expenditures during the Rate Year will occur," and, therefore, the Companies' forecast should be used. Tr. 3501.

Further, Staff's stated objective to "levelize" forecasts and "stabilize rate impacts" could be undermined by the use of a four-year average. Staff believes that its four-year average will

stabilize bill impacts because it assumes SIR costs will be lower than forecast in the Rate Year. However, as the Staff SIR Panel notes, "SIR costs are subject to a high degree of variability, which leads to a high degree of risk that actual costs could be *more* or less than anticipated." Tr. 3548-49 (emphasis added). The Companies' SIR costs are subject to full deferral and reconciliation. Tr. 3473, 3492-93. Should actual SIR costs be more than anticipated, for which Staff acknowledges there is a "high degree of risk," future customers could experience increased bill impacts resulting from the recovery of the difference through the reconciliation mechanism. Further, SIR costs significantly above the Rate Year forecasts could trigger the SIR Recovery Surcharge at KEDNY, resulting in further bill impacts. Tr. 3460-61. As Staff's four-year average relies on less reliable work schedules, and does not account for the significant risks in increases in SIR costs, it should be rejected. The Commission should instead approve the Companies' proposal to recover its forecast Rate Year SIR costs.

c. The Commission Should Reject PULP's Proposal To Use The Companies' Share Of Earning In Excess Of Its ROE To Reduce SIR Costs

PULP Witness Yates further recommends that the Commission require KEDNY to "use 100% of its share of any earnings-sharing mechanism adopted in these proceedings…to reduce deferred [SIR] costs." Tr. 1629. This recommendation should be rejected. As discussed below, the Companies oppose the adoption of an earnings sharing mechanism. However, even if an earnings sharing mechanism is adopted, the SIR Generic Order clearly provides that sharing of SIR costs is not appropriate in this case. As Mr. Yates notes, the SIR Generic Order "identified two circumstances in which sharing of SIR costs may be appropriate." Tr. 1630. The first is "as an incentive to constrain SIR costs for utilities that appear to need such an incentive."[30] The second

[30] SIR Generic Order at 24.

is "as part of the negotiation for rate plans where an earnings sharing mechanism is contemplated."[31] Here, there has been significant record evidence from both the Companies and Staff regarding the Companies' commendable cost control efforts. Tr. 3475-77, 3494-96, 3533-41, Exhibits 613 and 614. Additionally, this case will result in a litigated one-year rate plan, not a negotiated multi-year settlement. As such, neither of the circumstances that would provide a basis for cost sharing in the SIR Generic Order are present here. Therefore, the Commission should not impose any cost sharing in this case.

9. Savings (KEDNY and KEDLI)

a. The Revenue Requirements Reflect $50 Million In Forecast Savings From An Ambitious Savings Program Undertaken By The Companies To Reduce Costs For Customers – A Program That Goes Above and Beyond the Commission's Policy On Efficiencies In A One-Year Litigated Case

The Commission's policy with respect to savings opportunities is well established:

> Our established policy requires that utilities subject to our jurisdiction pursue any and all opportunities available to them to improve operating efficiency. Absent clear and convincing evidence which indicates that potential productivity improvements have been factored into a company's forecast of rate year operations, we apply a small but reasonable productivity adjustment to account for additional rate year operating efficiency that reasonably can be expected to be achieved.[32]

The Commission's productivity adjustment is based on the premise that well-run companies should be able to find a modest measure of efficiencies in the rate year.[33] The adjustment is

[31] *Id.*
[32] Case 27567, Spring Valley Water Company, *Opinion No. 80-16* (issued and effective April 24, 1980) ("Spring Valley Water").
[33] Case 07-G-0141, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corporation for Gas Service, *Order Establishing Rates for Gas Service* (issued and effective December 21, 2007) at 8.

typically calculated as one percent of total labor expense and payroll taxes in recognition of how difficult it is to achieve savings year after year. Tr. 2014, lines 12-14; Tr. 2511 lines 4-6.[34]

In these cases, the traditional productivity adjustment would result in efficiencies totaling $3.894 million and $2.020 million for KEDNY and KEDLI, respectively. Tr. 2014, lines 14-15; Tr. 2264, lines 18-20; Exhibits 304 and 314, Schedule 28. The Companies, however, have challenged themselves to deliver an even greater level of efficiencies through an ambitious effort known as the Accelerate Program. Tr. 1890. As a result of these efforts, the Companies' revenue requirements reflect more than $35 million in savings for KEDNY and approximately $15 million for KEDLI – or a total of approximately $50 million in savings that the Companies would need to achieve in the Rate Year. Tr. 2014, lines 16-18; Tr. 2264-65, lines 20-21 and 1. This level of savings is more than eight times (for KEDNY) and seven times (for KEDLI) the Commission's traditional productivity adjustment, demonstrating the efforts the Companies have undertaken above and beyond the traditional one percent in efficiencies that the Commission's policy encourages. *Id.*

Despite this unprecedented level of savings, Staff proposes imputing more than $13 million in additional savings associated with aspirational initiatives in the Accelerate Program[35] that the record reflects have not and may never be implemented. Tr. 2393, lines 10-15. This imputation would require the Companies to achieve approximately $63 million in savings in a single year – that has already begun. If the Commission were to adopt Staff's position, it would equate to

[34] *See also* 2016 KEDNY and KEDLI Rate Cases, Staff Accounting Panel Testimony, dated May 2016, at 43, lines 20-22.

[35] Staff also proposes a series of disallowances of known and measurable costs such as the costs associated with the management wage increase and damage prevention contractor costs that do nothing more than impose additional incremental productivity imputations on the Companies because the Companies must find incremental productivity savings to offset the proposed disallowances of costs that would not be avoided.

savings of more than 11 times (for KEDNY) and nine times (for KEDLI) the traditional productivity adjustment. Tr. 2014-15, lines 19-20 and 1; Tr. 2265, lines 3-5. Such a position is unrealistic, contrary to the Commission's policy for treating aspirational utility savings efforts, and wholly unsupported by the evidentiary record.

b. The Accelerate Program Contains Detailed Implementation Levels To Provide Visibility And Transparency To The Level Of Savings That Can Reasonably Be Expected to Be Achieved In The Rate Year

The Accelerate Program is a three-year efficiency challenge undertaken by National Grid in FY 2019 to enable ongoing critical investments, while mitigating customers' energy costs in a manner that maintains affordability. Tr. 1891, lines 6-11; Tr. 1892, lines 4-16. To that end, National Grid set an aspirational target of a 20 percent productivity improvement in O&M and capital expenses across the U.S. business by FY 2021. *Id.* National Grid purposefully set an ambitious target in the interest of driving maximum customer value, and it always was and still is uncertain whether this level of efficiencies can be achieved. Tr. 1891, lines 13-21; Tr. 1892, lines 1-2; Tr. 2015, lines 4-13. Indeed, in even a mature business it is challenging to achieve the Commission's standard one percent productivity adjustment – let alone efficiencies of the magnitude reflected in the instant rate filings. Tr. 1891, lines 15-19.

To provide transparency to the business and regulators, National Grid implemented a web-based tool, known as Wave, to track and report progress on the Accelerate Program initiatives. Tr. 1893, lines 8-13; Tr. 2017-18, lines 12-20 and 1-2. Each Accelerate Program initiative is placed at an implementation level ("IL") based on its stage of development, from purely an idea (IL 0) to fully implemented (IL 5). Tr. 1893, lines 17-19. ILs 0 through 2 cover the stages of idea formulation to an initial estimate of potential benefits. Tr. 1893, lines 19-20. In these stages, teams brainstorm initiatives to be evaluated as opportunities to deliver process improvements,

assigning a rough estimate of the potential benefit as an initial proxy until better information is developed to quantify the benefit. Tr. 1893-94, lines 20-21 and 1-2. Teams are encouraged to include as many ideas as possible. Tr. 1894, lines 2-4. As such, many initiatives do not move beyond IL 2. *Id.* The potential benefit becomes more refined when an initiative advances to IL 3, where National Grid's Finance function validates that the initiative has the potential to deliver savings, and the business puts together a plan to implement the initiative. Tr. 1894, lines 4-13. An IL 3 benefit is still aspirational, however, as the initiative may not be implemented for a variety of reasons. *Id.* For example, an initiative could require a new contract to be negotiated with a vendor or the implementation of a new IT solution; without the new contract or IT solution, the feasibility or economics of the initiative may be impacted. *Id.* Similarly, in the process of implementing the initiative, the business could realize that assumptions have changed and therefore the initiative cannot be implemented. *Id.*

It is not until IL 4 where an initiative moves from conceptual to deliverable. Tr. 1894, lines 15-19. In IL 4, while savings have not been realized, they are projected to be realized because the business has completed all activities required to deliver the initiative. *Id.* In IL 5, Finance has confirmed that savings have been realized and the actual amount of the savings, which may have changed from the original estimate. *Id.*

The Companies' revenue requirements reflect savings associated with ILs 4 and 5 initiatives, as these are reasonably achievable and likely to deliver benefits to customers in the Rate Year. Tr. 1895, lines 3-5. Given the uncertainty associated with initiatives in ILs 0 through 3, the Companies did not make a discrete adjustment to the revenue requirements for these initiatives because it is simply unknown whether they will be implemented, and, if they are, the extent to which any savings will materialize. Tr. 1895, lines 5-8. Instead, while a productivity

adjustment would not be warranted under the Commission's policy given the "clear and convincing"[36] evidence of efficiency opportunities reflected in the Rate Year, the Companies nevertheless included the traditional one percent productivity adjustment to account for the possibility that some of these initiatives could move into ILs 4 or 5 in the Rate Year. Tr. 1897, lines 16-21. The Companies submit that this was a reasonable approach. The combined level of savings reflected in the filing in the Rate Year is:

Table 2: Rate Year Savings

KEDNY

Item	Rate Year
Accelerate Program IL4 and IL5[37]	$31.499 million
Productivity adjustment IL3 and Below[38]	$3.894 million
Total	**$35.393 million**

KEDLI

Item	Rate Year
Accelerate Program IL4 and IL5[39]	$12.554 million
Productivity adjustment IL3 and Below[40]	$2.020 million
Total	**$14.574 million**

[36] *Spring Valley Water, supra.*
[37] Exhibit 311 (RRP-11CU), Workpapers to Exhibit 5 (RRP-3), Schedule 34, Workpaper 1. Note that this amount does not include two adjustments proposed by Staff in their testimony that the Companies agreed to in rebuttal (and are reflected in the current revenue requirements). The impact of these adjustments increases the Accelerate Program amount and therefore the total savings amount by $1.103 million (**total $36.496 million**). Tr. 2274, lines 14-20; Tr. 2384, lines 1-19.
[38] Exhibit 304 (RRP-3CU), Schedule 28.
[39] Exhibit 321 (RRP-11CU), Workpapers to Exhibit 18 (RRP-3), Schedule 34, Workpaper 1. Note that this amount does not include two adjustments proposed by Staff in their testimony that the Companies agreed to in rebuttal (and are reflected in the current revenue requirements). The impact of these adjustments increases the Accelerate Program amount and therefore the total savings amount by $0.835 million (**total $15.409 million**). Tr. 2274, lines 14-20; Tr. 2384, lines 1-19.
[40] Exhibit 314 (RRP3-CU), Schedule 28.

The level of savings, which far exceeds any amount that would be imputed under the Commission's productivity policy in a one-year litigated case, compares to costs to achieve of only $0.845 million and $0.527 million for KEDNY and KEDLI, respectively. Tr. 1897, lines 1-5.

In support of their position, Staff claims that the IL 3 initiatives are "identified and quantified" and therefore not subsumed within the traditional one percent productivity adjustment. Tr. 2388, lines 9-12. Not content with imputing additional savings of approximately $10 million and $3 million for KEDNY and KEDLI, respectively – which alone amounts to a more than two percent productivity adjustment for KEDNY and a more than one percent productivity adjustment for KEDLI – Staff proposes to also keep the one percent productivity adjustment the Companies reflected, ignoring that this was done to capture the initiatives in IL3 and below. Tr. 2514, lines 2-16; Tr. 2021, lines 5-14. Staff cites five reasons why they believe the initiatives in IL 3 should be imputed: (i) the Companies referred to them as "bankable"; (ii) on average, it takes only two months for an IL 3 initiative to move to IL 5; (iii) very few initiatives get canceled; (iv) the estimates did not materially deviate between ILs 3 and 5; and (v) Staff did not include savings from initiatives in ILs 1 or 2. Tr. 2388-93. Each of these reasons is without merit and should be rejected, as will be discussed. Additionally, Staff proposes to disallow the costs to achieve, which are *de minimis* compared to the overall savings reflected. Tr. 2385, lines 13-15.

c. Staff's Position That The Savings Associated With IL 3 Initiatives Are Identified And Quantified Is Based On Speculation And Not Supported By The Evidentiary Record

There is no meaningful evidentiary basis for the Commission to adopt Staff's position. Staff's position is essentially that because the Company identified initiatives and assigned them an aspirational savings estimate, these estimates should be imputed in the revenue requirement. Staff's position is built around the possibility that IL 3 initiatives could move to ILs 4 or 5 in the Rate Year. This position ignores two critical facts, however. That is, the IL 3 initiatives have not

been implemented to date and it is unknown if they will ever be implemented – and the Companies included the one percent productivity adjustment to account for this unknown. Staff's position is based on nothing more than speculation and conjecture. Indeed, as will be discussed below, during cross-examination, aside from repeating over and over their "belief" that IL 3 initiatives will deliver savings in the Rate Year, the record demonstrates that Staff's belief is not based on any evidence or analysis of the initiatives in the current IL 3 queue. Tr. 2521-25. In the absence of evidence that the IL 3 initiatives can be achieved, which the Companies submit should be the same "clear and convincing" standard used by the Commission to avoid application of the traditional productivity adjustment, Staff's proposed adjustment should be denied. To hold otherwise would penalize the Companies for undertaking ambitious and innovative steps designed to reduce costs for customers.

The first reason cited by Staff in support of imputing the IL 3 initiatives is that National Grid used the phrase "estimates sound enough to 'take to the bank' in budget" to describe the level of estimate required for an initiative to be moved to IL 3. Tr. 2388-89, lines 23-24 and lines 1-13; Exhibit 504 (SRRP-3), at 362 of 943. That phrase, however, refers only to the quality of the aspirational savings estimate in IL3 – not to whether the initiatives can be implemented. As explained above, for an initiative to move to IL 3, National Grid's Finance function must review the estimate to provide assurance there is some basis for cost reductions if the initiative can successfully be delivered. Tr. 1894, lines 4-13. As the Companies explained in the response to IR DPS-755 (Exhibit 504 (SRRP-3), at 618 of 943), National Grid has limited resources and ensuring there is some basis to the estimate is a way to prioritize initiatives. Tr. 2016, lines 10-19. The phrase means that National Grid is willing to invest the time and resources into pursuing the initiative. *Id.* This does not change the undisputed fact, however, that the IL 3 initiatives have not

been implemented and remain nothing more than aspirational at this point. Until each step of the implementation plan necessary to deliver the initiative has been undertaken and then completed, it is entirely unknown whether the initiative can be delivered and the savings ultimately achieved. *Id.* The following hypothetical, to which Staff agreed, solidifies this point:

> Q. Well, hypothetically, the company's legal department could come up with an idea that it wants to see if it can get each of its outside law firms to reduce their rates by 5%. To do that, the legal department could put together a plan to talk to its outside law firms and then estimate the savings that could be achieved.
>
> However, would you agree that unless and until the outside law firms agree to reduce their rates, there were no savings associated with that initiative even through there may be a plan and an estimated savings?
>
> A. (Keymel) Hypothetically, yes. However, we believe that Level 3 savings will move up and the company will get savings in the rate year.

Tr. 2514-15, lines 17-25 and 1-7. This is the very definition of "unknown," which is what the traditional one percent productivity adjustment is intended to address. In a NYSEG rate case,[41] Staff made a similar argument, asserting that savings from certain initiatives constituted a "known" change that should be included in addition to the standard productivity adjustment. The Commission rejected Staff's argument, stating: "Staff has not supported its proposal, for the savings the company projects are not, as staff alleges, known and are in fact merely estimates of likely savings."[42] For the same reason, because the potential savings from the IL 3 initiatives are

[41] Cases 28824, *et al.,* NYSEG – Electric and Gas Rates, *Opinion No. 85-8* (April 9, 1985), 25 NYPSC 1833.
[42] *Id.* at 1857 (*12).

still aspirational and may not materialize, it is inappropriate to impute them into the revenue requirements.[43]

More important, Staff undertook no analysis and has no specific information, aside from their "belief," that any of the initiatives currently in IL 3 will be implemented and deliver savings in the Rate Year. Tr. 2521-25. In fact, Staff testified:

> Q. Okay. Let me again re-ask my question. Do you have any specific information that shows that any of these initiatives will be delivered successfully in a rate year?
>
> A. Our adjustment is based on all level 3 savings and we did not go through individually and determine whether or not that specific initiative would move up or not.

Tr. 2522, lines 18-25.

In contrast, the Companies performed a review of the IL 3 initiatives, which is discussed below, that demonstrates the uncertainty associated with these initiatives. At all times throughout these cases, the Companies have been fully transparent as to the level of efficiencies reflected, answering monthly information requests detailing the movement of initiatives between ILs. Exhibit 635 (part 1), IRs DPS-396 and DPS-757, pages 498-532. The record demonstrates the rigorous process undertaken by the Companies to progress initiatives and ensure transparency across these efforts to Staff. Tr. 2017-18, lines 12-20 and 1-2. Staff's position ignores this detailed process.

[43] Interestingly, Staff takes a different position when evaluating future costs. The Companies' Gas Infrastructure and Operations Panels identified anticipated legislation that would require professional engineering certification for designs of gas facilities and could result in increased costs in the Rate Year. Tr. 4254-55, lines 9-21 and 1-2. The Companies proposed to recover these costs through a surcharge if the legislation happened. Tr. 4255, lines 4-13. The Staff Rates Panel, however, rejected the Companies' proposal citing the uncertainty around the timing and amount of the costs. Tr. 2985-86, lines 21-24 and 1-10.

d. Analysis Of The Status Of The IL 3 Initiatives Contradicts The Additional Reasons Cited By Staff In Support Of Their Position; The Review Shows That It Is Unknown When And If The Savings Will Be Delivered

A second reason Staff provides in support of imputing the IL 3 savings is that "once an implementation plan has been developed, it only takes about two months to implement it and realize the savings." Tr. 2390, lines 11-13. Thus, according to Staff, it is "reasonable" that IL 3 initiatives "will move up in level and savings will be realized before or during the Rate Year." Tr. 2390-91, lines 8-10 and 6-12. The record shows that Staff is incorrect.

In response to Staff's two-month assertion, the Companies testified that the two months that Staff calculated pertained to initiatives that were undertaken early in the Accelerate Program. Tr. 2018, lines 10-15. These initiatives moved quickly because they were already in flight at the beginning of the Program. *Id.* Now that the Accelerate Program is past its initial period, it is becoming harder and harder for initiatives to deliver savings as the business has moved from initiatives that were easier to implement to ones that are more challenging. Tr. 2018, lines 10-19. This fact is underscored by the current status of the IL 3 initiatives that Staff is proposing to impute into the revenue requirement. Specifically, the Companies testified that the initiatives currently in IL 3 have been there, on average, more than 150 days, or more than five months. Tr. 2018-19, lines 19-21 and 1-2. The Companies explained further that, given the length of time these initiatives have been stalled in IL 3, it is highly unlikely they will progress to implementation and deliver the aspirational savings estimated in the Rate Year. Tr. 2019, lines 2-5.

In the response to IR DPS-1010, Staff asked for the calculation of the number of days the initiatives they are proposing to impute have been in IL 3. Exhibit 635 (part 1), pages 534-42. The response showed that these initiatives have remained in IL 3 on average 154 days. *Id.* at 537. The Companies submit a monthly response to IR DPS-757 showing the status of initiatives in IL3.

Table 3 below compares the initiatives in IL3 as of the response to DPS-1010 and the current response to DPS-757 as of January. Exhibit 635 (part 1), pages 528-32. As shown in the table, the initiatives that Staff is proposing to reflect in the revenue requirements have remained in IL 3 on average 223 days – ***more than seven months*** – making it even more unlikely that they will be progressed and deliver savings in the Rate Year. It also shows that some initiatives have been canceled and some estimates have changed– contrary to the third and fourth reasons cited by Staff to support their adjustment. Tr. 2389-91. This further demonstrates the inherent uncertainty surrounding the IL3 savings estimates.

Table 3: Status of IL 3 Initiatives

Init #	KEDLI	KEDNY	Days in IL3 as of Sept	Days in IL3 as of Jan	Grand Total
50	221	475	61	151	3,000
953		426	209	299	921
1134	1	0	339	429	243
1137	666	276	248	338	1,505
2138	18	23	451	541	100
*3600	167	269	103	193	2,000
***3705	240	48	256	346	408
14707	119	257	Canceled Sept		376
14712	788	1,045	220	310	3,419
14718	41	132	86	176	177
**15403		1,189	279	On Hold	1,189
15464	400	3,480	82	172	4,206
16176	119	191	116	206	1,418
17509	103	171	209	299	500
17525	42	67	32	122	500
17529	50	81	16	106	600
17531	59	94	16	106	700
20068	216	407	185	275	2,832
***24591	745	1,823	14	104	2,568
24709	33	53	174	264	380
***24734	64	52	65	155	147
****30782	94	93		90	250
31403		941	79	169	941
x31453		1,354		60	1,354
Total	4,185	12,947			29,357
			154 days	223 days	

*3600 aspirational estimates changed from $309K (KEDNY) and $192K (KEDLI) in September

**15403 on hold - no benefits expected until FY22

***3705, 24734, and 24591 savings already reflected in revenue requirement

****30782 moved into IL3 in October

x31453 moved into IL3 in November

Initiatives in green were added/changed since the August update. This is why the totals here differ compared to Staff's testimony. The current totals (after removing initiatives canceled and already reflected) are **$3.017M KEDLI** and **$9.579M KEDNY**

Importantly, the inability to progress the current IL 3 initiatives is not due to any lack of effort on the Companies' part. Rather, it is the normal course of any aspirational program such as the Accelerate Program. The program starts strong as the business identifies ways to enhance performance and reduce costs. As the program progresses, it naturally becomes harder and harder to find further efficiencies as ideas are exhausted – especially given the level already reflected in these filings.[44] This is precisely why the Commission's policy on efficiencies is one percent. To reduce costs of the magnitude the Companies proposed in these filings requires major changes to people, processes, and systems. Tr. 2015-2016, lines 15-21 and 1-3. There are risks savings will not materialize despite best efforts due to competing priorities such as incremental work, new regulatory requirements, or unforeseen circumstances such as the downstate supply constraints and COVID-19 – the latter of which has shut down all but essential operations, further cementing the inability to achieve the IL 3 savings that Staff is proposing to impute. *Id.*

In IR DPS-1026, Staff asked the Companies to provide the reasons why each initiative has been in IL 3 longer than 100 days and the current estimate for when the initiatives will move to IL 4. Exhibit 635 (part 1), IR DPS-1026, pages 544-47. In each case, the Companies explained the reasons and made clear that it was simply unknown when the initiatives would move. *Id.* The reasons included:

- Contract negotiations were unsuccessful;

[44] While Staff made a specious and unsupported allegation about initiatives in IL3 not moving since Staff filed their testimony (Tr. 2517, lines 15-25), the reality is that the inability to progress the current IL 3 initiatives is not limited to those impacting KEDNY and KEDLI. Indeed, Attachment 2 to IR DPS-1026 shows that the majority of the initiatives in IL 3 across all National Grid companies have been delayed in excess of 100 days. Exhibit 635 (part 1), IR DPS-1026, page 547. This is precisely because efforts and ideas are exhausted at this point and priorities shifting given industry and other events.

- The solution necessary to deliver the initiative was novel and had not been piloted or tested; therefore, there was a less than 50 percent confidence that the initiative would be undertaken;
- Initiative is being re-scoped and re-evaluated;
- Initiative on-hold as assumptions underlying the implementation plan have changed;
- IT solutions are required to implement the initiative; and/or
- Competing priorities and increased workloads impacted deliverability of the initiative.

Id.

In that regard, it should not be ignored that the revenue requirements proposed by Staff in these proceedings, which provide material disallowances to costs necessary to run the Companies' businesses, present significant challenges to progressing the Accelerate Program initiatives. Tr. 2020, lines 1-16. Many initiatives are contingent upon IT investments to deliver the planned savings. *Id.* Staff's proposal to disallow approximately $114 million of IT costs calls into question the ability of the Companies to deliver these initiatives. *Id.* Similarly, various Staff witnesses propose a litany of new reporting obligations in IT, customer, and gas operations, among other areas. *Id.* This is incremental work that was not contemplated at the time the IL 3 and other Accelerate Program initiatives were planned and will require the Companies to re-valuate priorities, further challenging their ability to progress IL 3 and other initiatives. Importantly, during cross-examination, Staff conceded they did not conduct any analysis or study on the ability of the Companies to deliver and achieve the IL 3 savings in light of the adjustments proposed by Staff to programs such as IT. Tr. 2524-25, lines 21-25 and 1-5.

Moreover, it should be noted that the IL 3 savings amounts that Staff are proposing to impute are an annual savings number. This means that the savings figures assume the initiatives will be fully implemented by the start of the Rate Year. As it is undisputed that none of the IL 3 initiatives that form the basis for Staff's adjustment have been implemented, it is highly unlikely, if not impossible, that any of these savings estimates will be fully achieved in the Rate Year. This is another reason why Staff's adjustment should be rejected.

Finally, Staff's claim they are being "conservative" because they are not proposing to include savings in ILs 1 or 2 rings hollow. Tr. 2392, lines 4-8. ILs 1 and 2 are little more than ideas and as such do not even have a benefitting company associated with the initiatives. Exhibit 635 (part 1), IR DPS-757, question 2, page 529; Tr. 1893, lines 19-20. Therefore, inclusion of such savings would be entirely unreasonable as it would include initiatives that provide no benefit whatsoever to the Companies.

e. If Staff's Position Were Adopted, It Would Chill Future Utility Savings Efforts

By imputing aspirational savings estimates from initiatives that have not come to fruition and may never will, Staff is effectively creating a policy that punishes the Companies for looking for innovative ways to reduce costs for customers. The Staff in the recent NYSEG and RG&E rate cases (Cases 19-E-0378, *et al.*) addressed utility savings efforts. In that case, in deviating from the traditional one percent productivity adjustment, Staff specifically referenced the ambitious savings initiative undertaken by KEDNY and KEDLI in these cases to support its proposed two percent productivity adjustment.[45] Specifically, Staff testified:

> Q. Do you have any additional comments about your recommended productivity adjustment?

[45] Cases 19-E-0378, *et al*, NYSEG and RG&E, Staff Accounting Panel (September 2019) at 46-50.

> A. Yes. In other recent rate cases, utilities have reflected savings from ambitious company-initiated programs in revenue requirements for the benefit of ratepayers. The savings reflected proactively in revenue requirements by Con Ed, KEDLI, and KEDNY were greater than the Commission's traditional one percent productivity adjustment imputation.[46]

Staff in those proceedings remarked they "would encourage" NYSEG and RG&E to consider pursuing such initiatives in the future.[47] Staff here, in contrast, argues in favor of a policy that essentially penalizes utilities for seeking to improve efficiency. Rather than encouraging utilities to pursue ambitious savings programs, Staff is effectively sending the opposite message and discouraging utilities from pursuing such programs that benefit customers. Utilities should be encouraged to be innovative and test concepts without the fear that preliminary and aspirational estimates will be held against them. Otherwise, the Companies would have been better off not pursuing the Accelerate Program in the first instance and instead reflecting the Commission's traditional one percent efficiency adjustment in the filings.

Moreover, Staff's proposal to include both the IL 3 initiatives and the one percent productivity adjustment is a further demonstration of the sheer unreasonableness of their approach. Not only does it ignore Commission policy, but it ignores that the Companies included the productivity adjustment to account for the IL 3 initiatives. Staff's position is therefore a double count of the productivity adjustment.[48]

In sum, Commission policy is to impute one percent of efficiencies in the absence of savings. The policy is based on the premise that well-run companies should be able to find a

[46] *Id.* at 49-50, lines 13-24 and 1-11.
[47] *Id.* at 50, lines 16-18.
[48] *See* Case 07-G-0141, National Fuel Gas Distribution Company, *Order Establishing Rates for Gas Service* (issued and effective December 21, 2007) at 8-9 (holding that a one percent productivity adjustment was improper given Staff's workforce reductions that were equivalent to a six percent productivity adjustment; "we find that the amount by which NFG is reducing its workforce provides a sufficient incentive for it to continue to achieve cost savings throughout its operations").

modest measure of efficiencies in the rate year. Here, KEDNY and KEDLI have gone above and beyond the Commission's traditional productivity adjustment. Staff's proposal to impute aspirational initiatives that the record shows are unlikely to ever be delivered is based on pure speculation and is unwarranted. To appreciate the magnitude and sheer unreasonableness of Staff's adjustment, it alone amounts to a more than two percent productivity adjustment for KEDNY and a one percent productivity adjustment for KEDLI – which would be in addition to the more than eight percent (KEDNY) and seven percent (KEDLI) adjustments the Companies already reflected. Tr. 2014, lines 16-18; Tr. 2264-65, lines 20-21 and 1. Such a proposal is contrary to Commission policy in a one-year case which encourages a small but reasonable imputation and would have a chilling effect on future utility savings efforts.

f. The Costs to Achieve The Accelerate Program Savings Are Prudently Incurred Costs That Should Not Be Disallowed

Staff's recommendation to disallow the costs to achieve the Accelerate Program savings should be rejected. Tr. 2384, lines 20-22. Specifically, the costs to achieve are a *de minimis* $0.845 million for KEDNY and $0.527 million for KEDLI compared to the overall $50 million in savings reflected in the revenue requirements. Tr. 2385, lines 13-15. It is undisputed that these costs were incurred to deliver an unprecedented level of savings that lowers the revenue requirements for customers. In the 2010 Niagara Mohawk electric rate case, Staff testified:

> Q. Please explain why you recommend, as an alternative, removing both the savings and the costs for these initiatives from the rate year forecast.
>
> A. . . .. [I]f the rate year costs estimates are removed, the expected associated savings should not be reflected. It is not reasonable to exclude costs and include expected savings, or vice versa.[49]

It is simply unreasonable to disallow the costs without also removing the savings.

[49] Case 10-E-0050, Niagara Mohawk – Electric Rates, Evidentiary Transcript dated September 14, 2010, Tr. 2852, lines 13-16; Tr. 2854, lines 3-7 (DMM # 299).

Further, the reasons cited by Staff are unavailing. The first reason cited is that the costs to achieve are one-time in nature. Tr. 2386, lines 2-4. The Companies are unaware of any Commission precedent disallowing costs to achieve because they were incurred on a one-time basis to enable a utility to deliver savings over a multi-year period. In fact, such a position would be illogical and serve as a disincentive for utility efforts to identify savings. The second reason is that the Companies booked the costs to achieve to expense. *Id.*, lines 4-7. This argument fails because all expenses incurred in the Historic Test Year were booked to expense. The third and final reason is that the Companies are not sharing with customers any savings that were achieved before the Rate Year. *Id.*, lines 13-18. This position also has no merit, as the requirement requirements fully reflect the savings at the same level (plus inflation) that were incurred in the Historic Test Year.

For all these reasons, Staff's disallowance should be denied.

10. Paving Expense – Downward Only Deferral (KEDNY Only)

a. There Is No Basis For A Downward Only Paving Expense Deferral

The record reflects agreement between the Companies and Staff on the level of Rate Year paving expense reflected in the revenue requirements. Tr. 2025, lines 9-12. The only dispute relates to Staff's proposal to implement a downward-only paving expense deferral for KEDNY. The basis for Staff's recommendation is that the Historic Test Year is the first full year of the new paving regulations in New York City and therefore, according to Staff, there is some uncertainty regarding these costs. Tr. 2397-98, lines 13-24 and 1-3. Additionally, Staff alleges that a downward-only deferral would incent KEDNY to manage its costs although there is no evidence in the record to demonstrate that KEDNY has been inefficient or imprudent in managing its paving expense. Tr. 2398, lines 3-7.

Staff's recommendation should be rejected, as there is no basis for the Commission to establish a downward-only paving expense deferral. Staff remarked several times throughout its pre-filed testimony opposing the few symmetrical true-ups proposed by the Companies (*e.g.,* property tax, CSC O&M expense) that deferrals are generally not authorized in a one-year rate case. Tr. 2583-84, lines 21-24 and 1-12; Tr. 4701, lines 5-20. The main reason cited by Staff for the need for a paving expense deferral – namely, that there is only one year of data reflecting the impact of the new paving regulations – holds equally true to support the need for a full reconciliation of paving costs instead of a downward-only reconciliation. In that regard, it cannot be ignored that KEDNY's actual paving expenses in the Historic Test Year ($37.672 million) exceeded the rate allowance ($9.088 million) by more than $27 million. Tr. 2531, lines 2-8; Exhibit 504 (SRRP-3), page 324 of 943.

Under Staff's proposal, if paving costs again exceed the rate allowance, KEDNY would be precluded from recovering its prudently incurred costs. Accordingly, if the Commission believes a reconciliation is required, KEDNY submits that a full reconciliation should be adopted to avoid a situation whereby KEDNY would again incur a material level of paving costs above the rate allowance with no right to defer those costs.

11. Pipeline Integrity Management Programs

The Companies' transmission pipeline integrity management program ("IMP") is a safety program mandated by the Pipeline Safety Improvement Act of 2002 and corresponding safety regulations administered by the U.S. Department of Transportation ("DOT"), Pipeline and Hazardous Materials Safety Administration ("PHMSA"). Tr. 4415, lines 11-13. The IMP identifies and addresses potential issues affecting the physical soundness of the Companies' gas pipeline facilities before they become safety or performance issues. Id., lines 13-15. Under the IMP framework dictated by PHMSA (49 CFR 192), the Companies conduct baseline and periodic

reassessments of transmission facilities to identify and evaluate potential threats to "Covered Segments" of pipelines, *i.e.*, transmission pipelines that could affect High Consequence Areas (areas where a pipeline failure could have significant adverse consequences) and remediate defects discovered during such assessments. In regions of the United States where older gas distribution systems are common, including areas of downstate New York served by the Companies, IMPs are a key component of gas pipeline safety. Tr. 4264-4265, line 20 and lines 1-2. The Companies rate filing includes incremental non-labor O&M in the amount of approximately $4.3 million and $2.1 million for KEDNY and KEDLI, respectively, in the Rate Year and an additional 5.5 FTEs in the Rate Year to perform the required IMP inspections. Tr. 4484, lines 4-9; Exhibit 528 (SGIOP-12). The O&M costs to perform necessary integrity inspections and assessments include costs for excavation and support for external corrosion direct assessment (ECDA), evaluation of testing data, non-capital repairs, and on-site material testing. Tr. 4484, lines 9-12.

The Staff Gas Infrastructure and Operations Panel ("SGIOP") acknowledges that the Companies must adhere to federal gas safety regulations in this area, including the specific IMP requirements, and supports the Companies' integrity management program. Tr. 4692, line 18. Notwithstanding, the SGIOP recommends a ***100 percent reduction*** to the IMP non-labor O&M budget in the Rate Year – effectively eliminating the Companies' funding to perform these mandated activities. Tr. 4548, lines 18-19. The SGIOP similarly proposes to eliminate the incremental positions needed to perform this work. Tr. 4549, lines 10-11. The SGIOP explains these adjustments are based on its perception that "neither the capital budget, or the OpEx workload for the Rate Year is being increased as compared to the most recent FY or the HTY; therefore, the existing OpEx budget should be able to support the needs of this work in the Rate

Year." Tr. 4693, lines 5-10. The SGIOP's rationales for totally eliminating the incremental O&M funding and FTEs for these mandated programs are misplaced for several reasons.

Significantly, each year's O&M budget for the IMP program is based on the Companies' identified workplan and, therefore, is highly variable from year-to-year because different pipeline assets of varied size and operating characteristics might be in the work plan in any given year. Tr. 4549, lines 1-4. Merely comparing the number of projects (or "workload") year-on-year without considering the asset size and complexity, among other factors, fails to take into account the actual drivers of O&M cost for the IMP program in the Rate Year. At the same time, the SGIOP's assumption that IMP O&M is somehow proportionally tied to the capital budget is simply incorrect. In fact, the Companies' Gas Infrastructure and Operations Panel ("GIOP") testified that the O&M budget is not tied to the capital IMP program in any given year. Tr. 4548, lines 22-23. Rather, the level of O&M expense is a function of the amount of mandated inspections and records reviews performed in a year, not the level of IMP capital improvements. Tr. 4548-4549, line 23 and line 1. The SGIOP's proposed reduction in O&M for IMP inspections will not allow the Companies to meet their regulatory requirements in the Rate Year. Tr. 4549, lines 5-7. For the same reasons stated above, the FTEs to support IMP/IVP are needed to support the increased O&M workload that is expected in the Rate Years and Data Years. Id., lines 10-11.

The IMP program is an example where simply looking at prior year's spending, without fully considering the emerging compliance requirements and system needs, is an inadequate basis for proposing adjustments. As the SGIOP acknowledged, the budget for the IMP program is "zero based" – meaning the Companies will build the budget from the bottom-up based on the work identified in each year. Tr. 4796-4797, lines 20-25 and lines 1-10. O&M programs with zero-

based budgets can experience significant variability year-to-year depending on the project identified in the particular year.

In summary, because the proposed IMP work is mandated by federal safety regulations, the GIOP has identified specific projects identified in the Rate Year that the Companies deem necessary, and the Staff's basis for proposed adjustments is misplaced, the SGIOP's proposed adjustments in this area should be rejected.

12. Damage Prevention Contractor Costs

Damage to gas facilities from third parties digging near pipelines is a major cause of gas accidents and a contributing factor to some of the worst incidents in the history of the natural gas industry. In addition to the detrimental impacts on safety and reliability, utilities spend millions of dollars every year repairing damage caused by these incidents. Tr. 3734, lines 17-21. To mitigate the risk of third-party damage, the Companies' Damage Prevention group performs mark outs of the Companies' underground utilities to allow for safe excavation and prevent damage to existing facilities, as required by the Commission's regulations. Damage prevention mark outs are performed when required to support one of the Companies' projects or when customers, third parties, and municipalities contact New York State's Dig Safe One Call Center. Tr. 4063-4064, lines 8-24 and lines 1-12. The volume of one-call tickets has increased annually and is expected to continue increasing in the Rate Year due to the success of the NY 811 program outreach and education and increasing construction activities. Tr. 3735-3736, lines 19-21 and line 1. KEDNY uses internal employees to locate facilities on company-related jobs and a contractor for all third-party Dig Safe mark out requests. Conversely, KEDLI sends all Dig Safe mark out requests, whether internal or external, to a contractor to mark out facilities. The costs associated with damage prevention mark outs are included in KEDNY's O&M expense and KEDLI's O&M and capital expense. Tr. 4577, lines 17-18.

In its initial filing, the Companies increased the damage prevention expense components from the Historic Test Year by standard annual inflation to arrive at the Rate Year forecast. On August 19, 2019, the Companies solicited contractor bids for their damage prevention mark out work. Bids were received from contractors on September 16, 2019. Thereafter, bidders were evaluated both commercially and on their ability to execute technical requirements, and the Companies subsequently entered into new contracts in 2020.[50]

Because the new contracts will raise the labor rates for these services in excess of the standard annual inflation rate used to derive the Companies' Rate Year forecasts, the Companies updated their capital and O&M forecasts to include these increased costs. Tr. 4578, lines 19-21 and Tr. 4580, lines 1-12. The increase is attributable to three factors: (i) the prior contractor labor rates were based on long-term, dated agreements; (ii) recent unionization of the contractor labor force; and (iii) an increased scope of work to incorporate locator assurance technology. The Companies had not bid this work in over a decade. While the prior agreements provided for minimal price increases, the rates paid to those contractors were generally lower than market prices at the time. Tr. 4579, lines 2-8. Additionally, the contractors providing services under the selected agreements unionized during the late Spring and early Summer of 2019, which increased labor rates significantly as compared to rates reflected in the Companies' initial filing. *Id.*, lines 9-14. In addition, the new agreements require that the contractors use updated technology (locator assurance technology that enables real-time tracking of technician performance against industry standards to improve overall effectiveness of locating field work) when marking out facilities. This

[50] The Companies considered alternatives to use of contractors given the increase in costs for damage prevention mark out work in the Rate Year. The Companies also conducted an analysis on whether it would be less expensive if this work was performed in-house, which determined that outsourcing the work was the least cost option. Procurement also performed an analysis that compared all bids received based on various criteria and determined that the contractors selected were the best overall option. Tr. 4581, lines 2-9.

expanded the scope of work required in prior agreements, including requirements for additional training and inventory for these contractors. *Id.*, lines 14-20. Table 4 below summarizes the impact of these agreements on the Companies' capital and O&M forecasts.

Table 4 – Revenue Requirement Impact of New Damage Prevention Contracts

KEDNY – FY21		
($000)	O&M Expense	
Original Forecast	7,588	
Revised Forecast	14,417	
Rate Year Increase	**6,829**	
KEDLI – FY21		
($000)	O&M	Capital
Original Forecast	3,315	1,637
Revised Forecast	8,339	3,574
Rate Year Increase	**5,024**	**1,937**

The Companies' procurement and contracting activities do not stop because the they are engaged in rate cases. Where, as here, a rate case extends over a significant period of time, contracts will expire and need to be renegotiated in the ordinary course of business. Here, the updated costs for damage prevention will have known and measurable implications for the Companies' cost of providing markout service required under the Commission's regulations in the Rate Year and, therefore, are appropriately recovered through rates.

The Commission's Test Period Policy Statement provides that the Commission's goal in setting rates is "to ascertain to the best [it can], what the utility's revenues, operating expenses and conditions [will be] in the period for which [it is] setting rates."[51] In recognition of the fact that

[51] Test Period Policy Statement at p.3.

costs may change over the course of a rate proceeding, the Test Period Policy Statement provides that "[r]evisions for known changes in cost rates (such as for wage increases and tax increases), to the extent they are material, may be made as late as the Company's initial brief on exceptions."[52]

In this instance, the Companies provided updated information on their contractor costs in their Second Supplemental testimony, filed on December 13, 2019. Staff has, to this point, had nearly four months to analyze the adjustments required by the updated damage prevention contractor costs, conduct discovery, and cross examine the Companies' witness panels on the reasonableness of these costs. Staff notes in its testimony that it has, in fact, asked information requests on the increased damage prevention costs. Tr. 3637, lines 4-5. In the Companies' response to DPS-1068 (Exhibit 510 (SPP-4), dated January 17, 2020), the Companies provided information on the contractor bids, the Companies' evaluation of the bids, a summary of the negotiations, and copies of the executed agreements with pricing. This is exactly the type of information the parties would need to assess the reasonableness of these costs. Thus, there is simply no legal or equitable basis for disallowing the Companies' costs in this area based solely on the timing of the Companies' updated costs – especially when there is a very legitimate reason for the timing of the update (*i.e.*, the expiration of the damage prevention contracts). It is indisputable that the increased damage prevention costs from the new contract rates going into effect on March 1, 2020 will impact Companies' cost of providing service in the Rate Year.

Staff also suggests that the Commission should disallow the increasing contractor costs because the Companies did not identify any potential savings. The panel indicates that there would be "some benefits realized such as operational efficiencies of the damage prevention program and increased productivity by the workforce." Tr. 3640, lines 2-4. However, Staff fails to cite any

[52] *Id* at p.8.

evidence or analysis of these alleged savings, or even attempt to quantify the level of any potential savings. Mere speculation there may be some unidentified, unquantified efficiencies associated with the Companies' new damage prevention contracts is no basis for an adjustment in this case.

For these reasons, Staff's proposed adjustments to the Companies' updated damage prevention costs should be rejected.

B. Amortization of Regulatory Deferrals

1. Use of Gas Safety Negative Revenue Adjustments and Unexpended Energy Efficiency Funds

KEDNY and KEDLI have on their books regulatory deferral balances that are each in a net asset position, meaning that regulatory balances are owed to the Companies by customers. Tr. 1922, lines 9-19; Tr. 2184, lines 2-13; Exhibits 1 and 14. To mitigate the rate increases, the Companies did not propose to recover these balances in these rate filings. *Id.* Instead the Companies proposed to continue applying carrying charges to these balances, as previously approved by the Commission. *Id.* No party filed testimony objecting to the Companies' proposal.

In their pre-filed testimony, Staff proposed to utilize the portion of the deferral balance related to gas safety negative revenue adjustments ("NRAs"), unexpended energy efficiency amounts, and unexpended economic development funds that are in a regulatory liability position to offset the proposed rate increases. Tr. 2399, lines 2-12. Specifically, Staff proposed using the following: $5.852 million and $0.526 million for KEDNY and KEDLI, respectively, related to gas safety NRAs; $7.295 million and $2.050 million for KEDNY and KEDLI, respectively, related to unexpended energy efficiency amounts; and $1.750 million and $2.250 million for KEDNY and KEDLI, respectively in economic development amounts. Tr. 2399-2400, lines 13-24 and 1-4; Tr. 2441-42, lines 7-24 and 1-9; Exhibit 514 (SRRP-5); Exhibit 515 (SRRP-6).

Although in principle the Companies are not against using a portion of the above-mentioned regulatory liabilities to offset gas safety, energy efficiency, and economic development program[53] costs, the Companies are concerned about how much of the balances should be used. As mentioned, the Companies have on their books significant regulatory asset balances and are concerned with the potential cash flow impact of Staff's proposed revenue requirements or the Companies' ability to meet credit metrics established by Moody's. Therefore, the Companies believe a balance must be struck between the appropriate level of regulatory liabilities to use now and future rate mitigation efforts. Staff's proposal for use of the deferral balances related to each of these programs is discussed below in the Gas Policy and Energy Efficiency, Gas Safety, and Customer Service sections of the brief.

2. Inactive Deferral Accounts

The Companies have on their books several inactive deferral accounts. These accounts are listed in Table 7 of the direct testimony of KEDNY and KEDLI's respective Revenue Requirements Panels. Tr. 1923; Tr. 2184-85. Apart from Account #U1823284 – TC/IT Sharing, these accounts have been audited by Staff. Tr. 1923, lines 4-6; Tr. 2184, lines 19-20. In the interest of simplifying the Companies' balance sheets, as well as reducing the administrative burden on the Companies and Staff associated with tracking, reporting, and reviewing these inactive accounts, the Companies proposed to net together the balances in these accounts and each create a single account with a credit balance of approximately $3.5 million for KEDNY and $12.9 million for KEDLI. Tr. 1923, lines 6-12; Tr. 2184-85, lines 20-21 and 1-5. Staff testified that they agreed with the Companies' proposal. Tr. 2586-87, lines 19-24 and 1-3. Therefore, the Companies submit that this issue is resolved.

[53] As discussed in Section XI.G of the brief, Staff and the Companies are in agreement with use of the accumulated balances on the economic development programs.

3. Existing Deferral Accounts

In their initial filing, the Companies proposed continuing or discontinuing several existing deferral accounts. Tr. 1928, lines 1-4; Tr. 2190, lines 1-4. These accounts, including a description of the basis for each account, are listed in Appendix A of the direct testimony of KEDNY and KEDLI's respective Revenue Requirements Panels. Exhibits 1 and 14. Except for certain accounts that are addressed specifically in this brief (*e.g.,* property tax, CSC reconciliation), no party, including Staff, submitted testimony opposing the Companies' proposal. Therefore, the Companies submit that the deferral accounts listed in Exhibits 1 and 14 be continued or discontinued as set forth therein.

The Companies note there are certain provisions of the current rate plan, such as terms regarding specific deferrals (*e.g.,* exogenous costs, SIR, pensions, property taxes) and code of conduct/affiliate rules that have been an historic feature of KEDNY and KEDLI's rate plans. The Companies submit these terms should continue to ensure consistency and avoid disputes in the future.

C. Depreciation

1. The Companies' Proposals To Adjust Their Depreciation Rates To Permit The Recovery Of Leak Prone Pipe Costs Over A 20-Year Period Should Be Adopted

The Companies' current depreciation rates were subject to a full examination by the Commission in the 2016 KEDNY and KEDLI Rate Cases. Tr. 1710-11, 1720. Because of this fact, the Companies' depreciation expert, Paul M. Normand of Management Application Consulting, Inc.,[54] determined that there have been no meaningful changes in the circumstances

[54] Mr. Normand has nearly 50 years' experience in the utility business and has sponsored expert testimony in over thirty applications before utility commissions. Exhibit 29.

that affect the establishment of depreciation rates for most of the Companies' facilities during the Companies' current rate plans. Tr. 1711, 1721. At the same time, however, the Companies embarked in 2015 on an accelerated program to replace their leak prone pipe ("LPP") assets[55] over a 25-year period. *Id.* Accordingly, the Companies conducted studies to identify and segregate their LPP facilities so that they could produce depreciation rates that will reflect an annual amortization and recovery of the LPP assets along with their retirement costs, commonly called net salvage,[56] over the remaining 20-year period of the LPP replacement program. Tr. 1713, 1721.

To determine net salvage rates to apply to the LPP facilities, Mr. Normand analyzed seven years of historical data concerning net salvage costs for the period 2012-2018. Tr. 1713-14, 1724-25. Mr. Normand determined that the most recent three years of data were the most representative of future costs, as the primary costs incurred to replace LPP were labor-related and as such were likely to increase in the future. Tr. 1714, 1724. Mr. Normand proposed revised depreciation rates that increased KEDNY's revenue requirement by $27.5 million annually and KEDLI's revenue requirements by $24.5 million annually. Tr. 1715, 1726.

The Staff Rates Panel ("SRP") generally agreed that the Companies' depreciation rates for LPP should be accelerated to account for the effects of the accelerated LPP replacement programs. Tr. 2939. However, the SRP recommended that the amortization period be extended to 30 years

[55] LPP facilities include mains of 12 inches or less in diameter that are made of: (i) cast and wrought iron; (ii) unprotected (i.e., not cathodically protected) steel pipe, whether bare or coated; and (iii) at KEDLI, Alydl-A plastic. LPP facilities also include services made of: (i) bare steel; (ii) wrought iron; (iii) copper; and (iv) at KEDLI, Alydl-A and high density polyethylene ("HDPE") plastic. Tr. 1710, 1721. KEDNY recently determined that HDPE plastic services should be classified as LPP. However, because the timing of this decision was too close to the beginning of the study performed by Mr. Normand and MAC, LPP included in the study does not include HDPE services at KEDNY. Tr. 1700.

[56] Net salvage costs represent the cost of removing facilities ("cost of removal") less any amounts received in connection with the salvage of the facilities as they are removed. Tr. 1780-1781. As Mr. Normand testified, LPP facilities produce very little if any salvage revenues. Tr. 1781. At the same time, the cost of removal has grown larger and larger as it is comprised primarily of labor expense which grow every year. Tr. 1734.

and that the net salvage amounts reflected in the rates be determined using the most recent four years of net salvage experience. *Id.* The SRP cited concerns with the potential impact the amortization will have on customers' bills as the basis for its adjustment. *Id*. The SRP asserted that it was equitable for future customers to pay the costs of leak prone pipe replacement because those customers will receive a safety and reliability benefit from such replacement. Tr. 3026. The SRP's proposed adjustment would reduce KEDNY's proposed depreciation expense by $13.7 million annually and KEDLI's proposed depreciation expense by $10.6 million annually. Tr. 3009-11.

NYC witness Lane Kollen recommended that the Commission reject the Companies' LPP depreciation proposal. Tr. 5404. Mr. Kollen asserted that there was no compelling reason to accelerate recovery of LPP depreciation expense even if the retirement and replacement of LPP assets were accelerated.

a. The Companies' Proposal To Recover The Remining Costs Of Its LPP Assets Over The Expected 20-Year Remaining Life Is Fair And Reasonable

As the SRP agreed, reasonable depreciation rates will permit the Companies to recover the cost of their investment in facilities, plus or minus net salvage, over the lives of those facilities. Tr. 3005. In this case, the record shows that the Companies are on track to complete the replacement of their LPP assets over a 20-year period. Tr. 4047. While the Companies appreciate that the SRP's proposed adjustments to the Companies' proposed LPP depreciation rates are motivated by concerns about bill impacts, the Companies believe that these concerns do not provide a basis to reject the Companies' proposals in these cases for the following reasons:

(1) Adopting the depreciation recommendations of either the SRP or NYC witness Kollen would unreasonably require future customers to pay both a significant portion of the costs of retired LPP assets as well as the full cost of replacement facilities. Tr. 1734.

In making recommendations that future customers be required to bear these costs, neither the SRP nor Mr. Kollen has provided any analysis that shows that the cost of replacement facilities is likely to be cheaper in the future. At the same time however, the record shows that it is important to protect future customers by establishing an equitable method of LPP cost recovery at this time because the Companies' customers counts may drop in the future due to reduction in the use of fossil fuels. Tr. 1734. Requiring a potentially diminished customer base in the future to bear the cost of retired LPP assets for the benefit of current customers would be particularly unfair. *Id.*

(2) The actual revenue impacts associated with the SFP's recommended adjustments to KEDNY and KEDLI's depreciation rates are very modest[57] in comparison to the Companies' revenue requirements, constituting only a 0.7 percent reduction to KEDNY's forecast Rate Year revenues under Staff's proposed revenue requirement[58] and a 0.9 percent reduction to KEDLI's forecast Rate Year revenues under Staff's proposed revenue requirement.[59]

(3) The Companies' LPP assets have been in service for many years,[60] and during that time past and current customers did not pay an equitable share of what the total costs of the LPP assets will turn out to be.[61]

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[57] Moreover, Staff is proposing a rate decrease for KEDLI of $39.9 million, so including the full depreciation amount proposed for KEDLI's LPP assets would merely reduce that revenue requirement decrease to approximately $29.3 million. Tr. 3010-11. While the Companies do not believe that KEDLI's revenue requirement should be reduced, it is nonetheless the case that the proposed impact of the Company's LPP depreciation on KEDLI's rates is likely to be extremely modest.

[58] *See* Exhibit 515 page 1 – The proposed SFP adjustment of $13.7 million is divided by Rate Year revenue of $1.838 billion.

[59] *See* Exhibit 514 page 1 – The proposed SFP adjustment of $10.6 million is divided by Rate Year revenues of $1.1329 billion.

[60] Tr. 3020, Exhibit 33 (PMN-5), Exhibit 38 (PNM-5).

[61] Tr. 3020. Even if it were true, as the SFP suggested, that prior depreciation studies indicated that past customers were paying a correct amount (Tr. 3023), the fact remains that asking current customers to pay the full costs of the facilities that are used to provide service to them is not unfair to them.

(4) The Companies' past and current customers have been the beneficiaries of significant periods of rate stability. In this regard, the record shows that KEDNY's base rates did not increase at all during the period 1995-2016 (Tr. 4840), and that the total gas bills assessed to both KEDNY and KEDLI's customers have remained relatively flat over the past decade. Tr. 4838-39.

In sum, contrary to the suggestions of the SRP and NYC witness Kollen, the record shows that adoption of the Companies' proposal to recover the costs of its LPP over the 20-year remaining life of the LPP assets is completely fair and reasonable. Moreover, there has been no showing that requiring future customers to continue to pay for retired LPP assets for ten years or more after their final replacement, as well as the assets that will replace the LPP assets, would be fair or equitable.[62]

b. The Record Shows That The Net Salvage Estimates Reflected In The Companies' Proposed Distribution Rates Are More Likely To Be Representative Of Actual Costs Than Those Recommended By The SFP

As compared to the Companies' proposal to calculate the net salvage amount reflected in the proposed LPP depreciation rates using three years of net salvage/cost of removal data, the SFP's proposal to use four years of data would reduce the Companies' recovery of net salvage. Tr. 1735. There is no reasonable justification for this result. As Mr. Normand testified, the Companies' cost of net salvage is comprised primarily of labor costs that increase over time. The Staff Pipeline Safety Panel agreed with Mr. Normand on this point, testifying that "[w]e note that, with inflation, the cost to customers for removal in later years will certainly be more than the removal of that same pipe now." Tr. 4048.

[62] In this regard, while the SFP asserted that future customers should pay for some of the costs of the LPP assets that were being replaced because such facilities were being replaced to enhance reliability (Tr. 2940) the fact of the matter is, as the SFP agreed, that it is expected that all new distribution facilities will provide safety and reliability benefits. Tr. 3026-27.

In his rebuttal testimony, Mr. Normand prepared an updated analysis of the 2016-2018 net salvage data that he provided and relied upon in his direct testimony to include the addition of the actual retirement/cost of removal data for the first eight months of calendar year 2019. Tr. 1736. That analysis showed that the annualized 2019 cost of removal as compared to 2018 for the Companies was as follows:[63]

	CY 2018	**CY 2019**
KEDNY	$39,457,837	$54,561,958
KEDLI	$20,916,108	$22,747,913

This analysis confirms that Staff's recommendation to utilize 2015-2018 data to determine net salvage costs rather than 2016-2018 data will only likely serve to prevent the Companies from obtaining full and timely recovery of the net salvage costs associated with LPP. As there is no evidence that net salvage costs associated with LPP are likely to decrease in the future, there is no reason why the Companies' net salvage proposal should not be adopted.

c. Mr. Kollen's LPP Depreciation Proposal Is Completely Unreasonable

While the Companies and Staff disagree about the magnitude of the increases in LPP-related depreciation that should be approved for the Companies in this case, they agree that an increase is warranted. In contrast, NYC witness Lane Kollen, proposes no increase – a proposal equivalent to kicking a large bill down the road to be imposed on future customers. Tr. 1737. To put this in perspective, in response to questions by Judge Leary, Mr. Normand testified that in 2019, KEDNY spent $57,244,000 to retire LPP assets. Tr. 1776. At the same time, KEDNY's current depreciation rates allow it to recover $408,000 of these costs. Tr. 1776. Under NYC's

[63] Exhibit 325.

proposal approximately $56.8 million of this 2019 cost would be left to future customers. Such a proposal is not only unreasonable from the standpoint of future customers, it would also negatively affect the Companies' cash flow (Tr.1737) and jeopardize the Companies' continuing ability to maintain investment grade debt ratings. In this regard, the record shows that Moody's – one of the Companies' credit rating agencies – utilizes a Cash Flow from Operations pre-Working Capital/Debt metric as a key indicator of the Companies' credit quality. Tr. 5251. If the Commission were to adopt Mr. Kollen's depreciation recommendation in these proceedings, then KEDNY and KEDLI's Funds from Operation during the Rate Year would be reduced by $27.5 million and $24.5 million annually, respectively, as compared to the levels provided by the Companies' filings, and by $13.8 million and $13.9 million annually, respectively, as compared to Staff's proposed revenue requirements. As discussed *supra*, in Section VII of this initial brief, the Companies' existing debt ratings by Moody's are already threatened if Staff's revenue requirement proposals are adopted in these cases. NYC's depreciation recommendation would worsen this situation.[64] For this reason alone, NYC's recommendation should be rejected.

D. Property Taxes

KEDNY and KEDLI's forecasts of property tax expenses for the Rate Year are $168.093 million and $181.880 million, respectively. Exhibit 306, Schedule 1, page 1 of 4; Exhibit 316, Schedule 1, page 1 of 4. The Companies derived their forecasts by using actual calendar year 2018 year-end property tax amounts of $150.253 million for KEDNY and $154.800 million for KEDLI. Tr. 1089, lines 1-6. The Companies then normalized their Historic Test Year property tax expense by reversing property tax deferrals recorded that year, adjusting the Historic Test Year for known changes in obsolescence, applying a 12-month growth factor to account for the Bridge Period

[64] Mr. Kollen acknowledged he conducted no analysis of the impact of his recommendation on the Companies' cash flow metrics. Exhibit 629 at 9.

(January 2019 – March 2020) between the Historic Test Year and the Rate Year, and adding the forecast property tax expense associated with incremental additions to Plant in Service. Tr. 1090, lines 5-19. After normalizing the Historic Test Year, the Companies applied growth rates of 5.04 percent for KEDNY and 3.78 percent for KEDLI to account for expected increases in property tax based on the two-year growth rate from FY 2017-19. Tr. 1166, lines 2-10. Finally, due to the uncertainty associated with forecasting property tax expenses, the Companies proposed continuing the existing property tax reconciliation, with a modification to change the reconciliation from an 85%/15% sharing to a full symmetrical reconciliation mechanism to ensure that customers would pay no more and no less than the actual property tax expense incurred. Tr. 1102-03.

Staff generally agreed with the Companies' property tax forecasts with the exception of the proposed growth rate. Tr. 2572-85. Staff proposes growth rates of 4.60 percent and 3.12 percent for KEDNY and KEDLI, respectively, based upon three calendar years of data from 2016-18. Tr. 2580, lines 11-15. Staff's proposed growth rates would reduce Rate Year property tax expense by $1.274 million for KEDNY and $2.326 million for KEDLI. Tr. 2581-82. Additionally, Staff proposes to eliminate the property tax reconciliation mechanism for KEDNY and KEDLI in a one-year case. Tr. 2583-84.

As outlined below, the Commission should establish rates that reflect the forecast level of property taxes presented in the Companies' testimony and exhibits and authorize the Companies to fully reconcile any difference between the forecast level of property taxes and the actual level of property taxes incurred by the Companies in the Rate Year.

1. The Companies' Growth Rates Are Reasonable And Supported By The Record

Staff does not believe a two-year growth rate contains enough data points to show a trend and that their proposed three-year average growth rate is "necessary" to appropriately produce a

trend to forecast property tax expense. Tr. 2579-80. Further, Staff argues that the three-year average should be based on calendar year 2016-2018 as opposed to the Companies' fiscal years. *Id.* Staff alleges that use of fiscal years to forecast property tax would result in a double count of the January-March 2019 data in the growth rate calculation – first in calculating the growth rate and then when forecasting property tax expense. Tr. 2580-81.

Staff's arguments are belied by the record and inconsistent with how this expense has been forecast in prior National Grid rate cases. While the Companies agree that three years provide more data points, a more accurate growth rate is not an automatic corollary of the inclusion of additional data points. Tr. 1172, lines 11-12. Indeed, if a three-year average growth rate had been used in KEDNY's current rate plan in Case 16-G-0059, the growth rate would have been -2.08 percent; however, the actual growth rate from that time period (2015-2018) was 4.60 percent – a 6.68 percent difference. *Id.*, lines 12-15. A 6.68 percent difference in growth rate could result in a multi-million dollar deviation from actual expense when applied to the significant amount of property tax that will be incurred by the Companies in the Rate Year. This unnecessarily places a risk of non-recovery on the Companies, a risk that would be further increased if Staff's proposal to disallow a reconciliation of property tax expense were adopted. Staff's use of calendar years rather than fiscal years is similarly flawed. The Rate Year will encompass the Companies' fiscal year, beginning April 1, 2020 and ending March 21, 2021, not calendar year 2020. Use of calendar years 2016-2018 does not provide an accurate comparison to the Rate Year as the misalignment in the beginning and end points of each year could result in certain property tax events being erroneously excluded from the data. Additionally, while Staff indicates its proposal expands the number of data points, use of the calendar years 2016-2018 actually excludes relevant data points from January-March 2019, the most current, known property tax expense included in the record.

Therefore, use of fiscal year data to forecast property tax expense growth, as proposed by the Companies, appropriately aligns the forecast with the Rate Year. Tr. 1173, lines 4-6. Accordingly, use of the most recent two fiscal years is more reflective of recent property trends and is likely a better indicator of the actual property tax expense that will be incurred in the Rate Year.

Finally, use of the most recent two fiscal years does not result in a double count of any time period in the Rate Year calculation. As indicated above, the Companies' forecasts began with property tax expense from calendar year-end 2018 data. Tr. 1089, lines 1-6; Tr. 1173, lines 12-13. The Companies then applied a 12-month growth rate to this data to cover the fifteen-month Bridge Period between the Historic Test Year and the Rate Year. Tr. 1173, lines 13-16. By using a 12-month rather than 15-month growth rate, the Companies' methodology specifically avoided the potential double count of costs from January-March 2019 as the growth rate factor was only applied once to this period. *Id.* Accordingly, as the data for this period was not inappropriately escalated twice by the growth factor, there is no reason to exclude this period from the calculation of the Company's growth rate to develop the forecast property tax expense for the Rate Year.

2. The Symmetrical Property Tax Reconciliation Mechanisms Proposed by the Companies are Reasonable and Should be Adopted by the Commission

The Companies proposed modifying the existing mechanism which defers 85 percent of the difference between actual property and special franchise tax expense and the amounts reflected in rates, to a fully symmetrical reconciliation mechanism wherein the Companies only recover, and customers are only charged, the actual property and special francize tax expense incurred by the Companies. Tr. 1102, lines 6-14. The Companies submit that this proposal is a reasonable and appropriate approach to the recovery of property tax expense given the variability, uncertainty, and difficulties experienced with forecasting property tax expense. *Id.*, lines 11-14. A property tax reconciliation has been a key feature of the Companies' rate plans for nearly a decade and in

no way has it detracted KEDNY or KEDLI from prudently managing its property tax expenses, a statement with which Staff agreed. Tr. 2616, lines 18-23. Indeed, the Companies have a long record of successfully challenging unlawful property tax assessments and mitigating property tax expense for customers, including: (i) the reflection of more than $20 million in property tax refunds in the current rate plan relating to various tax assessment challenges made by KEDLI; (ii) savings of $2.5 million for each of KEDNY and KEDLI associated with proactive efforts by the Companies to reduce their property tax expenses in these filings; and (iii) a recent notice of tax refund filed by KEDLI to address an approximately $50 million judgment received by KEDLI in a litigation with the Town of Hempstead in Case 18-M-0270, which dates all the way back to 2002. Tr. 2613-16.

Staff opposed the Companies' proposal, claiming that a property tax reconciliation mechanism is not needed in a one-year rate case. Tr. 2584, lines 10-12. Staff cited the short term of rates and the Companies' opportunity to update property tax expense for material changes in their brief on exceptions in support of its argument. Tr. 2583-84.

Staff's position is unreasonable and does not serve to mitigate the potential volatility that may be experienced in property tax expense, even in a one-year case, thereby placing an undue risk on the Companies and their customers. Staff does not dispute that, even with the most current information available, forecast levels of property tax expense could materially differ from the expense actually incurred by the Companies. There is similarly no dispute that such deviations are primarily attributable to forces outside of the Companies control (*e.g.,* changes in municipal property tax rates, obsolescence rates,), notwithstanding the Companies' aggressive efforts to seek property tax reductions and refunds. Accordingly, a reconciliation mechanism is appropriate and necessary to protect the Companies and their customers from the risk associated with this expense category. Unlike the other deferral mechanisms proposed by Staff in these filings, such as the

downward-only credit card and new hire reconciliations, property tax expense is far more material and far more uncertain and therefore appropriate in a one-year case. The Commission has adopted similar reconciliation mechanisms in several recent rate cases in the context of joint proposals[65] and there is Commission precedent to support adoption of a property tax reconciliation mechanism in a one-year, litigated case.[66]

For these reasons, the Commission should deny Staff's proposal and adopt the property tax reconciliation mechanism proposed by the Companies.

E. Amortization of Excess Accumulated Deferred Federal Income Taxes: Timing of Amortization/Return to Ratepayers of Annual Excess Deferred (EDFIT) for Unprotected Plant And Non-Plant Balances

In their filings, the Companies proposed to amortize the annual excess deferred income taxes ("EDIT") for the unprotected plant and non-plant balances resulting from the Tax Cuts and Jobs Act of 2017 over 44 years for KEDNY and 47 years for KEDLI consistent with the manner in which protected EDIT is amortized under the average rate assumption method ("ARAM") required by the Internal Revenue Service's normalization rules. Tr. 2028, lines 5-12; Tr. 2276,

[65] *See e.g.* 2016 KEDNY and KEDLI Rate Case Order, at 87-89 (adopting property tax deferral and reconciliation mechanisms agreed to in Sections IV.6.1.5 and V.6.1.5 of the Joint Proposal); Case 17-E-0238 and 17-G-0239, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric and Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans* (issued and effective March 15, 2018), at 20, 33 (continuing existing 80/20 property tax deferral and reconciliation mechanism between the utility and its customers); and Case 17-E-0459 and 17-G-0460, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric and Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans* (issued and effective June 14, 2018), at 16 (adopting mechanism under which 90% of the variation between actual expense and amount allowed in rates will be deferred and either refunded or recovered from customers).

[66] Case 08-E-0539, Proceeding on Motion of the Commission as to the Rates, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, *Order Setting Electric Rates* (issued and effective April 24, 2009), at 106-07. The Companies note that, while adoption of a one-year mechanism is not a common occurrence, the Commission adopted a one-year fully reconcilable property tax mechanism where, like here, the utility's property tax costs were significant, there was external economic variation, and the utility retained its incentive to minimize property tax assessments. *Id.* at 107.

lines 12-19. Staff rejected the use of the ARAM periods and instead proposes a 10-year amortization period for the unprotected plant and non-plant balances for both KEDNY and KEDLI. Tr. 2591, line 18. The basis for Staff's proposal is that a shorter period will more rapidly reduce the revenue requirement and return the tax benefits to customers quicker. Tr. 2591-92, lines 22-24 and 1-2. PULP proposes passing back the entirety of the unprotected balances in the Rate Year. Tr. 1651, lines 18-20.

The Companies disagree with Staff and PULP's positions and submit that the amortization period should match the service life of the asset. If the unprotected EDIT is returned to customers over 10-years, as proposed by Staff, there would be a mismatch for over 30 years in which customers in later years will pay a greater share of the costs of the assets over their service lives. Tr. 2029, lines 3-7; Tr. 2317, lines 10-16. Moreover, if there are future changes to tax rates, the changes could result in the Companies having to collect money from customers that it previously returned. Tr. 2029, lines 7-9; Tr. 2317, lines 17-23.

Further, Staff and PULP are proposing to shorten the amortization to mitigate rate impacts in the present. The other material disallowances proposed by Staff in these filings, however, have effectively already accomplished this result to the detriment of the Companies. Therefore, if the Commission were to adopt the adjustments proposed by Staff in these filings, use of the unprotected balances would do nothing more than further reduce rates that are already reduced to levels lower than cost of service, thereby creating a greater impact on customers in the future when the amortization ends.

Lastly, the Companies are very concerned about the cash flow impacts if Staff or PULP's proposal were adopted. Tr. 2314-16, lines 25, 2-15, and 2-3. The Companies' Revenue Requirements Panel testified that shorter amortization period would have a negative effect upon

the Companies' cash flow and the results under the Companies credit metrics. *Id.* This proposal should not be viewed in isolation as it is but one of many made by Staff and the parties that would have a negative impact on the Companies' cash flows, potentially resulting in a downgrade of the Companies' long-term debt obligation. *Id.* The combined effect of these proposals is discussed in the Financial Issues section of the brief.

For these reasons, the Companies submit that their proposal to align the amortization life with the reversal of the temporary differences is more equitable and in the best interests of the Companies and their customers.

F. Amortization of Expenses

Because the Companies' initial filing proposed a multi-year rate plan, certain expenses, such as management audit and rate case expenses, were amortized over the term of the proposed four-year rate plan. As the Companies and parties are now litigating a one-year rate case that will set rates for the period April 1, 2020 through March 31, 2021, these costs should be fully recovered in the Rate Year.

Staff's position that these costs should be addressed in the next rate case make little sense, especially considering that the Companies will be filing a new rate case in the next few months. Tr. 2532, lines 6-14. That case will include its own rate case expense and the Companies submit it would be inequitable to have to wait to recover rate case expenses that were incurred for these cases in the next case. These costs have been prudently incurred and there is no basis not to provide the Companies full and immediate recovery of these costs in the Rate Year.

G. CSC O&M Tracker

KEDNY proposes to implement an O&M tracker for costs associated with the CSC[67] program that would fully reconcile the difference between forecast and actual spending in the non-reimbursable "Support & Protect" O&M expense category. Tr. 4278, lines 8-13. Support & Protect work consists of the O&M work required to protect KEDNY's gas assets during City construction projects (*e.g.*, shoring facilities). The Commission should approve this mechanism because it will ensure that KEDNY recovers prudently incurred costs to perform this mandated work and, importantly, provide assurance that KEDNY's customers are not overcharged to the extent expenses are lower than expected in any given year. The SGIOP opposes the proposed tracker to reconcile the O&M expense associated with CSC. Tr. 4701, line 14.

The CSC program scope is continuing to grow as NYC is investing billions of dollars to improve its water and sewer systems. Tr. 4247, lines 17-19. Because KEDNY's CSC Program is completely reactive to NYC's construction activities, the annual O&M expenditures (including non-reimbursable "Support and Protect" expenditures) are subject to significant volatility. As shown in Exhibit 63 (GIOP- 6), KEDNY's actual spending on non-reimbursable O&M varied from forecast expenditures by 75 percent between FY 2016 and FY 2017, and by 118 percent between FY 2017 and FY 2018. The dramatic year-to-year fluctuation of the CSC Program's O&M requirements, which are entirely a function of NYC's workload, is a significant impediment to creation of a reliable multiyear financial O&M forecast.

The SGIOP acknowledges that KEDNY's CSC-related O&M expense is a function of the work required by NYC (Tr. 4772, lines 19-22), that KEDNY is obligated to provide O&M support for the City's project (Tr. 4772-4773, lines 23-25 and line 2), and, importantly, that the level of

[67] As discussed in Section VI.A.2.a below, the Company's CSC program involves the relocation and/or protection of gas facilities that conflict with municipal public works projects.

O&M expense work is not within KEDNY's complete control (Tr. 4773, lines 3-6). These factors strongly support a two-way tracker for KEDNY's CSC O&M expense – and the SGIOP provides no justification for opposing an O&M reconciliation mechanism for this program.

KEDNY's CSC program is unique in its challenges to accurately forecast, and, for that reason, capital and O&M reconciliation mechanisms are appropriate to protect both customers and the Company. Even if KEDNY manages this program to maximize efficiencies and controllable costs to the highest standard, the inability to predict future program needs would still justify the need for a reconciliation mechanism. To the extent KEDNY's O&M expense is materially higher or lower than the rate case allowance for reasons outside its control, KEDNY and its customers should not be asked to bear the risk of any volatility in this area.

VI. RATE BASE ISSUES

A. Capital Projects And Expenditures

The Companies, as the operators of gas networks that serve nearly two million customers and are relied on by millions more people for heating, cooking, and other human needs, must make the investments they deem necessary to maintain safe and adequate service. Tr. 4733, lines 16-20. The Companies operate some of the oldest gas networks in the United States. Tr. 4833, lines 17-19. The imperative to modernize gas infrastructure and replace aging assets is driving the need for capital investment. At the same time, expanding federal and state gas safety requirements are mandating investments in safety enhancements (Tr. 4393, lines 15-19), while reducing methane emissions and eliminating system leaks from the gas network are public policy priorities best solved through capital improvements such as main replacements and leak repairs. Tr. 39, lines 19-20.

Indeed, numerous regulatory, gas safety, and policy developments have required the Companies to increase the level of capital investment in recent years. Tr. 4393, lines 15-19. For example, pipeline safety incidents, such as the tragic events in San Bruno, California, Allentown, Pennsylvania, East Harlem, New York, and the more recent incident in Merrimack Valley, Massachusetts, have appropriately increased focus on pipeline safety and the need to carefully monitor and replace aging pipeline infrastructure. Weather events, such as Superstorm Sandy and the Polar Vortex, and the expectation that similar events will continue to occur, require the Companies to find ways to protect their facilities from severe weather. Tr. 4394, lines 11-19.

Collectively, these factors are necessitating increasing levels of capital investment. Indeed, over the last several years, with the support of the Commission, KEDNY and KEDLI have significantly increased investment in gas infrastructure. Tr. 4395, lines 1-14. In fact, when looking at total capital spending in recent years, the Companies have significantly overspent their rate allowance for capital investment. As shown in Table 5 below, the SGIOP Exhibit 465 (SGIOP-2) analyzes the Companies' capital budgets, actual investments, and budgets variances over the last several years – and demonstrates that operational imperatives have driven the Companies to outspend their rate allowances.

Table 5 – SGIOP Analysis of the Companies' Capital Spend to Budget

KEDNY ($M)	FY16	FY17	FY18	FY19
Budget	344,288	490,363	676,057	723,347
Actual	476,595	505,140	714,679	795,364
Variance	38.4%	3.0%	5.7%	10.0%
KEDLI ($M)	**FY16**	**FY17**	**FY18**	**FY19**
Budget	220,890	251,714	347,631	370,980
Actual	256,336	264,059	332,383	404,474
Variance	16.0%	4.9%	-4.4%	9.0%

In the four most recent years considered in the SGIOP's analysis (FY16 to FY19), KEDNY overspent its rate allowance in each year, an average over-spend of approximately 14.3 percent/year, and a cumulative overspend of approximately $257 million. For KEDLI during this same period, the Company overspent its rate allowance in three of four years, an average over-spend of approximately 6.4 percent per year, resulting in a cumulative overspend of approximately $66 million.

Going forward, significant capital investment in the Rate Year is required to ensure that the gas system continues to operate safely while meeting the demands of customers and to enable further modernization of the Companies' facilities and operations in a manner that achieves meaningful methane emissions reductions in furtherance of State and Companies' shared policy goals.

Given the significant levels of capital investment proposed in these cases, both the Companies (Tr. 4401, lines 12-17) and Staff (Tr. 4702, line 23) propose to continue the net plant capital tracker mechanism that was approved in the 2016 KEDNY and KEDLI Rate Cases as part of a multi-year rate plan. This mechanism ensures that any under-spend in the Rate Year, including any capital savings realized through the Accelerate Program, will be returned to customers. For example, if the rate allowance for capital investments is higher than the revenue requirement associated with Companies' actual investment in the Rate Year – meaning the Companies effectively spend less than the approved budget - the Companies would defer the difference for return to customers. Tr. 4738-39, lines 14-25 and lines 1-4. But if the rate allowance is lower than the revenue requirement for the Companies' capital investments – meaning the Companies

effectively overspend their rate allowance (as occurred in seven of the eight years discussed above) – the Companies are not made whole. Tr. 4739, lines 5-10.[68]

Thus, Staff's severe adjustments to the Companies' capital plans must be considered in the context that (i) there is increasing need to modernize gas infrastructure to enhance safety, reliability, and resiliency, (ii) public policy strongly supports reducing methane emissions and system leaks, which requires significant level of capital investments, (iii) the Companies have historically overspent their rate allowances for capital investments, and (iv) in the unlikely event the Companies underspent their rate allowance for capital investments in the Rate Year, customers are fully protected through the net plant tractor. These factors weigh against the SGIOP's significant adjustments to the Companies' proposed capital forecasts.

Turning to the specific adjustments, the SGIOP explains that it generally supports the Companies' capital investment plans (Tr. 4643, line 14) but proposes adjustments for certain projects and programs in the mandated, non-infrastructure, and customer connections categories, and proposes an overall blanket reduction to the entire Reliability category of spending. Among other adjustments, the SGIOP rejects the Companies' higher inflation rates and other factors (*e.g.*, increasing contract costs) that will increase Rate Year costs for mandated capital programs (*e.g.*, CSC and Main Replacement). Tr. 4657-63. Where the Companies' forecasts were derived from historic results in FY 2017 and FY 2018, the SGIOP believes that forecasts should "updated" to two- or three-year averages to include FY 2019. Tr. 4649, lines 1-6; Tr. 4669, lines 9-14; Tr. 4684-85, line 24 and lines 1-3. The SGIOP explains that it lacks confidence in the Companies' Reliability Category forecasts because there have been historic variances between the Companies'

[68] In addition to the protections provided by the net plant tracker, to the extent the Commission determines that the Companies have incurred capital costs imprudently, it has the ability to bring a prudence proceeding to challenge those costs. This provides yet another protection to customers.

budgets and actual spending and the SGIOP therefore applies a blanket slippage adjustment to this entire category. Tr. 4672-76. Because of the timing of the Companies' sanctioning process, which occurs closer to the Rate Year, sanction papers are generally not yet available for the Companies' major investments. The SGIOP claims that without sanction papers, it is unable to determine whether proposed projects are truly needed, whether forecasts are reasonable, and whether alternatives were considered. Tr. 4639-40, lines 20-24 and lines 1-2.

Support For Proposed Capital Investments

Over the course of nearly a year, the Companies have provided the SGIOP with a tremendous amount of information to enable a thorough review of the proposed capital investment plan. The Companies' direct, corrections and updates, rebuttal, first supplemental, and second supplemental testimony, and the numerous supporting exhibits, provided hundreds of pages of information on each of the programs and projects proposed in the Rate Year. This sworn testimony of the Companies' Chief Engineer and other experts described the drivers for historic capital spending, evolving system requirements, and gas safety considerations influencing future spending and, specifically, the proposed capital investments over the next four years. The Companies also provided a set of "white papers" (Exhibits 62 (GIOP-5)) that contain the same information that is typically included in sanctioning documentation, such as detailed project descriptions, project needs and justification, forecasting methodologies, cost drivers, applicable regulatory requirements, and alternatives analyses. The Companies also responded to extensive discovery in these proceedings, including numerous information requests regarding the details of the capital plan. The Companies' subject matter experts facilitated technical sessions to present their proposals in more detail, and these same experts have made themselves available to answer any questions regarding their programs. Therefore, to the extent Staff still has any questions on the

Companies' proposed capital investments, this is in no way a function of the Companies' inability to provide cost support or other information on their capital investment plans.

Blanket Adjustments

Staff proposes a number of blanket adjustments to programs and projects based on an assessment of prior years' spending and other factors. Tr. 4783, lines 3-9, 17-25. These adjustments are not supported by sufficient data and analysis and fail to consider the Companies' work requirements in the Rate Year. Among other deficiencies, the SGIOP ignores known, significant cost drivers that will increase the Companies' capital costs going forward such as the need to invest in on-system natural gas injection facilities to maintain reliability and enable new customer connections in the near term. In contrast to the SGIOP's blanket approach, the Companies carefully determined the appropriate basis and methodology for forecasting Rate Year investments on a program by-program basis. Following a detailed analysis of each program, including examination of historic spending, the Companies identified the best predictor of Rate Year costs. The Companies determined the projects for which a project estimate, rather than a forecast based solely on historic costs, was more appropriate. In this way, the Companies carefully considered any project-specific considerations and anomalies prior to setting their forecasts for each program. The Companies' methodologies for deriving program forecasts are provided in the Companies' testimony and exhibits and in response to IR DPS-761 (Exhibit 463 (SGIOP-1)), page 570.

The SGIOP's attempt to more closely align the Rate Year forecasts with the Companies' average historic costs and spending levels shifts funds away from the Companies' highest priority mandated, safety, and reliability programs. Simply applying blanket adjustments to projects and programs that SGIOP otherwise supports will impair the Companies' ability to deliver high priority

capital programs that are needed to meet important reliability, safety, and policy goals. More specifically, proposed downward adjustments in the mandated category will challenge the Companies' ability to deliver on aggressive goals for LPP replacement, methane reduction, and programs and projects discussed below that are necessary to reduce overall system risks. Proposed adjustments in the Reliability category will compromise the Companies' ability to replace aging facilities and equipment that are critical to system operations and to add new equipment that enables the Companies to remotely operate and control their gas systems. The Companies appreciate the SGIOP's concerns for managing increasing costs; however, the reality is that the SGIOP's proposed adjustments will result in the reprioritization of capital investments in a manner that fails to achieve the Companies' and the Commission's goals. This is not the right result from a public policy or safety perspective. The impact of proposed adjustments to individual capital programs is discussed below.

1. Customer Connections

On November 26, 2019, the Commission approved a settlement agreement between the Companies and DPS Staff in the Case 19-G-0678 Order where the Companies agreed to lift the moratorium for the next two winters (through September 1, 2021). To enable new customer connections, the Companies developed an operational plan and supply solution that provides for the expanded use of portable compressed natural gas ("CNG") injections to maintain system pressure during peak conditions, as well as various demand-side measures and the continued reliance on city gate peaking supplies. Tr. 5195, lines 1-7. In their Second Supplemental Testimony, the Companies updated their capital forecasts for the Customer Connections programs to reflect the costs of new customer additions (*e.g.*, installing main and services, meters, and AMR requirements) and the Gas System Reinforcements and Reliability projects necessary to maintain system pressures and serve additional load (*e.g.*, transmission upgrades). The SGIOP agrees that

the costs to connect new customers in the Rate Year should be reflected in the Companies' rate allowance. Tr. 4740, lines 11-16.

a. Use Of 2 Versus 3 Year Average Costs; Units Forecast For Install Main, Tariff Main, and Meter Purchases

The SGIOP generally agrees with the Companies' methodology for deriving the forecasts for Customer Connections installations but recommends that the unit costs be calculated based on an updated three-year average (FY 2017 to FY 2019) rather than the two-year average the Companies used (FY 2017 to FY 2018) for the Install Main, Install Services, Install Meter/Regulator, and Automatic Meter Reading programs.

The SGIOP starts from a reasonable position, *i.e.*, using a three-year average to forecast future costs, then applying the unit costs to the forecast number of units in the Rate Year. Tr. 4715, lines 17-19. However, Staff goes on to make various "normalizing" adjustments that seem designed to eliminate years with the highest unit costs from the average under the theory those years were outliers. Indeed, in an attempt to reduce the Companies' rate allowance in this area, the SGIOP was selective in choosing the historic years used to calculate its unit cost forecast for different cost components – even within the same category of Customer Connections. In some cases, the SGIOP argued to include more recent data because it was a better indicator of the Companies' Rate Year costs. Tr. 4748, lines 2-10. In other cases, the SGIOP argues that more recent data – when showing increases - should be normalized out. Tr. 4745, lines 22-23. This "cherry-picking" approach was designed to reduce the Companies' rate allowance by selectively including or excluding historic data when it fit the SGIOP's purposes.

i. KEDNY Install Main (Commercial)

For KEDNY's Install Main Commercial category (main required to connect new commercial customers), the SGIOP recommends using a unit cost based on the Company's three-

year historic average, but the SGIOP conveniently proposes to exclude one of the last three fiscal years (FY 2017) under a theory it was an outlier. Tr. 4716, lines 14-21. The SGIOP instead recommends using a three year average consisting of fiscal years 2016, 2018, and 2019. Without a clear justification, the SGIOP argues that KEDNY's 2016 costs are more indicative of KEDNY's Rate Year forecast than more recent historical data. This approach is flawed for many reasons. Among other reasons, FY 2016 would not reflect KEDNY's escalating contractor costs, nor the significant impacts of NYC paving requirements.[69] Compounding the flaws in this approach, the SGIOP did not use the same three-years in forecasting the number of units in the Rate Year. Tr. 4748, lines 2-10. Notably, in FY 2016, the year Staff proposes to include in the unit cost determinations, the number of units were approximately 50 percent higher – which would significantly increase the rate allowance had it been used to forecast units. This example highlights the inequity of picking and choosing historic data to get to an end result.

ii. KEDNY Meter Purchases

With regard to KEDNY Meter Purchases, the SGIOP proposes to exclude, in this case, the most recent year fiscal year (FY 2019) and instead use a three-year average unit cost that included 2016, 2017 and 2018. Tr. 4748, lines 14-21. Not surprisingly, FY 2019 was the highest year for unit costs in recent years. Tr. 4748-49. In this case, the SGIOP took the position that more recent

[69] As the SGIOP explains, "KEDNY's cost to install gas main has been impacted by new paving and restoration regulations enacted by the New York City Department of Transportation (NYCDOT)." Tr. 4656, lines 4-7. To reinforce this point, with regard to leak prone pipe unit costs, the SGIOP supports using FY18 because that year would fully reflect the paving costs:

> Q. Does the Panel agree with this method?
>
> A. Yes, this method is reasonable as the costs incurred in FY 2018 are indicative of the escalated unit costs associated with new paving requirements.

cost data – when higher – is not indicative of the Rate Year spending. Again, Staff did not use the same three years when forecasting the number of units. Tr. 4749, lines 10-20.

iii. KEDLI Install Main Commercial

For KEDLI's Install Main Commercial, the SGIOP updated the unit cost of KEDLI's Tariff Main using a three-year average, by excluding 2019 data, and including 2016 data. Tr. 4752, lines 2-6. Again, FY 2019 was the highest year in terms of unit cost in KEDLI's recent experience. Tr. 4752, lines 10-13. According to the SGIOP, KEDLI identified the specific reason why costs had increased in FY 2019, explaining that "costs were higher in [FY] 2019 because of higher contractor costs associated with Department of Environmental Protection dumping costs increases." Tr. 4718, lines 13-16. The SGIOP does not explain why it believes these dumping costs will not continue in the Rate Year, other than to suggest it was "unclear" whether such costs would continue. Tr. 4753, lines 9-18. To the extent new regulations[70] are increasing KEDLI's costs, and there is demonstrable evidence of such costs impacting historic spending, those increases must be reflected in KEDLI's unit cost as a known and measurable change.

In the Customer Connections area, the SGIOP has engaged in cherry-picking historic data to support its analysis – mixing and matching units and unit costs inconsistently in a manner designed to produce the lowest outcome. If the SGIOP believes a three-year average that includes the most recently available data (FY17-19) is an appropriate means for forecasting costs in this area, it needs to apply that methodology consistently.

[70] In the response to DPS-1059 (Exhibit 596 (SGIOP-9, page 101)), KEDLI explained that "[t]he unit cost of Tariff Main for KEDLI in FY19 was higher as compared to the historical average unit costs due to higher contractor costs related to Department of Environmental Protection dumping cost increases."

b. System Reinforcements

The Gas System Reinforcements Program contains projects intended to ensure that minimum system pressures are maintained throughout the gas network during periods of peak demand. In response to demand for gas usage in its service territory, KEDLI determined that it is necessary to complete several projects to ensure its ability to meet peak requirements. These reinforcement projects are essential to ensure the Companies can continue to serve growing gas usage load. Tr. 4437, lines 12-20. The SGIOP acknowledges that Reinforcement Programs are important to maintain system pressure – especially when adding additional gas load from new customers. Tr. 4755, lines 20-25.

In its Second Supplemental Testimony, the Companies describe the various reinforcement projects needed to maintain adequate system pressures (especially considering the Companies will be adding new customers in the Rate Year). Specifically, KEDLI explains that it accelerated Phase 1 of the Southeast Suffolk project to ensure it will be in service in FY22. This project is required to support new customer connections on eastern Long Island. Accordingly, KEDLI shifted $5 million of the Southeast Suffolk project forecast from FY22 to FY21 (the Rate Year). Tr. 4569, lines 14-21.

The SGIOP supports the need for the Southeast Suffolk Infrastructure project to maintain system pressures on KEDLI's system (Tr. 4756, lines 2-7) but opposes KEDLI's proposed shift of $5 million for the project to the Rate Year because it "results in no change to the outcome to complete this project in FY 2022." Tr. 4720, lines 9-11. This adjustment appears to be based on a misconception that KEDLI was proposing to accelerate the in-service date for this project. As explained by the Companies' GIOP in their Second Supplemental Testimony, "[m]oreover, to enable new customer connections, KEDLI has accelerated Phase 1 of the Southeast Suffolk project ***to ensure it will be in service in FY 2022***. Accordingly, Exhibit 369 (GIOP-1SS) reflects a shift

of $5 million of the project forecast from FY 2022 to FY 2021." Tr. 4569, lines 17-21 (emphasis added). Indeed, KEDLI did not say it was accelerating the in-service date for the project into FY 2021 but explained that the accelerated investment was necessary to ensure it could meet the needed in-service date in FY 2022. The SGIOP does not appear to have performed any analysis to determine whether the project can be delivered in FY 2022 without accelerating the spend in the Rate Year, nor does it articulate any reasons for doubting the Companies' position that more work needs to be accelerated in the Rate Year to ensure an in-service date in FY 2022. Because KEDLI has articulated a compelling operational reason for accelerating its work on the Southeast Suffolk project, and the SGIOP's position is based on a misunderstanding of the reasons for the accelerated investment, the proposed adjustment is not appropriate.

2. Mandated

a. CSC Program (KEDNY): Forecast Of Reimbursable/Non-Reimbursable Costs; Coordination Personnel; CSC True-Up Mechanism; Reporting/Tracking Progress Metric For NYC Requests

A major driver of KEDNY's capital investment plan is a significant increase in the volume of work in the Company's CSC program, which involves the relocation and/or protection of gas facilities that conflict with municipal public works projects. The CSC program scope is continuing to grow as NYC is investing billions of dollars to improve its water and sewer systems. As a result of the sharp increase in scope and scale of the NYC's public works programs, the CSC program now represents more than a third of the Company's total capital investment plan. Tr. 4247-4248, lines 14-20 and lines 1-2.

The SGIOP acknowledges this work is reactive to NYC's construction requirements; and that the Companies are obligated to perform this work to accommodate NYC. Tr. 4762-4763, lines 17-25 and line 2. In recent years, the scope and scale of KEDNY's CSC program continues

to grow as NYC is investing billions of dollars to improve its water and sewer systems, especially after Superstorm Sandy focused attention on the state of municipal infrastructure. Tr. 4272, lines 4-7. Going forward, NYC will continue investing billions of dollars to upgrade its infrastructure, and many of these projects will directly impact KEDNY's gas system. *Id*., lines 7-9. The SGIOP nonetheless recommends removing approximately $11 million and $14 million from KEDNY's CSC Reimbursable and Non-Reimbursable forecasts, respectively. Tr. 4659, lines 16-18. While the SGIOP agrees with KEDNY's general methodology for forecasting the CSC program costs, it disagrees with KEDNY's additions to the forecast of incremental funding to cover increased restoration and paving costs that are anticipated in the Rate Year.[71] Tr. 4660, lines 3-13. The SGIOP agrees that new paving requirements in NYC are adding significant costs to the Companies' construction work. Tr. 4656, lines 4-6. Staff notes, however, that KEDNY has a true-up mechanism for CSC, which Staff suggests will make KEDNY whole if actual spending in the Rate Year exceed the rate allowance for this program. Tr. 4660, lines 13-17.

Any adjustments in this category must to be viewed in light of the fact that KEDNY had consistently and significantly overspent the rate allowance for CSC in recent years. Exhibit 463 (SGIOP-1, pp. 3 (FY18) and 724 (FY19) of 772) shows the budgeted amount, the actual amount, and the variance of KEDNY's CSC expenditures. This exhibit demonstrates that KEDNY overspent its budget for CSC by more than $33 million and $20 million in FY 18 and FY19, respectively.

[71] In support of its proposed adjustments, the SGIOP (Tr. 4660) notes that KEDNY's new paving requirements were fully implemented on April 1, 2017 and so the costs experienced in FY18 are indicative of the level of spending incurred by the new requirements.

Table 6 - CSC Non-Reimbursable, Reimbursable and Reimbursements (Excludes Special Projects)

KEDNY ($M)	Budget	Actual	Overspend
FY 19	$215.4	$195.3	$20.1
FY 18	$179.6	$212.9	$33.3

In fact, the SGIOP concedes that KEDNY has not underspent its CSC rate allowance *in any year* during the term of the current rate plan. Tr. 4803, lines 8-13.

In summary, KEDNY's forecast CSC costs appropriately estimate program needs in the Rate Year based on recent trends and known cost drivers for this program. As the SGIOP concedes, and as discussed more below, KEDNY's shareholders would absorb a portion of the CSC overruns even with the SGIOP's proposed tracker mechanism in place. Tr. 4771, lines 14-22. This is simply not a reasonable outcome.

i. CSC Tracker Mechanism

Pursuant to the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Cases, KEDNY and KEDLI have a reconciliation mechanism (90/10) for CSC capital expenditures. Tr. 4700, lines 1-3. However, the Companies must be allowed to recover funding for their work on this mandated program – and a partial deferral mechanism is not a substitute for appropriate rate recovery. The Companies' forecasts are based on known factors that will increase CSC costs in the Rate Year, whereas the reconciliation is intended to cover unknown cost increases. Therefore, having a reconciliation in place does not blunt the detrimental effects of removing nearly $25 million from KEDNY's CSC program forecasts.

In light of the increasing volatility in the CSC category, the Companies are proposing to adjust the existing partial tracker mechanism to a full reconciliation of the difference between forecast and actual spending (from the current 90 percent deferral mechanism). Tr. 4277, lines 18-

21. The SGIOP instead recommends that the capital deferral mechanism be changed from the current 90 percent/10 percent reconciliation to an 80 percent/20 percent reconciliation based on the SGIOP's belief that the Companies need an incentive to effectively manage program aspects and costs that are in the Companies' control. Tr. 4700-4701, lines 22-24 and lines 1-4. The SGIOP's position on this issue creates an unreasonable risk that the Companies will be required to fund prudently incurred costs to perform mandated work. The reconciliation mechanism is intended to manage the aspects of CSC that are not within the Companies' control, including the unpredictability of the NYC's construction work that will ultimately dictate the level of CSC expenditures required each year. As demonstrated above, notwithstanding KEDNY's efforts to forecast its CSC spending, as a result of the reactive nature of the work and variability in NYC's work plans, KEDNY overspent its rate allowance in this area *by more than $53 million* in just the last two years. This fact alone justifies the need for a reasonable reconciliation mechanism. Not only is the SGIOP's recommendation unjustified, but it is egregious when coupled with the significant reduction to KEDNY's CSC program budget. There is simply no basis for the mechanism to provide less than a full reconciliation, let alone a reduction to the mechanism that already exists.

ii. NYC's Testimony

The City of New York identified certain alleged challenges with the administration of the CSC program. Tr. 5526-5527. KEDNY acknowledges that there is room to improve but believes there are opportunities to improve the process on both side – including with regard to the process for reviewing, processing, and paying bills, which has frustrated the smooth administration of this program. Also, NYC fails to note the significant progress that has been made over the last few years to address many of these issues, including invoicing. Tr. 4535, lines 5-7. These process

enhancements demonstrate KEDNY's willingness to improve coordination and, therefore, Commission involvement and additional reporting is unnecessary.

b. Leak Prone Pipe Removal/Replacement; Accelerated Main Removal/Replacement; Unit Costs/Inflation Factors And Forecasts

The SGIOP agrees that leak prone pipe replacement provides significant customer benefits in terms of safety, reliability, eliminating leaks, and reducing methane emissions. Tr. 4773, lines 12-17. For these reasons, the Commission has a stated goal to reduce the statewide average replacement timeline for leak prone pipe to 20 years.[72]

The SGIOP generally agrees with the Companies' forecasting methodology for LPP replacement (Tr. 4662, lines 12-16) but recommends adjustments to remove approximately $6 million from KEDNY's program forecast and approximately $10 million from KEDLI's program forecast. The SGIOP disagrees with certain assumptions the Companies made in calculating the unit costs. Specifically, the SGIOP contests the inflation factors the Companies used for the contractor expense components of the unit costs. Tr. 4662-63, lines 22-24 and lines 1-11. As explained by the Companies' GIOP, the Companies' contractor cost inflation factors for LPP replacement work reflect price increases that the Companies know will occur during the Rate Year due to the expirations of contractor agreements during that period and changes in the terms, conditions, and pricing that will significantly increase costs (more significantly in KEDLI's service territory) since the initial forecast was developed. This information was provided in the Companies' responses to IRs DPS-494 and DPS-956, part 3, among other information requests. Exhibit 463 (SGIOP-1). Because all of KEDLI's mains and services contractor agreements expire

[72] *See*, Case 15-G-0151, Proceeding on Motion of the Commission to Consider Implementation of a Recovery Mechanism to Support the Accelerated Replacement of Infrastructure on the Natural Gas System, *Order Instituting Proceeding for a Recovery Mechanism to Accelerate the Replacement Of Leak Prone Pipe*, (issued and effective April 17, 2015) at p 6.

in the Rate Year, KEDLI entered into a new agreement with one of its contractors at the beginning of FY 2020 at significantly increased pricing as compared to the last several years. (Tr. 4536, lines 8-11). As the Companies' GIOP testified, KEDLI the increased pricing is due to a combination of external cost drivers, such as increases in dumping costs and process improvements that drive overall safety and customer benefits.

The Companies have completed contract renegotiations with certain contractors that will provide this work. A copy of the renegotiated agreement was provided in the Company's response to IR No. DPS-1043. Exhibit 596 (SGIOP-09), p.2. The agreement results in reduction of the program's unit costs from $306 per foot to $304 per foot, as shown in Exhibit 372 (GIOP-4SS). Revising the cost per foot reduces KEDLI's capital expense forecast by $1.929 million in the Rate Year, as shown in Exhibit 369 (GIOP-1SS). Therefore, the Companies' updated unit cost calculations reasonably account for known cost drivers in the Rate Year and Data Years that differ from the prior period and should be accepted. Tr. 4536, lines 14-16.

While the SGIOP supports the Companies' LPP removal programs, Staff opposes the Companies' inflation adjustments to reflect its revised contractor costs. The SGIOP concedes that – as a general matter – the Companies' forecasts should be adjusted to reflect increasing contractor costs. Tr. 4774-75, lines 23-25 and lines 2-4. In this case, the Companies have provided contracts supporting the updated costs and forecasts of the impact of new contractor rates. Tr. 4775-76, lines 24-25 and lines 2-6. The SGIOP's proposed adjustment are not supported by a market assessment of contractor costs in NYC to refute the Companies' position, or even a suggestion the proposed contractor rates are higher than market rates in New York. Without accounting for these known contractor increases, and holding the Companies to the proposed replacement targets, the SGIOP is guaranteeing the Companies' rate allowance will be underfunded. This will jeopardize

the Companies' ability to keep pace with its LPP targets, the Commission's goals for LPP removal, and the associated methane reduction.[73]

c. Corrosion Program (KEDLI)

The SGIOP's Exhibit 526 (SGIOP-4, p. 5) shows removal of $0.73 million from KEDLI's Corrosion Program, but the adjustment is not discussed in the SGIOP's testimony, and therefore is not supported.

d. Main Replacement Program: Unit Costs, Inflation Factors

See section b. above.

e. Transmission Station Integrity Program

The SGIOP acknowledges the Companies are required to follow federal gas safety regulations, including those promulgated by PHMSA, and that integrity management and integrity verification have been topics of considerable focus at PHMSA in recent years. Tr. 4781, lines 2-12. Notwithstanding, the SGIOP proposes adjustments to the Transmission Station Integrity Program to remove approximately 94 percent of the programs' Rate Year budgets, effectively gutting the programs and compromising the Companies' ability to achieve timely compliance with the PHMSA regulations that will be in place in the Rate Year. Tr. 4537, lines 10-13. The SGIOP's only basis for the reduction is that the Companies have not identified specific station projects, so the design phase funding should be removed until the Companies have completed records evaluation and project identification. Tr. 4668, lines 10-17.

[73] Citing the numerous benefits of LPP removal, the Staff Pipeline Safety Panel supports an increase to the negative revenue adjustments associated with failure to achieve the Companies' leak prone pipe replacement targets from 8 basis points to 15 basis points. Tr. 4048-49, lines 20-24 and lines 1-2. The SGIOP's proposed funding reductions for the LPP program would hamper KEDLI's ability to deliver this program at a time when Staff is supporting more stringent targets and additional penalties in this area.

As is stated in the Companies' GIOP direct testimony, the Transmission Station Integrity Program is similar to the Companies' Integrity Verification Program and is intended to enable timely compliance with PHMSA regulations that will be in place in the Rate Year. The regulations will require records review and verification for transmission station facilities and capital station rehabilitation or replacement projects where records are inadequate or the Companies are unable to demonstrate that the facilities meet PHMSA's fit for purpose standards. The SGIOP correctly notes that this program is just ramping up; however, based on the initial records review results, the Companies' experience with the transmission pipeline IVP program, and the Companies' knowledge of the vintages, characteristics, and past record keeping systems and practices for its existing transmission station assets, the Companies have reasonably concluded that approximately two stations per year will need either refurbishment or replacement in each year.

The SGIOP concedes that, to the extent the Companies' review produces projects that the company feels they need to complete under the regulations, the Companies should perform this work. Tr. 4781-4782, lines 23-25 and lines 2-3. The Companies' forecasts were generically based on conservative estimates for replacing stations but waiting to identify specific projects is not an option considering the pace that will need to be maintained to ensure compliance. Therefore, it is vital that the design costs are included in the Rate Year.

3. Reliability

The Companies' reliability investments are designed to maintain safe, reliable service to customers. Tr. 4308, lines 5-7. The Reliability category includes programs related to gas control, heaters, reactive Instrument & Regulation ("I&R"), pressure regulating facilities, valve installation/replacement, remote-controlled valves, gas planning, system reliability, water intrusion, system automation and control line integrity, special station projects (including over-pressure protection), storm hardening (remote control valves), and reliability and storm hardening.

Tr. 4308, lines 7-13. Significantly given the current supply constraints in downstate New York, reliability investments also include critical projects to provide pressure support, outage contingency, and operational flexibility, as well as investments in on-system liquified natural gas ("LNG") and CNG facilities. Tr. 4318.

The SGIOP generally supports the Companies' reliability programs and, with few exceptions, does not recommend that the Companies eliminate any reliability programs: "the [SGIOP] has not recommended elimination of any projects or programs from this category. And generally, we do support, you know, the company's ability to select, rank, and prioritize projects and programs within this category." Tr. 4782-4783, lines 21-25 and line 2.

Instead, the SGIOP applies a blanket "slippage adjustment" – which is an across-the-board percentage reduction to the budget based on prior years' actual spending against the entire budget category. Tr. 4676, lines 15-18. The SGIOP determined that KEDNY and KEDLI have typically spent approximately 74 percent and 71 percent, respectively, of their total budgets in the Reliability category. The SGIOP reasons that the Companies' spending in the Rate Year and Data Years for the entire category should be limited to this trend and, therefore, removes 26 percent and 29 percent from the Reliability category total forecast for KEDNY and KEDLI, respectively. Tr. 4676, lines 12-15.

a. Slippage Adjustment

The SGIOP's blunt method of applying significant adjustments to critical reliability projects the panel otherwise supports is flawed and unreasonable. The adjustments to the projects and programs included in the category are in the first place unsupported, and the adjustment will hinder the Companies' ability to deliver important programs that are needed to enable continued safe and reliable service in downstate New York. A blanket adjustment to a spending category that fails to carefully consider the unique factors that influence historic spending variances, or the

factors considered by the Companies when projecting forecasts for each program, is inappropriate. Variances may be experienced for a host of valid reasons, including factors outside the Companies' control. For example, the Metropolitan Reliability Infrastructure ("MRI") Project experienced delays due to a design change required by a municipality, and, as is stated in KEDNY's GIOP's Direct Testimony, the LNG Salt Water Pump House Project experienced delays resulting from unanticipated permit requirements and stipulations imposed by the FDNY. Tr. 4541, lines 6-10.

The SGIOP agrees that in a given year projects may move in or out of the Companies work plan for any number of legitimate reasons; items like operational priorities, permits, damage, and regulatory mandates can impact the investments; and capital projects can be accelerated or deferred into another year. Tr. 4784, lines 2-11. The SGIOP is not suggesting that the Companies should perform 74 percent or 71 percent of the programs in the Reliability category (Tr. 4787, lines 5-9) – but are suggesting the Companies can somehow deliver all of this work at significantly lower costs – a proposition that is without support in the record.

The forecasts for the various projects and programs in the Companies' Reliability Category are based on different needs and forecasting methodologies. Historic spending trends do not necessarily reflect the Companies' funding requirements in the Rate Year. For example, in the Heaters program, heaters must be replaced as they reach the end of their useful lives, so that the program needs can vary significantly depending on the age of assets. Additionally, station refurbishments or replacements are risk-driven, and the work plan is in part dependent on the conditions of the assets as they continue to age. These are the types of factors the Companies consider when setting future project and program budgets, and they are wholly ignored by the SGIOP's attempt to adjust an entire category of spending based on historic trends without

sufficient analysis or support. A blanket slippage adjustment does not consider any of these factors. Tr. 4541, lines 12-21.

Simply put, the Companies cannot deliver their reliability programs with 70 to 75 percent of the proposed budgets. The forecasts for critical projects like Northwest Nassau or MRI are built on detailed analysis of the workplan requirements and cost elements – and simply trimming these program budgets by 25 percent or more is unsupported and unreasonable. If the Companies divert funding to higher priority projects and programs in the spending category, other projects and programs may need to be deferred altogether, increasing overall safety and reliability risk on the system.

i. Impact On The Companies' CNG/LNG Investments

The Companies' interim plans to ensure the peak day supply needed to serve new customers rely on the expanded deployment of CNG. Tr. 4570, lines 14-15. There are two existing CNG injection sites in KEDLI's service territory at Glenwood and Riverhead (available January 2020), which will be utilized to serve peak demand for the winter 2019/2020. For the winter 2020/2021, to meet increased gas demand from new and existing customers, the Glenwood CNG facility will be expanded to double its capacity. Tr. 4570-71, lines 15-21 and line 1. Two additional CNG injection facilities (a third and a fourth CNG facility) will be required in KEDLI's service territory at locations to be determined. Tr. 4571, lines 1-3.

The Companies' plans for interim solutions to the capacity constraints also involve additional reliance on the Companies' LNG capabilities, including updates to the tank upgrade programs and to KEDNY's LNG Truck Load/Unload Station Program. Additionally, new investments are required for KEDNY's Greenpoint LNG site to add (i) a new portable LNG facility and (ii) two additional vaporizers. Tr. 4572, lines 3-8. Considering the age of the tanks and the importance of reliable operation of the Companies' LNG facilities, particularly now that the

Companies will be adding new customers over the next several winters, the Companies have designed a more streamlined and targeted approach to performing inspections and repairs on the tanks. This work scope will ensure that the tanks are in service for the winter heating seasons. Tr. 4572-4573, lines 17-21 and lines 6-7. KEDLI's Holtsville LNG Tank will be taken out of service during the Spring of 2023 and will be back in service by November of 2023.

The SGIOP's proposed slippage adjustments in the reliability category are especially concerning given the supply constraints impacting downstate New York, the reliance on CNG and LNG solutions to support system pressures over the next two winters, and the Companies' commitments to add new customer load on the backs of these solutions. The Companies' planning in this area requires careful consideration of the timing and impact of various reliability projects on the system, which is completely frustrated by the SGIOP's proposed adjustments in this area.

b. Storm Hardening Investment Additions (Mini-Gate stations, Meter Elevations, Remote Shutoff Valves, Residential Methane Detectors, And Flood Study For Greenpoint LNG Site)

KEDNY and KEDLI are prepared to implement a storm hardening program to install remote service shutoff valves on thousands of gas services within the Federal Emergency Management Agency's designated flood zones. Tr. 4315-16, lines 20-21 and lines 1-2. These valves will add a layer of protection for services that are susceptible to storm surge and flooding that could cause over pressurization of the gas facilities connecting customers' premises; will allow for remote operation and monitoring in these areas; and will enable the Companies to stop the flow of gas as soon as flooding is detected. Automated valves also provide a real-time count of services impacted by flooding to inform the Companies' storm response about the resources needed to restore the affected customers expeditiously and allow the Companies to interrupt only those services impacted by flooding. Tr. 4316-4317, lines 11-21 and lines 1-9.

The parties generally support the Companies' storm hardening program. Indeed, the SGIOP testified that it "supports the company's ability to prioritize and -- projects and programs that seems best fit to reliably and safely provide service with in its ser -- service territory." Tr. 4791, lines 11-15. However, the SGIOP goes on to recommend, without identifying any specific issue with the valve technology, deferring the program for one year to allow for additional field testing. Tr. 4791, lines 16-21.

The GIOP testified that the Companies are on track to begin deployment of the program in the Rate Year. Tr. 4543, lines 6-7. Because contracts are in place with vendors for the valves and for support systems, and work is required during the Rate Year on communications network, IT changes to the Companies' customer systems, data security, and other supporting systems, the costs of these programs cannot easily be deferred. Tr. 4543, lines 7-10. As the GIOP explained: "[t]he Companies cannot simply cease this ongoing work for one year in the Rate Year and then start it up again. Moreover, the Companies and the manufacturer are conducting extensive testing on the valves that is expected to be complete by the end of December 2019. While contractual obligations may not allow for complete deferral of the program out of the Rate Year, the Companies are evaluating the possibility of extending this program to phase installations more slowly and allow for additional in-field testing and trouble-shooting and possibly third-party testing." Tr. 4543, lines 15-21. The SGIOP is correct that the Companies need to make the investments to safely provide service, and the Companies have made the case that the storm hardening program will provide significant safety benefits and is ready for deployment. For these reasons, there is no basis to remove the costs of the program from the Rate Year.

i. NYC Storm Hardening Recommendations

NYC makes several recommendations related to storm hardening, including: accelerating storm hardening of two mini-gate stations; developing guidelines for standard elevations for new

meter set installations in flood zones; and commissioning a third-party flood vulnerability study of the Greenpoint LNG facility to be completed by the end of the Rate Year. Tr. 5435-36.

As is noted by NYC, the Companies recently hosted a Storm Hardening Collaborative with NYC and other interested parties to develop storm hardening recommendations that are detailed in a report filed on April 26, 2018 in the 2016 KEDNY and KEDLI Rate Cases, and have implemented all of the recommendations in the report. Tr. 5435, lines 17-19. The Companies' investment plans include specific investments (*e.g.*, LNG projects) that directly resulted from the collaborative. While climate change impacts are a significant consideration, the Companies must allocate available resources in any given year toward projects and programs that address various risks to ensure safe and reliable service to customers – and the Companies proposals in these cases are designed to prioritize projects and allocate funding based on a comprehensive, holistic risk assessment. For these reasons, the Companies do not believe that additional investments are warranted in the Rate Year ensure system reliability. Tr. 4554, lines 10-11.

ii. Mini-gate stations

The Companies' 10-year station work plan is risk-based and considers multiple significant factors including the age and current condition of each station. As a result of the Storm Hardening Collaborative, the Companies now specifically consider location in flood zone as a factor in this analysis. However, as NYC states, the Clifton Gate and the Citizens Gate stations, and an additional seven located within FEMA flood zones are included in the 10-year plan but are not currently scheduled to be addressed until after year five. This is due to the need to address other stations located outside of the flood zone that score higher from a total overall risk standpoint. Tr. 4554, lines 18-20. To accelerate work on the stations as NYC suggests, either other stations that are riskier would need to be deferred, or the Companies would require significant additional resources to convert its 10-year plan into a 5-year plan for all stations. Even with significant

additional funding, however, it is not clear that such an accelerated plan is even possible given overall levels of qualified resources available to conduct the work. Additionally, the Companies and NYC note that regarding the Clifton Gate and Citizens Gate Stations, there are other system redundancies to mitigate flood risk. The Companies also re-assess all stations and the work plan every three years – so that if total conditions at stations within flood zones warrant, these stations may move up in priority in future iterations of the 10-year plan. In short, the Companies' approach to mini gate station refurbishment and replacements is reasonable and should not be revised based solely on flood zone locations. Tr. 4554-55, lines 20-23 and lines 1-9.

iii. Meter Set Elevations

In response to the work coming out of the Storm Hardening Collaborative, the Companies conducted an analysis of the feasibility of standardizing guidance for meter set elevations in flood zones and do not recommend increasing the standard height design. Tr. 4555, lines 10-13. The Companies conducted outreach among other utilities, the majority of whom indicated they were not increasing the height of the meter sets or regulators. Tr. 4555, lines 13-15. The Companies also considered the geography of its service territory and found that the flood baseline varies drastically, which creates a significant challenge for determining an alternate standard design height. Therefore, increasing the standard height design for regulators and meters sets for new installations is not advisable.

iv. Greenpoint LNG Flood Study

The Companies conducted a flood study in response to the Storm Hardening Collaborative. The study identified the critical components and facilities at the Greenpoint LNG site and used an overlay map that included flood risk data NYC provided. Tr. 4556, lines 3-6. Several of the projects planned for the LNG sites in the Rate Year and Data Years address the risks identified. In short, the Companies are aware that the Greenpoint LNG site is subject to flooding and climate

change impacts and are now targeting specific critical assets to address flooding risk. The Companies will continue to evaluate their 10-year capital investment plans for opportunities to make further improvements that address climate change impacts at this site. Tr. 4556, lines 6-12. NYC's recommendation to conduct a third-party study that is more detailed could be considered in the future to inform future investments but would have limited value for Rate Year planning.

4. *Non-Infrastructure Programs; Cost Calculation Using Historic Averages*

a. Green Infrastructure Assets; Use Of Six-Foot Clearance For Facility Installation

NYC expresses general concern that the Companies' construction work is performed without adequate consideration of NYC's Green Infrastructure Assets and recommends that the Companies: (i) install their facilities six feet from the curb rather than three feet; (ii) provide notice to NYC agencies prior to street openings; and (iii) attend additional training related to the Green Infrastructure Assets. Tr. 5455-56. As explained by the GIOP, the Companies are willing to coordinate with NYC on this issue and can discuss additional training that the Companies assume would be provided by NYC. However, the Companies are unable to commit to a standard six-foot clearance for installations. The Companies' construction work is varied, and the Companies must operate within existing rights-of-ways, avoid conflicts with other infrastructure, and comply with other permit stipulations and municipal code requirements. Tr. 4556-57. While the Companies are open to further discussions with NYC on this issue, and agreeable to coordinating with NYC to mitigate the impact on Green Infrastructure, this issue is not appropriately addressed in the context of these rate cases.

b. Union Requirement (Building and Construction Trades Council Of Greater NY) And Labor Costs

The New York State Laborers' Organizing Fund recommends that the Companies hire only union labor from construction trade locals affiliated with the Building and Construction Trades

Council of Greater New York. Tr. 5705, lines 13-15. The Companies value the expertise and dedication that their large number of contracted employees bring to their jobs, including the significant number of employees represented by organized labor. However, the Companies cannot limit their contractor work force to only union laborers. Such a restriction would remove market competition for labor resources, impairing the Companies' ability to obtain qualified contractor services at the least cost, and risking cost increases that customers would ultimately bear. Therefore, restricting hiring to union-only labor is not appropriate. Tr. 4557, lines 17-23.

B. Net Plant True-up

As discussed above, the Companies agree to continue the net plant capital tracker mechanism that was adopted in the 2016 KEDNY and KEDLI Rate Cases.

C. CapEx Reporting Requirements

In a one-year rate case, the Companies support capital reporting that is aligned with the reporting structure adopted in the 2016 KEDNY and KEDLI Rate Cases. Because the Companies will be filing another rate case almost immediately, Staff and other parties will have opportunity to examine the Companies' capital expenditures in the Rate Year in the context of those proceedings. For these reasons, there are no grounds for implementing additionally burdensome reporting requirements in a one-year case.

D. Earnings Base Capitalization / Working Capital - City/State Construction Accounts Receivable Balance

1. KEDNY's Rate Base Should Be Increased By $28.273 Million To Permit The Company To Earn A Return On The City-State Construction Expenditures That Will Be Placed In Service But Not Reimbursed By NYC During The Rate Year

In its filing, KEDNY proposed to make a normalization adjustment to its proposed Earnings Base/Capitalization ("EB/CAP") calculation and an offsetting adjustment to a separate working capital component in the Historic Test Year to isolate and specifically identify a CSC

accounts receivable balance of $58.744 million. Tr. 2037. The $58.744 million adjustment represents the outstanding Historic Test Year balance of capital and operating expenditures that NYC is required to reimburse KEDNY for CSC capital expenditures that KEDNY has incurred to enable NYC to execute it municipal work plan. Tr. 2037. NYC is required to reimburse KEDNY for these expenditures under the Gas Facility Cost Allocation Act. Tr. 2533.

In addition to the Historic Test Year CSC adjustment, KEDNY proposed to make a CSC-related working capital adjustment to reflect the projected increase in working capital associated with reimbursable CSC expenditures between the end of the Historic Test Year and the end of the Rate Year. Tr. 2037. This adjustment increases Rate Year rate base by $28.273 million. *Id*. This adjustment reflects the fact that the balance of reimbursable CSC costs is projected to increase through the Rate Year as a result of both an increase in CSC work and the continued length in time it will take NYC to reimburse KEDNY for the CSC expenditures. Tr. 2038. While Staff acknowledges that there is no revenue requirement impact associated with the Historic Test Year CSC adjustment of $58.744 million, Staff opposes both this adjustment as well as the proposed Rate Year adjustment. *Id*. Staff's recommendation would reduce KEDNY's rate base by $28.273 million. *Id*.

Staff's proposed adjustment should be rejected. The projected CSC-related costs of $28.273 million will be prudently incurred by KEDNY to assist NYC in completing its work plan. Tr. 2038. As the record shows, if a portion of these CSC-related costs were not reimbursable under the Gas Facility Cost Allocation Act, they would be reflected in rates during the Rate Year. Tr. 2533.[74] Thus, there is no sound reason for prohibiting KEDNY from recovering the costs of financing these reasonable expenditures during the period in which they remain unreimbursed.

[74] As Staff acknowledged on cross-examination, the Commission has historically permitted KEDNY to recover CSC-related costs on a current basis.

While Staff offered five reasons why the Commission should reject KEDNY's proposed adjustment, none of these withstands scrutiny. First, contrary to Staff's claim there is nothing inconsistent between the Commission's longstanding use of the Federal Energy Regulatory Commission's ("FERC") working capital formula and KEDNY's proposal in this case. As the Commission recognized in *Re Long Island Lighting Co.*, the FPC working capital formula compensates a utility only for the financing requirements "caused by the lag between the provision of service and billing for that service. It does not compensate KEDNY via rates for the unbilled revenues which relate to service at the end of the rate period which will not be billed until the next rate period." [75] Similarly, in this case, the FERC working capital formula does not compensate KEDNY for the cost of financing reimbursable CSC expenditures that are not and never will be reflected in rates because they will be paid for by NYC. Tr. 2039-40.

Contrary to Staff's claim, the proposed recognition of KEDNY's growing balance of reimbursable CSC costs in rates does not obviate the need for, or double count, the cost items captured through the use of the FERC working capital formula. The FERC formula captures costs, such as taxes, that are paid in rates. The FERC formula does not capture the carrying costs on unreimbursed CSC expenditures that are not otherwise recovered in rates.[76] KEDNY acknowledges that as a general matter, the Commission uses the FERC working capital formula to capture and permit recovery of costs associated with KEDNY's requirement to fund working capital associated with costs reflected in rates in the Rate Year. KEDNY is not seeking to change this approach for costs that are otherwise included in rates. Instead, KEDNY merely seeks to

[75] 31 N.Y.P.S.C. 2473, 129 P.U.R. 4th 131 (November 26, 1991).; *see also Re Long Island Lighting Co.*, 1992 WL 675305 (June 1, 1992).
[76] Similarly, contrary to Staff's claim (at Tr. 2415-16), the carrying costs for unpaid amounts associated with unreimbursable CSC expenditures are not recovered through the Historic Test Year EB/CAP adjustment, which, by its definition, applies only to Historic Test Year costs. Tr. 2042.

recover in rates the carrying costs associated with a single cost item that KEDNY is required to fund for the benefit of customers, and which cannot be recovered in any other way. Staff's failure to afford KEDNY any opportunity to recover the unavoidable carrying costs associated with unreimbursable CSC expenditure is simply unreasonable.

Similarly unreasonable is Staff's claim that KEDNY's proposed CSC-related working capital adjustment should be rejected because KEDNY is "at least partially, at fault for, and contributed to, the long lag time in getting reimbursed by the City for its reimbursable CSC costs." Tr. 2416. As KEDNY's Revenue Requirement Panel explained:

> The primary cause of the backlog with respect to reimbursable CSC costs is the fact that NYC significantly increased its municipal work plan in 2017. This in turn increased CSC construction costs as well as requested reimbursements. In addition, NYC has also increased the audit scrutiny applied to reimbursable CSC costs, further increasing the payment lag. While KEDNY has been working with NYC representatives to attempt to improve the timing for processing CSC invoices, the simple fact of the matter is that NYC has policies and procedures in place that render it likely that there will be a 21-month lag between the time reimbursable CSC expenditures are booked and the time they are paid. The $28.273 million rate base adjustment proposed in this case for the Rate Year reflects KEDNY's reasonable efforts to speed up collection of reimbursable CSC costs. The fact that KEDNY has attempted to speed up the recovery process provides no basis to require KEDNY to bear the full costs of financing unrecovered reimbursable CSC 3 costs.

Tr. 2043-44.

Finally, Staff's claim that KEDNY should not recover the carrying costs on unpaid reimbursable CSC expenditure because KEDNY's cost sharing agreement with NYC does not include a deadline for payment or the ability to assess a late payment charge for unpaid amounts disregards reality. The Gas Facility Cost Allocation Act does not require NYC to pay KEDNY within a particular timeframe or require NYC to pay late payment charges. Tr. 2044. Thus, NYC pays its bills when it determines that it is administratively (Tr. 2415) and financially able to do so. While KEDNY has tried, and will continue to try, to reach an amended agreement with NYC, it is

inconceivable that any such agreement will not permit NYC a significant amount of time to audit, process and pay KEDNY's reimbursable CSC costs. Tr. 2044. The 21-month period underlying KEDNY's cost recovery proposal in this case is the expected timeframe for payment for NYC for the foreseeable future. *Id.*

The Gas Facility Cost Allocation Act permits KEDNY to obtain substantial benefits for its customers by requiring NYC to reimburse KEDNY for certain CSC expenditures. Once CSC expenditures are reimbursed, these costs do not affect customers' rates. Thus, KEDNY's ability to obtain reimbursement of CSC-related capital costs has allowed KEDNY's customers to save millions of dollars of costs. At the same time, the ability to obtain these cost savings imposes a cost on the Company due to the lag between the time the costs are incurred and the time they are paid. Given the magnitude of the benefit to customers of CSC reimbursement, it is unreasonable to require the Company to bear the cost associated with the payment lag between the time the Company incurs CSC costs and the time those costs are reimbursed by NYC. Accordingly, Staff's proposal to the contrary should be rejected.

VII. FINANCIAL ISSUES

In the context of a one-year rate case, KEDNY's proposed revenue requirement reflects an overall after-tax rate of return of 6.76 percent for the Rate Year ending March 31, 2021. This return is based on the following capital structure and cost rates: [77]

	Capitalization Rate	**Cost**	**Weighted Cost**
	%	**%**	**%**
Long-Term Debt	**51.58**	**4.14**	**2.13**
Customer Deposits	**0.42**	**2.45**	**0.01**
Common Equity	**48.00**	**9.65**	**4.63**
Total:			**6.77**

[77] Exhibit 403 at 6.

KEDLI's proposed revenue requirement reflects an overall after-tax rate of return of 6.74 percent for the Rate Year. This return is based on the following capital structure and cost rates:[78]

	Capitalization Rate	Cost	Weighted Cost
	%	%	%
Long-Term Debt	**51.37**	**4.06**	**2.09**
Customer Deposits	**0.63**	**2.45**	**0.02**
Common Equity	**48.00**	**9.65**	**4.63**
Total:			**6.74**

The Companies' proposed capital structure and cost rates for long term and customer deposits were primarily supported in the testimony and exhibits of Jonathan Cohen.[79] Tr. 5202-54. The Companies' ROE was primarily supported by the testimony and exhibits of Ann E. Bulkley. Tr. 4949-5128.

The Staff Finance Panel ("SFP") is the only other witness panel/party sponsoring a comprehensive capital structure and cost of capital. The SFP recommends an overall after-tax rate of return for KEDNY of 6.09 percent based upon the following capital structure and cost rates:[80]

	Capitalization Rate	Cost	Weighted Cost
	%	%	%
Long-Term Debt	**51.57**	**4.14**	**2.14**
Customer Deposits	**0.43**	**2.45**	**0.01**
Common Equity	**48.00**	**8.2**	**3.94**
Total:			**6.09**

The SFP recommends an overall after-tax rate of return for KEDLI of 6.05 percent based upon the following capital structures and cost rates:[81]

[78] Exhibit 407 at 6.

[79] David B. Doxsee and James M. Molloy also adopted Mr. Cohen's testimony. Tr. 5255-57.
[80] Exhibit 515, Schedule 6.
[81] Exhibit 514, Schedule 6.

	Capitalization Rate	Cost	Weighted Cost
	%	%	%
Long Term Debt	**51.37**	**4.06**	**2.09**
Customer Deposits	**0.63**	**2.45**	**0.02**
Common Equity	**48.00**	**8.2**	**3.94**
Total:			**6.05**

There are three broadly contested financial issues that will be addressed below:

(i) The appropriate return on equity;

(ii) Whether the Commission should use historical or forecast interest rates to establish the cost of KEDNY's new issuance of long-term debt in the Rate Year; and

(iii) Whether an earnings sharing mechanism should be imposed on the Companies for years beyond the Rate Year.

A. Return on Equity

1. Introduction

The Companies' proposed return on equity of 9.65 percent is supported primarily by the testimony and exhibits of Ann E. Bulkley; a Senior Vice President of Concentric Energy Advisors, Inc. Tr. 4951. Ms. Bulkley has over 20 years of experience in the energy industry and has provided expert testimony on cost of capital in more than 30 proceedings before state and federal regulators. *Id.*, Exhibit 159.

To estimate the Companies' cost of equity, Ms. Bulkley employed three methods that have been utilized to establish the cost of equity in proceedings before the Commission for many years: (1) a multi-stage Discounted Cash Flow ("DCF") analysis, and (2) two forms of the Capital Asset Pricing Method ("CAPM"). Tr. 4953, 5000. To develop her ROE recommendation, Ms. Bulkley developed two proxy groups: a Natural Gas Utility Proxy Group that consists entirely of natural gas distribution companies and properly recognizes that the return in this case is being established

for two natural gas distribution companies, and a Combined Utility Proxy Group that includes both electric utilities and natural gas distribution utilities. Tr. 4953. To select the Combined Utility Proxy Group, Ms. Bulkley began with the companies that Value Line classifies as "Natural Gas Distribution Companies" and "Electric Utilities," a group that includes 49 domestic U.S. utilities. Tr. 4991. From this group, Ms. Bulkley eliminated:

- companies that are not covered by at least two utility industry equity analysts;
- companies that do not have investment grade corporate credit ratings and/or senior unsecured bond ratings according to Standard & Poor's ("S&P) and Moody's;[82]
- companies that have not paid regular dividends or do not have positive earnings growth projections from at least one source;
- companies that have owned electric generation comprising greater than 60 percent of their Megawatt Hour sales to ultimate customers;
- companies with less than 70 percent of total operating income derived from regulated utility operations; and
- companies known to be parties to a merger, acquisition or other transformational transactions.

Tr. 4991-92. Ms. Bulkley's Combined Utility Proxy Group consisted of 20 gas and/or electric utility holding companies. Tr. 4992-93.

To select her Natural Gas Utility Proxy Group she began with the ten domestic U.S. utilities that fall within this group, and employed essentially the same criteria as for the Combined Utility Proxy Group except that she eliminated companies that derive less than 50 percent of their total

[82] S&P and Moody's, along with Fitch, are the major rating agencies that evaluate the Companies' debt. Tr. 3310, 4990, 5233-34.

operating income from regulated natural gas distribution operations. Tr. 4998. Ms. Bulkley's Natural Gas Pricing Group consists of seven natural gas distribution utilities. Tr. 4998-99.

To obtain her estimate of the DCF[83]-derived cost of equity, Ms. Bulkley employed a multi-stage form of the DCF model. Tr. 5000. The multi-stage form defines the cost of equity as the discount rate that sets the current price equal to discounted value of future cash flows and reflects the possibility that near five-year growth rates may not be reasonable in perpetuity, and that dividends payout ratios could vary over time. Tr. 5004. In the multi-stage model used by Ms. Bulkley, the first stage is a short-term growth period that consists of the first five years, the second period is a transition period that occurs over years six through ten and the third period is the long term growth period that begins in year eleven and continues to perpetuity. Tr. 5005.

Ms. Bulkley's DCF results were based on the average market closing prices for the proxy companies over the three months ended February 28, 2019. Tr. 5007. In the first stage of the model she relied on three-to-five year earnings growth estimates reported by First Call, Zacks and Value Line. *Id.* For the third stage she relied on long term projected growth in Gross Domestic Product. *Id*. The second stage rate is a transition from the first stage to the long-term growth rate on a geometric average basis. *Id*. The long term growth rate of 5.56 percent is based on the real GDP growth rate from 1929 through 2018 of 3.22 percent and a projected inflation rate of 2.27 percent derived from three sources.[84] Tr. 5012. Ms. Bulkley's DCF analysis produced mean ROEs

[83] The DCF is based on the theory that a stock's current market price represents the present value of all expected future cash flows which are all expected future dividends. Tr. 5004.

[84] The inflation projections were the (1) the average long-term growth rate in the Consumer Price Index ("CPI") of 2.2 percent for 2025-2029 as reported by Blue Chip Financial Forecasts, (2) the compound annual growth rate for CPI for all urban consumers for 2029-2050 of 2.31 percent as projected by the Energy Information Administration in the Annual Energy Outlook 2018, and (3) the compound annual growth rate of the GDP Chain-type price index for 2029-2050 of 2.29 percent also reported in Annual Energy Outlook 2018. Tr. 5012-13, Exhibit 161.

of 9.04 percent from the Natural Gas Utility Proxy Group and 9.20 percent from the Combined Utility Proxy Group. Tr. 5019.

Ms. Bulkley employed two forms of the CAPM to derive her cost of equity, the traditional CAPM and the zero-beta CAPM, both of which have been used by the Commission in prior cases.[85] Tr. 5021-22, 5025. In her CAPM analyses, Ms. Bulkley utilized three estimates of the yield on 30-year Treasury bonds as her risk-free rate. Tr. 5021-22.[86] To determine the market-risk premium, she used the expected return on the S&P 500 stock index calculated using a DCF model for all companies in the index based on market capitalization weighted growth rates and dividend yields less the 30-year Treasury bond yield. Tr. 5022-23. For the beta coefficient, Ms. Bulkley chose the average beta coefficient for proxy group companies as reported by Bloomberg and Value Line.[87] Tr. 5023 Ms. Bulkley's analyses produced a mean CAPM result for the Natural Gas Proxy Group of 10.95 percent and a mean CAPM result for the Combined Utility Proxy Group of 10.72 percent. Tr. 5026-27.

Ms. Bulkley asserted that the results of both the DCF and CAPM models have been affected by market conditions and, with traditional data inputs, have a tendency to underestimate the current cost of equity. Tr. 5002. Specifically, the DCF model is less reliable in current market conditions because dividend yields are at low levels that are not expected to continue. *Id.* Similarly, the results from the CAPM are also affected by current artificially low yields on Treasury bonds. *Id.*

[85] The two forms of the CAPM are referred to as the "traditional" CAPM and the "zero-beta" or "Empirical" or "E-CAPM." Tr. 5025-26. The zero-beta/E-CAPM addresses the tendency of the traditional CAPM to underestimate the cost of equity for companies with low beta coefficients such as regulated utilities. Tr. 5026.

[86] These estimates were (1) the three-month current average yield on 30-year Treasury bonds, (2) the projected 30-year Treasury yield for 2019-2020, and (3) the projected 30-year Treasury yield for the 2020-2024 period. Tr. 5021-22.

[87] Beta coefficients as reported by Bloomberg were calculated using ten years of weekly returns relative to the S&P 500 indExhibit. Tr. 5023. Value Line's calculation is based on five years of weekly returns related to the New York Stock Exchange Composite Index. *Id.*

However, the use of projected yields on Treasury bonds and a forward looking computation of the expected return on the total market less the risk-free rate produces returns that are more reflective of market conditions. *Id*. Therefore, the CAPM may be more reliable than the DCF under the current market conditions. Tr. 5003. While Ms. Bulkley recognized that the Commission traditionally has utilized a 2/3^{rds} DCF/1/3rd CAPM weight to determine utility ROEs (Tr. 4953-54), Ms. Bulkley concluded that in this case it was appropriate to equally weight the results of the DCF and forward-looking CAPM models. Tr. 5003.

In sum, Ms. Bulkley concluded that an appropriate ROE for the companies is within the range of 9.65 percent to 10.55 percent. Tr. 5052. The Companies' requested ROE of 9.65 percent is at the low end of the range and is conservative. *Id*.

The SFP utilized a model that has been applied in other rate cases before the Commission to arrive at 8.2 percent ROE recommendation. Notwithstanding the fact that the Companies are stand-alone gas distribution companies, to derive their ROE recommendation, the SFP did not consider any companies that are classified by Value Line as "Natural Gas Distribution Companies." Rather, the SFP used a proxy group of investment grade, Value Line listed electric and combination electric and gas utilities that had regulated revenues of at least 70 percent of total revenues, were currently paying common stock dividends, and were not currently included in any merger or acquisition activity. Tr. 3134-35. The SFP performed DCF and CAPM analyses and assigned two-thirds weight to the DCF result and one-third weight to the CAPM result. Tr. 3152-53.

In its DCF analysis, the SFP computed the yield component using three months of stock price data for the period April 2019 to June 2019. Tr. 3138. In computing the growth factor to be used in the DCF, the SFP performed a two stage analysis. Tr. 3139. In the first stage applicable

to the 2019-2023 period, the SFP utilized the forecast of dividend growth published in Value Line to determine the growth factor. *Id*. In the second stage applicable to the period beyond 2023,[88] the SFP relied on what is termed a sustainable growth analyses in which the growth rate is calculated for each company in the proxy group using an expected return on equity for the 2022-2024 period, a projected retention ratio and a factor intended to capture the projected growth in common equity through common stock issuances at prices in excess of book value, all as determined by Value Line. Tr. 3139-41, Tr. 5017. The SFP used the mean of its DCF result, 8.22 percent, as the DCF-derived cost of equity. Tr. 3143.

With respect to the CAPM, the SFP used the monthly average of 10-year and 30-year Treasury bond yields over a three-month period to estimate the risk-free rates. Tr. 3145. The SFP further relied upon an average of Value Line betas for the proxy group to determine a beta of 0.61 percent. Tr. 3145-46. The SFP also utilized information from Merrill Lynch to determine the market risk premium. Tr. 3146-47. The SFP performed analyses using the traditional and zero-beta CAPMs and derived an overall CAPM result of 8.04 percent. Tr. 3149-51. The SFP then weighted their DCF result 67 percent and their CAPM results 33 percent to arrive at a ROE recommendation of 8.16 percent that they rounded up to 8.2 percent. Tr. 3152-53.

As discussed more fully below, it is the Companies' position that the ROE recommended by the SFP does not pass muster under longstanding applicable legal standards and would achieve an end result that is at odds with over forty-years of Commission practice of providing rate support to allow utilities to maintain low "A" rated long-term debt ratings. The ROE recommended by the SFP is the product of its insistence on mechanically applying a methodology that has a number of inputs that produce unreasonably low returns. While the Companies recognize that many aspects

[88] The period beyond 2023 extends for 195 years, or 200 years in total. Tr. 3250.

of this methodology have been used by the Commission to establish ROEs in the past, the Companies nonetheless urge the Commission to reconsider some of these issues and to arrive at an end result that meets the statutory and constitutional standards for a just and reasonable return.

2. The Applicable Legal Standards

Under the Public Service Law ("PSL"), the Commission is charged with setting rates that are "just and reasonable."[89] Over seventy-five years ago, the United States Supreme Court explained the meaning of this standard in *Federal Power Commission v. Hope Natural Gas Co. ("Hope")*.[90] The Court stated:

> The rate-making process under the Act, i.e., the fixing of 'just and reasonable' rates, involves a balancing of the investor and the consumer interests. Thus we stated in the *Natural Gas Pipeline Co.* case that 'regulation does not insure that the business shall produce net revenues.' *315 U.S. p. 590*[.] But such considerations aside, the investor interest has a legitimate concern with the financial integrity of the company whose rates are being regulated. ***From the investor or company point of view it is important that there be enough revenue not only for operating expenses but also for the capital costs of the business. These include service on the debt and dividends on the stock.*** Cf. *Chicago & Grand Trunk Ry. Co. v. Wellman, 143 U.S. 339, 345-346*[.] ***By that standard the return to the equity owner should be commensurate with returns on investments in other enterprises having corresponding risks. That return, moreover, should be sufficient to assure confidence in the financial integrity of the enterprise, so as to maintain its credit and to attract capital.*** *See*, *State of Missouri ex rel. Southwestern Bell Tel. Co. v. Public Service Commission, 262 U.S. 276, 291*[] (Mr. Justice Brandeis concurring).

Hope at 603 (Emphasis added).

The notion of what constitutes a commensurate return "on investments in other enterprises having corresponding risks" was expanded upon by the Court in *Bluefield Waterworks & Imp. Co. v. Public Service Comm. Of W. Va.*, 262 U.S. 679, 692 (1923) where the Court stated:

> A public utility is entitled to such rates as will permit it to earn a return on the value of the property which it employs for the convenience of the public

[89] Pub. Ser. Law § 65.(1) (McKinney's 2011).
[90] 320 U.S. 591, 64 S. Ct. 281, 88 L. Ed. 333 (1944).

> equal to that generally being made at the same time and in the same general part of the country on investments in other business undertakings which are attended by corresponding risks and uncertainties[.]

In addition, in explaining how a regulatory commission should ensure that its results are just and reasonable, the Court in *Hope* emphasized that it was the end result that was of paramount importance. The Court stated:

> We held in *Federal Power Commission v. Natural Gas Pipeline Co.*, *supra*, that the Commission was not bound to the use of any single formula or combination of formulae in determining rates. Its rate-making function, moreover, involves the making of "pragmatic adjustments[.]" And when the Commission's order is challenged in the courts, the question is whether that order "viewed in its entirety" meets the requirements of the Act[.] ***Under the statutory standard of "just and reasonable" it is the result reached not the method employed which is controlling.*** Cf. *Los Angeles Gas & Electric Corp. v. Railroad Commission*, 289 U.S. 287, 304-305, 314[;] *West Ohio Gas co. v. Public Utilities Commission* (No.1), 294 U.S. 63, 70[;] *West v. Chesapeake & Potomac Tel. Co.*, 295 U.S. 662, 692-693 (dissenting opinion). ***It is not theory but the impact of the rate order which counts.***

320 U.S. at 602. (Emphasis added).

On a number of occasions, New York's courts have applied the *Hope* standards in proceedings involving review of Commission orders.[91]

3. The Objective Record Evidence Demonstrates That The 8.2 Percent ROE Recommended By The SFP Is Not Commensurate With The Return On Investments In Enterprises Having Corresponding Risks

The Companies submit that all of the objective evidence[92] in the record of this case demonstrates that the 8.2 percent ROE recommended by the SFP does not afford the Companies the opportunity to earn a ROE commensurate with the ROE on investments in enterprises having

[91] *See e.g., Abrams v. Public Service Commission*, 67 NY 2d 205, 492 N.E. 2d 1195; 501 NYS 2d 777 (NY 1986).

[92] By "objective evidence," the Companies are referring to evidence that was not created for the purpose of this case by one party or another. In this case, the objective evidence concerning ROE consists of information provided by Value Line, the credit ratings agencies, and the governments of the United States and other states.

corresponding risks. In this regard, the record shows that the SFP's recommended ROE would be 48 basis points lower than the lowest authorized ROE for a gas distribution company in the United States since 1980. Tr. 5060. Moreover, the proposed ROE would be 144 basis points lower than the average authorized ROE for gas distribution companies in all U.S. jurisdictions since July 2017. Tr. 5061. Finally, the record shows that the average ROE awarded by regulatory authorities in litigated gas utility cases in 2019 was 9.74 percent and the average ROE awarded to electric utilities in ligated electric utility cases was 9.58 percent. Exhibit 653 at 1.

In addition, the record shows that the average allowed equity ratio for gas utilities was 51.75 percent in 2019 and the average allowed equity ratio for electric utilities was 49.94 percent. *Id.* at 3. The SFP's proposed ROE of 8.2 percent applied to the Companies' 48 percent equity component is in no way commensurate with these authorized ROEs.[93]

More significantly, in this case, the SFP itself constructed a proxy group that consisted of 28 electric and combination electric and gas holding companies that the SFP believed were comparable to the Companies. Tr. 3132-37.[94] The SFP used Value Line data concerning this group to derive many of the inputs used in its DCF analysis. Tr. 3270-85. Specifically, the SFP utilized Value Line data set forth in Exhibit 654 to derive its estimate of the ROE that would be earned by the proxy group in 2023. Tr. 3272-3285.[95] Appendix 2 to this brief summarizes the data provided

[93] As the SFP agreed on cross-examination, return on equity dollars can be increased by either increasing ROE or the equity component of the capital structure. Tr. 3222.
[94] The Companies do not agree that the Staff Proxy Group was the most appropriate proxy group for establishing the Companies' cost of equity in these proceedings. However, to the extent that the SFP believes that its proxy group is comparable to the Companies, then there is an obligation under the *Hope* and *Bluefield* standards to afford the Companies a return commensurate with the returns earned by the proxy group. The comparability of the SFP proxy group is discussed in more detail *infra*.
[95] Exhibit 440 at page 2 of 2.

by Value Line concerning the members of the Staff proxy group as derived from Exhibits 440 and 654. This data shows the following results for the Staff Proxy Group:

Value Line Average ROE 2022-2024	**10.88 percent**
Value Line Average ROE 2020	**10.59 percent**
Staff Average ROE 2023	**11.14 percent**
Authorized ROEs for Regulated Utilities in Staff Proxy Group	**ROEs range between 8.7 percent and 12.25 percent**

Given this data, it is inconceivable that the Commission can find that the SFP's recommended ROE for the Companies is somehow comparable to the returns authorized and forecast for the proxy group that SFP itself considers to be comparable. This evidence by itself demonstrates that the SFP's recommendation fails to provide the Companies a reasonable opportunity to earn a return "equal to that generally being made at the same time and in the same general part of the country on investments in other business undertakings which are attended by corresponding risks and uncertainties." *Bluefield*, *supra*.

While it is perhaps theoretically conceivable that these ROE differences could be justified by significant differences between the Companies and the proxy group with respect to business, financial or regulatory risks, the record shows that no such meaningful differences exist. In this regard, the record shows that the business and financial risks and credit ratings of the Staff proxy group are close to those of the Companies.[96] Moreover, the record shows that while there may be aspects of New York regulation that are viewed by the financial community as being credit

[96] *See* Exhibit 438. The SFP's proxy group shows a S&P business profile that is "Close to Excellent" and a S&P financial profile that is "Close to Significant." In contrast, the Companies' financial risk are considered "significant" and their business risks are considered "excellent" by S&P. *See* Exs. 431 at 2, and 432 at 2.

supportive such as the use of a fully forecast test period in rate proceedings and the use of revenue decoupling and trackers for many large operating expenses,[97] those beneficial aspects are both common among the proxy companies and offset by other aspects of New York regulation that are seen as negative by the financial community. In this regard, the record shows that:

(1) Ms. Bulkley conducted an analysis that showed that New York's regulatory framework has somewhat greater risks than the jurisdictions in which the proxy group companies provide service. Tr. 5040. Although the differences are not significant, the operative fact is that there is no indication that the regulatory risks of the Companies are lower than the industry average by virtue of them being subject to New York regulation. *Id*.

(2) The SFP countered that a May 2017 Regulatory Research Report showed that regulatory risk in New York was decreasing as evidenced by its upgrading of New York's ranking from "Average/2" to "Average/1." Tr. 3205.

(3) Most recently, the major ratings agencies have indicated that the regulatory climate in New York is deteriorating.[98] Moody's has indicated that a recent threat to revoke the Companies' operating licenses is credit negative for all utilities in New York. Exhibit 657. More recently, Moody's issued credit ratings that confirmed that both Companies have long-term debt ratings of "A3" with a negative outlook that is the product in part of exposure "to the risk of further political/regulatory intervention over supply constraints." See Exhibit 658 at 2, Exhibit 659 at p.2.

[97] Tr. 3206.

[98] Standard & Poor's ("S&P") is somewhat more critical than other credit ratings agencies of the Companies' efforts at managing their political and regulatory risk in New York and emphasizes the Companies' "need to reestablish a trusting relationship with its key stakeholders in the state in order to effectively advance its strategies for all of its New York subsidiaries consistent with how it has done so in the past." *See* Exs. 662 and 663. However, this opinion does not detract from the relevant point here, that is that there is nothing about New York's regulatory environment that justifies a ROE for the Companies that is hundreds of basis points lower than the ROE's authorized and forecast for allegedly comparable entities.

Similarly, Fitch has stated that it "considers the regulatory environment in New York State to be challenging from a credit perspective, citing ROEs that are among the lowest in the U.S. and "political fallout from the 2019 natural gas moratorium" as factors that have "resulted in a less stable and more uncertain operating and regulatory environment." Exhibit 673 at 1.

The significance of this discussion is not to criticize New York regulation but merely to show that the existence of certain credit supportive elements of New York State regulation does not justify establishing a ROE that is hundreds of basis points below the returns authorized for and forecast to be earned by comparable utilities. The record overwhelmingly establishes that the 8.2 percent ROE recommended by the SFP is not commensurate with the returns authorized for and forecast for electric companies that the SFP itself believes to be subject to comparable risks. To the contrary, the objective record evidence clearly establishes that the ROE authorized in these proceedings should be much closer to the 9.65 percent recommended by Ms. Bulkley than the 8.2 percent recommended by the SFP.

4. The SFP's ROE Recommendation Creates A Substantial Likelihood That Both Companies Will Be Downgraded And Is Therefore Contrary To The Legal Standards And Applicable Commission Policy

In addition to failing to afford the Companies a reasonable opportunity to earn a return commensurate with the return being earned on investments in other enterprises having corresponding risks, the SFP's 8.2 percent ROE recommendation creates a substantial likelihood that both KEDNY and KEDLI will be downgraded by Moody's. Each of the Companies currently maintains low "A" rated bond ratings from S&P and Moody's.[99] In its most recent credit opinion for each of the Companies, Moody's stated that both Companies were facing a "negative outlook"

[99] The Companies long-term debt is rated A3 by Moody's and A- by S&P. See Exs. 658, 659, 662 and 663. Tr. 3111.

and that the factors that could lead to a downgrade for each of the Companies would be "if (1) there was a deterioration in the regulatory or political environment; or (2) it appeared unlikely that "KEDNY would be able to achieve a CFO-pre WC/debt[100] of high teens in percentage terms on an underlying basis from fiscal 2021 onwards." Exs. 658 (KEDNY); *see also,* 659 (KEDLI). As discussed more fully *infra*, in Section VII. D of this brief, it is the Companies' position that the proposed Staff revenue requirement in these cases will not permit either KEDNY or KEDLI to meet the "high teens" result for the CFO pre WC/debt[101] metric. Moreover, leaving aside the metric results, the record shows that if the SFP's unreasonably low ROE recommendation were adopted, it would likely further undermine investors' perception of the supportiveness of the regulatory environment in New York. Tr. 5114. As Ms. Bulkley testified:

> Moody's rates the Companies' in accordance with its Regulated Electric and Gas Utilities rating methodology, which consists of four primary factors. The first two primary factors, "Regulatory Framework" and "Ability to Recover Costs and Earn Returns," account of 50.00 percent of Moody's overall rating for the Companies. One of the two sub-factors listed under "Regulatory Framework" is "Consistency and Predictability of Regulation." One of the two sub-factors listed under "Ability to Recover Costs and Earn Returns" is "Sufficiency of Rates and Returns."…
>
> Staff's recommended return on equity of 8.20 percent is likely to be viewed by the credit rating agencies as inconsistent, unpredictable, and insufficient because it is 143 basis points below the year-to-date average authorized return on equity for gas distribution utilities across the U.S., and 50 basis lower than any authorized return on equity since at least 1980. Further, as reflected on Exhibit __ (AEB-7), Staff's recommended ROE is 80 basis points below the lowest authorized ROE of any operating subsidiary of the utilities in my Combined Utility Proxy Group. An authorized ROE of 8.20 percent would be unprecedented, and likely worsen investors' perception of the supportiveness of the Companies' regulatory environment. The Moody's reports for both KEDNY and KEDLI list "Decrease in the New York Public Service Commission's (NYPSC) overall supportiveness" as a factor that could lead to a credit rating downgrade.

[100] The full description of the metric is "cash flow from operations before working capital ("CFO pre WC")/debt."
[101] The record shows that this is the core metric evaluated by Moody's in evaluating utility credit. Tr. 5236-37, 5117-18, 3123.

Tr. 5115-16, Tr. 5250-52. The SFP's testimony essentially corroborates Ms. Bulkley's testimony on this point, testifying that the major rating agencies "view unpredictability as an additional risk" (Tr. 3172-73), and further testifying that rational investors "likely expect that rates in the proceeding will be set over a multi-year period, and that the ROE after accounting for the additional framework and business risk would likely be similar to the 8.8 percent to 9.0 percent range of recent Joint Proposals approved by the Commission." Tr. 3154. Given this testimony, it is readily apparent that adoption of the SFP's 8.2 percent ROE recommendation could be a catalytic factor in precipitating a downgrade of the Companies' long-term debt by Moody's even without consideration of the impact of the Staff's overall revenue requirement proposal on the Company's CFO pre WC/debt metric results.

Staff's unreasonably low ROE recommendation cannot be squared with the requirements of the *Hope* and *Bluefield* decisions that returns be sufficient to permit utilities to maintain credit and attract capital. Moreover, because Staff's ROE position does not provide adequate rate support for the Companies to continue to maintain low "A" bond ratings, it is also the case that Staff's ROE recommendation is contrary to Commission policy that has been in effect for many years. In this regard, in Case 91-M-0509, the so-called Generic Financing Proceeding that serves as a touchstone for many of the Commission's prior decisions concerning ROE and capital structure,[102] the Electric/Gas Industry Group, which consisted of Staff, all seven of the then-major combination electric and gas companies, the two then-major gas-only distribution companies, PULP and other parties submitted a financial integrity proposal dated May 4, 1993 and a "Return On Equity

[102] Tr. 4958-61.

Consensus" proposal dated June 2, 1993.[103] In the financial integrity proposal the parties concluded that an "A" bond rating was the appropriate target for regulation.[104] This conclusion was reached despite a finding that a lower "BBB" rating was marginally less costly to customers because of the parties' concerns that a target range of "BBB" left the utilities and their customers "too exposed to the potential for a slip from investment grade with its associated costs."[105] As the SFP testified in these proceedings, consistent with the Generic Financing Proceeding, the Commission has generally offered support for a low "A" bond rating when it is practical to do so. Tr. 3110-11.

In this proceeding, the SFP initially testified that it believed that Staff's overall recommendation in this proceeding would support continuation of the Companies' low "A" bond ratings. Tr. 3114. However, when asked on cross-examination whether the SFP would recommend any changes to its return on equity or capital structure if the Commission determined that the Staff revenue requirement would create a likelihood that the Companies would be downgraded, the SFP testified that it did not believe that such a change was necessary.[106] Tr. 3336-37. The Companies submit that this recommendation is at odds with Commission policy and inconsistent with the requirements of *Hope* and *Bluefield*. The fact that the record shows that the

[103] Hereafter "GFP Consensus Document." This document has been marked as Exhibit 652 in this proceeding.
[104] *See* Exhibit 676 at 13. Exhibit 676 is the Recommended Decision in Case 91-M-0509, the Generic Financing Proceeding, issued July 19, 1994. The Commission originally determined that an "A" bond rating was an appropriate target for electric utilities in Case 27679, *Financing Plans for Major New York Gas and Electric Companies*, Opinion No. 82-83 (October 18, 1982).
[105] Exhibit 676 at 13.
[106] The SFP testified that they did not believe that it was necessary to recommend that the Commission provide support for the Companies' "A" bond ratings because the SFP's proxy group was "triple B plus." Tr. 3337. This testimony is extraordinary in that it seems to be recommending that the Commission set rates to permit the Companies to attain the credit quality of the proxy group rather than maintain the Companies' current "low A" credit quality. The SFP's recommendation is completely at odds with Commission policy that for at least the last forty years, has supported the efforts of New York State utilities to maintain low "A" credit quality.

Staff ROE recommendation of 8.2 percent will likely not enable the Companies to maintain their current A3 debt rating from Moody's provides a sufficient justification, by itself, for the Commission to reject the SFP's ROE recommendation.

In considering the record of this case and whether the SFP ROE recommendation and the broader Staff revenue requirement recommendation are likely to lead to a downgrade of the Companies' long-term debt, and the consequences of such a downgrade, the Companies respectfully request that the ALJs and the Commission take notice of the Novel Coronavirus crisis and the impact that the crisis has had on financial markets. While the SFP testified that it believed that its recommendation would at worst, lead to a one-notch downgrade with respect to KEDLI's long-term debt, the fact is that the SFP does not control the rating of the Companies' debt and has no special insight into what the ratings agencies may or may not do. As the parties to the Generic Financing Proceeding recognized, the consequences for a utility falling below investment grade, or even to BBB, could be substantial. *See* Exhibit 676 at 13. Accordingly, in the current financial environment, the Companies urge the Commission to provide the Companies sufficient rate relief to preserve their current bond ratings.

5. The Record Shows That The Commission Could Arrive At A Just And Reasonable ROE By Making A Number Of Changes To The SFP's ROE Methodology That Are Supported By The Record

As the *Hope* decision makes clear, it is the result reached, not the methodology employed, that determines whether a particular regulatory finding passes the test of being just and reasonable. In this case, overwhelming record evidence establishes that the end result of the SFP's 8.2 percent ROE is not just and reasonable. However, at the same time, the record shows that there are a number of adjustments that can and should be made to the SFP's ROE methodology that would result in a ROE methodology that is logical, well-supported in both financial and academic theory

and the record, and would produce a ROE end result that is just and reasonable. These adjustments include:

(i) including gas-only utilities in the proxy group in a manner that properly recognizes that the Companies are gas distribution only utilities;

(ii) including the growth rates developed by Ms. Bulkley in determining the DCF results;

(iii) utilizing the more precise XIRR Excel function instead of the IRR function to measure cash flows in the DCF calculation;

(iv) including Bloomberg betas in the CAPM calculations;

(v) including consideration of additional estimates of the market-risk premium in determining the CAPM results; and

(vi) using the yield on forward looking 30-year Treasury securities to determine the risk free rate in the CAPM calculations.

Adopting some or all of these adjustments to the SFP's methodology would close the gap between the SFP's 8.2 percent ROE recommendation and Ms. Bulkley's 9.65 percent ROE recommendation. Tr. 5064-65.

a. The Companies' Cost Of Equity Should Be Determined In The First Instance By Reference To A Proxy Group That Recognizes That The Companies Are Gas Distribution Companies

There is no disagreement in the record that an appropriately constructed proxy group should consist of companies that are comparable in business and financial risk to the Companies. Tr. 5067, 3133. As discussed *supra*, in these proceedings, Ms. Bulkley based her ROE recommendation on the results of analyses of a group of gas distribution companies and a group of gas and electric distribution utilities. In contrast, the SFP relied upon a single group of electric-

only and combination electric and gas utilities in which only one of the 28 members of the proxy group derived more revenue from gas operations than electric operations.[107] Exhibit 651. Tr. 3245-46.

The record shows that the SFP's failure to include an appropriate number of gas distribution utilities in the proxy group used to establish the ROE in this proceeding understates the cost of equity for the Companies. In this regard, the record shows that while it may have been the case at one time that the ROEs authorized for gas and electric utilities were equivalent, this is no longer the case. Cf. Exhibit 647, 653. Tr. 3254-63.[108] According to Ms. Bulkley, the addition of seven gas distribution companies included in her Natural Gas Utility Proxy Group to the SFP's proxy group would increase the mean DCF result from 8.22 percent to 8.47 percent. Tr. 5070. Moreover, when the SFP itself added five natural gas distribution companies to its proxy group, the average DCF result for the five gas companies was 9.07 percent.[109] Tr. 3267-70. This data, by itself, establishes that an analysis of gas distribution companies should be conducted in determining the ROE for the Companies in these proceedings.

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[107] On average, the Staff Proxy Group derived 13 percent of its operating revenues from gas operations. Tr. 3246. Moreover, 12 of the 28 companies had no gas operations. Tr. 3245.

[108] Data provided for 2019 by Regulatory Research Associates showed that the average ROE awarded to gas utilities in litigated cases was 9.74 percent, while the average return awarded in electric utility cases was 9.58 percent. At the same time, the average equity ratio used to set rates for gas utilities was 51.75 percent for gas utilities and 49.94 percent for electric utilities. As the SFP itself agreed, this data shows that gas utilities have recently been recognized as more risky than electric utilities. Tr. 3262-63.

[109] The SFP attempted to downplay the significance of including gas distribution companies in the proxy group by presenting an analysis that showed that even if five gas distribution companies were added to its proxy group, this would not significantly change the result. *See* Exhibit 649. Staff's analysis, however, only begs the question of whether the 28 companies in Staff's proxy group were comparable to the Companies to begin with. Obviously, adding five additional samples to the group of 28 will have a limited impact on the mean result of the resulting sample of 33 companies. The fact that the record shows that the mean DCF result for 5 gas distribution companies was 9.07 percent compared to a mean DCF result of 8.20 percent for 28 electric and combination companies should have caused SFP to examine whether its proxy group resulting was truly comparable to the Companies.

The SFP's use of a proxy group comprised solely of electric utilities and combination gas and electric utilities to establish the ROEs for the Companies unreasonably fails to recognize that even though the Companies are ultimately owned by National Grid plc., they are not electric utilities, they are not considered electric utilities by the major financial ratings agencies[110] and they do not face the same risks and opportunities as electric utilities.[111] As the Commission recognized many years ago, utility companies may own assets or businesses that have differing degrees of risk, and it is appropriate, for example, in establishing the ROE for a regulated utility to make adjustments to eliminate the impact that riskier unregulated businesses may have on the regulated ROE.[112] Similarly, where, as here, the record shows that the cost of equity for a gas distribution business may be greater than the cost of equity for an electric utility business, it is both reasonable and necessary to attempt to identify and properly recognize the difference by basing the ROE for gas distribution companies on a proxy group that reflects an appropriate number and weighting of gas distribution companies.

[110] The record shows that all of the major ratings agencies assess the Companies on a separate basis as gas distribution companies. *See e.g.* Exs. 658, 659.

[111] Indeed, the SFP itself recognized that the Companies' gas supply situation and possible changes to the Companies revenue decoupling mechanism were "developments that could modestly and negatively impact investors' return requirements." No comparable risks were identified by the SFP for the proxy group of electric utilities and combination gas and electric utilities. Tr. 3155-56. Moreover, the SFP cited the business risk profiles provided by the major ratings agencies which clearly recognize that the Companies are gas distribution companies. *See* Exs. 658, 659.

[112] *See e.g.*, Case 89-G-1050, *The Brooklyn Union Gas Co.*, 30 N.Y.P.S.C. 1921, 1990 WL 596928, Opinion No. 90-29 (October 17, 1990) ("In order to determine the cost of equity for Brooklyn Union's utility operations, it is necessary to adjust the 12.0 percent consolidated cost of equity, based upon the above-determined yield and growth factors, by removing from it the cost associated with non-regulated operations at the applicable cost of equity cost rate for those operations.") *See also*, Case 27681 *Rochester Telephone Corp.-Telephone Rates*, Opinion No. 80-38 (Issued December 1, 1986), at 52-53; Case 28696 – *The Brooklyn Union Gas Co. – Gas Rates*, Op. No. 84-26 (October 10, 1984). Just as the Commission has recognized that the difference in the cost of equity associated with unregulated and regulated activities must be accounted for in setting utility rates, so too should the Commission recognize and reflect in rates differences in the cost of equity for different utility operations to the extent they exist.

The Companies submit that the use of a proxy group that contains a sufficient number of gas distribution companies to establish the ROEs for the Companies in these proceedings is consistent with what was intended by the parties[113] to the GFP Consensus Document that was submitted to the Commission in the Generic Financing Proceeding. Exhibit 652. The GFP Consensus Document recognized that it was appropriate to use an electric proxy group consisting of electric and combination electric and gas utilities to set the ROE for combination electric and gas utilities, and that it was also appropriate to use a group of natural gas only utilities to establish the ROE for stand-alone gas operations.[114] Exhibit 652 at 5-8. The Commission Staff has also more recently recognized that it is appropriate to use a proxy group of regulated gas utilities to establish the ROE for National Fuel Gas Distribution Company ("National Fuel") and Corning Natural Gas Corporation.[115] Tr. 5074-75. In this case, the record shows that the Companies operate as stand alone gas companies that are ring-fenced and recognized in the marketplace as stand-alone gas distribution utilities. Tr. 5072-74. Accordingly, consistent with the GFP Consensus Document, the ROEs for the Companies should be determined using a proxy group that captures the risks and opportunities of gas distribution companies. Ms. Bulkley's analysis properly

[113] The parties to the GFP Consensus Document include Staff, PULP, all of New York's then seven electric and gas combination utilities and its then-two major gas distribution companies.

[114] In addition, contrary to the SFP's further claim (Tr. 3160), the fact that there are relatively few stand alone natural gas companies, provides no basis to refrain from using those companies in properly constructed proxy groups such as those used by Ms. Bulkley. At the time that the GFP Consensus Document was created there were only eleven "pure play" gas distribution utilities. *See* Exhibit 652 at 6. Moreover, while the SFP cites Dr. Roger Morin's book "New Regulatory Finance" for the proposition that 15 to 30 companies are needed to support a reliable cost of equity estimate (Tr. 3160), the record shows that in Case 08-G-0609, a proceeding involving Niagara Mohawk Power Corporation d/b/a National Grid's gas business, Dr. Morin, like Ms. Bulkley in this case, used two proxy groups; one consisting of nine natural gas utilities and one consisting of 27 combination gas and electric utilities. *See* Exhibit 656.

[115] Indeed, in National Fuel, Staff recognized the importance of including gas distribution in the proxy group for National Fuel, stating, "The starting point for establishing the proxy group is confirming that all the companies in the group are in the same specific industry classification as the target company." Tr. 5074. The Companies are not fundamentally different from National Fuel except that they issue their own debt (*Id.*) – an activity that should serve to distinguish them from their parent or affiliated companies.

captures these risks and opportunities by using a Natural Gas Utility Proxy Group and a Combined Utility Proxy Group. The SFP's analysis does not, even when the SFP's electric proxy group is adjusted by adding five natural gas utilities.

b. The Companies' Proposed Growth Rates Should Be Used In Determining The DCF Results

The most significant difference between the Companies' application of the DCF model and SFP's approach is the growth rates used. Tr. 5087. Ms. Bulkley used a consensus of analysts' earnings per share ("EPS") growth rates for the proxy group companies as the near-term growth rate, and an estimate of growth in the overall economy for the long-term growth rate. *Id*. This mitigates the uncertainty associated with forecasting individual companies' growth rates over very long time horizons. *Id*. By contrast, the SFP used more limited dividend growth projections from a single source (*i.e.*, Value Line) for the near-term growth rate, and a "sustainable growth rate" for the long-term growth rate. Tr. 5087-88.

The SFP's sole reliance on Value Line dividend growth projections for the near-term growth rate is less reliable than Ms. Bulkley's approach because dividends are based on management decisions related to cash management and other factors, and therefore dividend growth rates are less likely to accurately reflect investors' growth expectations than earnings growth rates. Tr. 5087-88. On the other hand, reliance on earnings growth is appropriate because earnings are the fundamental determinant of a company's ability to pay dividends and because investment analysts primarily report and rely on earnings growth estimates. Tr. 5089. The use of earnings growth estimates to forecast the cost of equity is also extensively supported by academic research.[116] Tr. 5008-11.

[116] *See also*, Exhibit 655 at 8-10.

With respect to long term growth rates, as discussed *supra*, Ms. Bulkley utilized an estimate of growth in the Gross Domestic Product ("GDP") of 5.56 percent that was based on the historical average growth rate in real GDP for the period 1929 through 2018 -- 3.22 percent -- plus an expected average inflation rate of 2.27 percent. Tr. 5012-13, Exhibit 161. While the SFP criticized Ms. Bulkley's forecast as being outside the range of certain current forecasts of GDP growth (Tr. 3175-76), the record shows that economists believe that current forecasts of GDP growth are understated due to the impact of the financial crisis and great recession that began in 2007 on subsequent GDP growth. Tr. 5094-95. Under these circumstances, it is very reasonable to assume that GDP growth will return to levels approaching the historical average levels achieved since the great depression.[117]

In contrast, the record shows that the SFP's use of sustainable growth rate as the long-term growth rate in its two-stage DCF model is significantly flawed. First, as explained by Ms. Bulkley, while the SFP asserts that its calculation of sustainable growth rate represents a measure of long-term growth for the period 2024 and beyond, the inputs to its calculation are, for the most part, shorter-term estimates for the period 2019 and earlier. Tr. 5092. Therefore, the SFP's long-term growth rate estimate reflects, at best, one analyst's forecast of only the very early years of the second stage of the SFP's DCF model, which theoretically extends 200 years. *Id*., Tr. 3250. In contrast, the Companies' estimate of long-term GDP growth reflects inflation projections over 30 years and considers overall measures of economic growth.[118] Tr. 5092, Exhibit 161.

[117] In addition, it should be noted that current forecasts of GDP growth assume levels of inflation in the range of 2 - 2.5 percent. These levels are not only at the low end of inflation trends that have been experienced in the last fifty years, they also ignore the fact that the Federal Reserve has over the past decade maintained policies that have injected unprecedented sums of money into the economy. It is difficult to believe that these actions will not at some point produce inflation in amounts greater than are currently forecast.

[118] Two of the inflation indices relied upon by Ms. Bulkley reflect projected inflation through 2050. Exhibit 161.

The shortcomings of the SFP's sustainable growth methodology are readily apparent when one uses common sense to consider the growth prospects of the electric and combination electric and gas companies that comprise the SFP's proxy group. In this regard, it is, or should be, readily apparent that there is a significant possibility that electric utilities will grow in the future at rates that far exceed the anemic growth rates relied upon by the SFP to address demands that may be created in the future by the electrification of transportation and the electrification of heat. While the SFP testified that it believed that it was too early to speculate on whether the electrification of transportation or the electrification of heat holds the potential for growth in the electric industry (Tr. 3249) the SFP's forecast nonetheless purports to predict a constant state of growth at an average rate of 4.86 percent for the next 195 years based on Value Line forecasts that apply only through the end of 2022.[119] While it is perhaps correct that utility growth for the next three to five years will not reflect the long term impacts of climate change, it is unreasonable to rely upon a short-term forecast that reflects so little growth for the next 195 years. Tr. 5017-18. The failure of the SFP's forecast to reflect that potential for growth in any way in the future[120] is a serious and obvious flaw.[121]

The SFP's sustainable growth calculation also finds little support in the empirical financial literature. In this regard the SFP cited Dr. Roger Morin's New Regulatory Finance[122] in support

[119] The average sustainable growth rate for the SFP's proxy group was 4.86 percent. Tr. 3141. The sustainable growth rate is used in the SFP's two stage DCF model to project growth for the last 195 years of a 200-year period. Tr. 3271. Dividend per share growth is used to measure growth for the first 5 years.
[120] When asked about its failure to consider possible growth from increased electrification, the SFP stated that all known factors were reflected in the stock price. Tr. 3251-52. This testimony does not make sense because the discussion was centered around whether the growth factor selected by the SFP was too low. The issue is not whether the stock price is incorrect but whether the growth assumption is too conservative.
[121] Moreover, this flaw is in no way corrected by the fact that Staff purported to "check" its DCF growth result against certain forecasts of Gross Domestic Product growth through 2030. Tr. 3141-43. Once again, if electrification is expected to replace fossil fuels in the transportation and building heating market, then one would expect the electric industry to grow at a rate that exceeds GDP for a number of years.
[122] *2006 Public Utilities Report, Inc., Vienna, VA*. Excerpts from Dr. Morin's book are contained in Exhibit 655.

of the size of its proxy group. Tr. 3160-62. However, Dr. Morin's book also discusses the use of sustainable or retention growth estimates in DCF calculations and concludes that other proxies for growth, such as historical growth rates and analysts' growth forecasts, outperform retention (sustainable) growth estimates. Exhibit 655 at 14. Based on his review of the empirical financial literature, Dr. Morin concluded:

> In summary, there are three proxies for the expected growth component of the DCF model: historical growth rates, analysts' forecasts, and the sustainable growth method. … The retention growth method is the weakest of the three proxies on both conceptual and empirical grounds. Exhibit 655 at 15.

Finally, the SFP's sustainable growth calculation is also flawed because it is circular in that it relies on Value Line's estimate of each proxy group company's ROE, as the "r" in the "b * r" component of the SFP's growth rate as the expected ROE. Tr. 5092-93. The mean and median ROEs that are calculated for the SFP's proxy group and provided in Staff's calculation as the projected ROEs for 2023, are 11.14 percent and 10.64 percent, respectively. *See* Exhibit 440 at 2. The range presented by the mean and median ROEs used to calculate the SFP's sustainable growth rate is higher than the range of ROEs supported by Ms. Bulkley – 9.65 percent to 10.55 percent. Tr. 5126. More significantly, as discussed *supra*, the SFP's projected ROEs for the proxy companies cannot be reconciled with either the SFP's recommended ROE of 8.20 percent or its 8.22 percent mean DCF result.

In sum, the record shows that DCF growth estimates relied upon by Ms. Bulkley are logical and well-supported in the academic and financial literature and produce reasonable end results.[123] In contrast, the record also shows that the growth estimates relied upon by the SFP are conceptually flawed and produce an end result that is neither just nor reasonable. The growth rates reflected in

[123] As discussed *supra*, Ms. Bulkley's DCF results produced a mean ROE of 9.04 percent for the Natural Gas Utility Proxy Group and 9.20 percent for the Combined Utility Proxy Group. Tr. 5019.

Ms. Bulkley's testimony would increase the Companies' ROE by approximately 12 basis points. Tr. 5065, Exhibit 343. They should be used in determining the DCF result in these proceedings.

c. Both Basic Financial Theory And Common Sense Support The Use of Excel's XIRR Function To Properly Measure Investor Expectations As To Cash Flows In The DCF Calculation

As the SFP testifies, the DCF methodology assumes that the principles used to measure the cost of common equity are the same as those used in measuring the yield investors require on debt. Tr. 3137. The foundation of the DCF is that investors will price common stock to equal the present value of future dividend payments. *Id*.

In this case, the DCF analyses conducted by both Ms. Bulkley and the SFP utilized proxy groups of publicly traded utilities that in all cases pay dividends quarterly. Tr. 3338, 5099-5100. In calculating her DCF results, Ms. Bulkley utilized the Microsoft Excel XIRR function that allows the analyst to include future dividends in a manner that tracks quarterly dividends. Tr. 5097. In contrast, the SFP utilized the Microsoft Excel IRR function that assumes that all dividends are paid at the end of the year. Tr. 5099. This is simply not the case and thus the IRR function underestimates the cost of equity in the DCF analysis. Tr. 5099-5100. In this case, the understatement is between 11 and 21 basis points under Ms. Bulkley's DCF analysis. Tr. 5098.

The SFP's opposition to the use of the XIRR function was based in part on an analysis in which the SFP backcast the DCF results presented in Appendix B of Exhibit 652, the GFP Consensus Document, and concluded that the Recommended Decision in the Generic Financing

Proceeding relied on the IRR rather than the XIRR function.[124] Tr. 3180. This is not surprising given that the XIRR was not fully integrated into Microsoft Excel until 2007, more than a decade after the issuance of the Recommended Decision. Tr. 5100.

What is more surprising however is that in reviewing the GFP Consensus Document, the SFP did not conclude that the Commission should use the XIRR function as a measure of attempting to update the ROE methodology to achieve the results originally intended by the signatories to the GFP Consensus Document. As set forth therein, the signatory parties to the GFP Consensus Document – including Staff – recognized that the Commission's methodology for establishing utility ROEs produced "volatile returns" that, were, among other things, highly interest-rate sensitive. Exhibit 652 at 2-3. Specifically, when viewed over a backcast period beginning in 1980, the Commission allowed returns that were generally higher than returns allowed by public utility commissions in other jurisdictions in the high interest rate environment of the early 1980s, lower than returns allowed by public utility commissions in other jurisdictions in the relatively low interest rate environment of the years immediately preceding the Generic Financing Proceeding, and lower than returns produced by other reasonable approaches, such as the CAPM. *Id.* Summing up the approach to the rate of return issue, the Consensus Document concluded:

[124] On cross-examination, the SFP testified that the Commission's decision in Case 08-E-0539, Consolidated Edison Company of New York, Inc. *Order Setting Electric Rates* (issued and effective April 24, 2009) ("April 24 Order") supported the SFP's position concerning the use of the XIRR. Tr. 3340. In Case 08-E-0539, the Commission rejected requests that the DCF model reflect the payment of dividends quarterly based upon a finding about whether investors re-invest dividends and the impact of such decision. April 24 Order at 126-127. Whatever the merits of that finding, it has no relevance here because the record support for the use of the XIRR model does not depend on how or whether investors re-invest dividends. As discussed above, the XIRR model properly captures the way the proxy group companies pay dividends today and thus accurately calculates the return required by investors under a DCF calculation. The IRR model does not capture the payment of quarterly dividends in a manner consistent with the expectations of investors in the proxy group companies.

> Appendix C summarizes the results of our approach to the rate of return issue. The tables compare the allowed returns set by the Commission since 1981 with the returns that would have been produced by our generic approach. The averages and standard deviations of our proposed generic approach for the entire time horizon indicate that it produces returns that are, over time, comparable with, but less volatile than, the DCF-based returns set by the Commission over the 13-year backcast period. Based on the results of the historical analysis, we conclude that if the past is a reasonable indicator of future economic conditions, then ratepayers will pay no more or less for return on equity and shareholders will not have the opportunity to earn more or less than they did on average during the last 13 years. However, because our approach reduces the volatility of the return on equity, it is likely that, in the future, ratepayers will experience less volatility in their bills and shareholders will experience less earnings volatility than they did during the past 13 years.

In considering a backcast of the results of the Generic Financing Proceeding, the relevant question is not whether the signatory parties would have used the XIRR function in the Generic Financing Proceeding if that function had existed, but rather why is the SFP model producing returns that are so far removed from what was intended by the signatory parties to the GFP Consensus Document? Had the SFP focused on this question, it would have been apparent that the Commission should approve the use of the XIRR function in performing DCF analyses because it more accurately captures the timing of actual cash flows received and required by investors consistent with a well-recognized financial principle that investors place value on the timing in which cash flows are received. Tr. 5099.

In this case, the SFP appears to recognize that all present value calculations discount future cash flow payments to account for the time value of money. Exhibit 650. At the same time, the SFP testified that a rational investor would be indifferent to whether the investor received four payments of $25 equally spaced throughout the year[125] or one payment of $100 at the end of the year. Tr. 3344. Absent an assumption that the time value of money is 0 percent, the Companies

[125] Such as on March 31, June 30, September 30 and December 31.

do not believe that these statements can be reconciled. It is a fundamental economic and financial principle that rational investors would clearly prefer to receive their payouts more quickly,[126] and the XIRR function, unlike the IRR function, permits the actual timing of cash flows to be reflected in the results of DCF analysis. Accordingly, the ROE established in this proceeding should reflect the use of the XIRR function to properly capture the timing of quarterly dividend payments.

d. It Is Completely Reasonable And Appropriate To Use Bloomberg Betas In The CAPM Calculation

In performing their CAPM analyses both Ms. Bulkley and the SFP utilize Value Line beta coefficients which are calculated over a five-year period. Tr. 5107, 5110, 5023. In addition to Value Line betas, Ms. Bulkley uses Bloomberg beta coefficients based on a ten-year period. Tr. 5023-25, 5106. This is particularly important in this case because it mitigates the disparate impact of the passage of the Tax Cuts and Jobs Act ("TCJA") on utility betas as compared to betas of other companies in the marketplace. Tr. 5024, 5106. As Ms. Bulkley explained, while other industries were able to retain the benefits of a reduced corporate tax rate from the TCJA, utilities were generally required to pass this benefit through to customers. Tr. 5024. As a consequence, the TCJA's effect was to produce a significant change in the returns on the utility industry relative to the broader market; that is, utility returns temporarily under-performed the overall market. *Id*. This change in relative returns results in a drop in utility betas even though the relative volatility of utility stocks compared to the performance of S&P 500 is essentially unchanged. Tr. 5107.

In this case, the record shows that in the Companies' last base rate proceedings, the Value Line beta for the Staff proxy group was 0.75 compared to 0.61 in those proceedings. Tr. 5108. As the SFP agreed on cross-examination, the impact of TCJA could be a factor that affected the calculation of utility betas. Tr. 3299-3300. At the same time, it is unquestionably the case that the

[126] *See.* Tr. 5099.

major ratings agencies believed that the passage of the TCJA was something that increased the risk of utility debt. Tr. 4984-88, 3126-27. As the SFP acknowledged, the impact of the TCJA on utility cash flow may not be permanent but is something that has had a negative impact on utilities over the past few years. Tr. 3302.

The record shows that the SFP's reliance solely on Value Line betas is responsible for a 108 basis point decrease between Staff's CAPM result in Cases 16-G-0058 and 16-G-0059 and the SFP's CAPM result in this case.[127] Tr. 5108. To the extent that this is the product of a calculation of beta that has been overly influenced by the impact of the passage of the TCJA, it is reasonable to consider other beta measures such as the Bloomberg betas utilized by Ms. Bulkley. In making this suggestion, the Companies are not suggesting that Value Line betas should be ignored. Rather, it is the Companies' position that the Commission should consider and reflect in its ROE determination the impact of both Value Line and Bloomberg betas. As the record shows, doing so would increase the SFP's ROE recommendation by 7 basis points. Tr. 5065.

e. In Determining The CAPM Results, The Commission Should Not Limit Its Consideration To A Single Estimate Of The Market Return

To calculate the required return on the market as whole to be used in the CAPM analysis Ms. Bulkley utilized the expected return on the S&P 500 index calculated using a DCF model for all companies in the index based on market-capitalization weighted growth rates and dividend yields. Tr. 5022-23. In contrast, the SFP relied upon an estimate provided by Merrill Lynch for the months of May through July 2019. Exhibit 443.

While the SFP suggests that use of a Constant Growth DCF model to determine the CAPM market return is not appropriate because the Companies in the S&P 500 cannot maintain their three

[127] Staff's CAPM result in Cases 16-G-0058 and 16-G-0059 was 9.24 percent as compared to 8.04 percent in this case.

to five year growth rates in perpetuity, the SFP's criticisms ignore the fact that the composition of the S&P 500 changes over time depending on individual company results. Tr. 5112. Therefore, investor expectations for the index as a whole may not change even though investor expectations for individual companies may vary. *Id*. Thus, it is reasonable to assume that the average growth of S&P 500 could be sustainable in the long run and it is therefore a reasonable estimate of the market return used in the CAPM analysis. *Id*. The record shows that the use of this estimate of the long run market return would increase the SFP's recommended ROE by approximately 70 basis points. Tr. 5065.

In addition, the record shows that the market-return that the SFP relies on is more than 100 basis points below market return estimates provided by such reputable sources as S&P, Yahoo! Finance and Bloomberg Professional, which range from 12.23 percent to 14.42 percent. Tr. 5112. As is the case with many of the aspects of the SFP's ROE methodology, the estimate of the market return is based on a single input that the SFP deems to be reliable without providing any real explanation as to why this is the case. While the Companies do not believe that the SFP's Merrill Lynch estimate should not be considered, they see no reason why one input should be favored above all others. Accordingly, the Companies request that the Commission consider the various estimates of the market return provided in the record rather than relying solely on the Merrill Lynch estimate.

f. The Commission Should Reconsider Its Practice Of Using The Average Of Historic 10 and 30-Year Treasury Bond Yields In Determining The Risk Free Rate To Be Used In The CAPM Analysis

Consistent with prior Commission decisions, the SFP relied on the average of 10-year and 30-year historic Treasury bond yields in its CAPM analysis. Tr. 3145, 3193-94. The SFP justifies its position not only by reference to prior Commission decisions but also by its view that this

practice captures the expectations of investors who have "intermediate-term as well as long-term investment horizons." Tr. 3194.

In contrast to the SFP, Ms. Bulkley relied on both historical and projected yields on 30-year Treasury securities to determine the risk-free rate.[128] Tr. 5021-22. Ms. Bulkley's position is supported by the financial and academic literature and decisions in other jurisdictions. Tr. 5022, 5102-03. With respect to the SFP's claim that using an average of 10-year and 30-year Treasury yield best captures investor's time horizon, the record shows that the relevant horizon is that associated with the investment, not the investor,[129] and the use of 30-year bond yields is consistent with the long term investment horizon for gas and electric assets. Tr. 5102.

The Companies recognize that the Commission has adopted the SFP's position concerning the CAPM risk-free rate in prior cases. However, as discussed by Ms. Bulkley, artificially low interest rates have made the results of various ROE estimation methods more unreliable. Tr. 5103. This is particularly true given the recent market turmoil.

The Companies submit that the most recent three-month average of 10-year and 30-year Treasury bond yields is anomalously low and should not be used in the CAPM method to determine forward looking rates of return. In the past, in response to anomalous or unusual circumstances in financial markets the Commission has made changes to its methodology for determining ROEs to address

[128] Ms. Bulkley utilized (i) the current three-month average yield on 30-year Treasury bonds, (ii) the projected yield on 30-year Treasury bonds for 2019-2020, and (iii) the projected yield on 30-year Treasury bonds for the period 2020-2024. Tr. 5021-22.

[129] Tr. 5021-22. Citing Morningstar Inc., Ibbotson SBBI 2013 Valuation Yearbook at 44. *See also*, Exhibit 655 at 2, which, as discussed *supra*, contains excerpts from Dr. Roger Morin's *New Regulatory Finance*. With respect to the determination of the risk-free rate to be used in the CAPM, Dr. Morin states:

> "At the conceptual level, because common stock is a long term investment, and because the cash flow to investors in the flow of dividends last indefinitely, the yield on very long term government bonds, mainly the yield on 30-year Treasury bonds, is the best measure of the risk-free rate for use in the CAPM and Risk Premium methods."

such conditions.[130] In this case, the Companies believe that the Commission should consider using consensus estimates of projected yields on 30-year Treasury bonds as a way to address anomalous market conditions that currently affect the interest rates on government securities. The current forward looking rates on 30-year Treasury securities are at the low end of the range of historical rates but would nonetheless provide a more reliable CAPM result than an average of current yields on 10-year and 30-year Treasury bonds.

6. Conclusion

The record shows that the Companies' proposed ROE of 9.65 percent is appropriate, reasonable and commensurate with the returns being authorized for and projected on investments in comparable enterprises having corresponding risks. In contrast, the SFP's ROE recommendation does not meet the just and reasonable standard because it is not comparable to the returns available to investors in companies with corresponding risks and it will likely not permit the Companies to support their current credit ratings.

B. Capital Structure

1. The Companies And The SFP Agree That A Capital Structure Containing A 48 Percent Equity Component Should Be Used For Ratemaking Purposes In This Proceeding

While they may arrive at the decision in somewhat different ways, both the Companies and the SFP agree that the capital structure used for ratemaking purposes in this proceeding should reflect a 48 percent equity component. Tr. 3112, 5206, 5230.

[130] The record shows that, the Commission's ROE methodology has evolved over time. Tr. 5058-59. Specifically, in the past the Commission has modified the parameters relied on for stock prices in the DCF model and the bond yields used in the CAPM from six months to three months. Tr. 5062-63. The Commission has also changed how it estimates the market risk premium. *Id*.

C. Long Term Debt: Forecast Versus Existing Interest Rates

1. The Commission Should Reconsider Its Policy Of Using Updated Interest Rates Instead Of Forecast Rates

In KEDNY's initial filing herein, it included a planned issuance of $400 million of new long term debt in the Rate Year at an interest rate of 3.83 percent. Tr. 3127-28, 5216. The SFP recommends an interest rate of 3.24 percent. Tr. 3128-29. The SFP does not agree with KEDNY's proposed use of forecast Treasury yields to determine the interest rate for the planned Rate Year debt issuance. Tr. 3128-29. However, both the Companies and the SFP recommend updating the interest rate at the time of the Commission's decision. Tr. 3129, 5252-53.

While the Companies recognize that the Commission has used actual interest rates at the time it issues its decision to establish long term debt interest rates for planned issuances in past cases,[131] the Companies urge the Commission to reconsider its practice in light of current conditions in the financial market-place. Specifically, the Federal Reserve has set short term interest rates at or close to 0 percent and the yields on some long term Treasury securities are hovering near or less than one percent. Under these circumstances, KEDNY submits that the forecast rates available to the Companies at the time the Commission issues its decision in these cases are likely to be the best approximation of the rates that will be available to KEDNY for the issuance of debt later in the Rate Year. The forward looking rates used by KEDNY in these proceedings are widely used in financial markets and fully consistent with the Commission's policy of using a fully forecast test period to set rates. Tr. 5253. In addition, there is a reasonable and verifiable link between current interest rates and those forecast from the Rate Year and there is no reason for the Commission to ignore that link. *Id*. For all these reasons, it is appropriate for the Commission to approve the use of forecast interest rates in this case.

[131] Tr. 5253.

D. Credit Metrics

1. Under a Forecast Of Credit Metrics That Properly Reflects Staff's Proposed Revenue Requirement Neither KEDNY Nor KEDLI Meets Moody's Standards For An "A3" Long Term Debt Rating

In assessing whether the end result of a particular authorized revenue requirement meets the legal standards established in the *Hope and Bluefield* decision, it is critical that the Commission assess whether the end result of its decision will meet the metrics established by the major ratings agencies, Moody's and S&P, to allow the Companies to maintain their current low "A" credit ratings.[132] With respect to these metrics, one area where the Companies and the SFP disagree is whether the Staff revenue requirement would permit the Companies to maintain their current "A3" long term debt rating under Moody's core metric which is the CFO pre-WC/Debt rating. As discussed *supra*, Moody's has stated that both Companies' long term debt ratings could be downgraded if the Companies are not able to achieve CFO-Pre-WC/debt results of "high teens in percentage terms on an underlying basis from fiscal 2021 onwards."[133] See Exs. 658, 659.

In Exhibit 645, the SFP presented its calculation of the impact of Staff's proposed revenue requirement on Moody's CFO-metric. The SFP indicated that (1) KEDNY's results ranged from 17.29 percent to 19.69 percent depending on whether certain "Pension & OPEB"[134] deferral and accrual amount balances and uncollectible amounts reflected in an information request response provided by the Companies were included in the metric results, and (2) KEDLI's results ranged from 13.87 percent to 15.64 percent depending on whether the pension and OPEB and uncollectible amounts were included in the results. See Exhibit 645 at 2-3. The SFP indicated that it believed that the pension and OPEB and uncollectible amounts should be considered in the

[132] As discussed *supra*, the Companies are rated "A-" by S&P and "A3" by Moody's. Tr. 3111.
[133] Fiscal 2021 is the Rate Year in these cases.
[134] OPEB is Other Post-Employment Benefits expenses.

results. *Id.* At the outset, it should be recognized that even under the SFP's preferred results, KEDLI's results under the metrics do not meet the "high teens" standard articulated by Moody's under either of the calculations provided by the SFP in Exhibit 645.

More importantly, the Companies submit that SFP's claim that the difference between the pension and OPEB expenses and uncollectibles collected in rates and the level of such expenses collected in the Rate Year will somehow create incremental operating funds for KEDNY and KEDLI during the Rate Year is based on historic results that cannot be assumed to reoccur in the Rate Year.[135] With respect to pension and OPEB expense, the Staff revenue requirement reflects Staff's forecast of the actual pension and OPEB expense that the Companies will incur during the Rate Year. At the same time, under the Commission's "Statement of Policy concerning The Accounting and Ratemaking Treatment for Pension and Postretirement Benefits Other Than Pension" ("Statement of Policy"), [136] the Companies are generally required to contribute the pension and OPEB expense recovered in rates to the external trusts used to manage these expenses. Under these circumstances, there is no basis for the SFP or any other party to forecast that the Companies will obtain incremental or decremental funds from operations associated with the

[135] On cross-examination, the SFP pointed to the fact that the difference between (i) pension and OPEB expense reflected in rates and the Companies' actual pension and OPEB expense, and (ii) uncollectible expense reflected in rates and the Companies' uncollectible expense, provided a source of cash in past periods. Tr. 3329-32. As discussed more fully herein, an analysis of past period actual results provides no basis to conclude that differences between actual expense and the levels reflected in rates will provide negative or positive additional cash flow in the future. The only reasonable assumption that can be made in calculating metrics is that the amount recovered in rates for a particular expense will reflect the actual expense.

[136] *See* Case 91-M-0890, Re: Accounting and Ratemaking Treatment for Pension and Postretirement Benefits Other Than Pension, *Statement Of Policy And Order Concerning The Accounting And Ratemaking Treatment For Pensions And Postretirement Benefits Other Than Pension* 1993 WL 499848 (N.Y.P.S.C. September 7, 1993).

difference between the amount of Pension and OPEB expense recovered in rates in the Rate Year and the actual expense/funding requirements incurred by the Companies.

Similarly, with respect to uncollectible expense, the Staff revenue requirement reflects Staff's forecast of the Companies' anticipated uncollectable expense. While it may be that the actual expense will be more or less in the Rate Year, there is no basis in the record[137] for any party to forecast a different actual result – higher or lower – for the purpose of determining credit metric results. Once again, the only reasonable assumption is that the Rate Year expense will equal the amount recovered in rates for the expense.

Besides the uncollectible and pension and OPEB expenses, the only other cash item that the Companies believe is incorrectly reflected in the Staff analysis that appears at the top of page 3 of Exhibit 645 is deferred taxes. The deferred taxes reflected on Exhibit 645 -- $111,376,000 for KEDNY and $34,028,000 for KEDLI – were derived from the Companies' response to an information request concerning their filing. Tr. 3333-34. However, the deferred taxes reflected in the Staff revenue requirement are the income tax amounts set forth in the Staff's updated revenue requirement as set forth in Exhibit 515 for KEDNY and 514 for KEDLI.[138] These deferred tax amounts total $65,241,000 for KEDNY and $45,067,000 for KEDLI after appropriate adjustment for excess deferred taxes that are being refunded to customers under the Staff Revenue Requirement.

[137] The Companies would note however that the impact of the Novel Coronavirus pandemic will almost certainly be to increase the Companies' uncollectible expenses compared to the amounts forecast in their rate filings.

[138] As the SFP acknowledged, the income taxes referred to on Exhibit 515 are the only source of deferred taxes therein. Tr. 3334-36. The income taxes included in the revenue requirement become a source of deferred taxes and a source of funds from operations because the Companies are in a net operating loss position for tax purposes.

With an appropriate adjustment to reflect the deferred taxes included in Staff's revenue requirement, KEDNY's result under Moody's CFO pre-WC/debt metric declines from 17.29 percent to 15.53 percent while KEDLI's result increases from 15.64 percent to 16.30 percent as illustrated below:

Moody's CFO pre-WC/debt Under a Scenario Which Reflects No Net Cash Flow From Uncollectibles and Pension and OPEB Expense and Deferred Taxes Reflected in the Staff Revenue Requirement

		KEDNY x1000	KEDLI x1000
1	Net Income	$192,088	$124,609
2	Depreciation & Amort exp	$145,014	$96,002
3	Deferred Tax[139]	$65,241	$45,067
4	Movement in Regulatory Assets		
5	Amortization - Environmental	$18,521	$14,168
6	Amortization - Excess Deferred Tax	($10,928)	($5,400)
7	Amortization of other deferrals	($14,987)	($5,531)
8	Other & Chg in Op A/L	$1,515	$972
9	Unadjusted CFO (Pre-W/C)	$396,554	$269,888
10	Moody's Adj to CFO (Pre-W/C)	$8,814	$1,509
11	Adjusted CFO (Pre-W/C)	$405,368	$271,397
12	Unadjusted debt	$2,516,697	$1,625,681
13	Moody's debt Adjustment	$94,358	$39,409
14	Adjusted Debt	$2,611,055	$1,665,090
15	CFO (Pre-W/C)/Debt	15.53%	16.30%

The foregoing information demonstrates that the Staff revenue requirement would result in CFO pre WC/Debt metric results that are not in the "high teens" and are therefore very likely to cause both KEDNY and KEDLI to be downgraded by Moody's. At the same time, it should be recognized that the analysis assumes that the Staff revenue requirement is adopted in its entirety. While increases in ROE would improve the Companies' results under the metric, so too would

[139] The deferred tax amounts presented on line 3 are the total income tax amounts set forth on Page 1 of Ex. 515 for KEDNY and Page 1 of Ex. 514 for KEDLI plus the excess deferred income tax ("EDIT") amounts presented on Schedule 4 of Ex. 515 for KEDNY and Schedule 4 of Ex. 514 for KEDLI. The deferred tax amounts are subsequently submitted (on line 6) from the deferred taxes in the calculation of cash flow from operations to reflect the fact they are being returned to customers.

changes in other elements of their revenue requirements such as increases in depreciation expense or SIR expense, a reduction in the amortization of excess deferred taxes, or a reduction in the amount of savings/productivity imputed into the revenue requirement. Nonetheless, based on this data, the Companies submit that the end result of adopting the proposed Staff revenue requirements in these cases is that the Companies will not be able to maintain and support their credit. Therefore, applying the applicable legal standards and applicable Commission policy, the proposed revenue requirements are not just and reasonable. Accordingly, the Companies urge the Commission to provide each of the Companies with the levels of rate relief proposed by the Companies so that they may continue to maintain and support their credit.

E. Earnings Sharing Mechanism

1. The Staff's Proposal To Impose An Earnings "Sharing" Mechanism On The Companies In Years Beyond The Rate Year Should Be Rejected

In addition to establishing rates based on a 8.2 percent ROE that would be the lowest established by this or any other regulatory commission within the past forty years, the Staff Policy Panel ("SPP") further proposes that the Commission impose an Earnings "Sharing" Mechanism (hereafter "Earnings Mechanism") on the Companies that would apply in the years beyond the Rate Year – the twelve months ending March 31, 2021. Tr. 3580-81. Under the proposed Earnings Mechanism, to the extent that the Companies did not file revised base rates applicable to periods beyond the Rate Year, the Companies would be required to defer for future return to customers earnings in excess of the percentages returns set forth below:

ROE Percentage	Percentage Refunded	Percentage Retained by Companies
8.7% or less	0%	100%
8.7% to 9.2%	50%	50%
9.2% to 9.7%	75%	25%
More than 9.7%	90%	10%

Tr. 3581-82. The Companies submit that to the extent that the PSL authorizes the Commission to impose the proposed Earnings Mechanism on the Companies in a litigated one-year rate case,[140] the record evidence does not support a finding that the proposed Earnings Mechanism is just and reasonable.

At the outset of this discussion, the Companies do not dispute that the adoption of earnings sharing mechanisms in the context of negotiated settlements/joint proposals that establish rates over a multi-year period is completely reasonable and appropriate. The Companies have supported such mechanisms in a number of proceedings.[141] As discussed more fully below, such mechanisms are particularly appropriate when they are tied to a settlement that reflects a multi-year stay out commitment. However, such circumstances are not present here.

In order to lawfully adopt the proposed Earnings Mechanism, the Commission must, at a minimum, find on the basis of substantial evidence, that the Earnings Mechanism will be just and reasonable[142] during the period in which it will be in effect – in this case, the period beyond March 31, 2021. As discussed *supra*, in order to meet the just and reasonable standard, the Commission must determine that mechanisms, coupled with the Companies' current rates will afford the Companies a reasonable opportunity to earn a return on equity that is commensurate with the returns earned by enterprises facing corresponding risks. No such finding can be made in this case

[140] The Companies acknowledge that the Commission imposed a similar earnings mechanism on one occasion in Case 16-G-0257, National Fuel Gas Distribution Corp., *Order Establishing Rates For Gas Service* (issued and effective April 20, 2017) at 59-61, and that the Commission's decision was upheld judicially. *See National Fuel Gas Distribution Corp. v. Public Service Commission*, 169 A.D.3d 1334 (3rd Dept. 2019), App. Denied, 33 N.Y.3d 1053 (2019) ("*National Fuel*"). However, the Companies are not asserting, as was the case in National Fuel, that the proposed earnings mechanism violates the rule against retroactive ratemaking or applicable precedent that requires utilities to be treated equally to other parties. Rather, as discussed more fully, *infra*, the Companies are contending that the Earnings Mechanism proposed in this case has not been demonstrated to be just and reasonable based on the record of this case.
[141] *See e.g.*, 2016 KEDNY and KEDLI Rate Order at 25-35.
[142] *See* PSL §§ 65(1), 72 (McKinney's 2011), *Brooklyn Union Gas Co. v. Public Service Commission*, 101 A.D.2d 453, 456 (3rd Dept. 1984).

because no party has offered evidence of what the appropriate ROE should be for the Companies in the years beyond the Rate Year. Tr. 2281. Moreover, to the extent that there is anecdotal evidence in the record as to what the appropriate ROE would be for a group of utilities that are allegedly comparable to the Companies – the SFP's Proxy Group of electric and combination electric and gas utilities – that evidence establishes that not only would it not be just and reasonable for the Commission to impose a mechanism that would require the Companies to begin forfeiting earnings that exceed 8.7 percent in years beyond the Rate Year, it would in fact be confiscatory for the Commission to do so.[143]

In this regard, the record shows that, as discussed *supra*, in formulating its return recommendations in this case, the SFP, relied upon information provided by Value Line concerning its proxy group that shows, as set forth on Appendix 2, that (i) the SFP projects that in 2023 the proxy group will earn an average return of 11.14 percent and median return of 10.64 percent,[144] and (ii) Value Line itself projects that in 2022-2024 the same companies will earn an average return of 10.59 percent and a median return of 10.50 percent.[145] Given this evidence, it is inconceivable that the proposed Earnings Mechanism, which requires the Companies to disgorge

[143] *See New York Tel. Co. v. Pub. Serv. Com'n.*, 62 N.Y.2d 57, 63 (1984) ("A rate which is confiscatory is constitutionally infirm") (citing *Hope*). *See also Duquesne Light Co. v. Barasch*, 488 U.S. 299, 307-308 (1989) ("If the rate does not afford sufficient compensation, the State has taken the use of utility property without paying just compensation and so violated the Fifth and Fourteenth Amendments."); *and see Penn Central Transportation Co. v. City of New York*, 438 U.S. 104, 127 (1978) ("a state statute that substantially furthers important public policies may so frustrate distinct investment-backed expectations as to amount to a 'taking.'").
[144] *See* Exhibit 440, the 2022-2024 return information derived from the exhibit is summarized on Appendix 2 to this brief.
[145] *See* Appendix 2.

at least 50 percent of earnings in excess of 8.7 percent in years after March 31, 2021, could possibly be just and reasonable. On the contrary, such a result would clearly be unjust and unreasonable.[146]

The illogic of the proposed Earnings Mechanism is further demonstrated by the contrast between (i) what the Companies will earn, and their customers will pay in rates, if the Staff's position is adopted in this case, and (ii) results that will be achieved based on the outcome of Consolidated Edison of New York, Inc. ("Con Edison") most recent rate cases in Case 19-E-0065 *et al.*[147] In Case 19-E-0065 *et al.*, the Commission approved a three-year rate plan for Con Edison's gas business that provided for a return on equity of 8.8 percent applied to a capital structure consisting of 48 percent common equity,[148] as well as an earnings sharing mechanism that would permit Con Edison to retain 100 percent of its earnings up to a return of 9.3 percent.[149] Assuming that (i) the proposed Earnings Mechanism is adopted in these proceedings and (ii) both Con Edison and the Companies do not file new base rates for three years and both Con Edison and the Companies earn their authorized ROEs in year one and two and an 8.8 percent return on equity in year three, the end results for the Companies and Con Edison and their customers will be as follows:

[146] This is particularly illustrated by the fact if the Companies were to earn the average 11.14% return forecast by the SFP for its proxy group 2023, the Companies would be required to disgorge 192.1 basis points of those earnings (25 basis points between 8.7 percent and 9.2 percent) + (37.5 basis points between 9.2 percent and 9.7 percent) + (129.6 basis points between 9.7 percent and 11.14 percent).
[147] By Order issued January 16, 2020, the Commission issued an Order adopting the terms of a joint proposal dated October 16, 2019 in Case 19-E-0065 *et al.* for (hereafter Case 19-E-0065 Joint Proposal) for Con Edison's gas and electric businesses. *See* Case 19-E-0065 *et al*., *Consolidated Edison Company of New York, Inc., Order Adopting Terms Of Joint Proposal And Establishing Electric And Gas Rate Plan* (issued and effective January 16, 2020). Con Edison is a member of the SFP's proxy group of electric and combination electric and gas companies.
[148] Case 19-E-0065 Joint Proposal at Appendix 2, page 11 of 13.
[149] *See* Case 19-E-0065 Joint Proposal at 23-26.

1. The Companies' customers will have paid rates that reflect an 8.2 percent ROE; Con Edison's customers will have paid rates that reflect an 8.8 percent ROE;[150]
2. Con Edison's shareholders will retain all earnings while the Companies will each be required to forfeit 5 basis points of earnings in year three under the Earnings Mechanism;
3. The Companies will have found a level of efficiencies beyond those reflected in the revenue requirement equal to approximately $19.8 million annually for KEDNY and $12.6 million annually for KEDLI.[151] These efficiencies will be reflected in the historic test year of any future rate filing made by the Companies. At the same time, Con Edison will not need to find any incremental efficiencies beyond those built into its Settlement rates and its customers will receive no benefit from such incremental efficiencies in a future rate case.

The point here is not that the Companies should be entitled in a litigated one-year rate case to the same results as another utility that is able to negotiate a three-year settlement. Rather, the point is that there is no plausible reason for the Commission to impose an Earnings Mechanism on companies whose customers are paying rates that reflect a significantly lower ROE and that somehow find a way to achieve incremental efficiencies that (1) cause no harm to their customers today, but (2) will provide substantial incremental benefits to customers when future rate cases are filed.

[150] While Con Edison and the Companies are not completely comparable in terms of size of rate base, the SFP testified that 10 basis points of ROE is worth $3.3 million and for KEDNY and $2.1 million for KEDLI (Tr. 3092). Therefore, by virtue of paying rates that reflect an 8.2 percent return instead of an 8.8 percent return for three years, KEDNY's customers will derive a cost savings of approximately $58.4 million and KEDLI's customers will derive savings of approximately $37.8 million.
[151] These savings are equal to sixty basis points of earnings based on Staff's proposed revenue requirement.

From the Companies' perspective, it is poor regulatory policy for the Commission to impose an Earnings Mechanism that effectively discourages the Companies from finding ways to manage their business in a manner that minimizes the need for time consuming and expensive rate proceedings.[152] In addition, in proposing an Earnings Mechanism in this case, the SPP provided no evidence whatsoever that the Companies had in the past earned excessive or unlawful profits that might provide some support for an Earnings Mechanism. Moreover, the Commission has ample authority to act on the Companies' rates if it believes that the Companies' earnings have reached an unjust and unreasonable level.[153] This includes the authority to make rates temporary while conducting an investigation.[154] Under these circumstances, there is no reason for the Commission to impose an additional Earnings Mechanism on the Companies. The SPP's proposal is an unjust and unreasonable solution to a non-existent problem. It should be rejected.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

A. Revenue Forecast

1. The Commission Should Accept the Companies' Revenue Forecast

The Commission should accept the Companies' revenue forecast, which is contained in Exhibit 405 for KEDNY and Exhibit 409 for KEDLI. Staff's latest revenue forecast is contained in Exhibit 522. The two price-outs use different sales forecasts and pricing models. As discussed above in the Gas Sales Forecast section of the brief, the Companies submit that the Commission should adopt the Companies' sales forecast. Further, the Companies disagree with Staff's revenue price-out model. The Companies' revenue and ogive models price out revenue at the rate code level, which is rolled up to the service class. Tr. 2811, lines 15-20. On the other hand, Staff's

[152] Tr. 2280-81.
[153] *See* PSL §§ 72, 114 (McKinney's 2011).
[154] *Id.*

model prices out Rate Year revenue at the service class level. Tr. 2810, lines 4-5. Further, the parties utilize different methods to normalize historic data used in the ogive analysis. The Companies submit that their model is a more accurate way to price out revenue because the rate codes that make up a service class may have different usage by delivery block, resulting in slightly different total revenue by service class. Tr. 2811, lines 15-20. Therefore, the Commission should utilize the Companies' more detailed revenue forecast to determine the revenue requirement.

Staff recommended that the Companies revise their ogive calculations to account for canceled bills and re-bills. Tr. 2933, lines 8-13. The Companies agree.

B. ECOS Study

1. The Commission Should Utilize The Companies' Forward-Looking (Pro-Forma) ECOSS For Revenue Allocation And Rate Design In These Proceedings

The Companies' embedded cost of service studies ("ECOSS"), which are contained in Exhibit 726 (RDP-3ATS) for KEDNY and Exhibit 726 (RDP-3BTS) for KEDLI, are forward-looking (pro-forma) studies. The Companies' ECOSS presents, *inter alia*, the costs that the Companies expect to incur in the Rate Year, the allocation of costs to each service class, the calculation of the return provided by each service class and the comparison of those returns to the system average rate of return. Tr. 2649, 2656-57, 2659. The Companies used the same forward-looking approach in prior rate cases, including the 2016 KEDNY and KEDLI Rate Cases.[155] This is also the approach used by the Companies' Upstate New York affiliate, Niagara Mohawk, most recently in Cases 17-E-0238 and 17-G-0239.[156]

[155] *See* Cases 16-G-0058 and 16-G-0059, Direct Testimony of the Rate Design Panel, pages 11-19.
[156] *See* Cases 17-G-0239, *et al*., Direct Testimony of the Gas Rate Design Panel, pages 13-22.

Staff proposes using an historic ECOSS instead of the Company's *pro-forma* study. Tr. 2943, lines 11-13. The historic ECOSS that Staff supports allocates the costs incurred during the Historic Test Year among the various service classifications.[157] Staff argues that a *pro-forma* ECOSS can introduce additional errors in its results. Tr. 2943, lines 13-15. Staff claims that use of an historic cost of service study is more appropriate unless "very large changes in utility operations are projected." *Id.*, lines 15-18.

The Companies recommend the Commission utilize their *pro-forma* ECOSS that reflects the costs, rate base, and physical units that are projected for the Rate Year, and for which the revenue requirement, revenue allocation, and rate design will be set. Tr. 2814, lines 18-20. The Companies acknowledge that actual conditions in the Rate Year may differ from the projections factored into the ECOSS. However, the same is true for an historic ECOSS. Tr. 2814-15, lines 21 and lines 1-5. Specifically, historic allocator values may not reflect normal weather, and Historic Test Year costs will likely differ, in amount and type, from the costs included in the Rate Year. *Id.*

Staff explicitly acknowledged that one of the goals of the ratemaking process is to establish rates that move each rate class closer to the system average rate of return, so that the rates will reflect cost causation. Tr. 3028, lines 13-17. However, Staff admits that an historic ECOSS cannot measure that movement toward the system average rate of return until the next rate case. Tr. 3029, lines 5-12. Thus, a historic ECOSS fails to accomplish one of the fundamental goals of performing an ECOSS – to measure the rate classes' movement toward the system average rate of return. Staff also acknowledged that a historic ECOSS will not be normalized for weather, and that it may not reflect non-recurring costs that are normalized out of the Historic Test Year. Tr. 3030, lines 3-13.

[157] The historic ECOS studies for KEDNY and KEDLI that Staff rely on can found on pages 7-324 of Exhibit 492 (SRP-1).

Staff's insistence on using an historic ECOSS is especially unnecessary given that the Companies' *pro-forma* ECOSS can be rerun to reflect the final revenue requirement approved by the Commission, which will reflect actual amounts to be recovered in rates. Tr. 2815, lines 14-18.

For the foregoing reasons, the Companies' *pro-forma* ECOSS should be used as the basis for allocating costs and designing rates in these proceedings.

2. Distribution Main Costs Should Be Classified As Partially Demand-Related And Partially Customer-Related

Distribution mains are installed (i) to connect customers to the Companies' gas system, as well as (ii) to provide capacity to meet customer demand on a design day. Tr. 2653, lines 9-11. Thus, distribution main costs are both customer-related and demand-related. *Id.*, at 11-12. To determine how much of the main costs should be classified between the two categories, the Companies performed a minimum system study. *Id.*, at 13-14. A minimum system study looks at what would be the cost to install mains to serve customers if there were minimal or zero demand or usage. The premise is that this is the cost of mains infrastructure needed simply to connect customers. Based on that minimum-system study, the Companies determined a ratio of costs appropriately classified as customer-related, with the remaining balance classified as demand-related. The Commission has accepted the Companies' classification of main as both demand- and customer-related in prior rate cases, including the 2016 KEDNY and KEDLI Rate Cases.[158] Also, as cited by NYC (Tr. 5570-71), the Commission has accepted the classification of main as

[158] The Commission has accepted the Companies' classification of mains as both demand- and customer-related in prior rate cases, including the 2016 KEDNY and KEDLI rate cases, and accepted the same approach adopted by the Companies' affiliate, Niagara Mohawk, in its prior rate cases including Case 12-G-0202, *et al*., and Case 17-G-0239, *et al.*

both demand- and customer-related in other litigated rate proceedings in the past.[159] No party has objected to the methodology used in the Companies' minimum system study or its results.

In these proceedings, no party has opposed the Companies' proposed ECOSS with respect to splitting the classification of main costs between customer- and demand-related. NYC supports the Companies' approach to the classification of mains, stating that "the number of customers connected to the distribution system is another important causative factor in distribution main investment." Tr. 5568, lines 19-21. Nevertheless, UIU recommends that the revenue allocation be based on the results of the Companies' proposed ECOSS as well as the *pro-forma* ECOSS that allocates main costs as 100 percent demand-related. Tr. 1372, lines 16-19. Further, UIU proposes that in future rate filings the Companies be required to submit additional ECOSS studies, including one in which distribution costs are classified as entirely demand-related, with no customer-related component. Tr. 1373, lines 8-16. UIU reasons that having multiple ECOSS studies will help the Commission make better decisions and "ameliorate, to some degree, the controversy that surrounds judgment concerning the appropriate definition and interpretation of so-called 'customer-related' costs." Tr. 1365-66, lines 18-21 and lines 1-3.

While the Companies do not object to preparing an additional ECOSS based on 100 percent demand classification of mains for informational purposes as suggested by UIU, the Companies maintain that such an ECOSS is not appropriate for revenue allocation. To properly reflect cost causation, distribution mains should be classified as both demand-related and customer-related.

[159] *See* Case 93-G-0162, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation for Gas Service*, Op. No. 94-13 (issued May 12, 1994); Case 94-G-0885, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of National Fuel Gas Distribution Corporation for Gas Service*, Op. No. 95-16 (issued September 21, 1995), as cited in the Rebuttal Testimony of Richard A. Baudino (Tr. 5570-5571, lines 19-21 and lines 1-14). *See also,* Case 29334, *The Brooklyn Union Gas* Company, 30 N.Y.P.S.C. 1531, 1535-37, 1990 WL 597022, Opinion No. 90-22 (July 26, 1990).

C. Revenue Allocation

1. The Companies Proposed Revenue Allocation Using Tolerance Bands Should Be Adopted

The Companies' proposed revenue allocation is contained in Exhibit 727 (RDP-4ATS), Schedule 1 for KEDNY and Exhibit 727 (RDP-4BTS), Schedule 1 for KEDLI. The Companies' revenue allocation is based on the Companies' *pro-forma* ECOSS, as discussed above. The proposed revenue allocations aim to bring each service class closer to unity (supporting cost causation principles) while mitigating extreme impacts to any one class. Tr. 2817, lines 6-8. The Companies proposed the use of tolerance bands to separate service classes as those that are over-, under-, or near/at the system average of return. *Id.* at 8-15. Using a tolerance band of 25 percent, those service classes that produced a rate of return 25 percent or greater than the system average rate of return (meaning that they are subsidizing other service classes) were assigned lower percentage revenue increases than those service classes that produced a rate of return 25 percent or less than the system average rate of return (meaning that they were being subsidized by other service classes). *Id.* Those service classes that were within the 25 percent tolerance band (between 25 percent above and below the average return) were assigned revenue percentage increases close to the average increase. *Id.* The tables below summarize the revenue increases (by percentage) each rate class was given depending on whether it was within, above, or below the tolerance band.

Table 7 – KEDNY and KEDLI Proposed Revenue Allocation

KEDNY	Return on Revenue at Present Rates (%)	% Increase (Decrease) in Revenue Target
Within Tolerance Band (+/- 25% of System Average Return of **3.37%**)		
SC 1B	4.03	13.55
Above Tolerance Band		
SC 2-1	9.86	3.40
SC 4A (HLF)	12.15	3.40
SC 4A (CNG)	6.65	3.40
SC 4B	15.77	3.40
Below Tolerance Band		
SC 1A	(0.64)	19.20
SC 1DG	(6.87)	19.20
SC 2-2	2.10	19.20
SC 3	1.81	19.20
SC 7	(17.60)	19.20
SC 21	(16.10)	19.20

Exhibit 727 ((RDP-4ATS), Schedule 1, Page 1 of 2)

KEDLI	Return on Revenue at Present Rates (%)	% Increase (Decrease) in Revenue Target
Within Tolerance Band (+/- 25% of System Average Return of **5.92%**)		
SC 1B	5.18	5.94
SC 2B	6.02	5.67
SC 3B	6.30	5.67
Above Tolerance Band		
SC 2A	23.79	3.66
SC 3A	13.93	3.66
SC 15	13.45	3.66
SC 16	16.86	3.66
Below Tolerance Band		
SC 1A	0.45	11.60
SC 1DG	(5.68)	11.60
SC 17	1.62	11.60

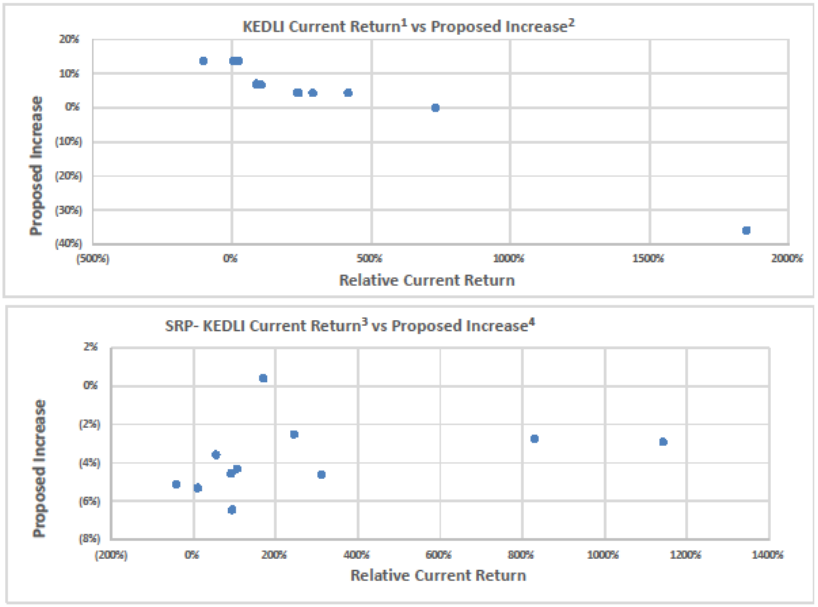
Exhibit 727 ((RDP-4BTS), Schedule 1, Page 1 of 2)

As can be seen above, the Companies' proposed revenue allocation is consistent – those rate classes with greater rate of return at present rates receive smaller percentage increases to the revenue target, while those with a lower rate of return receive greater percentage increases. Not shown in the table above, KEDNY's non-firm service class was assigned a 2.5 percent decrease, while KEDLI's non-firm service class was assigned no increase. Exhibit 727 (RDP-4ATS), Schedule and (RDP-4BTS), Schedule 1.

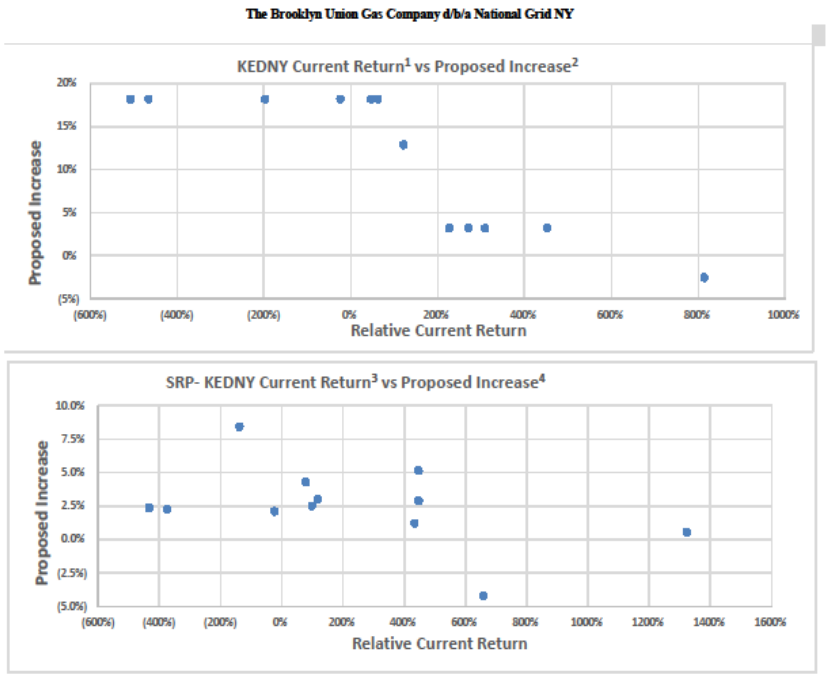
Staff's revenue allocation proposal, which is submitted as Exhibit 523, should be rejected. As an initial matter, Staff uses an historic ECOSS, which should be rejected for the reasons discussed above. Because a historic ECOSS, by its definition, does not reflect the costs that will be incurred during the Rate Year, or the normalized revenue, it cannot be used to measure the rate classes' movement toward unity.

Further, Staff's revenue allocation produces inconsistent results. For example, for KEDNY, Staff shows that SC 2-1, SC 4A (HLF) and SC 4B produce similar returns at present rates of 4.47, 4.47, and 4.34 times the system average rate of return, respectively. Exhibit 523, page 1. However, Staff recommends revenue target increases for these classes of 2.89%, 5.15% and 1.23%, respectively. *Id.* Staff does not offer any explanation as to why three rate classes with very similar returns at present rates are given very different increases. The inconsistencies of Staff's revenue allocation are further illustrated in the graphs below.

KeySpan Gas East Corporation d/b/a National Grid



[1] Ex. 358 (RDP-4R), Schedule 1, line 12
[2] Id., Schedule 1, line 38
[3] Corrected Ex.___ (SRP-14), Page 2, Column I
[4] Id., Page 2, Column Q



[1] Ex. 358 (RDP-4R), Schedule 1, line 12
[2] Id., Schedule 1, line 38
[3] Corrected Ex.___ (SRP-14), Page 1, Column I
[4] Id., Page 1, Column Q

The graphs demonstrate that the Companies' revenue allocations propose greater increases for those rate classes that provide lower returns. With Staff's proposals, however, there is no such consistency or trend. In fact, Staff's proposal gives rate classes with similar rates of return with varying increases or decreases. Such inconsistencies show that Staff's proposal produces an end result that is inconsistent with cost causation and should therefore be rejected.

D. Rate Design

1. The Commission Should Adopt The Companies' Rate Design Proposals For The Firm Service Classes

Each firm service class has a fixed, minimum charge applicable to all customers, as well as a volumetric rate (or rates). Tr. 2825, lines 10-12. The Companies' rate design proposals are intended to (i) collect the revenue target determined in the revenue allocation process; (ii) avoid

severe, disproportionate impacts to customer subgroups within a service class; and (iii) provide price signals to impact usage patterns, including promoting energy conservation. Tr. 2664-65, lines 17-21 and lines 1-2.

The Companies' latest rate design proposals are available on Exhibit 727 (RDP-4ATS), Schedule 3 for KEDNY and Exhibit 727 (RDP-4BTS), Schedule 3 for KEDLI. For service classes with rate blocks (different rates based on usage level), the Companies' proposed rate design reduces the decline of the slope (ratio of the penultimate block rate to the tail block rate). This "flattening" of the rate blocks (meaning the tail block, applicable to the highest usage level, is now more expensive) is intended to incentivize consumers to reduce consumption. While the rate design can only be finalized based on the revenue requirement that is ultimately approved by the Commission, the Companies support rate design that encourages energy conservation. However, it must balance that interest with the goal of aligning rates with costs. Thus, it is important to recover a part of the costs through the minimum charge and the rest through volumetric rates.

Staff's rate design proposals are contained in Exhibit 524. Staff's rate design diverged from that of the Companies primarily because of the significant difference in the proposed revenue requirement. Because Staff's proposed revenue requirement was lower, Staff's rate design reduces the slope more than do the Companies' proposals. However, Staff acknowledged that a higher revenue requirement would require a more gradual reduction in slope. Tr. 2958, lines 8-11. The Companies submit that the Commission should utilize the Companies' proposed rate design for the firm service classes, as set forth in Exhibit 727.

E. Bill Impacts

Exhibit 727 (RDP-4ATS), Schedule 4 for KEDNY and Exhibit 727 (RDP-4BTS), Schedule 4 for KEDLI show the impact to customer bills based on the Companies' proposed rate design. For each service classification, the Companies show the net change to customers' monthly

delivery and gas commodity charges for different usage levels. The Companies submit that the bill impacts reflect appropriate revenue increases based on just and reasonable rates to allow the Companies to recover their costs and earn a fair return on investment.

F. Non-Firm Service Classes

1. The Commission Should Adopt the Companies' Proposed Rate Design For The Non-Firm Demand Response Service Classifications

Pursuant to the Commission's *Order Approving Tariff Revisions and Directing Further Tariff Filings* ("TC/IT Order") issued and effective February 7, 2019 in Cases 16-G-0058 and 16-G-0059, the Companies established new non-firm demand response ("NFDR") service classifications in place of the existing temperature controlled ("TC") and interruptible ("IT") service classifications. Specifically, the NFDR service class is a two-tier structure differentiated by the customer's fuel switching equipment and the designated interruption temperatures. Tr. 2693, lines 1-20. Tier 1 customers must have fully automatic switchover equipment, whereas Tier 2 customers are permitted to have fully automatic, semi-automatic, or manual switchover equipment. *Id.* Currently, the interruption temperature for Tier 1 customers is 16 degrees Fahrenheit, and 20 degrees Fahrenheit for Tier 2 customers.

Staff disagrees with certain aspects of the Companies' proposed non-firm rate design, as highlighted below.

a. Staff's Proposal On How To Set Rates For The Non-Firm Demand Response Service Classifications Produce Inconsistent Results Among Similarly Situated Customers

Staff does not believe that the Companies' proposed non-firm rate design provides sufficient incentives for customers to choose non-firm service over firm service. Tr. 2964, lines 7-16. Instead, Staff proposes non-firm rates be set such that the total bill of a non-firm customer is 30 percent (for Tier 1) and 40 percent (for Tier 2) less than the total bill of the otherwise

applicable firm service. Tr. 2964-65, lines 19-24 and lines 1-2. Staff's proposal should be rejected because setting the discounts on a total bill basis could lead to different discounts between non-firm sales customers and non-firm transportation customers. A total bill for a firm sales customer includes the delivery charge and the cost of commodity supplied by KEDNY or KEDLI, whereas a total bill for a firm transportation customer would consist of the delivery charge and the cost of commodity charged by an energy service company ("ESCO"). The commodity cost charged by the Companies may differ from that of an ESCO. Under that scenario, if a firm sales customer and a firm transportation customer consume the same quantity of gas under the same service classification, the delivery charge would be the same for both customers, but the commodity cost would be different. That also means the total bill of the firm sales customer and the total bill of the firm transportation customer would be different. Consequently, to produce a total bill that is 30 percent less than that of the applicable firm service (for Tier 1), the delivery rate of a non-firm sales customer would necessarily be different from that of a non-firm transportation customer; the only way to achieve the same discount on a total bill basis would be to back into the delivery rate, resulting in different delivery rates for non-firm sales and transportation customers. This results in a different treatment of similarly situated customers who both agree to be interrupted at the same temperature.[160] As such, Staff's proposal violates Sections 65(2), 65(3) and 66(12)(d) of the PSL,[161] because it proposes to treat similarly situated customers differently without any rational

[160] Under the Joint Proposal adopted by the Commission in Cases 17-G-0202, *et al.*, Niagara Mohawk was required to consider tariff modifications in its next rate filing to ensure that similarly-situated customers are subject to the same delivery rates regardless of their commodity supplier. (*See* page 31 of the Joint Proposal). The difference in the delivery rates for non-firm sales and transportation customers resulting from Staff's proposal in the instant case would be directly contradictory to the objective of the requirement approved by the Commission in the Niagara Mohawk Joint Proposal.
[161] PSL §§ 65(2), 65(3) and 66(12)(d) (McKinney's 2011).

justification.[162] Thus, Staff's proposal to calculate the discount on a total bill basis should be rejected. Instead, the Commission should adopt the Companies' proposed rates as set forth in Exhibit 727, which the Companies submit sufficiently reflect the difference in the level of service and provide sufficient discounts from the otherwise applicable firm rates to properly incentivize customers to choose non-firm service.

b. Staff's Proposal That The Companies Use The Incremental Cost Of Gas To Calculate The Non-Firm Gas Cost Should be Rejected

The Companies propose to include gas costs incurred for and recovered from the non-firm demand response service classification in their annual gas cost reconciliation. Non-firm customers will share in the over/under recoveries of gas costs that currently only apply to firm sales customers. Pursuant to the *Order Authorizing Combined Gas Portfolios* issued October 28, 2005 in Case 05-G-0903, KEDNY and KEDLI manage their gas supply portfolio on a combined basis. Tr. 2834, lines 4-21. The gas supply planning process accounts for gas to supply non-firm customers up to the lowest designated interruption temperature. *Id.* Therefore, all sales customers should contribute to the costs of the entire supply portfolio. *Id.* To that end, the Companies proposed to calculate the non-firm cost of gas using the same formula used to calculate the cost of gas for the former TC service class. Tr. 2833, lines 12-19. The former TC and IT service classifications both currently use a weighted average cost of gas ("WACOG") to calculate the applicable gas costs, but the former includes a demand charge while the latter does not.[163] *Id.* In this rate filing, the Companies propose that all customers under the new NFDR service classification would receive a demand charge.

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[162] *See, Matter of Lefkowitz v. Public Service Commission*, 40 N.Y.2d 1047, 1048 (1976). *See also, Matter of New York State Electric & Gas Company v. Public Service Commission*, 308 A.D.2d 108,115 (3rd Dept. 2003).

[163] The demand charge reflects the per unit 100 percent load factor fixed cost associated with the pipeline transportation path that is delivering the forecasted highest cost of baseload gas for that month. Tr. 2882.

Staff proposes that the Companies use the Incremental Cost of Gas ("ICOG") to calculate the non-firm sales service cost of gas, instead of the WACOG as proposed by the Companies. Ex. 644 at 14. The Companies' ICOG calculation reflects the highest cost supply including commodity, variable cost, and the 100 percent load factor per unit fixed costs of the pipeline transportation path. Ex. 641 at 47-49. Currently, the Companies only utilize this ICOG calculation when assessing imbalance cash outs for a handful of daily balanced non-firm customers.

Staff's proposal to use the ICOG should be rejected for two primary reasons. First, it contradicts Staff's goal of incentivizing customers to choose non-firm service over firm service. The ICOG, by definition, is almost always higher than the WACOG. Tr. 2834, line 14. *See e.g.*, Ex. 641 at 41-45. This would counter the impact of any incentive created by the fact that non-firm service classes reflect lower non-firm delivery rates compared to the otherwise applicable firm rate. Second, Staff's argument that using the WACOG results in firm customers subsidizing non-firm customers is incorrect. The times when the ICOG is likely to be set (*e.g.*, the coldest days) are the times when non-firm customers can expect to be interrupted. Tr. 2834, lines 16-18. When non-firm customers are interrupted they do not cause the Companies to purchase gas that is priced at the ICOG. Therefore, using the ICOG instead of WACOG would, in essence, charge non-firm customers the very costs that they are trying to avoid, further reducing their incentive to choose non-firm service.

In addition, because, as discussed *supra*, the Companies propose that non-firm customers should be included in the annual gas cost reconciliation any subsidies between the firm and non-firm service classifications would be eliminated. Tr. 2835, lines 9-12. For these reasons, the Commission should reject the Staff's proposal to calculate the non-firm cost of gas using the ICOG.

c. The Companies Must be Able To Adjust The Interruption Temperature Thresholds For Tier 1 And Tier 2 Customers

NYC proposes that the Companies' tariffs specify that Tier 1 customers will be interrupted at 15 degrees Fahrenheit and Tier 2 customers at 20 degrees Fahrenheit. Tr. 5539, lines 10-12. The Companies disagree. The Companies' initial proposal to set interruption temperatures at 15 and 20 degrees for Tier 1 and 2 customers, respectively, was intended to be a starting point, not a fixed temperature. The key feature is the ***difference*** in the interruption temperature between the two tiers, not the specific temperatures at which interruptions will occur. The Companies' tariffs purposefully leave out the specific temperatures because they may change. Every year, prior to the start of the winter season, the Companies' gas system planning department determines the temperature at which interruptions must occur for non-firm customers based on the capacity requirements for that winter season. Tr. 2835-36, lines 18-21 and lines 1-3; Tr. 2864, lines 3-7. This may mean that the 15- and 20-degree cuts off will fluctuate year over year. For example, for the 2019/2020 winter season, the Companies set the designated interruption temperature at 16 degrees Fahrenheit for Tier 1 customers. Tr. 2863, lines 13-16. Exhibit 639. The difference in the rates for Tier 1 and 2 is based on the difference in discounts from the otherwise applicable firm rate, and is not tied to any specific temperatures. Tr. 2907-08, lines 21-25 and lines 2-5. Thus, the Companies maintain that their tariffs must retain flexibility to adjust the designated interruption temperature to allow proper system planning based on changing conditions year over year.

d. The Commission Should Reject NYC's Proposals for Further Non-Firm Tariff Modifications

Pursuant to the TC/IT Order, on May 8, 2019, the Companies submitted revised tariff leaves to reflect changes to their respective non-firm service classifications in Cases 16-G-0058 and 16-G-0059, which are briefly described below. The Commission approved the tariff revisions, with certain modifications, in its November 15, 2019 *Order Approving Tariff Amendments with*

Modifications ("November 15 Order") in Cases 19-G-0370 and 19-G-0371.[164] On November 26, 2019, the Companies submitted further revised tariffs in accordance with the November 15 Order. NYC has been actively engaged in those proceedings, including recently submitting a petition for rehearing on the November 15 Order.

In the instant proceeding, the Companies proposed the same tariff changes as the May 8, 2019 submission in Cases 19-G-0370 and 19-G-0371. The Companies submit that the Commission should uphold the changes that were already approved by the Commission's November 15 Order in the parallel proceeding. To the extent an issue raised in the parallel proceedings is not specifically addressed herein, the Companies maintain that their tariff provisions should be upheld and the NYC's proposals should be rejected.

i. On-Site Alternate Fuel Requirement

NYC proposes that the Companies' non-firm tariffs be modified so that on-site alternative fuel is not a prerequisite for eligibility. Tr. 5540, lines 1-2. Contrary to NYC's assertions, the Companies' tariffs already allow customers without alternative fuel to purchase non-firm service provided that they stipulate in writing that they are willing and able to shut down during periods of interruption because they do not have alternate fuel. Tr. 2838, lines 5-8. Therefore, NYC's proposal to further modify the tariffs is unnecessary.

ii. Second-Strike Violations

NYC proposes that if (i) a second interruption occurs within five days of the end of the first interruption; and (ii) the customer can demonstrate that the equipment could not be fixed despite diligent efforts, the second failure to interrupt (or "strike") should not be considered a strike and any associated penalties would be reduced or waived. Tr. 5540, lines 9-13. The Companies submit

[164] Cases 19-G-0370, *et al.*, Tariff Filing by KeySpan Gas East Corporation d/b/a National Grid to Modify its Gas Tariff Schedule, P.S.C. No. 1, to Establish Non-Firm Demand Response Service Classes.

that their current respective tariffs already contemplate such scenarios and provide sufficient opportunities for customers to remediate any equipment failure. Under the existing tariffs, customers have as many as seven days to remediate equipment failure, provided they follow the notification requirements set forth therein.[165] Tr. 2839, lines 5-24. The Companies also allow one amnesty for an equipment violation per winter season.[166] The Companies believe that these provisions adequately address circumstances in which customers cannot comply with an interruption for reasons outside of their control, and further tariff modifications are not necessary.

iii. Waiver of Tariff Provisions for NYCHA

NYC proposes that the New York City Housing Authority ("NYCHA") should be permitted waivers of non-compliance penalties for electric emergency situations in which NYCHA has to consume gas during an interruption to operate their on-site generation facilities. Tr. 5540, lines 14-17. NYC noted that NYCHA was unable to obtain firm service due to the Companies' moratorium that was in place at the time that NYC submitted its pre-filed direct testimony. Tr. 5564, lines 3-4. The Companies submit that this issue is now moot given that the moratorium has been lifted as of November 24, 2019.[167]

The Commission should reject NYC's proposal to allow an exception to the application of non-compliance penalties to NYCHA. The Companies rely on non-firm customers to comply with the requirement to not consume gas during an interruption. Tr. 2840, lines 3-4. This is critical to the Companies' ability to continue safe and reliable operation of their systems. *Id*., lines 6-8. The Commission has noted that "in order to ensure the reliability of the distribution networks, National

[165] See Leaves 225-226, PSC No. 1 – Gas, for KEDLI and Leaves 427.40-427.41, PSC No. 12 – Gas, for KEDNY.
[166] *Id.*
[167] See Case 19-G-0678, *Order Adopting and Approving Settlement* (issued and effective November 26, 2019).

Grid must have confidence that IT and TC customers will not use natural gas under certain conditions."[168] Waiving non-compliance penalties would remove incentives for non-firm customers to comply with the required interruptions, which would significantly hinder the Companies' ability to manage peak load. Furthermore, providing an exception to NYCHA will lead to disparate treatment of similarly situated customers under the same non-firm service classification and is therefore contrary to Sections 65(2), 65(3) and 66(2) of the PSL.[169] Therefore, the Commission should deny NYC's proposal to permit waivers of non-compliance charges for NYCHA.

iv. *Critical Care Customers*

The Companies proposed to modify their respective tariffs to include a definition of critical care customers and the steps required for such customers that incur two strikes in one winter season. The Commission's November 15 Order approved the Companies' proposed definition of a critical care customer, which is as follows:

> Any non-firm customer[s] that provide life-saving or life-sustaining services, including the delivery of newborns (i.e., hospitals providing critical care, nursing homes, correctional facilities, or designated areas of refuge, identified on an annual basis by local or state governmental agency), where public safety could be affected by a need to relocate the occupants. All other customers are considered noncritical care.[170]

The Commission also approved certain tariff provisions regarding requirements for critical care customers who incur two violations in order to remain eligible for non-firm service.[171] Specifically, the requirements are: (i) to pay the non-compliance charge applicable to two-strike customers; (ii) submit a remediation plan; (iii) provide proof of an energy efficiency audit; (iv)

[168] Case 16-G-0058 and 16-G-0059, *Order Approving Tariff Revisions and Directing Further Tariff Filings* (issued and effective February 7, 2019) at 3.
[169] *See* the cases cited in footnote 161.
[170] *See* November 15 Order, at 22-23.
[171] *Id.*, at 14-15.

install a tank monitoring device at the customer's expense; and (v) agree to unannounced inspections of on-site alternate fuel equipment.

NYC submitted its comments to the Companies' May 8, 2019 tariff filings in Cases 16-G-0058 and 16-G-0059 as Exhibit 535, wherein NYC opposes, among other things, the Companies' tariff revisions regarding critical care customers. To the extent this is an issue in these proceedings, once again, the Companies submit that the Commission should uphold the Companies' tariff revisions, as approved by the November 15 Order.

G. Make Whole / Rate Compression

1. Calculation of the Make Whole Provision From April 1, 2020 Until Rates Are Effective In These Proceedings

Pursuant to the February 10 Make Whole Order, the Commission held the Companies should be "made whole" for the period between March 29, 2020 and the date of the order setting rates in these proceedings (the "Make Whole Period").[172] The February 10 Make Whole Order reflected the agreement between the Staff and the Companies that the revenue adjustments will be calculated as the difference between sales revenues the Companies would have billed at new rates during the extension of the suspension period and the same level of sales revenues at current rates.[173] The revenue adjustments will include all applicable surcharges and be subject to reconciliation in accordance with all applicable adjustment mechanisms, including revenue decoupling mechanisms.[174] Financial true-up targets established in the Commission's order, as well as depreciation and amortization expense, will be applied to the extension of the suspension period.[175]

[172] February 10 Make Whole Order, at Ordering Paragraph 3.
[173] *Id*. at 3.
[174] *Id.*
[175] *Id.*

The Companies propose that revenues for the Make Whole Period be recovered through a monthly surcharge beginning August 1, 2020 and extending through March 31, 2021. As gas usage is expected to be low during the months of the Make Whole Period, the Companies believe that the bill impacts will be minimal. In this way, the Companies will be restored to the same financial position they would have been in had there been no extension and new rates went into effect on April 1, 2020 in keeping with the intent of the make whole provision. The details of the make-whole provision must be discussed and agreed to among the parties.

b. Make Whole Provision And Waiver Of the Commission's Test Year Policy For The Companies' Next Rate Filings

The Companies' agreement to extend the suspension period and hearing date was further contingent upon Staff's agreement and support of certain provisions applicable to the Companies' next base rate filings. This agreement is set forth in the letter the Companies filed on December 9, 2019 in these proceedings. Specifically, while a make-whole provision in the instant proceedings would keep the Companies and customers in the same position they would have been absent the extension of the suspension period, absent the relief set forth below, an extension of the suspension period would effectively deny the Companies the ability to file for new rates to be effective April 1, 2021 in their next rate cases. Accordingly, the Companies' willingness to accept an extension of the suspension period through August 1, 2020 was expressly conditioned on Staff's support of the following additional provisions:

- A Commission grant of a limited waiver of the Commission's Policy Statement on Test Periods in Major Rate Proceedings, permitting the Companies to use a historic test year consisting of the twelve months ending December 31, 2019 in their next base rate filings; and

- A Commission determination that a make whole provision will be implemented effective April 1, 2021, in connection with new rates established by the Commission in response to the Companies' next base rate filings. The purpose of this make whole provision would be to keep the Companies and their customers in the same position they would have been had the Companies filed for new rates by April 30, 2020, with the intention that the Companies would file their next base rate filings on or about 15 days following issuance of a Commission order in the instant proceedings.

The Companies intend to make a separate filing with the Commission addressing these issues and do not believe that Commission action on this subject is required in these proceedings. However, the commission should make clear that nothing in its decision in these cases will prejudice the Companies' rights to seek the relief identified above in connection with their net rate filings.

H. Lost And Unaccounted For Gas ("LAUF")

1. The Commission Should Adopt The Companies' Proposed Modifications And Updates To Their Respective LAUF Mechanism

The Companies proposed four modifications and/or updates to their existing recovery mechanism for lost and unaccounted for ("LAUF") gas. Specifically, KEDNY and KEDLI each proposed to (i) update the LAUF targets and associated deadbands; (ii) align the implementation of the new targets with the start of the next annual cycle for calculating the Companies' Gas Adjustment Clause ("GAC"), which begins September 1, 2020; (iii) remove the adjustment to the LAUF mechanism for inactive accounts; and (iv) modify the calculation to gross up gas costs for LAUF gas. Tr. 2841, lines 16-20.

Staff disagrees with several aspects of the Companies' proposals related to the LAUF mechanism. Specifically, Staff disagrees with KEDLI's proposed LAUF target. Tr. 2973, line 24.

Staff also disagreed with the Companies' proposal to remove inactive account adjustments from the LAUF calculation. Tr. 2977, lines 17-19.

Staff's proposed calculation for KEDLI's LAUF target excludes the actual LAUF from 2014. Tr. 2974, lines 5-15. In accordance with the Staff White Paper on LAUF Gas,[176] LAUF calculations are based on an average of the most recent five year datapoints. Tr. 2756, lines 5-7. Thus, the Companies' proposal for the new LAUF targets were calculated using actual LAUF performance from 2014 through 2018. *Id.* Staff argues that 2014 should be excluded because it believes the 2014 value is an outlier that deviates from the LAUF values in other years. Tr. 2974, lines 5-15.

Staff's proposal to exclude a datapoint for being an "outlier" is an arbitrary measure to lower the Companies' target. Staff's White Paper on LAUF Gas, which guides the Companies' LAUF calculations, acknowledges that actual LAUF can vary from year to year, which is why a five-year average is recommended to establish a utility's LAUF target. Tr. 2842, lines 16-19. A five-year average will therefore "smooth out" the highs and lows that may occur over the period and serve as a reasonable basis for the Companies to set their future targets. There is no standard to determine what constitutes an outlier, and Staff has not proffered one. Further, Staff did not indicate whether they would also agree to exclude values that are too low as outliers. In short, there is no measurable way to determine the point at which a specific datapoint skews the five-year average enough to justify excluding it from the Companies' LAUF target calculation. Therefore, the Commission should deny Staff's proposal to exclude the 2014 data and adopt KEDLI's proposed target, which abides by the guidelines set forth in the Staff White Paper on LAUF Gas.

[176] Exhibit 499.

I. Other Contested Items

1. Electric Generator Revenues

The Companies credit 100 percent of the revenues from electric generators to their revenue requirements to reduce firm delivery rates. Tr. 2685, lines 12-20. The Companies reconcile the difference between the revenue target included in revenue requirements and actual revenues at the end of each rate year and refund/surcharge customers through the delivery rate adjustment ("DRA") mechanism. *Id.* The Companies propose to update the electric generator revenue targets to reflect the average revenue from the last two years, as shown on Exhibit 140 (RDP-14) for KEDNY and Exhibit 297 (RDP-14CU) for KEDLI.

LIPA raised a number of issues regarding KEDLI's electric generator rates, including the minimum bill obligation and value-added charge. Given that the Commission has initiated a separate proceeding to review the required tariff provisions and rate structure for non-core gas transportation service to electric generators[177], the Companies do not believe any changes should be made in this proceeding until an order is issued in the separate proceeding. Tr. 2841, lines 5-12.

2. System Benefits Charge ("SBC")

The Companies' SBC consists of the EES/ETIP (which recovers the costs of Company-sponsored energy efficiency programs and the CEF (NYSERDA energy efficiency programs). The Companies propose to recover the EES/ETIP through base rates and the CEF through the SBC. Tr. 2698-99, lines 18-21 and lines 1-6.

[177] Case 17-G-0011, *In the Matter of Review of Tariff Provisions Regarding Natural Gas Service to Electric Generators*.

The Companies propose to expand the SBC to the following baseload distributed generation ("DG") and non-firm demand response service classifications and allowing customers under those service classes to participate in the companies' energy efficiency programs:

- KEDNY: SC 21; SC 17-21; SC 22; SC 18-22
- KEDLI: SC 17; SC 5-17; SC 18; SC 19

Tr. 2698, lines 7-16; Tr. 2781-2781, lines 17-21 and lines 1-5.

The Companies will include baseload DG and non-firm demand response customers in the calculation of both ETIP and CEF rates. Tr. 2851, lines 17-19. The ETIP costs will be allocated to these customers based on sales volumes. Tr. 2851-52, lines 20-21 and lines 1-2. NYC argues that non-firm customers should not pay the SBC until adequate energy efficiency programs are available to those customers. Tr. 5539, lines 16-19. As stated in the Companies' response to IR CNY-13 (Exhibit 365 (RDP-18R)), there are specific energy efficiency programs available to non-firm customers. Therefore, the Commission should support the Companies' proposal to have non-firm customers contribute to, and participate in, energy efficiency programs.

3. The Commission Should Reject Staff's Proposal For a Service Classification Study

Staff proposes, among other things, that the Companies perform a study to ensure that customers are in the correct service classification. Tr. 2988, lines 6-7. The Commission should reject this proposal. The Companies make every effort to place customers on the correct service classification at the time of application based on the information provided. Tr. 2847, 11-21. The Commission has consistently held that the utility is not responsible for monitoring customer accounts to ensure they are on the lowest rate at all times. Instead, the customer is responsible for requesting the utility to review their account for potential reclassification. A study that reviews every account would impose an undue burden on the Companies with respect to both time and

money for an effort that may not produce a significant impact. While a study may be appropriate in a multi-year settlement, it is wholly inappropriate in a one-year litigated case, especially where a July order establishing rates would mean the Companies would have less than five months to complete such a study. Therefore, the Commission should deny Staff's proposal.

4. The Commission Should Accept The Companies' Proposal On Non-Labor O&M Cost Recovery

Staff also proposes that non-labor O&M costs for demand response programs be recovered through the DRA mechanism, whereas the Companies recommend recovering such costs in base rates. Tr. 694-95, lines 21-24 and lines 1-12; Tr. 2848, lines 5-6. Requiring recovery of non-labor O&M costs through the DRA would create a lag in the recovery, which would add to the adverse cash flow impacts affecting the Companies' credit metrics. Therefore, the Commission should accept the Companies' proposal to include forecast non-labor O&M costs in base rates.

5. The Commission Should Adopt the Companies' Proposed Paperless Billing Credit

The Companies propose to update the current paperless billing credits, from $0.35 to $0.41 per service period for KEDLI and from $0.49 to $0.44 per service period for KEDNY. Tr. 2849-50, lines 18-20 and lines 1-2. Staff accepts the increased new credit for KEDLI, but recommends waiting until KEDNY has a full year of actual billing data to determine the updated credit amount and that KEDNY provide revised calculations in Briefs on Exceptions. Tr. 2952, lines 16-23. The Companies submit that the cost estimates supporting the paperless billing credit included in the initial filing, adjusted for inflation, is a reasonable basis for its proposed paperless billing credit. Exhibit 134 (RDP-8, Schedule 2) for KEDNY and Exhibit 150 (RDP-8, Schedule 2) for KEDLI. Submitting a revised paperless bill credit calculation in Briefs on Exceptions could create a disconnect between the paper bill costs included in the Companies' revenue requirement and the

costs included in the paperless bill credit calculation. Therefore, the Commission should accept the Companies' proposed updated paperless billing credits.

J. Uncontested Items

1. New York Facilities System:

The Companies recover their respective shares of the New York Facilities System ("NYFS") costs in base delivery rates, and reconcile any difference between the forecast and actual costs through a surcharge mechanism on the Statement of NYFS Charge. Tr. 2674, lines 12-18. The Companies proposed to continue the reconciliation mechanism but to modify its timing such that the reconciliation period changes from a calendar year basis to fiscal year. Tr. 2675, lines 1-14. The change in timing will align the reconciliation with the timing of the costs included in base rates. *Id*. The stub period (January through March of 2020) would be included in the reconciliation for FY 2021. *Id*.

No parties objected to the Companies' NYFS updates.

2. MFC

KEDNY and KEDLI propose to update their respective merchant function charges ("MFC") to reflect the proposed targets. The proposed MFC targets can be found on Exhibit 728 (RDP-6ATS) for KEDNY and Exhibit 728 (RDP-6BTS) for KEDLI. The Companies also propose to change the reconciliation period to the GAC year (twelve months ending August 31) to align with the Companies' Annual Cost of Gas reconciliation.

Other than the use of a historic ECOSS instead of a pro-forma ECOSS as discussed above, including for purposes of calculating MFC targets, Staff agrees with the Companies' MFC proposals. Tr. 2832, lines 5-20.

3. Modifications to Tariff Services, Fees, and Provisions

a. Tariff Provision Updates

KEDNY proposes the following minor modifications to its tariff, PSC No. 12 – Gas:

- Eliminate the mid-year adjustment to the annual cost of gas imbalance factor;
- Eliminate the mid-year adjustment to the MFC annual imbalance factor;
- Eliminate Service Classification (SC) 1-BI – 3-5 Family Residential Heating Conversion Sales Service and SC 17-BI – 3-5 Family Residential Heating Conversion Transportation Service; and
- Update tariff provisions relating to the Annual Cost of Gas Imbalance surcharge/refund calculation to insert clarifying language. Tr. 2687-2688, lines 18-21 and lines 1-9.

KEDLI proposes the following minor modifications to its tariff, PSC No. 1 – Gas:

- Eliminate the mid-year adjustment to the annual cost of gas imbalance factor;
- Eliminate the mid-year adjustment to the MFC annual imbalance factor;
- Update tariff provisions relating to the customer billing charge to include SC 9; and
- Update tariff provisions relating to the Annual Cost of Gas Imbalance surcharge/refund calculation to insert clarifying language. Tr. 2771, lines 5-15.

No parties objected to the above proposed modifications. As such, the Companies submit that the Commission should approve the tariff changes.

b. Green Gas Tariff

Staff proposed, and the Companies agreed, to reconcile all costs of the Companies' Green Gas Tariff offering through the existing gas cost reconciliation mechanism. Tr. 2855, lines 8-19. However, as discussed in Section IX.B, below, the Companies are withdrawing the Green Gas Tariff proposal from this case.

c. NGV Interruptible Option

The Companies are proposing to offer an interruptible option for new NGV customers under SC 4A-CNG for KEDNY and SC 9 – NGV for KEDLI. Tr. 2701, lines 10-19; Tr. 2785, lines 3-14. Staff agrees with the proposal if customers are only interrupted for peak periods during a day and the customers can change their fueling profiles for several days at a time. Tr. 2970, lines 7-14.

d. EAM Surcharge

The Companies propose to recover the proposed gas efficiency EAM from firm service classes based on their contribution to peak sendout and collect on a per-therm basis through the DRA. Tr. 2703, lines 1-11. Staff agrees with the Companies' proposal. Tr. 2980, lines 19-21.

e. Economic Development Discount Program Riders

The Companies propose to amend their respective Area Development Rider to replace the current designated areas with areas that better reflect current economic development priorities. Tr. 2789, lines, 11-16. The Companies also propose to amend their Business Incentive Rider to include qualifying tenant businesses locating or expanding in properties receiving benefits from an Industrial Development Agency. *Id.*

f. Tariff Fees

KEDLI proposed to update (i) unproductive field visit fee; (ii) re-establishment charge; (iii) non-residential collection fee; and (iv) suspension fee charged to ESCOs. *See* Exhibit 150 (RDP-8). KEDNY proposed to update (i) unproductive field visit fee; (ii) reconnection fees; and (iii) disconnect fee charge to ESCOs. See Exhibit 134 (RDP-8).

Staff agrees with the proposed updates, and no other parties objected.

g. Consolidated Billing Charge

KEDNY and KEDLI propose to update their consolidated billing charges as shown on Exhibit 362 (RDP-8R). No parties objected.

h. Marginal Cost Study

The Companies submitted their marginal cost studies under Exhibit 135 (RDP-9) for KEDNY and Exhibit 151 (RDP-9) for KEDLI. No parties objected to the Companies' marginal cost studies.

i. Inclining Block Study

As required in the 2016 KEDNY and KEDLI Rate Case Order, the Companies performed an Inclining Block Study as shown on Exhibit 137 (RDP-11) for KEDNY and Exhibit 153 (RDP-11) for KEDLI. The Companies concluded that moving rate design toward inclining blocks would produce significantly varied bill impacts to customers within a class, with high and low usage customers receiving substantial increases compared to the average use customers. The Companies submit that such results are unacceptable from a ratemaking perspective. Staff agrees with the Companies' conclusion based on the Companies' proposed revenue requirements. Tr. 2957, lines 7-17.

IX. GAS POLICY AND ENERGY EFFICIENCY

A. Energy Efficiency

1. Downward-only reconciliation

Staff recommends that the Companies' energy efficiency programs be subject to a downward-only reconciliation at the end of the Rate Year. Tr. 672, lines 6-8. The energy efficiency programs proposed by the Companies in this case and the budget levels authorized by the NE:NY Order are intended to help meet very ambitious energy efficiency targets over a period of several years. Sustained funding levels year-on-year are needed to provide the continuity

needed to meet these long-term targets. Therefore, the Companies believe that established funding levels should be retained for application towards these energy efficiency initiatives through 2025, regardless of the length of the rate period approved in this case. Tr. 161-62, lines 20-21 and 1-5.

2. Updating EE Budgets and Targets

In the Supplemental Testimony of the Future of Heat Panel, the Companies incorporated the updated energy efficiency budgets and targets established in the NE:NY Order for the Rate Year. Tr. 228, lines 16-19. Similarly, the Companies adjusted their respective revenue requirements to move EM&V costs from base rates and into the energy efficiency program portfolio budgets as directed by the Commission in the NE:NY Order. Tr. 229, lines 7-10. Therefore, there is no remaining dispute between Staff and the Companies on these issues.

3. Reporting Requirements

NYC recommends increased, detailed energy efficiency reporting. Tr. 5311-12, lines 7-21 and 1-11. This recommendation should be rejected. The Companies already are subject to comprehensive reporting requirements for their energy efficiency programs, many of which have been established by Staff or the Commission and are set forth in Commission orders or guidance documents the Companies follow. These reporting requirements apply to all the State's utilities and establish a common framework for assessing performance on energy efficiency programs and initiatives throughout the State.[178] The Companies are open to collaborating with NYC to determine how to improve information sharing and communications consistent with applicable guidelines. However, there is no basis for the Commission to impose new or additional energy

[178] *See*, Case 15-M-0252, *In the Matter of Utility Energy efficiency Program*, Order Authorizing Utility-Administered Energy Efficiency Portfolio Budgets and Targets for 2019-2020 (requiring utilities to include program-level detail in their quarterly energy efficiency program reports to allow "results of all utility energy efficiency initiatives to be captured in a consistent and comprehensive manner") (issued and effective March 15, 2018), page 31.

efficiency reporting requirements on the Companies in the context of these rate cases beyond those already established.

4. Use of Unspent Energy Efficiency Funds

Staff proposes that unspent energy efficiency funds be amortized over five years to offset energy efficiency collections. Tr. 675, lines 10-14. The Companies are not opposed to the principle reflected in Staff's recommendation to mitigate energy efficiency collections using previously collected unspent or uncommitted energy efficiency funds. The general expectation the Commission expressed in the NE:NY Order was that: "all available uncommitted and unspent utility energy efficiency funds will be used to mitigate the impacts of the portfolio budgets authorized here."[179] However, the Commission did not impose or identify a particular manner of application or amortization period for such funds, and there is no basis for the five year amortization proposed by Staff.

5. KEDLI EmPower Replacement Program (HEAT); Program Expansion and Shift to EE Portfolio

The HEAT program is an energy efficiency program designed to serve low income customers in KEDLI's service area. In this proceeding, KEDLI proposed to increase the annual HEAT budget from $1.9 million to $2.5 million and expand eligibility to moderate income customers. Tr. 54, lines 13-18. Staff supports the proposed budget increase from $1.9 million to $2.5 million, and proposed that the HEAT program be moved into the Company's energy efficiency portfolio, and treated as an addition to the energy efficiency budget authorized by the Commission in the NE:NY Order. Tr. 678-79, lines 19-21 and 5-18. KEDLI agrees with

[180] Case 14-M-0101, *Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision*, Order Adopting a Ratemaking and Utility Revenue Policy Framework (issued and effective May 19, 2016) ("REV Track Two Order"), p. 49 ("Regulated utilities should be allowed to earn revenues from activities whose principal effect is to facilitate the growth and operation of markets").

incorporating the HEAT Program into its energy efficiency portfolio and making a corresponding adjustment to its revenue requirement; however, given the increased funding authorized for LMI energy efficiency programs in the NE:NY Order, the Company will fund the program within the authorized energy efficiency portfolio budgets. Tr. 233, lines 6-14. KEDLI will report HEAT Program energy savings in line with the process for reporting energy savings for the Companies' existing energy efficiency portfolio, but will report on and determine success by the number of unique households served, in line with the proposed incentive mechanism for the program.

B. Green Gas Tariff

The Companies proposed to implement a Green Gas Tariff ("GGT") offering that would enable customers to voluntarily purchase renewable natural gas ("RNG") and support the development of the RNG market. Tr. 56, lines 6-12. The Companies initially planned to make the GGT available beginning in Data Year 1; however, given the context of a one-year rate case, and the fact that the Companies will likely be looking to file another rate case (seeking a multi-year plan) soon, the Companies have decided to withdraw the GGT proposal. Given the costs to implement the GGT, the compressed period implementation timeframe, resource and workplace constraints due to the COVID-19 restrictions, among other factors, the Companies believe withdrawing the GGT proposal from this case is appropriate. Accordingly, the Companies will take the necessary steps to withdraw the GGT proposal from this case.

C. Utility Energy Services Contracts Program: Share Of Net Revenue, Full-Time Equivalent Employees, Inclusion In EE Portfolio, EE targets And Budgets

The Utility Energy Services Contract ("UESC") program is an energy services contracting program where the Companies and customers, typically government agencies and other large commercial entities, enter limited-source contracts for energy management services, such as energy and water improvements. Tr. 59, lines 18-21. With a UESC, the Companies help

customers analyze their current energy usage, identify opportunities for improvement, and work with pre-selected contractors to achieve efficiencies, reduce costs, and adopt renewable energy systems, provided the efficiencies include some measure of gas savings. The customers, in turn, pay for the contracted services for the improvements delivered under the UESC. Tr. 60, lines 1-6. Although Staff supports a platform service revenue ("PSR") mechanism for the UESC program, it recommends a lower PSR percentage than the 33 percent proposed by the Companies, and also proposes to change how the PSR is calculated. Tr. 598-600. Staff also recommends eliminating the two incremental FTEs supported in the Companies' case to support the UESC program. The Company addresses Staff's PSR recommendation in Section IX.L, below.

Regarding Staff's recommendation to eliminate the incremental FTEs, the Companies note that the Commission supports utilities identifying opportunities to generate PSRs through the provision of value-added services to customers and stakeholders.[180] The UESC program presents an opportunity for the Companies to implement this Commission directive. To have a reasonable chance to succeed, however, the program requires a dedicated set of resources. Requiring that the Companies redeploy resources from their energy efficiency programs—which also are charged increased and accelerated penetration—would result in inadequate resources dedicated to both these important areas.

The Companies also disagree that the UESC program should be incorporated into the energy efficiency portfolios or that specific budgets and targets should be established. The UESC program is designed as an energy services contracting program rather than a direct customer incentive program. Energy savings delivered through UESC programs are tracked and measured

[180] Case 14-M-0101, *Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision*, Order Adopting a Ratemaking and Utility Revenue Policy Framework (issued and effective May 19, 2016) ("REV Track Two Order"), p. 49 ("Regulated utilities should be allowed to earn revenues from activities whose principal effect is to facilitate the growth and operation of markets").

through the existing utility energy efficiency programs as customers participating in the UESC program have eligible measures installed. Therefore, any energy savings targets established for UESC would be redundant of targets established under the existing commercial and industrial energy efficiency programs. Further, the scope of the feasibility studies conducted under the UESC program is not limited to gas savings, but also includes electric energy savings as well as water savings, operations and maintenance cost savings, and support integration of other distributed energy resources. Accordingly, the Companies do not support incorporating the UESC program into the existing gas-only energy efficiency portfolios. Rather, this program supports broader energy opportunities in line with expanded customer tools and resources and therefore requires its own set of resources and should not be rolled into the Companies' overall energy efficiency portfolios.

D. Fuel Switching Calculator And Allocation To Affiliates

Staff supports the Companies' proposal to implement a fuel-switching calculator that would help customers make decisions about switching among alternative fuel sources. Tr. 685, lines 11-17. However, Staff recommends that the costs of the proposed fuel-switching calculator be allocated based on National Grid's general allocator (8.29 percent KEDLI; 13.31 percent KEDNY). Tr. 686, lines 13-17. As shown in Exhibit 120 (ITP-2), the general allocator Staff proposes to use would allocate costs of the fuel-switching calculator to "All Companies (largest set)," which include not only the "Retail" companies (i.e., KEDLI, KEDNY, Niagara Mohawk, and their corresponding electric and gas utility affiliates in Massachusetts and Rhode Island), but also "Parents," "Hydros," transmission companies, National Grid LNG, and electric generation affiliates. Several of the companies included in the general allocator do not serve end-use utility

customers. As a consequence, such entities would not benefit from or be users of the fuel-switching calculator, and such entities should not be allocated costs of that tool.

If funding is approved for the fuel-switching calculator, National Grid plans to make the tool initially available to KEDNY and KEDLI customers, and KEDNY and KEDLI would be allocated the costs of the tool. Tr. 167, lines 17-18; Tr. 738, lines 11-16. As the tool is expanded to serve other National Grid operating utility affiliates, the costs of the tool would be allocated to the additional companies accordingly.

E. Demand Response: Full-Time Equivalent Employees

KEDNY and KEDLI have an active and successful gas demand response program. The Companies have proposed to expand that program to try to more effectively influence and manage system peak demand and support system pressure. Although Staff supports approval of the Companies' expanded demand response program, it recommends that the Companies' recovery of non-labor O&M costs pursuant to a surcharge rather than through base rates. Tr. 694, lines 1-4; Tr. 695, lines 8-12. The Companies present their opposition to Staff's recommendation on this issue in Section VIII.I.4, above.

Staff also opposes the Companies' proposal to add an incremental FTE in the Rate Year (split between the Companies) to help implement the expanded demand response program. Staff contends that the Companies "already have personnel" running the existing demand response program that should be "sufficient" to implement the expanded demand response program. Tr. 694, lines 7-16. However, the existing "personnel" referred to by Staff is an FTE that was authorized under the Joint Proposal adopted in Cases 16-G-0058 and 16-G-0059 and is assigned to support the Companies' entire portfolio of Gas REV projects, including the existing Demand Response Demonstration project, MicroCHP Demonstration, Flood Zone Packages, and

Geothermal Demonstration. Tr. 169-70, lines 17-21 and 1-3. Staff's expectation that the demand response program can be scaled from providing 241 dth/hr of demand reduction to the proposed program target of 1,400 dth/hr without additional resources is not reasonable.

F. Geothermal

1. Proposed Expansion Of Demonstration Project

The Companies propose to expand the Geothermal Gas REV Demonstration Project ("Riverhead Demonstration") authorized in the 2016 KEDNY and KEDLI Rate Cases. The Riverhead Demonstration has allowed KEDLI to provide non-traditional heating and cooling services to participating customers since November 2017, and demonstrate that the ground source heat pump ("GSHP") technology works and can deliver customer satisfaction and savings. Tr. 77, lines 1-12. "[H]eat pumps create meaningful improvements in overall efficiency and reduce carbon emissions,"[181] and increased GSHP deployment is important to helping achieve the State's carbon reduction goals.

The proposed expansion of the Riverhead Demonstration would test whether utility ownership of underground loops, the most expensive part of the system, can accelerate greater market adoption. The Companies would work in partnership with geothermal installers and other stakeholders to animate the geothermal market and develop learnings, including how best to install and operate GSHP systems in areas that may have significant natural gas infrastructure. The program would look to test the utility loop ownership model primarily in supply-constrained areas and would prioritize low-to-moderate income customers, as well as commercial and industrial customers for whom the underground loop portion of GSHP systems presents a particularly high-cost barrier to entry. Tr. 79-20, lines 6-21 and 1-6. An expanded program that increases the

[181] NE:NY Order, page 53.

number of GSHP installations will provide customer benefits by reducing peak demand, energy intensity, and carbon emissions while increasing energy efficiency and distributed energy penetration.

Staff's opposition to the expanded demonstration project is not shared by other parties in this case. Jared Rodriguez for Estates NY Real Estate Services LLC notes that "[g]eothermal technology offers highly energy efficient production of domestic hot water and space heating. The technology, particularly shared geothermal loop energy systems, will likely play a key role in reinforcing the Company's ability to meet decarbonization goals via heating electrification and reducing peak gas capacity." Tr. 5747, lines 13-17. Mr. Robert Wyman also testified in support of the Companies' involvement in geothermal technologies to "[p]ump heat, not gas." Tr. 5721, line 14. Likewise, Staff's belief that utility ownership of geothermal loop systems could adversely affect the GSHP market (Tr. 698, lines 6-10), is contrary to the position of at least one major New York geothermal trade organization, whose members include the very types of entities Staff believes could be adversely affected. Tr. 174, lines 11-18.[182]

Staff states that legal or statutory issues also may affect the ability of the Companies to provide geothermal market services. Tr. 719, lines 6-14. However, The Companies' proposal in this case is for an expanded demonstration project, not a full ownership program. To meet New York's GHG emissions reduction goals, it is critical for the GSHP market to grow significantly. Staff does agree that gas utilities can pursue GSHP project as non-pipeline alternatives (Tr. 760, lines 7-11), and the Companies recognize that the Commission recently noted that it expects

[182] The New York Geothermal Energy Organization ("NY-GEO"), a non-profit trade association representing geothermal heat pump installers, manufacturers, distributers, drillers and other geothermal stakeholders, in comments filed July 1, 2019 in Case 18-M-0084 stated: "NY-GEO supports the KEDLI, KEDNY rate case proposal to further test a utility loop ownership model for its LMI customers."

"electric utilities will be the primary administrators of the heat pump programs."[183] However, the Commission also noted that [h]eat pumps . . . are an important alternative to be considered in natural gas supply-constrained areas."[184] Importantly, the Commission did not foreclose gas companies from exploring opportunities to accelerate and expand deployment of GSHP in New York. The proposed limited expansion of the demonstration project is not the adoption of a broad market model; rather, it is an opportunity to test what types of actions can effectively accelerate beneficial GSHP deployment.

Gas utilities can play a vital role in meeting GSHP implementation targets because of the relationship they currently have with natural gas customers. Utility participation and ownership of geothermal loops has the potential to increase the numbers of geothermal installations, reducing costs and producing economies of scale that will benefit customers and third-party market participants. Staff's attempt to control how the GHSP market should develop runs the real risk of chilling GSHP market growth and development and undermining the ability to achieve ambitious but vital GHG reduction targets. Accordingly, the Companies should be afforded the resources needed to expand the demonstration project.

2. Additional FTEs Are Needed To Support The Expanded Geothermal Program

To successfully implement the expanded geothermal demonstration project, the Companies have proposed adding one incremental FTE in the Rate Year to manage the geothermal installations, coordinate RFPs, contact project coordinators, and ensure the increased electric load will not cause adverse impacts for the electric utility servicing areas where the Companies have

[183] NE:NY Order, page 57.
[184] *Id*.

installed geothermal systems. Accordingly, the Companies' disagree with Staff's recommendation to eliminate the additional FTE to support the expanded Geothermal Demonstration Project.

G. Power to Gas Demonstration Project (KEDLI)

KEDLI's Power to Gas ("P2G") demonstration project proposal is intended to support exploration of the potential for using renewable electricity to produce hydrogen or pipeline quality RNG that can be delivered with the existing gas network. Tr. 108, lines 18-21. Staff opposes the proposed P2G project on the basis that its proposed use of renewable electricity is not among "the envisioned solutions and goals for excess renewable electricity" set for in the Commission's December 13, 2018 Storage Order.[185] Tr. 704, lines 12-21; Tr. 739, lines 12-15.

Staff's basis for rejecting the proposal is contrary to the spirit of innovation necessary for the state to achieve its emissions reductions objectives and contrary to the intent of the Storage Order. To achieve the State's bold clean energy targets, the Storage Order does not preclude technology types, and neither does PSL. PSL Section 74, which compels the Commission to develop targets and policies, expressly identifies a range of storage types for various purposes, including the use of chemical reactions to store energy in usable forms by defining a "qualified energy storage system" as one which is "commercially available technology that is capable of absorbing energy, storing it for a period of time, and thereafter dispatching the energy using *mechanical, chemical, or thermal processes* to store energy that was generated at one time for *use at a later time.*"[186] Further, as the Commission has articulated, the Energy Storage Roadmap "is technology-neutral and acknowledges that a range of energy storage solutions will be deployed to best meet customer and system needs."[187]

[185] Case 18-E-0130, *In the Matter of Energy Storage Deployment Program*, Order Establishing Energy Storage Goal and Deployment Policy (issued and effective Dec. 13, 2018) ("Storage Order").
[186] PSL §74 (emphasis added).
[187] Storage Order, page 5.

Staff's opposition to the P2G project on the basis that New York's existing electric generation mix does not have excess renewable electricity also is shortsighted. The State is committed to developing significant off-shore wind capacity (Tr. 107, lines 2-4; Tr. 110, lines 7-10), and the CLCPA mandates the move to 70 percent renewable electricity by 2030 and 100 percent emission free electricity by 2040.[188] Other parts of the country with significant installed renewable electricity capacity already experience curtailment occurrences that New York may see in the foreseeable future if the State's renewable electricity ambitions are realized. Tr. 265-66, lines 9-24 and 2-11. However, rather than consider the P2G project on the basis that it was proposed—i.e., to evaluate the potential for converting excess renewable electricity to renewable natural gas or hydrogen—Staff considered the merits of the P2G project as if it were proposed to explore the merits of using bulk electric system power to produce RNG. Tr. 744-46. This was not the basis for KEDLI's proposal and opposition to the project on that basis is simply misplaced. If commercialized at scale, P2G has the potential to significantly decarbonize the gas network. This project will provide insight into how to integrate such resources into the gas network and streamline the interconnection process for this new gas source. Staff's opposition to the P2G project should be rejected.

H. Hydrogen Blending Study

As with the P2G Demonstration project, Staff opposes the proposed Hydrogen Blending study because hydrogen blending is not a specific solution identified in the Commission's Storage Order. Tr. 705, lines 19-23. For similar reasons to those stated for the P2G demonstration, the Companies disagree with Staff. Hydrogen holds substantial promise in the potential to decarbonize the gas network with substantially less disruption to customers. Tr. 112, lines 10-

[188] Climate Leadership and Community Protection Act of 2019, § 1(12)(d).

20. Through the hydrogen blending study, the Companies seek to understand what actions will be required to prepare gas system infrastructure for hydrogen.

During the hearings, the Companies noted that an anticipated grant from NYSERDA for the proposed hydrogen blending study had not yet been publicly announced (Tr. 256, lines 2-19), and the Companies and Staff agreed that the Companies would provide any updated information in briefing. Tr. 258, lines 2-7. Although the grant has not been formally awarded at the time of this writing, the Companies anticipate a public announcement regarding the grant will be forthcoming and commit to advise the Department and ALJs immediately upon such announcement.

I. One-Year Deferral of RNG Interconnection Program, Full-Time Equivalent Employees for RNG Interconnection Program

To encourage increased renewable energy development, the Companies proposed an RNG interconnection program whereby they would engineer, install and own certain portions of RNG interconnection equipment (*e.g.*, meters, odorization equipment, and spectrometers) at project sites. Tr. 114, lines 9-20; Tr. 4282, lines 10-16. The Companies also propose adding five incremental FTEs to comprise a new Future of Heat engineering group. Tr. 115, lines 12-19, Tr. 4344, lines 6-10. This new group would focus on, among other things, shortening the time needed to review and approve RNG interconnection projects, as well as other aspects of RNG projects, hydrogen blending, and non-pipeline solutions. Tr. 115, lines 1-9; Tr. 116, lines 3-12.

Staff supports the RNG interconnection program, but opposes the proposed KEDNY capital expenditures related to the program, opposes the proposed O&M for the KEDNY projects under the program, and opposes adding incremental FTEs to implement it. Tr. 703, lines 2-11. The Companies appreciate Staff's conceptual support for the proposed program; however, Staff's opposition to funding the incremental labor needed to run the program, as well as removing

KEDNY's associated Rate Year operating and capital expenditures under the program, amounts to no actual support at all, and effectively precludes implementation of the program.

The Companies' RNG interconnection queue has grown considerably in recent years and additional resources are needed to support and accelerate development of this local and renewable gas supply. Tr. 189, lines 18-21, Tr. 4283, lines 1-7. The Companies' proposal would mitigate two significant hurdles to RNG interconnection: the long time it takes for a developer to get interconnection approval, and the high capital cost of the interconnection.

Staff's recommendation that the Companies rely on existing labor resources to implement the program also is not feasible. The Companies currently rely on existing gas engineering personnel to support RNG interconnection proposals. These existing FTEs are dedicated to supporting the Companies' traditional gas engineering activities and RNG interconnections incremental to their existing workload. Tr. 190, lines 9-14. As a result, interconnection processing has been delayed. Because RNG developers rely on receiving timely interconnection approval to solidify project financing, such delays inhibit RNG development and the corresponding environmental and emissions benefits associated with such RNG projects. Thus, the incremental FTEs proposed for the FOH Engineering Group are needed even if implementation of the RNG interconnection program is deferred one year as Staff proposes.

J. Greenhouse Gas Inventory Methodology

The Environmental Defense Fund ("EDF") proposes that the Companies undertake and lead the efforts to develop economy-wide GHG inventories for their respective footprints. Tr. 5647-49. The Companies agree that understanding the nature and extent of GHG sources is vital to developing effective strategies to address emissions. We also recognize, however, that GHG sources exist in all sectors of the economy, and utilities do not possess the resources or authority

needed to develop such economy-wide GHG inventories. Although the Companies are open to participating in collaborative efforts to arrive at appropriate GHG inventories against which reductions can be assessed, we disagree that utilities should be responsible for developing economy-wide GHG inventories as EDF proposes. As Staff has identified, the CLCPA provides for the New York State Department of Environmental Conservation to develop a statewide emissions inventory, not individual utilities. Tr. 713, lines 13-16.

K. Earnings Adjustment Mechanisms: Metrics and targets, total available basis points

The Companies proposed a series of Earnings Adjustment Mechanisms ("EAM") designed to support the Commission's REV objectives and the State's clean energy goals. The EAMs were focused on areas: System Efficiency, Energy Efficiency, and Carbon Reduction. Tr. 120, lines 4-9. To align and incentivize the Companies to meet the EAM targets, maximum earnings levels were set at 78 basis points for KEDNY and 77 basis points for KEDLI across the three EAM areas, with each of the three EAMs comprised of two metrics (i.e., System Efficiency: (a) Peak Reduction, and (b) Supply Diversification; Energy Efficiency: (a) Incremental Energy Efficiency, and (b) Affordability; and Carbon Reduction: (a) CO2e Reduction – Full service, and (b) CO2e Reduction – Transportation). Tr. 121-22, lines 6-14 and 1-2.

Staff makes four overall recommendations regarding the Companies' EAM proposals:

(1) reject KEDNY's and KEDLI's proposals to earn up to 78 and 77 basis points, respectively, in the Rate Year, and replace those with a program allowing each company to earn up to 10 basis points maximum, plus earnings from a Share the Savings energy efficiency metric;

(2) impose more aggressive performance measures on the Companies;

(3) express eligible EAM amounts in terms of absolute dollars rather than as basis points; and

(4) establish EAM metrics, targets and financial incentive levels for the full term of the rate plan if a multi-year rate plan is adopted.

Tr. 553-57. The Companies generally agree with Staff's recommendations 3-4, above, but disagree with Staff's proposal to substantially modify or eliminate the Companies' proposed EAMs and drastically reduce the potential incentive levels.

As discussed below, the Companies agree with Staff that the proposed target under the Affordability metric should be increased. The Companies also note that the energy efficiency EAM targets must be increased to correspond to the increased targets established in the January 16, 2020 NE:NY Order. Tr. 232-33, lines 18-20 and 1-2. However, the Companies disagree with Staff's recommendations that the metrics be significantly altered from what the Companies proposed.

The Commission has previously said that incentive mechanisms should provide utilities with stretch targets that are reasonably and realistically achievable, and with financially meaningful incentives.[189] Thus, the Commission selected 100 basis points as the reasonable and appropriate ceiling for EAMs.[190] The potentially achievable maximum incentive levels proposed by Staff are only one-quarter this level and less that one-third what the Companies proposed. That level of incentive would not serve as the mechanism the Commission envisioned.

[189] Track Two Order, page 68 ("Incentive opportunities should be financially meaningful and structured such that they encourage enterprise-wide attention as the utility and encourage strategic, portfolio-level approaches beyond narrow programs").
[190] Id. ("As initial bounds on the first round of REV initiated EAMs, the maximum amount of earnings should be no more than 100 basis points total from all new incentives").

Further, although there is merit to a system-level peak reduction metric as Staff proposes, the Companies question whether the capabilities are in place to effectively implement and administer such a metric by the Rate Year. Current capabilities are insufficient to adequately measure peak reduction on a system-level and there are limitations on the ability to adequately measure peak reduction at a system-level or isolate it from other large macro-economic variables. Tr. 195-96, lines 19-21 and 1-7. The peak-reduction metric proposed by the Companies' would push KEDNY and KEDLI to continue to drive peak reduction, and should not be dismissed in favor of a metric which at this point cannot be effectively implemented.

Staff also opposes the Companies' proposed Supply Diversification metric and contends that EAMs for fuel and resource diversity should be considered in the context of diversifying the electric grid away from reliance on gas, rather than identifying diverse fuel sources for a gas utility's supply portfolio. Tr. 567, lines 13-24. The Companies believe Staff's view is too constrained. A major goal of EAMs is to align utility shareholders' financial interests with customers' interests. The Supply Diversification EAM would incentivize the Companies to prioritize RNG interconnection over the interconnection of traditional natural gas supply infrastructure or non-traditional natural gas supply infrastructure. Tr. 197, lines 14-21. The Companies currently generate no profit from interconnecting third-party RNG projects, and they should be incentivized to prioritize RNG interconnections due their unique benefits, including emissions reductions and improved local waste management.

The Companies disagree with Staff's recommendation that the Affordability metric be rejected. The outcome-oriented design of the Affordability metric means that it encompasses not only programmatic efforts of the utility to directly influence low-income customer energy usage, but also that it reflects utility partnerships and platforms meant to encourage markets to reduce

low-income customer bills. Tr. 201, lines 1-10. Affordability of energy bills is a top priority for the Companies and the State, and this metric should be adopted to promote deeper engagement by the market in this population and to measure the ultimate impacts of those activities. The Companies nevertheless accept Staff's position that the targets initially proposed for the Affordability metric should be higher, and therefore the Companies agreed to increase the target from 0.2 percent to 1.0 percent reduction in the low-income customer bill. Tr. 201, lines 12-19. The Companies believe that the increased performance targets for the Affordability EAM metrics also are responsive to the criticisms of the metrics raised by UIU and PULP, and such criticisms should be rejected. Tr. 216-17, lines 17-21, 1-2, and 13-18.

Staff also opposes the proposed CO_{2e} reduction metrics. Tr. 590-91, lines 24 and 1-2. Staff contends that the Track Two Order limits GHG reduction EAMs to decarbonization of end-uses (Tr. 591, lines 17-21), and therefore there is no room for any EAM that would achieve GHG reductions from decarbonizing *inputs*. Such a construct is the epitome of form-before-substance, and is contrary to the spirit of the Track Two Order and EAMs in general, which is for utilities to innovate and design incentives that align the interests of customers and the utilities.[191] Reducing GHG emissions is a clear goal identified in the Track Two Order and enshrined in state policy and legislation. The Companies agree with Staff that decarbonization of end uses (such as heat pumps

[191] *See, e.g.*, Track Two Order, page 32 ("Staff accurately described how cost-of-service ratemaking contains implicit disincentives to innovate in developing improvements that meet consumer needs at a reduced level of expenditures"); page 40 ("The symptoms of climate change that are already impacting New York, rapid technology changes, and consumer preferences are converging to require utilities to expand their innovative capabilities to new business and earnings models reflecting their role as enabler of a multi-sided market for distributed energy resources. The reformulation of earnings models will motivate New York utilities to become as proficient at accommodating innovative third party partnerships, technology solutions, and new planning and operating models that bring value to consumers, as they are today in the delivery of reliable and safe electric service"), page 66 ("EAMs deal not with conventional basic service but with new expectations. Meeting these expectations will require innovative management and new forms of cooperation with third parties and customers").

or electric vehicles) can be more readily implemented, tracked, and measured, some end uses are more challenging to decarbonize – *i.e.*, existing building stock in dense urban environments. The Companies' CO_{2e} metrics present innovative means to drive potentially more cost effective and less disruptive GHG reductions, and the Staff's opposition to the metrics is misplaced.

Finally, although a Share the Savings metric such as Staff proposes (Tr. 554) may have benefits, the Companies do not support adopting such a metric projected to provide 15 basis points of maximum value to the exclusion of practically all other EAMs.

L. Platform Service Revenues: Availability for E-Commerce Platform; Share of Revenues Related to UESC Program

The Companies propose two platform service revenue ("PSR") opportunities: (i) the E-Commerce Platform; and (ii) the UESC program. For the E-Commerce PSR, the Companies propose to retain 20 percent of the fees collected from vendors that participate in the E-Commerce Platform, and apply the remaining 80 percent for the benefit of customers. Regarding the UESC PSR, the Companies propose to retain one-third of the fees received from UESC participants, and apply the remaining two-thirds for the benefit of customers.

Staff opposes the E-Commerce PSR, claiming that the Companies did not satisfy the criteria in the Track Two Order to justify a PSR. Tr. 596-97, lines 22-24 and 1-5. The Companies disagree. In discussing the criteria for whether a PSR should be approved, the Commission specifically noted that the "criteria are intended to support balanced judgment, as opposed to a set of binary determinations that must all be made in the affirmative."[192] The Commission also specifically recognized customer origination services as the type of service that would be suitable for a PSR, explicitly stating that "utilities may be best situated to provide origination in a cost-

[192]Track Two Order, p. 49, n. 57.

effective manner that facilitates market penetration, based on analysis of customer data and/*or connecting interested customers with DER providers via a marketplace portal*."[193] The Commission also has approved E-Commerce PSR mechanisms for other utilities.[194] There is no reason for finding the Companies did not satisfy the Commission's PSR criteria, and no rational basis for denying a PSR mechanism for the Companies' proposed E-Commerce platform.

KEDNY and KEDLI also disagree with Staff's recommendation to reduce the Companies' respective share of the UESC PSR from 33 percent to 20 percent, and to modify how it would be calculated. Under the UESC program, the Companies are providing an enhanced service to customers by analyzing their current energy usage, identifying opportunities for improvement, and working with pre-selected contractors to achieve efficiencies, reduce costs, and adopt renewable energy systems. Tr. 204-05, lines 20-21 and 1-3. The enhanced value achieved towards the State's energy goals through the Companies' holistic approach warrant compensation above the 20 percent recommended by Staff.

M. EmPower Replacement Program Incentive Mechanism (KEDLI): Incentives for Tiers 3 and 4

KEDLI proposed to continue the existing earnings incentive mechanism for the HEAT program adopted in the 2016 KEDNY and KEDLI Rate Cases. Tr. 144-45, lines 19-21 and 1-4. Staff agrees with continuation of an incentive for KEDLI to promote HEAT program participation, but proposes to redesign the incentive as a flat dollar amount per household regardless of program budget. Tr. 602-03, lines 15-19 and 18-22. The Company agrees with the structure of Staff's

[193] *Id.* (italics added).
[194] *See*, *e.g.*, Cases 17-E-0459 and 17-G-0460, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric and Gas Service*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan (issued and effective June 14, 2018) (adopting PSR for "CenHub" online self-service platform, with 80/20 revenue sharing between customers and the company), p. 27.

proposed incentive mechanism redesign, but does not agree to the incentive reduction Staff proposes. Staff proposes a Tier 3 incentive of $125/household and a Tier 4 incentive of $62.50/household (Tr. 605, lines 6-8), while KEDLI proposes incentive levels be set at $240 for each household participating in Tier 3 and $120 for each household participating in Tier 4. Tr. 206, lines 13-21. The tier incentive levels KEDLI proposes much more closely match the levels of the current earnings incentive mechanism than the levels Staff proposes. *Id.* Staff does not explain why Tier 3 incentive levels should be reduced to approximately half of comparable current levels, or why such a reduction will not adversely affect the Company's incentive to promote HEAT participation. Absent some basis for finding the existing incentives are inappropriate, the Commission should approve incentive levels comparable to those in place today.

N. Number Of Electric Vehicles In Companies' Fleets

The City of New York proposes that the Companies increase their adoption of electric vehicles ("EVs") to at least 25 percent of annual fleet acquisition budget towards EVs, with the goal of increasing that commitment to 50 percent within five years. Tr. 5323, lines 3-8. The Companies acknowledge the importance of electrifying transportation; however, the current commercially available EV market is focused primarily on passenger vehicles, whereas the vast majority of the Companies' fleet is comprised of other vehicle types. Tr. 214-15, lines 16-21 and 1-4. The EV market will continue to evolve and the Companies will continue to pursue appropriate opportunities to introduce EVs into their fleets. Tr. 355-56, lines 20-25 and 2-6. However, in the absence of commercially available EV options to meet many of the Companies' vehicle needs, the Companies cannot agree with the City's proposal.

O. Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act

The Companies are not aware of any issues concerning rate design and revenue allocation with the CLCPA in these proceedings.

P. Proposed Changes to Supply Planning Process

1. In View Of The Ongoing Public Process Taking Place In Case 19-G-0678 Further Modifications To The Companies' Supply Planning Process Are Not Warranted At This Time

In this proceeding, EDF recommended that:

(i) The Companies should be subject to an annual gas supply process with discovery rights for intervenors and a technical conference;

(ii) The Companies should be required to submit a long-range gas supply plan, which would become the basis for evaluating future cost recovery;

(iii) The Companies should submit additional categories of information concerning gas supply; and

(iv) The Companies should initiate a proceeding to formalize the planning assumptions of the New York Facilities System.[195] Tr. 5619-20, 5635.

In Case 19-G-0678, the settlement approved by the Commission required the Companies to submit a long-term capacity report "to analyze all reasonable available options including pipeline construction, Liquified Natural Gas and CNG facilities, renewable energy sources and conservation strategies" to address the Companies' long term supply issues.[196] The settlement also

[195] The New York Facilities System ("NYFS") is a term used to describe the high-pressure gas transmission system that serves the Companies and Con Edison. The NYFS agreement among the parties permits the parties to contract for the transportation and receipt of gas from interstate pipelines that connect to the NYFS.
[196] Case 19-G-0678 Order at 5.

established a public process to determine the appropriate solution. The Companies filed their capacity report on February 24, 2020.

In view of this process, the Companies submit that it would be both premature and duplicative to impose any further gas supply planning requirements on the Companies at this time. EDF and other parties will have an opportunity to participate in the Case 19-G-0678 process and to make recommendations for future process in that proceeding. In addition, to the extent that EDF is proposing to establish a process concerning the NYFS that would compel the participation of Con Edison or other parties, such recommendations should be advanced generically, and not in a case such as this in which, for example, an essential party -- Con Edison -- is not a participant.

The record shows that the Companies have participated in an annual public process concerning their gas supply planning, and further that they have engaged in such process as is necessary to address issues arising on the NYFS. Tr. 3936-38. These processes can be modified in the future, as needed, to address issues that will arise once the proceedings in Case 19-G-0678 are completed.

X. GAS SAFETY

The natural gas industry has increased its focus on gas pipeline safety over the last decade. Tr. 4126. This has resulted in a proliferation of regulations at both the federal and state level around gas safety. *Id.* For their part, the Companies have worked diligently to develop a culture where safety and compliance are paramount. Tr. 3779-80, lines 13-21 and 1-12. The Companies have focused on people, processes, systems, and technology to reinforce their commitment to safety and compliance. *Id.* As is stated in the Companies' direct testimony, these commitments are reflected in improvements the Companies have made, including: additional field inspections; damage prevention enhancements; investments in technology solutions; enhanced training and

simplified procedures and practices in the field; and efforts to implement the American Petroleum Institute's recommended comprehensive risk identification and management framework (Recommended Practice 1173).[197] *Id.* The Companies' efforts have resulted in measurable improvements in safety performance, and the Companies are committed to continuing this progress through the proposed safety investments and programs reflected in their filings. *Id.* The Commission should support these proposals in the interest of promoting gas safety.

At the same time, the Companies do not believe it is reasonable for the Commission to impose in these cases a set of increasingly stringent gas safety performance measures where (i) the Commission lacks clear legal authority to do so in a litigated case, (ii) the work needed to achieve the Staff Pipeline Safety Panel's ("SPSP") proposed targets is not being funded in rates, (iii) the Companies would be subject to tens of millions of dollars of potential penalties without the benefit of a comprehensive rate plan, and (iv) the SPSP is proposing to implement new, more stringent targets in the middle of the performance year, by which point the Companies' ability to achieve those targets would be severely compromised, at best. Consider also that the current COVID-19 situation will require the Companies' to focus their full attention on providing safe and reliable service under extraordinary circumstances, and to prioritize essential work given work restrictions and resource constraints, which will certainly impact the Companies' ability to meet performance targets. For all these reasons, the SPSP's proposed gas safety measures are not appropriate.

A. Performance Metrics

1. Performance Metrics In A One-Year Case – Especially One In Which Targets Would Be Set Six To Seven Months Into The Calendar Year – Are Wholly Inappropriate

[197] API, Pipeline Safety Management Systems Requirements, API Recommended Practice 1173 (issued July 2015).

The Companies are currently subject to a set of gas safety metrics that were negotiated as part of a comprehensive rate settlement in the 2016 KEDNY and KEDLI Rate Cases. Tr. 4129-30. The Companies agreed to be subject to these performance standards – and millions of dollars of associated performance penalties – as part of a rate settlement that provided for an agreed level of capital investments and O&M spending, in addition to resolving other contentious issues among the parties. Indeed, as part of the comprehensive settlement, the Companies were able to recover an agreed level of costs to achieve the performance targets, including a rate allowance that reflected the costs of replacing leak prone main, responding to gas emergencies, repairing leaks, and mitigating instances of third-party damage. The Companies were able to gauge the reasonableness of the performance targets (and associated penalties) in light of the rate allowance – and assume a level of risk based on the overall value of the settlement.

In this case, the SPSP again proposes a set of gas safety performance measures with the potential for 150 basis points of penalties (also referred to as negative revenues adjustments) in a one-year litigated case. Tr. 4038, lines 12-21. In round numbers, 150 basis points equates to approximately $49.5 million of performance penalties at KEDNY and $32 million at KEDLI (based on the Companies' proposed revenue requirements). Tr. 4129, lines 8-10. Unlike the comprehensive settlement in the 2016 KEDNY and KEDLI Rate Cases, a litigated, one-year case does not enable the Companies to agree on a reasonable set of performance targets or, importantly, ensure an adequate level of capital and O&M funding to achieve those performance targets. In fact, the SPSP testified, in setting more stringent performance targets, it was "focused on the compliance requirements based on regulations and established performance metrics in the past," not the costs necessary to achieve the performance targets:

> Q. So just to be clear, is – is that a no that you didn't consider the -- the rate allowance for -- for capital investments and – and operating expense?
>
> A. (Thomas) Again, our focus was mainly on the programs, not exactly on the dollar amounts. Tr. 4133, lines 17-23.

The SPSP also concedes that it is not aware of an occasion where the Commission ordered gas safety performance measures with associated negative or positive revenue adjustments outside of a rate settlement. Tr. 4136-37, lines 22-25 and 2-4. There are many good reasons why the Commission has not set gas safety performance measures in a litigated case, including that it lacks the legal authority to do so.

a. Gas Safety Metrics And Negative Revenue Adjustments Are Unlawful Penalties

The proposed gas safety measures lack support under the PSL and the Commission's regulations. Indeed, nothing in the PSL or the regulations permits the Commission to establish gas safety performance targets in a rate proceeding. Thus, imposing performance metrics with significant penalties is unlawful because the Commission lacks the authority to impose these penalties.

None of the safety metrics the SPSP seeks to impose are contained anywhere in the Commission's regulations. Moreover, given the fact the Companies' have consistently met or exceeded the performance standards in the areas of the proposed metrics – leak prone pipe, leak repair, *et cetera* – no party can be heard to argue the Companies are failing to meet their statutory obligation to provide "safe and adequate" service.[198]

b. Performance Measures In A One-Year Case

[198] The PSL provides that every gas corporation "shall furnish and provide such service, instrumentalities and facilities as shall be safe and adequate." PSL § 65(1).

Even if the Commission could order gas safety metric with performance penalties, the Companies believe that gas safety metrics are inequitable and unnecessary in a one-year, litigated case for several reasons. The gas safety performance metrics are designed to drive performance improvements over time. To that end, the Companies' proposals for performance metrics contemplate a multi-year rate plan, which would allow for investments in safety programs and work practices to drive improvements over time. The Companies do not agree with the inclusion of performance metrics in a one-year litigated case. Indeed, the Companies submit that their consistently high level of performance, coupled with the robust reporting mechanism and the Commission's oversight and enforcement powers, should provide the Commission with sufficient comfort that service will not be diminished in a one-year rate plan. In the recent National Fuel rate order, the Commission specifically declined to impose gas safety or customer service performance metrics in a one-year litigated case.[199]

c. Companies' Safety Performance

As noted in the direct testimony of the Companies' Gas Safety Panel, highlights of KEDNY and KEDLI's performance, as reported by Staff's reports through 2017 include: (i) an overall reduction in the damages due to excavator error since 2015; (ii) a reduction in emergency response times to gas leak and odor calls within 30 minutes every year since 2015; and (iii) a reduction in the backlog of total leaks every year since 2013. Tr. 3711, lines 2-7.

With regard to the gas safety regulations performance metric, the Companies have demonstrated continuous improvement through a steady decline of audit violations over the past several years. Tr. 3711-12. Indeed, the 2017 field audit and records audit results set forth in

[199] *See* Case 16-G-0257, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corp., *Order Establishing Rates for Gas Service* (issued and effective April 20, 2017) at 63-64.

Exhibit 487 (SPSP-7) at 2 and 11, shows that KEDLI incurred only one High Risk violation, and KEDNY incurred 15. Moreover, based on the level of improved performance during 2016, KEDNY earned a 100 percent reduction to the remaining negative revenue adjustments that resulted from the 2013 and 2014 audits under a mechanism agreed in the 2016 KEDNY and KEDLI Rate Cases.[200] The Companies are committed to continuing these trends.

d. Commission's Ability To Monitor Gas Safety Performance

New York gas utilities are subject to robust regulatory reporting requirements for various gas safety performance metrics. The SPSP described the thorough pipeline safety reporting and analysis contained in Staff's annual Pipeline Safety Performance Measures Report:[201]

> Yes. I'm just going to read right from our testimony. "The pipeline safety performance measures report is an annual report presented by the department staff to the commission. The report summarizes data, analyzes performance, and is used as a tool to track and identify LDC performance in the following areas of pipeline safety: damage prevention, emergency response, leak management, and compliance with the pipeline safety regulations." Tr. 4138, lines 2-10.

The gas safety metrics included in the Pipeline Safety Performance Measures Report are the same safety measures proposed by the SPSP. The results are compiled annually in Staff's Pipeline Safety Performance Measures Report and reported to the Commission. Tr. 4138, lines 11-14. This gas safety reporting and analysis happens regardless of whether a gas utility has a set of Pipeline Safety Performance Measures in its rate plan. *Id.*, lines 15-19. The SPSP acknowledges that this mandatory reporting provides Staff with the ability to monitor the Companies' safety performance with or without performance measures in their rate plan. Tr. 4138-

[200] Joint Proposal § IV.8.6.
[201] Case 19-G-0298, In the Matter of Staff's Analysis of Local Distribution Company Performance Related to the Pipeline Safety Measures, *2018 Pipeline Safety Performance Measures Report* (filed June 13, 2019).

39, lines 20-15 and 1-2. Ultimately, the Commission can take action, in the form of a penalty proceeding, if the Companies fail to provide "safe and adequate" service.

e. Setting New Targets Mid-Year

In New York, gas safety performance is measured on a calendar year basis – and the SPSP is proposing that its performance measures would apply in 2020. Tr. 4142, lines 12-22. However, as acknowledged by the SPSP, if the Commission were to adopt the performance targets applicable to the Rate Year, the targets would be finalized when the Commission issues a final order in this proceeding (Tr. 4144, lines 3-8), which could be ***six or seven months into the performance period***. This means the Companies would already need to be managing their business to achieve these more stringent performance targets without knowing the outcome of this proceeding and, importantly, the rate allowance for the work needed to achieve these results. As a general matter, the SPSP concedes that the Companies need to plan – either through capital investments and their operating workplans – to achieve more stringent performance targets in the Pipeline Safety Performance Measures. Tr. 4143-44, lines 17-24 and 1-2. This type of planning is not possible under the SPSP's proposal.

When challenged on the obvious inequity of setting performance targets six months or more into the performance period, the SPSP takes the presumptuous position that the Companies should have begun working against the its proposed targets when it saw the SPSP's testimony last fall:

> Q. So is it the panel's position that the companies should start –- should be planning to meet your proposed performance measures before they are finalized in an order, if they are finalized in an order?
>
> A. Knowing what was proposed in our testimony, yes. (Tr. 4145, lines 4-10)

The SPSP's position on this issue is clearly unreasonable. The SPSP cannot argue that the Companies should be subject to a retroactive performance measures, with tens of millions of dollars at risk, that are implemented six months or more into the performance period – especially where the Companies could not know, until rates are set in a final order, the levels of funding they will have to achieve the performance targets. This would be unreasonable on a blue-sky day, let alone under the current circumstances where the Companies' operational resources are focused on maintaining safe and reliable service in the midst of a pandemic.

2. Leak Prone Pipe Retirement Metric And Prioritization (FEMA Floodplains)

The SPSP supports KEDNY's proposal to continue its five-mile per year acceleration of LPP retirement and KEDLI's proposal to maintain its CY 2019 LPP retirement level of 155 miles per year. Tr. 4048, line 8-13. However, as discussed above, the Companies do not support performance measures in a one-year case and, therefore, do not believe it is appropriate to include this metric in the Rate Year. There are several reasons why an LPP metric is inequitable in a one-year case.

First, the Companies will not know the target mileage until, at best, the middle of the calendar year. At the same time, the Companies will not know the rate allowance for its proactive main replacement program. Without knowing whether the Companies will be adequately funded to perform this incremental work, the Companies cannot execute a workplan that will enable it to achieve the mileage – especially the additional five miles for KEDNY.

Second, as discussed above, the SGIOP is proposing significant cuts to the Companies proactive main replacement programs – approximately $6 million for KEDNY and $10 million for KEDLI. Tr. 4535, lines 11-17. Significantly reducing the funding for the Companies' main replacement programs, while holding them to aggressive performance targets with multi-million

dollars penalties, virtually assures the Companies will incur financial harm. Unlike the current multi-year rate plan, where the parties agreed on a level of capital funding for the main replacement program together with the LPP performance targets as part of a comprehensive settlement, the SGIOP and SPSP have separated the funding for these programs from the performance targets. The results are unquestionably unreasonable.

Finally, recognizing the Companies' ability to achieve a performance target in a given year could be impacted by any number of issues (*e.g.*, storms, cold weather), the current LPP metric provides for cumulative targets over the term of the multi-year rate plan. The current COVID-19 pandemic events shine a bright light on why these types of provisions are necessary to provide flexibility in prioritizing work and enabling efficient use of resources. Because a cumulative target is not an option in a one-year case, this places even more risk on the Companies' ability to achieve these extremely challenging targets in the Rate Year.

a. NYC's LPP Floodplain Proposal

NYC recommends that the Companies be required to replace all LPP located in FEMA 500 and 100-year floodplains within 10 years. Tr. 5434, lines 6-19. While NYC expresses opposition to incentives for all other gas safety metrics, including incentives for the general retirement of additional LPP, NYC proposes an incentive to encourage accelerated LPP retirement in floodplains. Tr. 4535, lines 1-13. The Companies have already made a modification to their main prioritization algorithm, procedure ENG04030 "Identification, Evaluation and Prioritization of Distribution Main Segments for Replacement" that assigns a higher weight to LPP mains in floodplains. Tr. 3796-97, lines 18-21 and 1-9. This will help replace the LPP mains in floodplains earlier but will not guarantee completion of these replacements in ten years. Tr. 3797, lines 1-3. In addition, the Companies have identified several pockets of low-pressure LPP in floodplains that the Companies are already planning to replace over the next five years. *Id.*, lines 3-5. The

Companies also note that all of the LPP and low-pressure main has been replaced west of Bay 32nd Street in the Rockaways, which was an area hit particularly hard during Superstorm Sandy. *Id.*, lines 5-8. Therefore, the Companies maintain that increased acceleration to replace LPP in floodplains is unnecessary. In short, the Companies believe that their existing risk-based prioritization model is the best approach for meeting the goal of retiring all LPP within floodplains. Additionally, the Companies would lose efficiencies of coordinating LPP replacements with municipal projects and other company work across the Companies' territory if they were required to target floodplain work over other work, which could increase costs.

b. Positive Revenue Adjustment ("PRA") For LPP

The SPSP recommends enhancing the NRAs and removing the PRAs for LPP removal. Tr. 4048-49, lines 14-24 and 1-2. The Staff Policy Panel cites the CLCPA to support its recommendation, noting that the incentives provided to natural gas utilities in the areas of gas safety and reliability should be "appropriate and produce desired outcomes." Tr 3603, lines 6-22. The Staff Policy Panel also cites the increased costs in the Companies' capital programs associated with LPP removal in support of its recommendation. Tr. 3604, lines 8-22. NYC opposes the LPP removal PRA, claiming the Companies have not provided justification for rewarding additional main replacement or established "a compelling need" to increase the costs to customers to fund the PRA in this area. Tr. 5462, lines 1-5, 10-13.

If the Commission sees fit to include a performance metric in this area, which the Companies do not support for the reasons discussed above, the LPP metric must maintain the PRA component. The recommendations to remove the LPP removal PRA[202] is entirely counterintuitive

[202] The Companies propose to continue the existing positive revenue adjustment of two basis points for each full mile of LPP removed above a set incentive threshold, capped at ten basis points per year, with one adjustment to the existing structure. The existing incentive threshold is set at one full mile above the rate

to the policy and safety goals discussed throughout the Staff and NYC testimonies. PRAs are intended to incentivize companies to engage proactively in work that will ultimately benefit customers. It is undisputed that prioritizing LPP removal is Commission policy[203] and required across the Companies' service territories to not only provide a safer, more resilient system for customers, but also advance clean energy objectives, including methane reduction. Indeed, the SPSP acknowledges that removal of LPP is important to reduce the environmental risks and potential safety hazards created by leaks on the gas system. Tr. 4041, lines 7-22. The SPSP outlines additional benefits of LPP removal that result in cost savings to customers, including reduction in O&M and emergency response costs required to respond to leaks. Tr. 4042-43, lines 22-24, 1-5. Despite extensively detailing the array of benefits associated with LPP removal, however, Staff and NYC are unwilling to fund incentives supporting incremental, proactive targets to further advance LPP removal. However, when questioned, the SPSP acknowledged that a positive incentive for LPP removal would be beneficial:

> Q. And would that panel agree that a positive incentive for leak prone pipe removal would help drive performance in terms of the company's leak prone pipe performance?
>
> A. Yes. And I believe the staff policy panel did address a positive revenue adjustment associated with leak prone pipe. Tr. 4152, lines 6-12.

allowance mileage target. To align with the positive incentive mechanism recently adopted for Niagara Mohawk, the incentive would be earned for every full mile of retired LPP above the rate allowance threshold, thereby simplifying the mechanism and aligning National Grid's New York companies. Tr. 3754-55.

[203] The Commission's stated goal "to reduce the statewide average replacement timeline [for leak prone pipe] to 20 years." Case 15-G-0151, *Proceeding on Motion of the Commission to Consider Implementation of a Recovery Mechanism to Support the Accelerated Replacement of Infrastructure on the Natural Gas System*, "Order Instituting Proceeding for A Recovery Mechanism to Accelerate the Replacement Of Leak Prone Pipe" (Issued and Effective April 17, 2015) at 6.

Accordingly, should the Commission set a performance measure for LPP removal, it should include a positive incentive consistent with the Companies' proposal.

2. Leak Backlog Reduction Targets And Leak Survey Practices

Under the terms of the Companies' current rate settlement, the parties agreed to both negative and positive revenue adjustments associated with leak management. Tr. 4152, lines 13-18. There are two components: (i) a "total" leak metric covering all leaks in the Companies' leak backlog (Types 1, 2A, 2, or 3) and (ii) a "workable" or "repairable" leak metric measuring the backlog of leaks designated as potentially hazardous under the Commission's regulations (Types 1, 2A, and 2). *Id.*, lines 19-23. The SPSP recommends the following changes to the Companies' proposed Leak Backlog Metric:

- Total Leaks: Reduce the baseline leak backlog targets for CY 2020 based on averages of leak repairs for the past five years. Retaining flat target reductions each year of 150 leaks for KEDNY and 750 leaks for KEDLI, and remove additional target reductions based on repairs of high-emission Type-3 leaks (Tr. 4056, lines 4-23;
- Workable leaks: Reduce annual target from 25 to 20 each year (Tr. 4057, lines 2-4);
- Year-end target range: Set the year-end target range to December 26th – December 31st (in lieu of Companies' proposal of December 21st – December 31st) (Tr. 4058, lines 7-10); and
- Incentives: Ability to earn PRAs is based on total leak repairs, removing existing incentive for repairing high-emitter Type-3 leaks. Tr. 4061, lines 9-21.

Significantly, the SPSP's proposal would lower the baseline, or the starting point, for the total leak metric by 900 leaks and 1,150 leaks at KEDNY and KEDLI respectively, and for the workable metric reduce the backlog target from 25 leaks to 20 leaks at year end. Tr. 4155-56, lines 15-25 and 2-4. The SPSP also supports increasing the negative revenue adjustment from a total potential of 12 basis points to 15 basis points. Tr. 4155, lines 5-10. The SPSP conceded that the Commission's regulations do not specifically address the total number of leaks in a gas utilities backlog, and Type 3 leaks, or non-hazardous leaks, do not need to be repaired under the Commission's regulations. *Id.*, lines 11-22.

As with the other performance measures, the SPSP proposes to impose more stringent performance targets without providing the Companies' with the additional resources needed to achieve these targets:

> Q. Sure. I'm just asking a simple question. The panel is not proposing that the companies be allowed to recover incremental money to -- to meet these proposed performance targets.
>
> A. It is not in our testimony, no. Tr. 4158, lines 4-8.

If the Commission sees fit to impose a leak reduction metric, the Companies believe the Leak Backlog Metrics they have proposed are challenging and strike the correct balance to drive reductions of the overall leak backlog while strategically targeting the highest emission Type-3 leaks to maximize methane emissions reductions from this program. The Companies respond specifically as follows:

- Baseline targets: The current Leak Backlog metric reduces the targets by 150 and 750 leaks each year for KEDNY and KEDLI, respectively. It is reasonable, therefore, to set CY 2020 targets based on a 150 and 750 reduction in total leaks from 2019.
- Annual reduction: The Companies support a fixed annual reduction. The proposal to further reduce the targets each year based on high emitter Type-3 leak repairs was

intended to work in conjunction with the Companies' proposed incentive structure, so that as the Companies earned incentives for repairing high-emitter Type-3 leaks, the metric would become more challenging the following year.

- Workable leaks: The existing target of 25 leaks per year is challenging and reasonable.
- Year-end target range: The SPSP gives no justification for reducing the Companies' proposed 11-day target window to a 6-day target window. Again, new leaks can arise at any time and increase as the weather becomes colder. The Companies' leak repair performance could be excellent for nearly a year, yet the Companies would be at risk of missing their targets if too many leaks arise in the last month of the year without sufficient time to make repairs.
- Incentives: The Companies strongly believe that the Leak Backlog Metric should continue to incentivize and provide cost recovery for repair of high-emitter Type-3 leaks. High-emission Type-3 leaks are typically harder to access and more expensive to repair but can have a more significant impact toward reducing overall methane emissions than repair of lower emitting non-hazardous leaks. The Companies also believe that incentives for high-emitter Type-3 leaks as part of the Leak Backlog Metric help to address EDF's concerns about the structure of a backlog reduction metric.

a. SPSP's Proposed Re-Check Requirement is Inappropriate

The SPSP proposes, to successfully eliminate a Type 3 or non-hazardous leak for purposes of the total leak metric, the Companies should be required to perform an inspection or a recheck of that leak, which would require the Companies to conduct a follow-up inspection between 14 and 30 days following the repair date to validate said repair. Tr. 4158, lines 9-15. As the SPSP notes in its testimony, although 16 NYCRR §255.819(a) requires a re-check inspection for Types

1, 2, or 2A leaks, there is no follow-up inspection requirement for Type-3 leaks in the Commission's regulations. Tr. 4158-59, lines 24-25 and 2-4. The SPSP concedes this requirement would require the Companies to add considerable O&M resources that are not currently reflected in the proposed revenue requirements:

> Q. And I'm not disputing the reason as to why this panel thinks it's a good idea. I'm just asking whether the panel has considered the incremental work associated with doing additional rechecks or inspections of type 3 leaks.
>
> A. We do understand there will be additional work to go and do the rechecks. Tr. 4159-60, lines 20-25 and 1-2.

Indeed, requiring the Companies to deploy crews back to every Type-3 leak repair adds considerable costs without commensurate benefits. Significantly, Staff has not performed an assessment of the potential costs in support of this proposal:

> Q. Has the staff done any assessment of the incremental work that the companies would be required to do in order to perform these additional rechecks that it is proposing?
>
> A. We have not performed an assessment for the associated costs with those additional inspections. Tr. 4162, lines 12-18.

To summarize, the SPSP is proposing to increase the leak reduction targets, increase the Companies' exposure under the metric, require incremental work to eliminate/re-check leaks, while at the same time not proposing to increase the rate allowance for leak repairs. This proposal is clearly unjust and unreasonable.

b. NYC Leak Repair Proposal

NYC proposes that the Companies should eliminate the entire leak backlog in five years. Tr. 5472, lines 9-12. Again, the vast majority of leaks in the Companies' backlogs are Type-3 leaks, which are defined by regulation as non-hazardous and are reasonably expected to remain that way. Tr. 4054, lines 18-20. There are not sufficient benefits for removing all non-hazardous

NYC leaks to justify the significant additional resources that would be required. Thus, NYC proposed acceleration of leak repair would raise costs for customers without providing the benefits.

c. Environmental Defense Fund's Proposals

EDF's proposal is to change fundamentally the structure of the leak management from a leak backlog measure to an overall methane reduction measure. EDF recommends that the Companies use advanced leak detection technology (essentially the cavity ring-down spectroscopy ("CRDS") technology mounted on a Google car) to conduct a baseline survey of the Companies' entire service territory to establish a baseline methane emissions level and then to establish a target, such as a 50 percent reduction of emissions, to be achieved over a fixed period, such as five years. Tr. 5608-13. EDF acknowledges that a baseline survey could take time and recommends that the existing metric structure stay in place until such time as the new metric could be developed. Tr. 5614, lines 1-9.

The Companies maintain that the advanced leak detection technology is not yet sufficiently reliable to form the basis for a new metric. The Companies agree that they should begin to integrate CRDS technology into their arsenal of tools to combat methane emission, via their proposed Enhanced High Emitter Methane Detection Program. This program provides for deployment of Google car-mounted CRDS technology operated by contractors in each of KEDNY's and KEDLI's service territories to prioritize high emission leaks for repair in limited areas already know to have a high leak concentration. Even if the Companies believed that the technology could produce a reliable baseline measure, to achieve a full baseline survey of the Companies entire service areas that EDF proposes would require significantly more contractor resources to implement the program. The Companies' proposed Enhanced High Emitter Methane Detection Program supports use of the Google Car/CRDS technology in a more reasonable way and can provide an opportunity to further evaluate this technology.

Importantly, the Commission has not approved CRDS or any other advanced leak detection technology for use to conduct required leak surveys. At best, from a regulatory standpoint, the Companies can begin to deploy these technologies to supplement and enhance their traditional programs, as the Companies have proposed via their Enhanced High Emitter Methane Detection Program.

d. NYC Leak Survey Proposal

NYC recommends that the Companies adopt the same leak survey techniques and frequencies in their NYC service areas as Con Edison. Tr. 5478, lines 1-3. Con Edison has chosen to deploy more frequent walking surveys and monthly low-speed surveys that exceed regulatory leak survey requirements. Tr. 3810, lines 8-10. KEDNY and KEDLI have also deployed strategic leak survey techniques that exceed regulatory requirements to enhance customer safety, but in a different manner than Con Edison. *Id.*, lines 10-12. For example, the Companies have an enhanced leak survey procedure for the winter months when leaks are more likely to occur. *Id.*, lines 12-14. The procedure includes: more frequent patrols of all cast iron distribution mains (an average of 14 days and not to exceed 20 days) beginning in either late December or early January regionally depending on weather patterns and cast-iron break history; and additional surveillance when the seven-day frost degree days (daily average temp over seven consecutive days) is below 27 degrees Fahrenheit. *Id.*, lines 15-21. Con Edison, KEDNY, KEDLI, and other utilities across the stated deploy various and differing safety enhancement programs. To require uniformity across neighboring service territories for programs that exceed regulatory requirements would be burdensome and costly and it would disincentivize innovation and chill the pursuit of discretionary safety enhancements.

3. Damage Prevention Metric

The damage prevention metric measures the Companies' ability to minimize instances of damage to its system caused by excavation activities. The performance measures are based on instances of damage in different categories per 100 one call tickets, which notify the utility of excavation work in its territory. Tr. 4165, lines 9-15.

The SPSP supports the Companies' proposal to revise the metrics to measure overall damages rather than splitting the metric into three categories. Tr. 4069-70, lines 10-24 and 1-14. The SPSP recommends adjusting the targets to levels that are higher than the targets the Companies proposed for both KEDNY and KEDLI. The SPSP's targets are also uniform for KEDNY and KEDLI, whereas the Companies had proposed generally lower, more challenging targets for KEDNY, as shown in Table 8. Tr. 4070-4071.

Table 8 – Staff and the Companies' Damage Prevention Targets

Instances of damage per 1,000 one-call notifications - CY20 Staff	
NRA Basis Points	**KEDNY and KEDLI**
-20	>2.50
-10	2.25-2.50
-5	2.00-2.25
0	1.50-2.00
+5	1.25-1.50
+10	<1.25

Instances of damage per 1,000 one-call notifications - CY20 Companies		
NRA Basis Points	**KEDNY**	**KEDLI**
-20	>1.75	>2.25
-9	1.5-1.75	1.85-2.25
0	<1.6	<1.85
+3	1.25-1.5	1.25-1.5

+6	<1.25	<1.25

Significantly, the SPSP opposed the Companies' recommendation to retain the current metric structure and calculation methodology, which includes "relocates"[204] and excludes damages that have always been excluded from the Companies' Damage Prevention Metric-damages by homeowners with no ticket and damages by non-company contractors digging with hand tools with no ticket. Tr. 4167, lines 10-17. "Relocates" are one call tickets where the utility is required to return to the scene of previously marked facilities to re-mark those facilities because of the passage of time. Tr. 4154-66, lines 18-25 and 2-5. Whether a new ticket or a refresh, the Companies are required to travel to the scene of the proposed excavation and mark their facilities, as acknowledged by the SGIOP:

> Q. Okay. For each refresh or relocate ticket, to your knowledge, are the companies required to respond to that ticket, and go out in the field, and then remark their facilities?
>
> A. They are, yes.
>
> Q. Okay. So in terms of the company's response, it is effectively the same activities that are required as opposed to receiving an original one call ticket?
>
> A. Generally, yes. (Tr. 4166, lines 6-15)

[204] The two One-Call Centers in New York, Dig Safely New York (covering upstate New York), and New York 811 (covering downstate New York) do not have consistent rules and classify tickets differently. A "relocate" ticket in upstate New York is not the same as in downstate. Analysis of statewide data shows that "relocates" make up more than 50 percent of the downstate ticket volume, and yet, none of the upstate utilities come anywhere close to that same percentage, which demonstrates that this is not an apples-to-apples comparison. Therefore, the SPSP's recommendations to attempt to treat relocates the same statewide for purposes of performance metrics is flawed and unfair as there is no standardized way the two One-Call Centers receive, classify, and send the 811 tickets to their members. Tr. 3814, lines 2-15.

The relocated/refresh tickets, which were included in the baseline number of tickets use to calculate the Companies' performance under the current performance metrics, represent more than 50 percent of the ticket volume in downstate New York:

> Q. Okay. Now I -- I'd ask you, the company's testified at page 38 of its rebuttal testimony, line nine, "that analysis of statewide date -- data shows that relocates make up more than 50% of the down state ticket volumes." Does the Panel have any reason to dispute that relocates make up more than 50% of the down state ticket volumes?
>
> A. Approximately speaking, yes. It's -- it's roughly in that ballpark.
>
> Q. And does the Panel -- well, let me ask this. Is the Panel, in this case, recommending to remove those relocate or refresh tickets from the company's performance metrics?
>
> A. We are, yes. (Tr. 4167-68, lines 23-25 and 1-12)

Notwithstanding that refresh/relocate tickets require the Companies to take the same action as a new one-call ticket, and represent more than 50 percent of the ticket count, the SPSP is now proposing to remove these relocates from the baseline number of tickets.

The unreasonable impacts of the SPSP's proposal are illustrated in the Companies' reported damage prevention performance in the 2018 Pipeline Safety Performance Measures Report that was produced in Case 19-G-0298 ("2018 Performance Report").[205] When the Staff made similar adjustments to remove refresh/relocate tickets from the damage calculation for purposes of the Companies' reported performance in the 2018 Performance Report, the reported performance declined significantly – *even though the Companies actual performance had not*. This is purely a result of the reduced ticket volume from Staff excluding relocate tickets. For example, looking at Appendix B, Page 37 of the 2018 Performance Report, KEDLI's reported year-to-year ticket count dropped from 185,313 to 126,872, approximately 60,000 tickets.

[205] Case 19-G-0298, In the Matter of Staff's Analysis of Local Distribution Company Performance Related to the Pipeline Safety Measures, *2018 Pipeline Safety Performance Measures Report* (filed June 13, 2019).

KEDNY's ticket count dropped from 283,474 to 128,359, approximately 155,000 or nearly 55 percent. Thus, removing refresh/relocate tickets totally skews the denominator used to calculate the Companies' reported damage prevention performance by decreasing the ticket count – even though the Companies' are actually engaged in an increasing level of mark out activities during this period. Consider the unreasonable impact of this approach on the measure of damages due to "No-Calls" (2018 Performance Report, p. 38). The Companies actually experienced fewer instances of damage in 2018 as compared to 2017, but Staff reported their *performance deteriorated significantly*. For KEDNY, the change to the ticket count methodology nearly doubled the number of damages per 1,000 tickets. The SGIOP acknowledged this issue:

> Q. And -- and I ask you these questions to make the point that the reduction in the ticket volume will significantly impact the way in which the company's performance is reported. Is that correct?
>
> A. It will change it, yes.
>
> Q. Okay. But in this example, even though both companies' performance actually improved in terms of raw numbers, the reported ratio was -- was significantly worse. Is that -- is that correct? Again, I use the term "significantly" -- was worse.
>
> A. Yes. (Tr. 4173, lines 7-18)

The SPSP further concedes that adjusting the baseline to exclude 50-60 percent of the total ticket volume would result in more challenging performance targets, and would necessitate adjustments to the performance targets:

> Q. Sure. And -- and maybe I can say it a little clearer. Would you agree that removing 60% of the ticket count from the denominator used to calculate the company's performance, would you agree that that would require an adjustment to the performance targets used to measure the damage prevention performance?
>
> A. Yes. (Tr. 4168-69, lines 20-25 and 2-3)

KEDNY and KEDLI should continue to be judged by how they improve year over-year from their own previous performance, not by how the Companies perform compared to other gas operators in New York. The only fair way to continue to do that and apply logical, measurable, and attainable performance measure goals for the Rate Year and Data Years is to continue to allow the Companies to follow the same metric calculation they have followed for over a decade but make the targets for that metric more challenging. This is precisely what the Companies have done in their metric proposals.

If the Commission were to adopt the SGIOP's proposed changes to the damage prevention metric, the Companies would require additional resources to meet the targets. Indeed, the amounts included in the Companies' rate plan, including the Companies' forecasts for the Enhanced Damage Prevention Program, assume the current metric structure. If the structure were to change, the Companies would need to devote additional incremental resources to these programs to meet Staff's proposed targets. Tr. 3815, lines 5-13.

Finally, the SPSP acknowledges that its direct testimony incorrectly suggested that the Companies incurred a negative revenue adjustment for damage prevention in 2018. Tr. 4193, lines 11-19. This error is directly attributable to the issue of removing tickets discussed above, which has the impact of skewing the reported damage prevention performance – to the point the SPSP incorrectly believed the Companies had incurred a penalty when, in fact, they continue to demonstrate strong performance in this area.

4. Emergency Response Metric

The SPSP supports the Companies' proposal to maintain the existing Emergency Response targets, including the exclusion of mass odor calls from the metric, and to add incentives to the metric. Tr. 4078-81. The SPSP notes that incentives for emergency response have been approved

for other utilities including Niagara Mohawk, Central Hudson Gas and Electric Corporation, and Orange and Rockland. Tr. 4081, lines 8-13.

NYC recommends an alternate target of 80 percent for the 30-minute response (a five percent increase in the target). Tr. 5466, lines 6-15. NYC's basis for this adjustment is that Con Edison's emergency response 30-minute response performance has exceeded KEDNY's and KEDLI's in the past several years, and the Companies should be held to the standard of actual performance that Con Edison has set. *Id.* The Companies' believe their Emergency Response Metric Target, which is used to measure utilities' performance across the state, is reasonable and appropriately challenging.

NYC also recommends that the Commission examine whether the metric should be measured based on when company personnel who are qualified to actually make a repair without calling for additional assistance arrives on the scene, rather than from when a company First Responder arrives on the scene. Tr. 5468, lines 3-8. The Commission has already determined that, for the purpose of reporting on the Emergency Response Metric, the response times are measured from the time the notification is sent from the company dispatch to the time of arrival of "qualified company personnel" at the location, and that "qualified company personnel" are defined as "company representatives who are properly trained and equipped to investigate leak, odor, and emergency reports in accordance with accepted company procedures and 16 N.Y.C.R.R. §255.604; operator qualification requirements."[206]

If the metric was changed to measure from the time company personnel who are trained and equipped to repair leaks arrives on the scene, as NYC suggests, the Companies would be

[206] Case 19-G-0298, *In the Matter of Staff's Analysis of Local Distribution Company Performance Related to the Pipeline Safety Measures*, "2018 Pipeline Safety Performance Measures Report" (June 13, 2019) at 24, note 10.

required to dispatch a Gas Field Operations crew to respond to every reported leak. This would require significant incremental resources and is inefficient because most reported leaks do not actually require an immediate action. For example, in CY 2018 and CY 2019 as of the time of the Companies' rebuttal filing, only approximately 15 percent of total leaks reported were reported as an odor outside. Tr. 3818, lines 14-17. Of the total leaks called in, only approximately 0.41 percent resulted in a classification of a Type-1 leak requiring an immediate action. *Id.*

5. Regulatory Compliance/Gas Regulation Metrics

KEDNY and KEDLI are currently subject to a Gas Safety Regulations Performance Metric that exposes the Companies to significant NRAs (up to 100 pre-tax basis points) based on violations of certain Commission's rules and regulations contained in 16 NYCRR Parts 255 (Transmission and Distribution of Gas) and 261 (Piping Beyond the Meter). Tr. 3764. Based on the Companies record of improvement in compliance since 2015, the Companies propose that the NRAs be spread between larger tiers, in line with the structure that was approved for Niagara Mohawk. The Companies also propose that the total NRA per year be capped at 75 basis points. Tr. 3765.

The SPSP does not support this proposal and instead recommends that the metric's tiers remain as they are currently established. Tr. 4091-92. Based on the Companies' record of improved performance, and because the broader tiers the Companies are proposing were recently adopted for Niagara Mohawk's Gas Regulations Performance Metric, the Companies' proposal should be accepted.

The Companies also disagree with the SPSP's recommendation to remove the existing 10-violation cap for violations of a single code section identified during field audits. The Companies' Gas Safety Regulations Performance Metric includes a cap of 10 violations of a single code section for both records audit violations and field audit violations. The 10-violation cap was agreed-to in

the Companies' Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases to ensure that the metric did not create a scenario where violations with a high number of occurrences could result in an overly punitive penalty without focusing attention properly on the underlying compliance issue. This mechanism allows for the fair evaluation of the root cause of field violations and a mechanism to mitigate root causes yet still provides a strong incentive to achieve full compliance with gas safety regulations. Removal of the cap for field audits is overly punitive, not justified based on the Companies' record of performance against this metric, and unnecessary in light of the implementation plan requirements for violations that exceed the cap.

B. Forecasts for Safety Programs - Plastics Fusion QA/QC, Enhanced Contractor Inspection Program (FTE), Low Pressure Main – Valve Program, Buried Vent lines Program, Enhanced High Emitter Methane Detection Program (funding in rates or as pilot)

1. Forecasts for Safety Programs - Plastics Fusion QA/QC

The SGIOP recommends a downward adjustment to the capital forecast for this program in the amount of approximately $0.25 million for KEDNY and $0.31 million for KEDLI. Tr. 4666-67, lines 20-24 and 1-5. Staff notes that the Companies' response to IR DPS-711 indicates that the Companies' forecast is based on the estimated number of incremental inspections times the unit price per inspection. Tr. 4666. The SGIOP does not question the Companies' estimated number of inspections or unit prices, but states that the total forecast includes additional costs that were not justified, which Staff proposes to remove. Tr. 4667, lines 5-8. As explained in the rebuttal testimony of the Companies' Gas Safety Panel, the Companies inadvertently neglected to include the basis for the entire forecast in their response to IR DPS-711. Tr. 3821, lines 10-12. The forecast is based on the number of inspections times the unit price, plus the capital labor required to conduct the inspections that is not included in the unit price. *Id.*, lines 12-14. The capital labor portion of the forecast is what would be removed by the SGIOP's adjustment. *Id.*,

lines 14-15. The labor portion of the forecast is required to enable the Companies to meet their regulatory obligations to conduct additional inspections of plastic fusions. *Id.*, lines 15-19. Significantly, the SGIOP agrees the capital labor to perform the inspections is an appropriate component of the costs. Tr. 4780, lines 14-17. Thus, there is no basis for the SGIOP's adjustment.

2. Enhanced Contractor Inspection Program (FTE)

The Enhanced Contractor Inspection Program adds inspectors and a small amount of associated capital labor so that the ratio of inspectors to contractor crews will be one-to-one. The SPSP supports the program but recommends a reduction to the Companies' proposed number of FTEs to reflect the estimated workload. Tr. 4119, lines 3-9. The Companies do not agree with the SPSP's five percent reduction in the FTEs associated with the program and believe the number of FTEs included in its rebuttal filing are necessary to maintain the one-to-one ratio of inspectors to contractor crews in the Rate Year and Data Years. Tr. 3823-24, lines 1-21 and 1-6.

3. Low Pressure Main – Valve Program

The SGIOP proposes the Low-Pressure Main Valves Installation Program should be funded through NRAs rather than through rates. Tr. 4665, lines 2-7. The Companies do not agree. This program is an incremental safety program that will be ongoing because the valves will be installed on new services as well as on existing main. Tr. 3827, lines 9-20. This is an ongoing program with long-term benefits to customers that justify inclusion in rates. *Id.* There will also be future investment required to ensure the valves remain operational over time. *Id.* The costs of this program and the nature of this program render it inappropriate to fund through the limited pool of NRA dollars that are available. *Id.* This program should be funded through rates, and NRAs should be reserved for shorter-term programs that do not require ongoing spending.

4. Buried Vent lines Program

The SGIOP recommends that the Buried Vent Lines Program should be removed from the Companies' capital plans and should instead be funded by the Companies' shareholders because the SGIOP believes the Companies should already have addressed buried vent lines. Tr. 4123, lines 9-14. The Companies have identified and addressed buried vent lines for years during the regular course of operations and maintenance. Tr. 3826-27, lines 17-21 and 1-6. In the past, this work was done in connection with various programs, such as regulator inspections and meter changes, and procedures for ensuring the safe operation of buried vent. *Id.* Since the Companies began conducting inside service line inspections in 2017, the pace of identification of buried vent lines has increased such that the Companies now propose a distinct capital program with centralized funding to enable the Companies to timely address these issues. *Id.* This program is properly funded through rates.

5. Enhanced High Emitter Methane Detection Program (Funding In Rates Or As Pilot)

The SPSP supports the Companies' program, which will deploy a Google car mounted with CRDS technology to prioritize repair of high emission leaks in high leak concentration areas. The SPSP describes the program as a "pilot program" and recommends that the program be funded using the Companies' balance of NRAs. The SPSP does not support the Companies' proposed addition of one FTE to support this program. Tr 4115-4116. The SPSP suggests that the methane leak pilot program should be incorporated into the Companies' R&D program (Tr. 4117), but acknowledges it had not reviewed the R&D budget to determine if there is available funding:

> Q. Sure. Did the panel review the company's research and development rate allowance to determine whether there was sufficient funding for this program?
>
> A. No. Those rate expenses were not specifically reviewed. (Tr. 4192, lines 10-15)

The Companies had not intended this program as a pilot program, but rather the Companies' proposal was for an ongoing program that should be funded in rates. Tr. 3830-31, lines 9-21 and 1-10. The program is not a leak detection program but is a supplement to the Companies' leak management program that will help the Companies prioritize repair of high emission leaks in areas known to have a high leak concentration. *Id.* The Companies, however, agree that part of the purpose of the program is to continue to test and evaluate the technology to explore possible future uses and expanded integration into the Companies' leak management programs. *Id.* As such, the Companies could consider moving forward with this program as a pilot program in a multi-year rate plan. *Id.* As is stated above, the Companies believe that its incremental safety programs for a one-year case should be funded in rates.

EDF recommends that this program be expanded to incorporate a complete emissions survey of both Companies' entire service territory. For the same reasons stated above regarding EDF's recommendations for revision of the Leak Backlog metric, the Companies do not believe that expanded deployment of the CRDS technology is appropriate at this time but will continue to work with EDF on the advancement and evaluation of this technology. Tr. 3831, lines 15-19.

C. NYC Local Law 152 ("LL152")

LL152 is a NYC Council law that requires building owners in NYC to conduct inspections including atmospheric corrosion and leak surveys of the natural gas piping inside buildings, including the same segments that the Companies are required to inspect pursuant the inside service line definition change. Tr. 4104, lines 9-23. The Companies, Con Edison, and the NGA worked with the DOB for nearly a year prior to issuance of the proposed rules implementing the law to provide guidance and information on how coordination could be achieved. When the DOB issued its proposed rules on November 30, 2018, the Companies were disappointed that the rules were

not written in a manner that would allow for coordination of inspections to meet both the utilities and LL152 requirements

The SPSP has three recommendations: (i) that the Companies continue to coordinate with DOB to encourage modifications to the rule that would enable coordinated inspections; (ii) if the rules are issued without modification, that the Companies file a plan within 60 days of the issuance of DOB's final rule or within 60 days of the Commission's Order in these proceedings detailing how the Companies will coordinate with building owners to encourage them to use plumbers qualified to perform the utility's inspections, including technology sharing and an educational campaign; and (iii) that the amounts the Companies can collect in rates should be a "placeholder" with a reconciliation to a new estimate once the final rules are issued. Tr. 3833-34, lines 13-21 and 1-2.

The Companies are willing to continue to work with DOB to attempt to align LL152 with the utilities' service line inspection requirements – but do not agree with the remaining recommendations. Tr. 3834-35, lines 4-21 and 1-5. Because the requirements of LL152 do not align with the Companies' inspections obligations, the Companies' Inside Service Line Inspection Program for the Rate Year will be conducted independently. *Id.* In the event that the LL152 rules are passed with sufficient modifications to allow for coordination of inspections, it will take the Companies time to develop coordination plans that ensure the Companies can meet their regulatory requirements - but would not anticipate realization of coordination benefits in the Rate Year. Tr. 3835, lines 7-16. The SPSP acknowledged they are not aware of any forthcoming changes and, therefore, there is no basis to treat the Companies' rate allowance as a placeholder:

> Q. Okay. Does the panel know whether there are any forthcoming changes to local law 152 that would impact whether these – these inspections satisfy service line inspections?

A. We do not.

Q. Okay. So for that reason, I – I would ask. Does the panel agree that there is really no basis for setting the company's rate allowance for service line inspections as a placeholder as proposed on page 81 of your testimony?

A. That is correct. (Tr. 4184, lines 8-18)

D. Methane Detector Deployment

The Companies support the development of utility detection devices with advanced technologies for residential methane detection, similar to the Con Edison device, that can automatically communicate information, including methane emissions, to the Companies' systems. Tr. 3828-29. The Companies have ongoing research and development ("R&D") efforts underway and actively communicate with all major manufacturers regarding potential development of a product that meets the Companies' technical specifications. The Companies also support the advancement and improvement of RMDs for customers' personal use, similar to smoke detectors, of the type that the Companies plan to distribute via the proposed Expanded Residential Methane Detection Program. The Companies intend to continue these efforts during the Rate Year. The Companies note that Staff's proposed reduction of the Companies' incremental FTE to support R&D efforts that is noted in the GIOP's rebuttal testimony is incompatible with the SPSP's recommendation to dedicated additional R&D resources toward the advancement of RMDs

E. Inside Meter Relocations; Inactive Accounts

Pursuant to the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Case, beginning in CY 2018, the Companies were to begin to relocate gas meters located inside premises to outside the premises when replacing or relocating gas service lines as part of the LPP retirement program, except where (i) the customer refuses permission to relocate the meter outside; (ii) local

building codes or similar regulations prohibit outside meters; (iii) exterior or interior obstacles prevent meter relocation; or (iv) the gas meters should not be moved outside for safety reasons. The SPSP recommends that the Companies continue to relocate inside meters to outside and expand their efforts to perform this work not only in coordination with the LPP replacement programs, but also whenever the Companies perform service transfers or move an existing service line to a newly installed pipeline. Tr. 4110, lines 5-15.

The Companies agree with the safety benefits of relocating meters from inside to outside. Meter relocations would also eventually reduce costs of performing required inspections of inside service lines. Tr. 3836-39. At this time, however, KEDNY is not able to make specific commitments regarding relocating meters from inside to outside for reasons because of challenges coordinating with the Department of Buildings ("DOB"). *Id.* The DOB's requirements are varied and complex; some examples include: three-pound pressure testing beyond the installation to the entire premises that could compromise internal piping that otherwise operates safely at lower usage pressures, particularly on older buildings common in NYC; multiple inspections by DOB including a close out inspection such that the work could not be completed in one day and would require customers to be out of service multiple days or longer; and work could not be performed by KEDNY's crews, requiring additional resources to contract for master plumber services and coordination of KEDNY's service line replacement crews with additional plumber crews. Tr.

3837-38. Taken together, the Code requirements prevent KEDNY from performing the meter relocation work proposed by Staff.[207] Tr. 3838, lines 10-11.

With regard to inactive accounts, the SPSP notes that inactive accounts should be addressed immediately and that the Companies should also address meters found not to be readily accessible. As stated in the Panel's direct testimony, under the Companies' current inactive accounts process, the Companies act immediately to perform a site analysis on every site to determine whether conditions, such as a vacant premises or other observable unsafe condition, warrant immediately securing the line. Tr. 3824, lines 13-17. In such instances, the service is cut within 24 hours. *Id.* Assuming there is not an urgent circumstance, the process is designed to resolve inactive accounts within 60 days. Tr. 3824, lines 17-19. In practice, however, 47 percent of KEDNY's inactive accounts and 89 percent of KEDLI's inactive accounts are resolved within the first 15 days, and only approximately 5 percent of KEDNY's and 1.6 percent of KEDLI's accounts remain inactive between days 45 and 60 of the current process. Tr. 3824-25. The Companies' proposal to achieve a 30-day process over a two-year period will expedite the entire process. Tr. 3825, lines 1-3. Regarding meter locations, at the time of original installation, the Companies install meters in readily accessible locations (*i.e.*, locations not obstructed and able to be accessed to perform inspections and maintenance), regardless of whether the meter is physically located on the outside or inside of a customer's building. *Id.*, lines 5-9. Over the past several years, the Companies have

[207] During 2018 and to date, KEDNY suspended its meter relocation efforts to pursue ongoing discussions with the NYC Mayor's Office staff and the DOB regarding whether there is a path forward that would enable KEDNY to perform this work. KEDNY updated Staff on this matter throughout the past year. KEDNY will continue ongoing discussions with DOB; however, at this time there is no clear path forward such that KEDNY can commit to meter relocations. At best, KEDNY can look for opportunities to relocate meters in coordination with customer-planned work on inside house piping where the customer would be responsible for the replacement of the house-piping on the inside of the building where the meter is removed. The Companies also note that KEDLI's ability to continue relocations outside of New York City may be similarly impacted by municipal building codes as the program moves forward.

discovered meters that are obstructed or inaccessible because of subsequent customer alterations or obstructions installed around the meter. *Id.*, lines 9-11. The Companies' current practice is to advise customers of obstructions and access issues upon discovery. If required to resolve an imminent safety concern, the Companies would terminate service. *Id.*, lines 11-12.

Outside of imminent safety conditions, however, the Companies have encountered several impediments that prevent or delay immediate removal of the obstructions, including customer refusals, local building codes and regulations, exterior or interior obstacles, and other various safety reasons. *Id.*, lines 14-17. These challenges are further compounded in the City of New York, where KEDNY has been unable to relocate any meters outside of the building because of code interpretation issues with the NYC DOB. *Id.*, lines 18-20. Accordingly, although the Companies will continue their efforts to remove obstructions and overcome the impediments noted above as quickly and efficiently as possible, Staff's recommendation that the Companies take "immediate and continuous" action to remedy these conditions is simply unachievable for reasons beyond the Companies' control. The Companies acknowledge that improvements in this area will require the involvement of third parties, including municipalities, and invite affected stakeholders to provide comments and work with the Companies towards effective resolutions.

F. Service Line Inspections

To help manage service line inspection costs, the SPSP recommends that (i) the Companies coordinate inspection work with other work when possible, (ii) automatically impose non-access penalties upon one refusal or two missed appointments, and (iii) use revenues collected through non-access penalties to offset program costs. The Companies support elements of this proposal. The Companies continuously seek opportunities to coordinate work and to perform work more efficiently across programs and have incorporated the non-access penalty for missed appointments

into its tariffs. Tr. 3822, lines 9-21. The Companies intend to utilize these penalty provisions effectively as a tool to gain access for inspections. *Id.* The Companies will consider a mechanism for using penalty revenues to offset the costs of the Inside Service Line Inspection Program.

G. Use of NRA Balances

The Companies have historically used NRA balances to fund designated safety programs for the benefit of customers. Such treatment is consistent with how other utilities across New York State, including Con Edison and Niagara Mohawk, have used such deferral balances. Tr. 3792, lines 15-17. In the 2016 KEDNY and KEDLI Rate Cases, the Joint Proposal approved by the Commission specifically provides that "[a]ny Gas Safety Performance Metrics negative revenue adjustments incurred by KEDNY [and KEDLI] will be deferred for future use in incremental safety programs."[208] *Id.*, lines 17-21. For example, Niagara Mohawk is currently using NRA deferral balances to fund its Residential Methane Detection program and for GPS mapping of gas facilities. Tr. 3793, lines 1-2. The SPSP recommends that the Companies use the NRA deferral balances to fund the Companies' proposed Expanded Residential Methane Detector, I&R Control Line Survey and GPS Mapping, and Low Pressure Valve Installation Programs and, in consultation with Staff, that the Companies submit a plan for using NRA balances to fund additional incremental safety programs. Tr. 4088-89, lines 21-24 and lines 1-3.

The Companies support using portions of the deferral balances to fund the Residential Methane Detector Program and the Incremental I&R Control Line Survey and GPS Program. The Companies maintain that, for a one-year rate plan, the other safety programs should remain in rates. The Companies believe the practice of deferring gas safety related NRAs for future investment in gas safety programs should continue. Use of NRA deferrals for gas safety programs

[208] Joint Proposal § V.8.5(f).

allows the Companies to fund important safety programs for the benefit of the customers and communities served, while also mitigating increased rate requests that would normally accompany such incremental programs. This allows the Companies to enhance the benefits provided to customers without increasing customer bill impacts. Immediate return of the full balance of the NRA deferrals, as the NYC Gas Infrastructure and Safety Panel ("GISP") suggests (Tr. 5486, lines 20-22), would merely provide a one-time credit on customer bills without providing the funding required for, or benefits of, the incremental gas safety programs proposed.

The NYCGISP testimony also appears to draw a negative inference from the fact that the Companies are not proposing to utilize the full NRA balances at this time. Tr. 5418, lines 19-22. Immediate use of the full balances, however, would be short-sighted as the gas industry, and the safety regulations that govern it, are constantly evolving. The Companies need the ability to react quickly and implement programs in response to these evolving regulatory and customer needs. By leaving a portion of NRA balances in deferrals, the Companies are positioning themselves to respond timely to future regulatory mandates and implement corresponding programming that will directly benefit customers. Therefore, the Companies propose to continue the accounting treatment and use of NRA funds in the manner established in prior rate cases.

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics; Performance Measures In A One-Year Case

In addition to gas safety performance metrics, Staff is proposing customer service quality measures and penalties for missing service targets, notwithstanding that the Companies' have delivered consistently high levels of performance over multiple years. Tr. 1203, lines 11-13. Staff

and UIU recommend continuing the same four metrics[209] set forth in the Companies' current Joint Proposal – but significantly ratcheting up the performance targets. Tr. 1465, line 10; Tr. 1467, lines 1-5. These metrics, if missed, would result in annual penalties of $11.700 million and $9.900 million for KEDNY and KEDLI. *Id.*; Tr. 1473, lines 7-8; Exhibit 414 (SCSP-2), Page 2 of 2.

In prior cases, KEDNY and KEDLI have voluntarily agreed to such mechanisms in negotiated rate case settlements, including specifically, the existing customer service quality program ("CSQP").[210] In discussing the history of performance incentives like the CSQP, the Commission has asserted that such programs "arose as a necessary component of multi-year rate plans to counter potential utility actions to increase earnings at the expense of reliability, safety and customer service quality."[211] As such, service quality metrics and targets have historically been negotiated elements of multi-year rate settlements, balancing agreed upon costs for customer service-related expenditures with desired levels of customer service quality.

However, in this case, KEDNY and KEDLI have demonstrated good performance on the service quality metrics, meeting or exceeding their respective service quality targets since 2015, with KEDNY consistently meeting all of its metrics since 2008. Tr. 1203, lines 11-13. Staff has stated that the Companies have been providing "proper performance." Tr. 1562, lines 14-15. Further, when asked if there was any indication of a decline in performance on any of the customer service quality metrics that would make the Companies miss its targets during the Rate Year, Staff responded, "[w]e don't have evidence in front of us today that would point to how the Company would miss a target." Tr. 1567, lines 2-4. Similarly, when asked if he could "see anything to

[209] The metrics are PSC Complaint Rate, Customer Satisfaction, Adjusted Bills, and Call Answer Rate.
[210] *See e.g.* 2016 KEDNY and KEDLI Rate Case Order, Attachment 1 ("Joint Proposal"), page 104.
[211] *See* Case 16-G-0257, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corp., *Order Establishing Rates for Gas Service* (issued and effective April 20, 2017)("National Fuel Gas"), page 64.

suggest that the Company will not meet its performance targets during the rate year," UIU witness Gregg C. Collar, responded, "under the current targets, if they – if they maintain the service they've had over the five years, they should exceed those targets by a good margin." Tr. 1821, lines 11-18.

For the same reasons discussed above relative to the gas safety performance metrics, customer service quality metrics are inappropriate in a one-year litigated case.[212] Moreover, Staff's assertion that a CSQP is needed in this case is inconsistent with the Commission's order in *National Fuel Gas* establishing rates in a one-year litigated case with no customer service quality metrics.[213] Tr. 1462, lines 16-19.

Further, the metrics and targets recommended by Staff are arbitrary and without any basis in the existing statutory and regulatory framework. The PSL and the Commission's regulations are devoid of any mention of uniform statewide customer service quality standards or targets for electric and gas corporations like those in the proposed CSQP.[214] As discussed, *supra*, the standard specified in the PSL for the provision of electric and gas service is that gas and electric corporations must provide "safe and adequate service."[215] Staff's proposed CSQP essentially measures the Companies' performance against itself, rather than any objective measure of customer service quality. Tr. 1466, lines 5-18. For example, with regard to KEDNY and KEDLI Complaint Rates,

[212] Like the gas safety metrics, the Staff and the Commission are readily able to monitor the Companies' customer service performance via the customer service performance indicator reports. *See* In the Matter of Revisions to Customer Serv. Performance Indicators Applicable to Gas and Electric Corps., *Order Adopting Revisions to Customer Service Reporting Metrics* (issued and effective August 4, 2017).
[213] *See* Case 16-G-0257, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of National Fuel Gas Distribution Corp., *Order Establishing Rates for Gas Service* (issued and effective April 20, 2017) ("National Fuel Gas"), pages 63-64.
[214] *See* 16 N.Y.C.R.R. Chapters I-III, VII, *et seq.,* which are devoid of any mention of customer service quality standards for electric and gas corporations for: (i) PSC complaints per 100,000 customers; (ii) residential customer satisfaction; (iii) calls answered in 30 Seconds; or (iv) percentage of adjusted bills.
[215] PSL § 65 Subd. 1.

the CSQP target proposed by Staff would set at 1.0, which Staff notes is, "[t]the lowest target currently in effect at a New York utility." Tr. 1472, lines 12-15. Mr. Collar takes this a step further, proposing a rate of 0.7 complaints per 100,000 customers for the KEDNY Complaint Rate, which would be 30 percent lower [more stringent] than Staff's proposal. *Id*.; Tr. 1799, line 13. Staff and UIU proposals to set targets at levels clearly beyond any reasonable standard applicable to other utilities across the State would be arbitrary and without appropriate statutory or regulatory basis.

Under Staff's scheme, the Companies do not receive any reward or incentive for meeting or surpassing the customer service standards, other than retaining Staff's proposed rate of return, which if approved, as discussed *supra*, would be the lowest in the state. Staff describes the monetary consequences in the CSQP as "NRAs" rather than penalties, suggesting they provide "earnings consequences" related to the quality of service provided. Tr. 1461-1462, lines 22-24 and line 1. As noted in *City of Buffalo v. Neubeck,* "a penalty is a sum of money for which the law exacts payment by way of punishment for doing some act which is prohibited, or omitting to do some act which is required to be done."[216] Regardless of the label chosen by Staff, there is no doubt the CSQP is designed to exact payment from the Companies as punishment for omitting to do some act, *i.e.*, meeting customer service targets, that the CSQP requires be met. Characterizing these monetary penalties as "earnings consequences" or NRAs does not change the fact that if the Companies fail to meet the targets imposed by the CSQP, the Companies would be penalized by as much as $11.700 million and $9.900 million, for KEDNY and KEDLI, respectively. Exhibit 414 (SCSP-2), Page 2 of 2. In short, the one-sided nature of the CSQP NRAs makes clear that

[216] *City of Buffalo v Neubeck*, 209 AD 386, 388 (4th Dept 1924).

they are nothing more than monetary penalties, used to punish the Companies for failing to meet the arbitrary customer service targets sought by Staff under the CSQP.

Staff claims that the CSQP should be continued because it is necessary to provide assurance that the Companies will maintain satisfactory customer service throughout the Rate Year. Tr. 1465, lines 14-15. However, implementation of a CSQP as Staff recommends would impose arbitrary targets specific only to the Companies and establish a penalty scheme for not meeting said targets, regardless of whether the Company is in fact meeting the statutory standard of "safe and adequate" service.[217] Imposing such standards and targets would result in unlawful disparate treatment for KEDNY and KEDLI – and ignores whether the level of service provided by KEDNY and KEDLI is consistent with levels of service provided by other electric or gas corporations. Indeed, as discussed *supra*, Staff and Mr. Collar seek to impose standards that in some cases are either at the highest levels imposed upon any New York utility, and in one case significantly more stringent than the highest standard currently used by a New York utility. Tr. 1472, lines 12-15; Tr. 1799, line 13. Absent a compelling reason to do otherwise, the statutory standards of safe and adequate service must be the same and universally applied to all electric and gas utilities. There is no underlying statutory or regulatory basis or industry-wide standard for setting the service quality targets proposed by Staff or Mr. Collar. The process recommended by Staff to adjust existing targets has never been adopted through SAPA and does not appear anywhere in the PSL or the Commission's regulations.

The Companies acknowledge that ensuring safety and reliability in the delivery of gas and in providing customer service is a primary mandate of the Commission.[218] The Companies do not

[217] *See* PSL 65 Subd. 1.
[218] *See* National Fuel Gas, page 63.

dispute that the PSL imposes a statutory obligation on all utilities, including KEDNY and KEDLI to provide service that is "safe and adequate."[219] Staff and other parties to this proceeding make no assertion and have adduced no evidence to suggest the Companies are failing to meet this statutory requirement or are at risk of not meeting this standard during the Rate Year. Indeed, as Staff states in testimony, KEDNY and KEDLI have met or exceeded, and in some cases "significantly exceeded" existing targets. Tr. 1203, lines 11-13; Tr. 1470, line 20. Further, Staff and Mr. Collar concede that there is no current evidence to suggest the Companies will not meet their targets for service quality standards during the Rate Year. Tr. 1567, lines 2-4; Tr. 1821, lines 11-18.

Given the Companies' history of performance on the customer service quality metrics, there is no justification to impose a CSQP or penalties to provide further incentive for the Companies to provide safe and adequate service as required under the PSL.[220] No party to this proceeding has produced any evidence to suggest the Companies do not comport to this standard, and will not continue to do so during the Rate Year. KEDNY and KEDLI have consistently demonstrated good performance over multiple, consecutive years meeting all respective service quality targets since 2015, including meeting all CSQP targets established in the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.[221] Tr. 1203, lines 11-13.

Further, because the metrics are measured on a calendar year basis, and this case will not result in a Commission order until six or seven months into the calendar year, imposing metrics with new targets are particularly inappropriate. Indeed, requiring the Companies to retroactively meet new, more stringent targets without the benefit of the full year to manage resources

[219] PSL §65 Subd. 1.
[220] *See* PSL § 65 Subd. 1.
[221] 2016 KEDNY and KEDLI Rate Case Order, Joint Proposal, pages 42-46.

appropriately would be patently unfair, impracticable and unnecessarily punitive. Therefore, it is the Companies position that no metrics should be imposed. If the Commission were to hold otherwise, the Companies submit that the targets should continue as they currently are under the Joint Proposal in the 2016 KEDNY and KEDLI Rate Cases.

1. Staff And UIU's Proposals To Increase Service Quality Targets In Response To Meeting Or Exceeding Performance Levels Is Punitive And Based On Flawed Regulatory Policy

Staff's proposed targets for PSC Complaint Rate, Customer Satisfaction, Telephone Answer Rate, and Adjusted Bills, were adjusted in this case to make each of the current targets either more "stringent" or more difficult to achieve than the current target. Tr. 1467, lines 1-5. Similarly, UIU Witness Gregg Collar recommends more stringent targets for KEDNY's PSC Complaint Rate and Residential Customer Transaction Satisfaction, KEDNY and KEDLI's Adjusted Customer Bills metrics, and KEDLI's Telephone Answer Rate. Tr. 1798, lines 2-6.

As discussed by the Staff, modifications to the targets were proposed in order to maintain "satisfactory service." Tr. 1465, lines 14-15. As in past negotiated multi-year rate case settlements,[222] Staff reviewed the Companies' historic performance and adjusted the proposed targets to make them more stringent or difficult to achieve. Tr. 1467, lines 1-5; Exhibit 414 (SCSP-2), pages 1-2.

Similarly, Mr. Collar proposes to set targets at a "higher level of service," and at a level that would achieve "enhanced customer service." Tr. 1817, lines 13-14; Tr. 1798, line 1. As discussed, *supra*, the statutory standard is "safe and adequate" service, and there is no statutory or regulatory basis that justifies imposition of standards or targets for "enhanced customer service"

[222] *See e.g.* 2016 KEDNY and KEDLI Rate Case Order.

or targets that are simply "harder to achieve", upon the Companies in a litigated one-year case. Tr. 1798, lines 6-10.

In cases where the typical methodology would result in a target that is lower than the current threshold, Staff declines to adjust the target. Tr. 1468-1469, lines 23-24 and 1-6 (wherein Staff discusses the need to maintain the KEDNY's call answered target at a level more stringent than was calculated under Staff's "typical methodology"). Staff's proposal has the effect of either recommending more stringent targets, or where the data does not support more stringent targets, keeping the target at current levels, thus creating a "ratchet" where standards can only be increased and never be allowed to become less stringent. Tr. 1469, lines 1-6. However, ratcheting up performance measures solely based on past good performance is unreasonable and contrary to sound regulatory policy. Tr. 1208-09, lines 20-21 and line 1. Creating a ratchet, whereby by good performance is rewarded with steadily increasing performance targets creates a disincentive to achieve performance levels that are anything above existing targets. Tr. 1209, lines 1-4. Indeed, the application of Staff's typical methodology penalizes a utility for good or excellent performance, by imposing more stringent targets, and rewards mediocre or poor performance by freezing targets at existing levels. Further, ratcheting performance standards will eventually reach a level that cannot be reasonably achieved or sustained with current budgets – leading to a need to increase rates to achieve continuously increasing performance levels. Tr. 1209, lines 4-7. For these reasons, it is contrary to sound regulatory policy to make targets more stringent merely because a utility has consistently been meeting the existing target. *Id.*; Tr. 1209, lines 7-9.

2. The Proposed Changes To The Metrics Are Unreasonable And Should Be Rejected

a. PSC Complaint Rate

The Staff Consumer Services Panel recommends changing the minimum target for PSC Complaints per 100,000 customers from 1.1 to 1.0 for both KEDNY and KEDLI. Tr. 1472, lines 1-3. Staff typically calculates customer service quality performance ("CSQP") targets using two standard deviations removed from the utility's actual three-year historical average performance, a methodology Staff asserts is the "typical methodology" for setting new CSQP targets. Tr. 1466-1467, lines 9-14 and lines 1-2. However, with regard to PSC Complaint Rate, Staff recommends not adopting targets based on this methodology, since the resulting complaint rates of 0.67 and 0.72 complaints per 100,000 customers for KEDNY and KEDLI, respectively, would be set at a level well below any other New York utility. Tr. 1472, lines 6-14. Staff acknowledges that the most stringent target currently in use at a New York utility is 1.0 per 100,000 customers, and thus, Staff recommends that the Commission adopt a target of 1.0 for both Companies, which Staff asserts would be "fair and reasonable." Tr. 1472, lines 12-16. At the same time, Staff notes this would be "[t]the lowest target currently in effect at a New York utility." Tr. 1472, lines 12-15.

Mr. Collar takes this a step further, asserting that customer service quality targets should be "set at levels that challenge utilities to achieve enhanced customer service, rather than staying with the status quo." Tr. 1798, Vol. 4, lines 6-10. Mr. Collar suggests there is a duty of continuous improvement somehow implied in utility's public service obligations, stating "[a] target that a Company has no trouble meeting fails to adequately incent the Company to improve its performance." Tr. 1798, Vol. 4, lines 10-11. Accordingly, Mr. Collar proposes to set new targets by applying two standard deviations to the Companies' five-year average performance on the metrics. Tr. 1799, Vol. 4, lines 6-12. Using this methodology Mr. Collar calculated a revised PSC Complaint Rate for KEDNY of 0.7 complaints per 100,000 customers, which would be 30 percent lower [more stringent] than Staff's proposal. Tr. 1799, Vol. 4, lines 12-14.

In the testimony of the Companies' Shared Services Panel, the Companies initially proposed to continue the current service quality metrics and targets without modification. Tr. 1130, lines 10-12. The existing threshold targets are 1.1 complaints per 100,000 customers for both KEDNY and KEDLI. Tr. 1129, Table 9, line 1. The Companies believe that the current targets are appropriately challenging, and further, that the existing targets for PSC Complaint Rate are difficult to achieve during periods of peak demand or extreme temperatures. Tr. 1131, lines 3-6. Even though Staff and Mr. Collar recommend more stringent targets for PSC Complaint Rates, neither has adduced any evidence to suggest that it is necessary to make current performance measures stricter in order to provide customers with safe and adequate customer service.

b. Customer Satisfaction

The Staff Consumer Services Panel recommends changing the minimum target for Customer Satisfaction from greater than or equal to 84.8 percent to greater than or equal to 86.7 percent, based on using two standard deviations from the three-year historical data KEDNY. Tr. 1467-1468, lines 23-24 and lines 1-4. For KEDLI, Staff recommends changing the minimum target from greater than or equal to 83.4 percent to greater than or equal to 85.1, based on using two standard deviations from the three-year historical data. Tr. 1468, lines 4-8. Staff asserts these changes to the Customer Satisfaction targets are necessary because the current targets "leave significant room for customers to be less satisfied" and "[i]n order to remain relevant." Tr. 1468, lines 12-16.

Mr. Collar proposes to set "a more stringent target" for KEDNY Customer Satisfaction by applying two standard deviations to KEDNY's five-year average performance on the Customer Satisfaction metric. Tr. 1800, Vol. 4, lines 1-4. Using this methodology Mr. Collar calculated a revised KEDNY Customer Satisfaction threshold target of 86.4 percent and below, as shown in Mr. Collar's Exhibit 561 (GCC-2), page 2 of 2. Tr. 1800, Vol. 4, lines 1-4.

As discussed *supra*, the Companies initially proposed to continue the current service quality metrics and targets without modification. Tr. 1130, lines 10-12. The existing threshold targets for Customer Satisfaction are 84.8 percent and 83.4 percent for KEDNY and KEDLI, respectively. Tr. 1129, Table 9. The Companies believe that the current targets for Customer Satisfaction are appropriately challenging, and further, that the existing targets are difficult to achieve during periods of peak demand or extreme temperatures, and as the Companies noted in testimony, there is an ongoing joint utility collaborative to align all New York utilities on a common satisfaction survey.[223] Tr. 1131, lines 3-8. Even though Staff and Mr. Collar recommend more stringent targets for Customer Satisfaction, neither has adduced any evidence to suggest that it is necessary to make current performance measures stricter in order to provide customers with safe and adequate customer service.

c. Telephone Response Rate

The Staff Consumer Services Panel recommends changing the minimum target for KEDLI Calls Answered within 30 Seconds ("Telephone Response Rate") from greater than or equal to 62.2 percent upward to greater than or equal to 65.8 percent, based on using two standard deviations from the three-year historical data KEDLI. Tr. 1469, lines 7-10. For KEDNY, Staff acknowledges that using two standard deviations from the three-year historical average would require the existing target to be reduced from the current target for KEDNY. Tr. 1468-1469, lines 23-24 and lines 1-3. Notwithstanding, Staff asserts, without justification or explanation, that in order to "maintain the efficacy of this metric", the minimum target for KEDNY should remain at greater than or equal to 60.6 percent. Tr. 1469, lines 3-6. Staff suggests that improvements to the

[223] *See* Case 15-M-0566, In the Matter of Revisions to Customer Serv. Performance Indicators Applicable to Gas and Electric Corps., *Order Adopting Revisions to Customer Service Reporting Metrics* (issued and effective August 4, 2017); Case 15-M-0566, *Notice of Meeting on Uniform Statewide Customer Satisfaction Measures,* (issued and effective March 5, 2020).

call center operations permitting the transfer of calls or load balancing between National Grid's New York Call Centers could enhance customer service, which could "possibly affect the Companies performance on this metric." Tr. 1470, lines 4-14. Staff acknowledges that "this initiative is not yet in place" and provides no evidence to quantify the possible effect of the load balancing initiative, or to explain how it could affect performance. Tr. 1470, lines 7-8. Notwithstanding, Staff proposes to set more stringent targets for KEDLI, and for KEDNY, where Staff's "typical methodology" would result in a reduction in the target, Staff nevertheless proposes to keep the current target for KEDLI. Tr. 1468-1469, lines 23-24 and lines 1-6.

Mr. Collar proposes to set "a more stringent target" for KEDLI Telephone Response Rate by applying two standard deviations to KEDLI's five-year average performance on Telephone Response Rate. Tr. 1800, Vol. 4, lines 10-12. Using this methodology Mr. Collar calculated a revised KEDLI Telephone Response Rate threshold target of 64.4 percent and below, as shown in Mr. Collar's Exhibit 561 (GCC-2), page 2 of 2.

As discussed *supra*, the Companies initially proposed to continue the current service quality metrics and targets without modification, even though KEDNY's Telephone Response Rate would be reduced if the Staff's "typical methodology" was applied. Tr. 1130, lines 10-12. The existing threshold targets for Telephone Answer Rate are 60.6 percent and 62.2 percent for KEDNY and KEDLI, respectively. Tr. 1129, Table 9, line 1. The Companies believe that the current targets for Customer Satisfaction are appropriately challenging, and further, that the existing targets are difficult to achieve during periods of peak demand or extreme temperatures. Tr. 1131, lines 3-6. Even though Staff and Mr. Collar recommend more stringent targets for KEDLI Telephone Answer Rate, neither has adduced any evidence to suggest that it is necessary

to make current performance measures stricter in order to provide customers with safe and adequate customer service.

d. Adjusted Bills

The Staff Consumer Services Panel recommends changing the target for KEDNY Adjusted Bills from a minimum of less than or equal to SCSP 1.69 percent to less than or equal to 0.61 percent, along with adjustments intermediate and maximum targets as shown in Exhibit 414 (SCSP-2), page 2 of 2, based on two standard deviations from the three-year historical data for KEDNY. Tr. 1470, lines 21-23. Similarly, Staff recommends changing the target for Adjusted Bills for KEDLI from 1.69 percent to less than or equal to 0.40 percent, along with adjustments to intermediate and maximum targets as shown in Exhibit 414 (SCSP-2), page 2 of 2. Tr. 1471, lines 1-4. Staff asserts these changes to the Adjusted Bills targets are necessary in order to maintain the efficacy of the measure and to reflect the current operating environment." Tr. 1471, lines 16-19. Mr. Collar proposes to set more stringent targets for KEDNY and KEDLI Adjusted Bills targets. Mr. Collar calculates the standard deviation for KEDNY and KEDLI Adjusted Bills but does not propose to use two standard deviations from the five-year average to calculate adjusted targets for KEDNY and KEDLI. Tr. 1801, Vol. 4, lines 6-8. Mr. Collar proposes to change the current service level target from 1.69 percent to 0.62 percent for KEDNY, and from 1.69 percent to 1.50 percent for KEDLI, as shown in Mr. Collar's Exhibit 561 (GCC-2), page 2 of 2. Though Mr. Collar provides no explanation for the disparity in proposed changes for KEDNY versus KEDLI, he does note that one standard deviation for KEDNY is 0.01 percent and is 0.46 percent for KEDLI. Tr. 1801, Vol. 4, lines 6-8. The standard deviations suggest greater variability in percentage of Adjusted Bills for KEDLI versus KEDNY. It also illustrates how arbitrary adjustments proposed by Staff and Mr. Collar can be, given Staff and Mr. Collar could not agree on the number of years of data to use (*i.e.,* Staff proposes three, while Mr. Collar proposes five), or whether to apply one

or two standard deviations or an arbitrary adjustment from the average in calculating the proposed changes to Adjusted Bills targets.

As discussed *supra*, the Companies initially proposed to continue the current service quality metrics and targets without modification. Tr. 1130, lines 10-12. The existing threshold targets for Customer Satisfaction are 1.69 percent for both KEDNY and KEDLI, respectively. Tr. 1129, Table 9, line 1. The Companies believe that the current targets for Adjusted Bills are appropriately challenging, and further, that the existing targets are difficult to achieve during periods of peak demand. Tr. 1131, lines 3-6. Similarly, implementation of a new customer information system, logically, could impact performance on Adjusted Bills. Even though Staff and Mr. Collar recommend more stringent targets for percentage of Adjusted Bills, neither has adduced any evidence to suggest that it is necessary to make current performance measures stricter in order to provide customers with safe and adequate customer service.

B. Terminations/Uncollectible Incentive Mechanism

1. The Metrics and Targets Proposed by Staff, PULP, and UIU Should be Rejected as they Rely on Erroneous Assumptions or are Otherwise Inappropriate

The Companies propose to continue the positive-only residential terminations and uncollectible performance measures established in their currently effective rate plans in the Rate Year. Tr. 1112, lines 16-21. The Companies propose to use the same methodology established in the previous case, with a modified approach for KEDLI. Tr. 1114, lines 15-18. KEDNY proposes to use a five-year normalized average using seven years of data omitting the high and low outliers and set a threshold reduction of one standard deviation from the average. Tr. 1114-15. KEDLI proposes to use the four years of data after the LIPA separation to develop its average, and establish a threshold reduction of one standard deviation from the average. Tr. 1114, lines 18-20; Tr. 1116, lines 1-3. The Companies provided exhibits outlining the proposed average and threshold

termination and uncollectible targets for KEDNY and KEDLI. *See* Tr. 1115, lines 6-14; Exhibit 192, Schedule 4; Exhibit 193, Schedule 4.

Staff supports the Companies' proposal to continue the positive-only incentives, but argues that the three-year historical average from calendar years 2016-2018 without removing any outliers should be used to develop the targets. Tr. 1479, lines 10-16; Tr. 1480, lines 7-10. Staff asserts that use of the same time period for all metrics would yield a target "more relevant to Companies current operating environment[,]" standardize how the Companies' historical performance in this area is viewed, and establish targets based on years the current performance measures were in place. Tr. 1479, lines 10-20. The overall effect of Staff's adjustment to the average period used to calculate these performance measures is a reduction of the thresholds and targets for residential termination and uncollectible expense for both KEDNY and KEDLI. Tr. 1480, lines 7-23; Tr. 1177, lines 3-12. Staff also proposes to add an additional metric to measure the amount of residential arrears to "balance [collection] measures more effectively for the benefit of utilities and customers." Tr. 1482, lines 7-12; Tr. 1485, lines 1-8. Under Staff's proposal, the Companies would only achieve the maximum positive revenue adjustment for these performance measures if threshold targets are achieved in all three metrics. Tr. 1485-86. Staff did not propose any changes to the positive revenue adjustment amounts tied to these performance measures. Tr. 1486-87.

The Companies do not believe that the three-year period proposed by Staff provides a representative data sample of the Companies' uncollectible expense. Uncollectible expense is largely driven by external factors – weather volatility, commodity pricing volatility, and changes in market and general economic conditions – which express over cycles longer than three years. Tr. 1178, lines 2-5. A smaller data sample, like the three years proposed by Staff, is less likely to consider and normalize these factors, whereas a larger sample size, like the timeframes proposed

by the Companies, typically flattens the impacts of these external variables. *Id.*, lines 5-10. Further, the timeframes proposed by the Companies already encompass the years in which the current metrics were effective, thereby mitigating Staff's concerns that the data include, and the prospective targets be based on, the Companies' historical performance in this area. The Companies therefore believe that the Commission should use the normalized period proposed in their testimony as the basis for the residential termination and uncollectible averages and thresholds.

Additionally, the Companies do not agree with Staff's proposal to include residential arrears as part of the Companies' terminations and uncollectible expense performance measures. As with uncollectible expense and terminations, the amount of residential arrears is heavily dependent on external factors beyond the Companies' control, most notably customer behavior. Staff's proposal completely disregards these external factors, which significantly impact the Companies' levels of residential arrears, and assumes that the Companies will be able to manage its performance under these metrics independent of these exogenous factors, which is entirely unrealistic and unsupported by the Companies' historical experience in this area. Tr. 1179-80. Further, even if Staff's methodology appropriately accounted for applicable external factors, addition of this metric to the residential terminations and uncollectible expense performance measures fails to account for the fact that terminations are inversely correlated to arrears. Indeed, as terminations decrease, the amount of residential arrears would likely increase assuming the same external factors remain constant. Staff has not provided any documentation indicating that the external factors affecting the Companies will change in the Rate Year and it is impractical to impose an additional metric to these performance measures that directly conflicts with the existing metrics. Finally, Staff's proposal infers that the 60-day arrears provided in the Companies'

monthly Collection Activity Reports ("CARs") could be used to measure the residential arrears metric. Tr. 1483, lines 2-5. However, 60-day arrears do not provide an accurate indication of the Companies' collections performance, and, if Staff's proposal is ultimately adopted, arrears must be viewed as a ratio or percentage of the Companies' total accounts receivable to accurately measure performance and levelize the impact of uncontrollable external factors. Tr. 1180-82.

Staff's proposal also inexplicably places more weight on the terminations metric than the existing uncollectible expense metric and the proposed residential arrears metrics. Under Staff's proposed performance measures, the Companies can only earn a full incentive if all three measures are at or below threshold targets and can only earn a partial incentive if the terminations measure is at or below threshold and the other two measures are at or below the average. Exhibit 415, page 2 of 2. The Companies are therefore precluded from earning a full or partial incentive unless terminations are at or below the threshold. Overweight of the terminations metric, which is inversely related to residential arrears, contradicts Staff's stated intention to balance collection measures and completely disregards the fact that the Companies' abilities to reduce arrears and uncollectible expense are effectively limited and increased service terminations are the only practical means to simultaneously reduce uncollectible expense and arrears. Tr. 1183-84. The Commission should therefore reject Staff's proposed inclusion of a residential arrears metric in these performance measures as such inclusion would create a set of performance measure targets that, despite the Companies' best efforts, could not be achieved simultaneously.

PULP and UIU also submitted testimony regarding the Companies' residential terminations and uncollectible expense performance measures. Similar to Staff, PULP proposes to add a metric measuring residential arrears. Tr. 1620, lines 22-28; Tr. 1641-42. PULP also proposes to calculate the targets using seven years of normalized data with two standard deviations

from the average and impose a negative revenue adjustment for terminations and uncollectible expense. *Id.* UIU additionally proposes to calculate the residential termination and uncollectible targets using two standard deviations from the average to establish a "true stretch goal." Tr. 1804, lines 18-19.

As discussed above in connection with Staff's proposal, the Companies believe that the Commission should reject any proposed inclusion of a residential arrears metric. With respect to the proposed negative revenue adjustment, the Commission has approved positive-only revenue adjustments for performance measures related to residential terminations and uncollectible expense for other utilities in the State.[224] Tr. 1189-90. The Companies do not believe that PULP has identified any basis within the Companies' proposals and customer base that would justify treating KEDNY and KEDLI in a different manner than other utilities and therefore the Commission should reject the proposal to adopt a negative revenue adjustment for these performance measures. Finally, the Companies believe that the targets proposed in their filings present aggressive, yet appropriate stretch goals to incent the Companies to limit terminations and

[224] *See* Case 17-E-0459 and 17-G-0460, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Central Hudson Gas & Electric Corporation for Electric and Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan* (issued and effective June 14, 2018), at 56; Case 16-E-0060, 16-G-0061, et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service, *Order Approving Electric and Gas Rate Plans* (issued and effective January 25, 2017), at 87; Case 15-E-0283, 15-E-0284, et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corp. for Electric and Gas Service, *Order Approving Electric and Gas Rate Plans in Accord with the Joint Proposal* (issued and effective June 15, 2016), at 19, 57; Case 14-E-0493 and 14-G-0494, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric and Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Electric Rate Plan* (issued and effective October 16, 2015), Appendix 17, Page 1; Case 16-G-0058 and 16-G-0059, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid and The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans* (issued and effective December 16, 2016), at 103-04; and Case 16-G-0369, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Corning Natural Gas Corporation for Gas Service, *Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plan* (issued and effective June 15, 2017), at 34-35.

manage uncollectible expense. As with any incentive, the targets established should be stretching, but reasonable and potentially achievable. PULP and UIU propose to set targets using two standard deviations from the historical average. This is far more than a "stretch" goal and would establish targets that fail to account for external factors beyond the Companies' control that directly affect these metrics. The targets proposed by PULP and UIU are not reasonably achievable or capable of being managed within the Companies' credit and collection processes and should not be adopted. Further, unlike Staff, KEDLI, and UIU, PULP proposes to include seven years of normalized data to calculate KEDLI's terminations target. Tr. 1641-42. KEDLI used four years of normalized data were to ensure that the measure was representative of KEDLI's current operations after its separation from LIPA, which had a pronounced effect on KEDLI's termination rates and removed KEDLI's ability to use electric terminations to require customer payment of gas bills. Tr. 1186-87. PULP's proposal to use seven years of data for KEDLI would not compare the appropriate set of data points to develop the terminations threshold and would result in a metric that is not representative of the KEDLI's operating structure in the Rate Year.

Therefore, the Companies believe the methodologies and proposals advanced by Staff, PULP, and UIU to modify the Companies' residential terminations and uncollectible expense performance measures should be rejected.

C. Credit/Debit Card Payments and Fees

The Companies proposed to include in base rates the estimated cost to recover fees incurred by KEDNY and KEDLI when residential customers make Credit Card and Debit Card ("CC/DC") payments. Tr. 1140, lines 6-9. This is referred to as a "no-fee model." *Id.* The Companies proposed no-fee model would eliminate the per-transaction cost to customers paying by CC/DC by shifting that cost into base rates. *Id.* Using existing per transaction costs for CC/DC payments,

the annual costs associated with the new program would be $0.625 million and $1.964 million for KEDNY and KEDLI, respectively. Tr. 1142, lines 1-6.

Considering the uncertainty associated with the transaction fees and potential increase in customers making CC/DC payments in response to the no-fee model, the Companies also proposed a two-way deferral mechanism be put in place for the no-fee model. Tr. 1142-1143, lines 20-21 and lines 1-2. If the costs to provide the no-fee model exceed the rate allowance, the Companies would defer the shortfall for future recovery from customers, or alternatively, if the costs are less than the rate allowance, the Companies would defer the excess for the benefit of customers. Tr. 1143, lines 2-6.

Staff recommends that the Commission allow the Companies to accept credit/debit cards from customers for bill payment, "under the condition that the per-transaction fee does not exceed the current amount of $2.25 as described in the Companies' response to IR DPS-368." Tr. 1494, lines 3-8. Staff also recommends that the Commission impose a downward-only reconciliation. Tr. 1494, lines 8-10. Under these conditions, with a downward-only reconciliation mechanism and an artificial cap on transaction fees, the Companies will not move forward with a proposal to implement the no-fee model to socialize credit card fees. Tr. 1218, lines 9-11.

Staff's testimony raises a question about Staff's interpretation of the scope of the Company's proposal. Staff's proposal could be read to suggest that all customers (*i.e.*, residential and commercial customers) could use credit/debit cards. Tr. 1494, lines 4-5. The Companies' proposal, however, was limited to "residential customers." Tr. 1140, lines 6-8; Tr. 1215, lines 8-9. In developing the Companies' proposal for the no-fee model for CC/DC, the Companies focused exclusively on residential CC/DC usage and fees. Tr. 1216, lines 8-9. As such, any

consideration of a no-fee model for CC/DC usage should be expressly limited to residential customers.

The SCSP's recommendation that the per transaction fee not exceed $2.25, does not reflect key details from the Companies' proposal. Tr. 1216, lines 9-12. The Companies forecast the cost for the no-fee model based on the two-tiered payment structure and a *de facto* limit on the total amount that can be charged in a single credit card transaction. Tr. 1139, lines 17-20; Tr. 1142, line 1. As acknowledged by Staff in testimony, the rates charged by the Companies' vendor are $2.25 for transactions from $0 to $600 and $4.50 for transactions between $600 and $1,200. Tr. 1578, lines 5-11. Staff specifically agreed that the $2.25 fee they proposed for a cap, would apply only to a subset of the existing transactions, those between $0 and $600. Tr. 1578, lines 18-21. However, when asked if Staff thought the Companies should limit credit card transactions to just those between $0 and $600, Staff responded, "no." Tr. 1578, lines 22-25. When asked if Staff agreed that it would make sense to cap the fee for transactions between $600 and $1,200 at $4.50, which Staff previously acknowledged was the rate for such transactions, Staff stated that they were "hoping the cost would be lowered." Tr. 1578-1579, lines 5-11 and lines 2-8.

Staff also acknowledged they were "concerned that the transaction fees, once socialized in base rates, will heavily increase, as is the case at other New York utilities." Tr. 1494, lines 19-22. Staff specifically acknowledged they were "unsure of how many customers will actually choose to pay with their credit card after this is instituted." Tr. 1580, lines 23-25; Tr. 1582, line 2. Even though the Companies committed to work with vendors to leverage increases in transaction volumes to achieve lower transaction fees, there is no guarantee this will occur, and indeed, as noted by the Shared Services Panel, "at this point in time, it's possible that [the fees] may be increasing." Tr. 1218, lines 3-5; Tr. 1228, lines 19-20.

Given the possibility, and indeed, likelihood that the number of transactions will "heavily increase", the fact that the $2.25 transaction fee cap proposed by Staff is already lower than the fees currently being incurred by KEDNY and KEDLI, and could be significantly lower than the newly negotiated fees, Staff's proposal could result in significant under-recovery of costs if the Companies were to implement the no-fee model with Staff's recommendations.

Staff acknowledges that customers are increasingly using CC/DC to make purchases and that the current transaction vendor fee is inconvenient and for most businesses, already included as a cost of doing business. Tr. 1494, lines 14-18. While the Companies agree that customers desire and have come to expect that they can pay for service with CC/DC payments under a no-fee model, Staff provides no meaningful justification for why the Company should bear the substantial risk of imposing a no-fee model, in the absence of an appropriate two-way reconciliation mechanism. For these reasons, Staff's proposal for a no-fee model with an unrealistic $2.25 per transaction fee cap, and a downward-only reconciliation mechanism that imparts all of the risk on the Companies should be rejected.

D. Collections

1. Customer Communications In Bill Inserts Regarding HRA/DSS Status Changes And Other Explanations

Mr. Yates suggests that the Companies should provide public assistance customers "complete detailed reconciliations of all transactions between HRA/DSS and KEDNY/KEDLI pertaining to their One-Shot grants, [utility guarantee]/[direct voucher] assistance and HEAP grants, and 'abeyances.'" Tr. 1678, lines 18-20. However, tracking, accounting, and reporting on the benefits associated with such programs should be the responsibility of the agency providing the benefits (*e.g.,* NYC's Human Resources Administration "HRA"), not the Companies. Tr. 1195, lines 10-13. As such, Mr. Yates' proposals to have the Companies provide detailed

reconciliations of transactions relating to the customer's benefits and interactions with HRA/DSS should be rejected.

2. Automatic Suspension Of Collection/Extension Of Time To Pay For Customers On Public Assistance

Mr. Yates' proposes to automatically grant 30-day extensions and suspension of all collections for customers no longer on utility guarantee/direct voucher programs or 90-day extensions to customers with reconciling transactions involving HRA and/or the Department of Social Services ("DSS"). Tr. 1679, lines 7-11. However, Mr. Yates' proposal to suspend all collections actions against such customers is not required by the Home Energy Fair Practices Act ("HEFPA") or the regulations promulgated thereunder.[225] Mr. Yates' seems to focus on situations where customers are no longer on a utility guarantee/direct voucher program, and thus, the protections associated with these programs would, by Mr. Yates' admission, no longer apply. In these circumstances, it is incumbent upon the customer to address continued eligibility with the respective agency providing the service, or apply for additional protection, which could be used to continue protections as appropriate. However, the Companies are aware of no mandate in HEFPA or elsewhere or the Commission's regulations that requires the Companies to suspend collections in anticipation of the possibility that a customer may, at some point in the future qualify for public assistance, or simply because the customer formerly was on direct voucher or a utility guarantee. To the extent customers face administrative issues as Mr. Yates suggests, such as whether or not an agency has paid a bill, provided notice to the customer, or whether a customer continues to be eligible for direct voucher benefits, these are matters for discussion between the customer and the agency providing the benefits. Tr. 1196, lines 16-20. There is no requirement under HEFPA for

[225] Energy Consumer Protection Act of 2002, 2002 Sess. Law News of N.Y. Ch. 686 (2002); *See e.g.,* 16 N.Y.C.R.R. §§ 11, 12.

such suspensions, and the mere possibility of such discussions and related notifications to Companies regarding such interactions does not merit automatic suspensions of up to 90 days as suggested by Mr. Yates. Tr. 1196-1197, lines 20-21 and lines 1-2. Granting Mr. Yates' request could create additional confusion among customers regarding when payments are due, result in delayed or missed payments to utilities and could drive up customer arrears, without any specific benefit for affected customers. Tr. 1197, lines 2-5. The Companies already work closely with customers to reach terms for an affordable DPA in accordance with HEFPA. Tr. 1197, Lines 5-10. Mr. Yates does not even attempt to quantify the cost of granting these automatic extensions, but there is no denying that the cost to suspend collections for thousands of customers would be substantial and would increase the cost for non-participating customers. There is no requirement or justification to grant additional automatic suspensions for such customers, and Mr. Yates' proposals in this regard should be dismissed outright by the Commission. *Id.*

3. Deferred Payment Agreements: Implementation Of Electronic DPAs And Reporting Requirement; KEDNY Requirement For Customer Physical Appearance At Customer Service Center To Demonstrate Need For More Affordable DPA terms; requirement To Provide Customers With Six-Year Billing History Within 30 days Of Request

a. Implementation Of Electronic DPAs And Reporting Requirements

The Companies proposed to enhance the DPA process for residential customers by permitting customers to enter a DPA via electronic means ("E-DPA"), while continuing to offer the conventional methods for entering DPAs already in place. Tr. 1133-1134, lines 18-21 and line 1. Implementation of electronic DPAs for KEDNY and KEDLI would require an estimated $0.100 million of incremental annual operating expense. Tr. 1139, lines 4-6. Customers would be allowed to place a call to the Companies, negotiate the terms of a DPA over the phone with a representative, and subsequently have an electronic document prepared for the customer's review and electronic signature. Tr. 1134, lines 1-4. The use of an electronic DPA process is intended to improve the

overall customer experience by expediting the transaction, increasing efficiencies, and providing real-time visibility into DPA transactions. Tr. 1134, lines 10-13. Further, providing applicants and customers with the option of electronically signing DPAs would also help to maintain continuous utility service and avoid disconnections or potential delays in restoring service in keeping with the state's policy of promoting continued delivery of utility service to residential customers without unreasonable qualifications or lengthy delays.[226] Tr. 1134, lines 13-18.

Staff supports the Companies' proposal to implement electronic DPAs, noting that "it is a more convenient option for customer are applying for and implementing a DPA. Tr. 1490, lines 16-18. However, in connection with the implementation of electronic DPAs, Staff recommends detailed reporting requirements be imposed upon the Companies. Tr. 1490-1491, lines 21-24 and lines 1-21. The Companies agree with the recommendation to provide detailed reporting for electronic DPAs, subject to certain practical limits on the data reported. Tr. 1220, lines 8-11. The additional administrative burden of Staff's proposed detailed reporting could be managed by limiting data points reported to those contained within the standard collection activity reports ("CARs"). *Id.* To the extent Staff's recommendations include reporting of data that are already in Staff's possession, the recommendations are redundant, administratively inefficient and should be rejected. Tr. 1220, lines 11-16. For example, Staff seeks summaries of customer inquiries and/or complaints received regarding electronic DPAs. Tr. 1491, lines 18-21. However, Staff already possesses detail on customer inquiries and complaints against the Companies within the Department of Public Service quick response and complaint tracking systems. Tr. 1220, lines 14-17. Although the Companies agree to provide detailed reporting on electronic DPAs, these reports

[226] *See* PSL § 30, which states, "[i]t is hereby declared to be the policy of this state that the continued provision of all or any part of such gas, electric and steam service to all residential customers without unreasonable qualifications or lengthy delays is necessary for the preservation of the health and general welfare and is in the public interest."

should not be required to include additional data on inquiries and complaints that are not readily available within the existing CARs reports.

b. KEDNY Requirement For Customer Physical Appearance At Customer Service Center To Demonstrate Need For More Affordable DPA Terms

Allegations by Mr. Yates that the Companies' collection procedures do not ensure customers having difficulty paying their bills are offered DPAs meeting the statutory requirements of HEFPA are incorrect. Tr. 1652, lines 25-27. The Companies' practices regarding DPAs are fully compliant with the PSL and HEFPA. Tr. 1190-1191, lines 9-10 and lines 10-12. The Companies offer several forms of payment arrangements, including short term collection arrangements, offers of a standard payment agreement, and ultimately, the offer of a written minimum DPA to eligible customers. Tr. 1190, lines 11-16. HEFPA requires utilities "to make reasonable efforts to contact eligible customers" for the purpose of: (i) offering a deferred payment agreement; and (ii) negotiating terms tailored to the customer's financial circumstances.[227] Collectively, the Companies' outbound calling campaigns, bill notices, and final termination notices, coupled with offers of payment arrangements and written DPAs, comply with the Companies' obligation under HEFPA. Tr. 1191, lines 1-4.

Mr. Yates also alleges that KEDNY's offer of a standard payment agreement automatically upon issuance of the final termination notice to an eligible customer in arrears is unreasonable and does not comply with HEFPA. Tr. 1657, lines 14-19. Mr. Yates' assertion is incorrect. KEDNY's practice of mailing a written standard payment agreement to every eligible customer along with the first disconnect notice is compliant with HEFPA. Tr. 1191-1192, lines 10-18 and line 1. HEFPA requires KEDNY to offer *either* a negotiated DPA tailored to the customer's financial

[227] HEFPA § 11.10(a)(1).

circumstances, *or* a payment agreement with a "down payment up to 15 percent of the amount covered by the payment agreement or the cost of one half of one month's average usage, whichever is greater; unless such amount is less than the cost of one half of one month's average usage, in which case the down payment may be up to 50 percent of such amount." [228] In accordance with this requirement, KEDNY's customer service system automatically calculates the terms of the mailed standard agreement using the method prescribed in HEFPA and sends eligible customers a HEFPA-compliant written DPA. Tr. 1192, lines 1-4.

Mr. Yates suggests KEDNY's collection procedures do not ensure customers are offered affordable DPAs meeting the statutory requirements of HEFPA. Tr. 1657, lines 25-26. As discussed *supra*, KEDNY's practices comply with the requirements of HEFPA. Mr. Yates' assertion that KEDNY's requirements for customers to complete DPAs unnecessarily impede access to affordable DPAs are unfounded. KEDNY customers can submit a standard DPA via mail, or they can utilize any of the Company's multiple walk-in customer offices to provide the necessary documentation to support their need for more affordable DPA terms or to renegotiate the terms of existing DPAs. Tr. 1192, lines 12-16. Further, if a customer is unable to come to a customer office, the Company's Shared Services Panel testified that "we will work with them through a manual process" and that "we could have them fax or mail in documents" or "[w]e could have them referred to one of consumer advocates." Tr. 1242-1243, lines 22-25 and lines 2-3. As Mr. Yates expressly acknowledges, "HEFPA does not mandate a particular manner in which

[228] *See* HEFPA § 11.10 (c) (2) stating, "[a] payment agreement shall either contain: (i) the specific terms for payment of the amount covered by the agreement mutually agreed upon by the utility and the customer or applicant after negotiation pursuant to paragraph (a)(1) of this section; or (ii) a down payment up to 15 percent of the amount covered by the payment agreement or the cost of one half of one month's average usage, whichever is greater; unless such amount is less than the cost of one half of one month's average usage, in which case the down payment may be up to 50 percent of such amount; and monthly installments up to the cost of one half of one month's average usage or one tenth of the balance, whichever is greater."

evidence of a customer's individual circumstances shall be accepted." Tr. 1667, lines 7-8. KEDNY's existing process has been in effect since the advent of HEFPA and could not be changed without extensive changes to KEDNY's billing systems and processes. Tr. 1193, lines 3-5. Such changes are not warranted, particularly with the implementation of electronic DPAs, which if approved by the Commission, will make available electronic DPAs to KEDNY customers as an additional means to enter into a DPA suited to the customer's needs. Tr. 1193, lines 5-8.

Mr. Yates also recommends that KEDNY abandon its existing process for handling financial statement forms and negotiating DPAs. Tr. 1672, lines 7-9. This would be inappropriate and would only reduce the currently available avenues for customers to complete financial statements and negotiate DPAs. KEDNY's current processes comply with HEFPA requirements, and no modifications to the current process are required. Tr. 1193, lines 13-14. Notwithstanding, as discussed *supra,* the Companies are planning to implement electronic DPAs, which will provide an additional avenue for customers to work with the Companies to enter DPA terms suitable to individual customer needs. Tr. 1193, lines 14-17.

c. Requirement To Provide Customers With Six-Year Billing History Within 30 days Of Request

Mr. Yates suggests that at least six years of detailed billing data should be made available to residential customers "as soon as they enroll in e-Billing." Tr. 1678, lines 1-3. Further, Mr. Yates asserts that customers who receive a utility guarantee/direct voucher and have "abeyance" amounts that date back more than six years, also receive online data extending back at least three months prior to the start of the abeyance or beginning of the direct voucher benefit. Tr. 1678, lines 4-8. To implement Mr. Yates' proposals, the Companies would have to modify the legacy billing systems, data storage systems, and operating procedures in multiple ways, including increasing the amount of customer data stored and available in the current billing systems. Tr. 1194, lines 15-

19. Even if it were feasible to expand the legacy billing system storage capacities as Mr. Yates suggests, the costs would prohibitive, and there is no evidence such capabilities would provide a meaningful benefit to customers or the customer experience. Tr. 1194-1195, lines 19-20 and lines 1-2.

E. Customer Service Enhancements: Creation of Customer Portal

Mr. Yates suggests the development of an application that tracks the public assistance status of customers and reports such status to customers in "real-time" through the "e-Billing portal." Tr. 1678, lines 10-14. The Companies, however, do not have an e-Billing portal like that proposed by Mr. Yates. Tr. 1194, lines 14-15. As such, Mr. Yates' proposals associated with a customer portal should be rejected.

F. Outreach and Education; Reporting

In response to the Companies' proposal to flatten the rate blocks for firm customers, Staff recommends the Companies conduct additional outreach and education to ensure customers are aware that higher gas usage may increase their monthly bill. Tr. 1495-1496, lines 23-24 and lines 1-5. Staff asserts this outreach should be in the form of bill inserts, website updates, and customer emails and/or letters/postcards. Tr. 1496, 5-8. However, conducting additional outreach and education campaigns such as letter campaigns and bill inserts can require additional postage and printing costs not contemplated in the Companies' original outreach and education plans. Tr. 1219, Lines 7-10. It is not clear why additional outreach and education is required to inform customers that an "increase in gas usage may increase their monthly bill" since customers have historically paid for gas based on the volume used, and thus it should be intuitive to such customers that increasing usage will increase their monthly bill. When questioned about whether the Companies would incur costs for incremental outreach, Staff suggested they had proposed "low cost options

such as the website updates or customer emails, to limit cost issues." Tr. 1584, lines 4-6. However, this contradicts Staff's earlier direct testimony, wherein Staff recommended additional outreach "in the form of bill inserts, website updates, and customer emails and/or letters/postcards" Tr. 1496, lines 5-8. The cost to send customers millions of additional bill inserts, letters and postcards would cause the Companies to incur substantial incremental printing and postage costs. Tr. 1219, lines 7-9. Given the intuitive nature of the message and the potentially substantial incremental costs, Staff's unfunded proposal for incremental outreach should be rejected.

G. Economic Development Programs

1. Staff And The Companies Generally Agree On The Companies' Proposed Economic Development Grant Programs

KEDLI generally agrees with Staff's recommendation to expand eligibility of the Company's existing Business Incentive Rate ("BIR") and proposed Area Development Rate economic development grant programs to include non-firm, non-residential customer service classes. Tr. 176, lines 15-20. However, the expansion of these programs would impose incremental costs on the Company; and, therefore, the Company's support for the expansion of the rates is subject to its ability to recover the incremental costs of such expansion, including if necessary through the proposed discount program deferral mechanism. Tr. 176-77, lines 21 and 1-4. Absent such corresponding cost recovery, requiring an expansion of the BIR or of the proposed Area Development Rate would be unreasonable.

The Companies also agree with Staff that increasing non-firm customer participation in the economic development grant programs portfolio is reasonable, and generally agree with Staff's proposal to modify existing programs aimed at new or upgrading customers to become or convert to being non-firm customers. Tr. 1504, lines 15-21; Tr. 178, lines 2-21. As with expanding the KEDLI BIR and proposed Area Development Rate, modifying the Companies' other economic

development grant programs as Staff proposes would increase the level of customer participation and grant expenditures. Therefore, the Companies' willingness to agree with Staff's proposal is subject to the availability of funding. Although Staff recommends no additional funding be allowed for such program changes (Tr. 1505, lines 1-5), the deferral mechanism and two-way reconciliation proposed by the Companies is an appropriate means to assure funding and cost-recovery, align the interests of customers and the Companies in promoting connection of and conversion to non-firm service, and protect customers from paying more than what the programs cost.

Regarding Staff's position on the use of economic development carryover balances to make up the difference between each Company's proposed $0.500 million Rate Year rate allowance and the respective annual economic development program budget, Staff confirmed that there is no disagreement between the Companies and Staff on this matter. Exhibit 633.

Finally, regarding reporting on economic development grant program activity, the Companies accept the reporting requirements proposed by Staff, subject to the time for filing the report being 60 days following the end of the year. Tr. 180-81; lines 16-20 and 1-5.

XII. LOW INCOME PROGRAM

A. Calculating Discounts And Eligibility

The New York City Low Income Panel ("NYCLIP") made a number of recommendations regarding the tiered bill discount amounts and file matching programs under the Companies' current Energy Affordability Programs ("EAP"), along with a number of suggested modifications to the Commission's policies on low income programs. Tr. 5343-5368.

NYCLIP reads the Companies' testimony as proposing to "maintain the same bill discounts that are in effect as of January 1, 2019." Tr. 5357, lines 6-8. This statement is incorrect. Tr. 1210,

line 17. Based on this misinterpretation, NYCLIP asserts customers would receive "proportionally lower discounts then they receive now." Tr. 5357, lines 11-14. The Companies do not propose to maintain the discounts constant in future years. Tr. 1210, lines 17-19. As noted in the direct testimony of the Shared Services Panel, the amounts provided reflect "current" benefit amounts for each tier. Tr. 1210, lines 19-20. The current benefit amounts were used for purposes of forecasting only, not to establish actual tier discounts for future years. Tr. 1210-1211, lines 19-21 and line 1. Pursuant to the Commission's Low Income Order, and subsequent Implementation Order, the Companies perform annual updates to the tiered discount amounts and make necessary adjustments, on an annual basis, to set discounts at levels intended to keep the energy burden at or below six percent. [229,230]

NYCLIP proposes to modify how median incomes are determined for NYC customers. Tr. 5361, lines 1-4. Under NYCLIP's proposal a different median income would be used for NYC residents than elsewhere in the State. *Id.* This would deviate from methodology adopted by the Commission in the Low Income Order, which NYCLIP alleges "makes the situation worse for New York City Families." Tr. 5360, lines 6-8. However, NYCLIP's approach is contrary to the Commission's objectives to standardize low income programs and establish discounts and budgets on a statewide basis.[231]

Nevertheless, based on NYCLIP's proposed changes to median income and proposed adjustments to the Companies' average bills, NYCLIP presents a new set of proposed tier discount

[229] Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Programs, *Order Adopting Low Income Program Modifications and Directing Utility Filings* (issued and effective May 20, 2016) (the "Low Income Order"), pages 17-19.
[230] Case 14-M-0565, *Order Approving Implementation Plans with Modifications* (issued and effective February 17, 2016)(the "Implementation Order"), which directs that "[a]ll utilities shall perform such annual adjustments, and make an annual filing with updated calculations of average bill amounts, discount levels, projected budgets and budget limits," page 32.
[231] Low Income Order, page 1.

levels for the Companies low income customers. Tr. 5361, lines 1-4, 13-18; Tr. 5362, lines 3-7. NYCLIP's proposed discounts, however, are not consistent with the methodology adopted by the Commission in the Low Income Order and, by NYCLIP's own admission, would result in KEDNY's EAP cost exceeding two percent of operating revenues, which is the budget cap established by the Commission for such programs in the Low Income Order. Tr. 1212, lines 7-12; Tr. 5363, lines 16-18.

As an alternative, NYCLIP proposes "discounts for heating customers should be increased by $20 for all tiers." Tr. 5365, lines 8-10. NYCLIP's proposal would add an arbitrary $20 to all discount amounts for heating customers, should the Commission decline to adopt their proposal for increased discounts (*i.e.,* based on NYCLIP's modified median income and average bill amounts). *Id.* NYCLIP does not provide any substantive basis for choosing $20, only that it would "significantly improve energy burden cost." Tr. 5365, lines 18-19. As with NYCLIP's proposals to modify the methodology for determining median income and average bill amounts, NYCLIP's $20 proposal would be contrary to the standardized process for calculating discounts adopted by the Commission in the Low Income Order and should be dismissed by the Commission.[232]

The Companies acknowledge that the Commission's affordability policy articulated in Low Income Order provides for future refinement to certain program areas; however, Case 14-M-0565 is a generic case for all major electric and gas utilities. Tr. 1213, lines 8-11. In the Low Income Order, the Commission states that standardizing the programs "will lead to adoption of a consistent, more uniform approach to the design and implementation of these programs."[233] This

[232] Low Income Order, page 4.
[233] *Id.*

is further reinforced in the Commission's Rehearing Order,[234] wherein the Commission asserts it seeks to standardize the programs, streamline the regulatory process and ensure consistency with the Commission's statutory and policy objectives.[235] NYCLIP's approach would deviate from the Commissions' stated objectives of seeking standardization, consistency and uniformity among programs statewide.[236] The Commission also directed in the Rehearing Order that potential areas for re-examination and refinements will be examined and addressed on a generic basis by the Inter-Agency Task Force established pursuant to the Low Income Order, which was established to "achieve greater program coordination, share information, eliminate duplicative efforts, lower costs and increase effectiveness, and advise in the development of low income energy-related policies and programs."[237] For these reasons, the Commission should reject NYCLIP's low income proposals and continue its policy of a generic, statewide approach, which includes opportunities for refinements where applicable and in keeping with the ongoing affordability proceedings in Case 14-M-0465.

B. Budget And Low Income Program Offerings

For calendar year 2018, the first year of implementing the EAP, KEDNY's program had an average of 145,916 participants and an annual rate allowance of $31.9 million. Tr. 1147, 6-8. During that year, KEDNY's expenditures were approximately $11.3 million less than the rate allowance, primarily due to a shortfall in the number of participants. Tr. 1147, lines 8-10. KEDLI's program had an average of 12,387 participants and an annual rate allowance of $6.652

[234] Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Programs, *Order Granting in Part and Denying in Part Requests for Reconsideration and Petitions for Rehearing* (issued and effective February 17, 2017) (the "Rehearing Order").
[235] Rehearing Order, page 16.
[236] Low Income Order, page 4.
[237] Low Income Order, page 3.

million. Tr. 1147, lines 10-12. Even though participation levels remain low for KEDLI, because of increases in the discount amounts, KEDLI's program costs exceeded the program allowance by approximately $1.021 million. Tr. 1147, lines 12-14. The low income discount amounts for KEDNY and KEDLI for 2019 for each tier were provided in Table 10 of the direct testimony of the Shared Services Panel. Tr. 1147-1148, line 21 and line 1. For KEDNY's 2019 EAP the discounts are shown as $18 for Tiers 1, 5 and 6; $37 for Tier 2; $56 for Tier 3; and $42 for Tier 4. *Id.* For KEDLI's 2019 EAP, the discounts were $18 for Tiers 1 and 5; $37 for Tier 2; $57 for Tier 3; and $42 for Tier 4. *Id.* Discounts for non-heating customers were $3 across all tiers for both KEDNY and KEDLI. *Id.*

In accordance with the process outlined in the Low Income Order and Implementation Order for performing annual updates to discount tiers, KEDNY and KEDLI are required to calculate EAP discounts annually to incorporate changes to state median income and historical average bills.[238] Updated 2020 EAP heating discounts, which went into effect January 1, 2020, have increased for both Companies. KEDNY's updated heating discounts are $34 for Tiers 1, 5 and 6; $56 for Tier 2; $78 for Tier 3; and $65 for Tier 4. Tr. 1518, lines 16-18. KEDNY's non-heating discounts were reduced to $2.40 across all tiers. Tr. 1518, lines 18-20. KEDLI's updated heating discounts are $28 for Tiers 1 and 5; $48 for Tier 2; $68 for Tier 3; and $54 for Tier 4. Tr. 1518, lines 20-22. KEDLI's non-heating discounts remain at $3 for all tiers. Tr. 1518, lines 22-23.

Proposed rate allowances for KEDNY and KEDLI's EAP were based on the forecast program budgets, which were based on anticipated participation and tier discount amounts calculated for the 2019 EAP in accordance with the Low Income Order and Implementation Order.

[238] Implementation Order, page 32.

Tr. 1149, lines 1-4. Based upon the 2019 EAP, the annual rate allowance forecast for KEDNY and KEDLI in the Rate Year was $25.5 million and $5.5 million, respectively. Tr. 1149, Lines 4-7. As discussed *supra,* pursuant to the Low-Income Order, the Companies are required to annually recalculate the EAP discounts and, as necessary, adjust benefit levels to keep program costs within the two percent budget cap. Tr. 1149, lines 11-12. Based on the updated 2020 EAP program, budgets are $38.388 million as shown in Exhibit 516 (SCSP-4), page 12 of 17, for KEDNY and 6.681 million KEDLI, as shown in Exhibit 516 (SCSP-4), page 5 of 17. As noted by Staff, the recalculation of discounts from the 2019 programs, will increase the KEDNY budget by $12.9 million, and increase the KEDLI budget by $1.2 million. Tr. 1519, lines 12-15.

As noted by Staff, in order to keep KEDNY's EAP program budget within the 2 percent budget cap, KEDNY modified its discounts to by slightly increasing the energy burden from the targeted 6 percent to 6.4 percent, consistent with the process prescribed by the Commission in the Low Income Order. Tr. 1520-1521, line 21 and lines 1-2. This adjusted energy burden allowed KEDNY to stay under the budget cap. Tr. 1521, lines 4-5.

No party challenged the Companies' proposal to continue recovering the costs associated with the EAP through base rates. Tr. 1150, lines 1-2. Staff concludes that the Companies' updated discounts and budgets for 2020 are consistent with the Commission's orders in Case 14-M-0565. Tr. 1521, lines 12-15. Based on this finding, Staff expressly supports the Companies' proposed updated discounts and budgets for the 2020 EAP. *Id.*

C. Reconciliation

Pursuant to the 2016 KEDNY and KEDLI Rate Case Joint Proposal, the Companies currently fully reconcile the amount recovered in rates to the actual cost of the EAP in each year.[239]

[239] Cases 16-G-0058 and 16-G-0059, Joint Proposal, page 30.

The Companies propose to continue the current reconciliation mechanism. Tr. 1150, lines 6-7. If actual annual program costs are below the amount recovered in rates, the Companies would establish a deferred credit for use in future low income programs. Tr. 1150, lines 7-9. If the actual annual program costs exceed the amount recovered in rates, the Companies would establish a deferral for future recovery from all customers. Tr. 1150, lines 9-11.

D. Reporting Requirements

The Companies do not propose any changes to the current quarterly reporting requirements established for the EAP in the Low Income Order.[240]

E. Request for Additional Full-Time Equivalent Employee for Energy Assistance Program Participation

The Companies propose to create a new position for a Senior Analyst to better support implementation of the EAP for KEDNY and KEDLI. Tr. 1154, lines 3-5. One half of a full time equivalent ("FTE") resource would be dedicated to support KEDNY and KEDLI in the continued implementation of the EAP. Tr. 1154, lines 5-7. The one-half FTE would be split between the Companies, each bearing the cost of one-quarter of an FTE. Tr. 1154, lines 7-8. The responsibilities of this new role would include, but not be limited to, completion of internal and external reports, updating and delivering program training, production and distribution of outreach program materials, maintaining and communicating internal procedures, preparing reports related to HEAT program deferrals (KEDLI), review of program enrollments to ensure integrity of the program, oversight of the file match transfer process, management of system reports to ensure IT requirements are met, and preparation of internal and/or external audit requests. Tr. 1154, lines 15-21, Tr. 1155, lines 1-2.

[240] Low Income Order, page 39.

Mr. Yates supports the Companies' proposal to add additional resources to implement the EAP, asserting the proposal addresses a "critical need". Tr. 1645, lines 12-13. Mr. Yates goes further, however, suggesting that it would be appropriate for the resource to be a full time equivalent, rather than the one-half FTE proposed by the Companies. Tr. 1645, lines 16-18. Mr. Yates suggests the additional one-half FTE "be dedicated to increasing KEDLI participation rates." Tr. 1645, lines 18-19. Mr. Yates agreed, however, that the additional one-half FTE would have been able to provide "useful services to KEDNY." Tr. 1688, lines 10-12. While the Companies agree that additional resources would be beneficial in supporting EAP implementation, the Companies do not believe the resource should be dedicated solely to increasing KEDLI EAP participation rates. Tr. 1215, lines 4-7. Under Mr. Yates' proposal, three-quarters of an FTE would be dedicated to KEDLI and one-quarter to KEDNY. Tr. 1215, lines 7-8. Given the respective scale of the KEDNY and KEDLI EAP programs the Companies believe a better approach would be to allow the Companies flexibility to utilize the resource in a more balanced manner that best supports EAP efforts across both KEDLI and KEDNY. Tr. 1215, lines 8-12.

F. Increasing EAP Participation (KEDLI); Outreach And Education; EAP Assistance To High Usage Residential Customers; Increasing HRA/DSS File Matching

Mr. Yates suggests that the Companies have an opportunity to increase the number of DPAs, and that "such DPAs offer the chance to identify customers eligible to be enrolled in the Companies' EAPs." Tr. 1646, lines 1-3. However, Mr. Yates' proposal is not accompanied by any explanation of how this enrollment process based on DPAs might actually work. The criteria and process for determining eligibility for Companies' EAPs are established in the Companies'

respective tariffs[241] and in the EAP implementation plans approved by Commission, with modification, in the Implementation Order.[242] To the extent Mr. Yates proposes to expand or change the process approved by the Commission in the Implementation Order for enrolling customers in the EAP, the proper forum for such a proposal is the Commission's generic affordability proceeding, Case 14-M-0565, and not the instant proceeding.

Mr. Yates asserts, without explanation, that the Companies "should accelerate efforts to provide energy efficiency assistance to high usage residential customers who are EAP participants." Tr. 1646 lines 4-5. Mr. Yates does define or identify what would constitute a "high usage residential customer" and does not articulate any specific actions the Companies should undertake to accelerate or direct assistance to such customers. Tr. 1616, lines 18-21; Tr. 1646, lines 4-7. Given the lack of specificity, this proposal from Mr. Yates does not warrant further consideration.

Mr. Yates also suggests that the Companies should conduct additional telephone outreach at least annually to review assistance status with customers, including abeyance amounts; provide notice to customers when assistance benefits will end; compile summaries of discussions between customers and the Companies regarding such benefits; and conduct a campaign to secure customer acknowledgment of their agreement with these summaries. Tr. 1678-1679, lines 28-29 and lines 1-6. As with Mr. Yates' proposed detailed reconciliation and summaries of benefits, the Companies believe that outreach to review assistance and benefits with customers, whether by telephone or otherwise, should be the responsibility of government agencies providing the benefits, not the Companies. Tr. 1195, lines 10-13. The Companies already provide customers with bills

[241] *See e.g.,* KeySpan Gas East Corporation DBA Brooklyn Union of Long Island, *P.S.C. No. 1-Gas Schedule for Gas Service*, Service Classification No. 1 Residential Service, Special Provisions, Subd. c., at leaf 120.
[242] *See* Implementation Order.

showing balances that exist for such customers, prior to becoming a utility guarantee/direct voucher recipient. Tr. 1196, lines 3-6. Bill space is finite and adding unnecessary information could only serve to confuse customers and make customer bills less readable. Since the Companies' bills already provide customers with the prior arrears, Mr. Yates proposal to show the abeyance amounts should be rejected.

NYCLIP recommends that HRA increase the file match frequency from twice a year to four times a year (*i.e.,* quarterly). Tr. 5373, lines 1-2. In support of its proposal, NYCLIP suggests that increasing the frequency of file matching will ensure customers who are newly qualified are properly qualified and receive the utility low income discount sooner. Tr. 5373, lines 6-9. As part of its proposal to increase the frequency of file matches, NYCLIP recommends that the annual reimbursement cap be increased from $100,000 to $200,000. Tr. 5374, lines 5-8.

As NYCLIP acknowledges, more frequent matches would not necessarily equate to an increase in participation levels. Tr. 5373, lines 20-21. Indeed, the Companies believe the frequency of file matching will have little, if any, impact on the total number of customers enrolled, because each file match has the potential to remove customers as well as add them. Tr. 1202, lines 16-19. Said differently, changing the frequency of file matches is just as likely to increase the frequency of customers being removed as it is to increase the frequency of customers being added. Tr. 1202-1203, lines 19-21 and line 1. Thus, increasing the frequency of file matches would only serve to increase the administrative costs of the HRA file matching process, without providing any discernible benefits for customers. Tr. 1203, lines 1-4. Because NYCLIP's proposal to double the file matching frequency and increase the cap on reimbursement would increase costs without providing any discernible benefit for customers, the proposal should be rejected.

G. Customer Balance Transfers: Notice Requirements; Payment Extension; Suspension of Collections; Customer Dispute and Negotiation Protocols

Mr. Yates, citing to three customer complaints that occurred over a five-year period, suggests the Companies should modify their practices for customers whose accounts will be subject to balance transfers and provide affected customers with an opportunity for dispute resolution. Tr. 1683, lines 11-14. These complaints do not justify the changes the changes proposed by Mr. Yates. Tr. 1200, lines 4-8. The complaints cited by Mr. Yates are unique to each customer circumstance and do not demonstrate that fulfilling Mr. Yates recommendations would provide any meaningful value to customers or the customer experience outside of a very limited number of cases that become Commission complaints each year. Tr. 1200, lines 4-8. In most cases, the data requested by Mr. Yates would generally be redundant to the original billing information provided to the customer or would involve data that originates from a third party, such as HRA. Tr. 1200, lines 8-11. As such, these complaints do not justify requiring the Companies to provide additional data or system enhancements, because there is already sufficient data available to work with customers and Staff to resolve cases that do arise. Tr. 1200, lines 11-14. Further, the Companies and the Department of Public Service already have robust mechanisms for handling customer inquiries and complaints. Tr. 1127-1128, lines 19-21 and lines 1-3. Mr. Yates provides no evidence to suggest that the existing complaint handling mechanisms are inadequate to protect customers, or otherwise fail to comply with the requirements of HEFPA and the Commission's regulations.

With regard to balance transfers, HEFPA details what actions a utility would take when an applicant for service has arrears on prior account.[243] HEFPA permits utilities to take additional

[243] *See e.g.*, HEFPA § 11.3 (a)(2).

steps in situations where an applicant has arrears from a prior account, such as requiring a "written application."[244] HEFPA also requires prompt response to such applications, requiring utilities to respond within "two business days after such request."[245] The Companies' existing processes are fully compliant with the PSL and HEFPA regulations, and thus, are adequate to provide the required outreach and notice to customers in connection with prior balances on accounts. Tr. 1190, lines 9-10. Mr. Yates provides no meaningful evidence to justify expanding or changing the Companies' existing processes for handling balance transfers, and proposals to alter how notice is to provide to applicants should be rejected.

Mr. Yates also recommends that, in connection with the Companies' plans to upgrade their CSS and CRIS systems, a secure web-based portal be created in lieu of existing processes to track applications for customers seeking to be coded for EBD and/or medical emergency status. Tr. 1682, lines 15-21. Mr. Yates acknowledges that implementation of a new CIS systems would provide an opportunity to implement such system improvements. Tr. 1700, lines 16-20. Further, Mr. Yates asserts his recommendations "can and should be incorporated into the Companies proposal in these proceedings to upgrade or replace their CRIS and CSS systems." Tr. 1680, lines 3-4. Notwithstanding, Mr. Yates declines to specifically support implementing a new CIS, even though he did acknowledge that the funding necessary to achieve some of the modifications could be addressed as part a CIS project. Tr. 1701, lines 4-15. An uncoordinated approach, with ad hoc development of such systems outside of larger efforts to upgrade customer information systems, would only serve to complicate the process and increase the cost.

While Mr. Yate's proposal for a secure web-based portal could enhance the Companies' capabilities, such a system with the broad access contemplated by Mr. Yates (*e.g.,* extending to

[244] HEFPA § 11.3 (a)(4)(v)(a).
[245] HEFPA § 11.3 (a)(4)(v).

the customers' representatives, healthcare providers, and government agencies) would also proportionally increase the Companies' risk associated with a breach of customer personally identifying information ("PII"). Tr. 1198, lines 15-21. The cost of such a system, particularly one with sufficient safeguards to protect sensitive PII associated with a customer's medical and income status, would be substantial. Tr. 1198-1199, line 21 and lines 1-2.

Granting Mr. Yates request for automatic extensions and suspension of credit and collections activity to a customer seeking EBD and/or medical emergency coding before meeting HEFPA requirements for such coding, would be premature and inconsistent with the plain language of HEFPA. Tr. 1682, lines 26-28; Tr. 1199, lines 2-6. If a customer does not meet the requirements for EBD or medical emergency coding in §§ 11.5 (b)(1) and 11.5 (a) of HEFPA, respectively, the account should not be coded or treated as such. Extending such status to accounts that have not been qualified would be inconsistent with HEFPA.[246] Mr. Yates' also recommends that automatic extensions and suspension of credit and collections activity be afforded to customers seeking EBD and/or medical emergency coding – and that such suspension be granted automatically before the customer has been qualified as eligible for any sort of protection. Tr. 1682, lines 26-29. Similarly, affording such status in advance of a proper determination of eligibility would be inconsistent with the plain language of HEFPA.[247] Further, granting such suspensions could create confusion among customers regarding when payments are due, result in delayed or missed payments to utilities, and drive up customer arrears, without any specific benefit for affected customers, particularly when such customers might never qualify for protection. Tr. 1199, lines 10-15. Mr. Yates provides no evidence to suggest that the current systems governing credit and collections, and specifically the handling of accounts that seek EBD or medical

[246] *See* HEFPA § 11.5 (a); HEFPA § 11.5 (b)(1).
[247] *Id.*

emergency special protections, are in violation of HEFPA or any of the Commission's regulations. Given the automatic extensions and suspension of collections proposed by Mr. Yates could substantially increase costs for customers and are not necessary to comply any applicable HEFPA or Commission's regulations, these proposals should be rejected.

H. Elimination of Reconnection Fees For Energy Affordability Program Customers (KEDNY)

NYCLIP proposes that KEDNY eliminate its existing reconnection fee for low income customers because it will provide them with a better opportunity to remain utility customers and pay their utility bills. Tr. 5369, lines 18-20. NYCLIP suggests that reconnect fees create a further financial barrier for customers who have already demonstrated an inability to pay utility bills. Tr. 5369-5370, lines 20-21 and lines 1-2. NYCLIP acknowledges that KEDNY already provides a one-time waiver of the reconnection fee, but then suggests that customers with an inability to pay utility bills and multiple service terminations should be reconnected without a fee. Tr. 5369, lines 13-14, 20-21. By NYCLIP's admission, such customers may be unable to pay utility bills. Tr. 5369, lines 20-21. If so, provision of additional utility service would only serve to increase arrears and uncollectible expense, which burdens all customers. Tr. 1201, lines 7-9. NYCLIP also suggests that having KEDNY eliminate reconnect fees would harmonize KEDNY's practices with those already adopted by KEDLI and avoid the possibility that customers in similar areas be subject to different rules on reconnection fees. Tr. 5371, lines 1-5. KEDNY and KEDLI, however, are separate and distinct companies, with separate tariffs and pricing structures, and, like other utilities within New York, there is no requirement that KEDNY and KEDLI have identical fees and terms for service. Tr. 1201, lines 13-16. For these reasons, NYCLIP's proposal to eliminate reconnection fees for KEDNY should be rejected.

I. Miscellaneous Customer Service Items – Enhanced Support for Building Energy Usage Reporting

To assist customers with obtaining and reporting their aggregate whole building energy usage, the Companies developed an IT solution to facilitate automated uploads of whole building aggregate customer data to the U.S. Environmental Protection Agency ("EPA") ENERGY STAR Portfolio Manager®. The IT solution includes online base functionality that provides customers with easy access to upload their aggregate whole-building energy usage to the EPA Portfolio Manager web site. Tr. 1157, lines 8-14. Over the last year, the Companies implemented changes to the EPA automated upload system to improve the customer experience. Tr. 1157, lines 19-20. To further improve customer experience with the EPA automated upload system, the Companies are working on implementing additional enhancements. Tr. 1158, lines 9-11. These enhancements include real-time web form validation, hourly uploads of customer aggregate usage, and separate heating and cooking aggregate usage uploads. Tr. 1158, lines 11-13. Further, the Companies are revamping the web form to allow multi-property submissions and will be providing quarterly aggregate usage uploads for up to four years. Tr. 1158, lines 14-16.

As part of the Companies' ongoing efforts to implement and maintain the EPA automated whole building aggregate upload system, the Companies have secured the services of a third-party call center vendor to provide specialized call center support services that include addressing customer questions with the EPA automated upload system, assist customers with the upload process, and handle general data inquire issues. Tr. 1158-1159, lines 20-12 and lines 1-4. The vendor first began providing these services in March 2019, with an estimated annual cost of $0.224 million, which could vary based on the volume of inbound and outbound email and calls. Tr. 1159, lines 9-11. The estimated annual cost to support ongoing automated building energy usage reporting is $0.176 million and $0.044 million for KEDNY and KEDLI, respectively. Tr. 1159,

lines 16-19. No parties objected to the Companies' proposals. Therefore, the Commission should adopt the Companies' proposal to support enhanced automated building energy usage reporting.

XIII. MANAGEMENT AUDIT COMPLIANCE

The Companies and Staff submitted testimony from witnesses Philip A. DeCicco and John Holst, respectively, describing KEDNY and KEDLI's compliance with recommendations in three Commission-initiated audits: the Comprehensive Management and Operations Audit of National Grid's New York gas business in Case 13-G-0009 ("Gas Management Audit"); the Operations Audit of the Accuracy of New York State Utilities' Self-Reported Data in Case 13-M-0314 ("Data Audit"); and the Focused Operations Audit of Major Utility Internal Staffing Levels and Use of Contractors for Selected Core Utility Functions at Major New York Energy Utilities in Case 13-M-0449 ("Staffing Audit"). As stated in those testimonies, the Commission confirmed the Companies successfully implemented all recommendations from those audits and, as a result, the audits are officially closed. Tr. 4812-14, lines 1-4, 16-19, and 8-12; Tr. 5285-87, lines 10-15, 14-18, and 15-19.

In May 2018, the Commission issued Request for Proposals for an independent consultant to conduct an audit of National Grid's New York electric and gas businesses in accordance with Section 66(19) of the PSL (the "2018 Management Audit"). Tr. 4810, lines 19-21. In September 2018, the Commission selected Saleeby Consulting Group ("SCG") to conduct the audit under the supervision of Staff and directed National Grid to enter into a contract with SCG. Tr. 4811, lines 1-5. The 2018 Management Audit formally commenced in November 2018 with a final report scheduled to be completed and delivered to National Grid by September 30, 2019. Tr. 4811, lines 7-8.

In accordance with the contract, National Grid committed to being completely cooperative and transparent with SCG, Staff, and the audit process, with the goal of demonstrating National Grid's full capabilities and receiving meaningful feedback that would drive useful recommendations to improve its electric and gas operations for the benefit of customers. To that end, over the course of almost a year, National Grid:

- Spent thousands of man hours on the audit;
- Answered more than 1,400 information requests;
- Participated in almost 300 interviews, including interviews of senior executives, US President, Global CEO, and Board of Directors;
- Supported field visits across the Company's New York service territory; and
- Held multiple technical sessions on various topics.

The audit was given the highest priority at National Grid, with senior executives forming teams across the business to ensure the company's responsiveness to the audit. While National Grid has no doubt that SCG identified areas for potential improvement, based on feedback the company received in real-time during the interview process, the company was under the impression that SCG – which had experience conducting management audits and was selected by the Commission based on this background – was impressed with National Grid's management team, organizational structure, and capabilities in several areas. To that end, National Grid was looking forward to the release of SCG's independent report based on its intensive, yearlong review of the company's operations.

On October 2, 2019, National Grid received a letter from Staff notifying the company that Staff was terminating the audit.[248] This was the first time that National Grid had been made aware

[248] A copy of the letter can be found in DMM in Case 18-M-0159 (DMM #2).

that Staff had any issue whatsoever with SCG. On December 5, 2019, Staff informed National Grid via letter that they would be completing the audit and developing an audit report based "primarily on the material provided by National Grid to SCG during the audit through discovery responses and interviews."[249] While National Grid is not taking any position with regard to the allegations made by Staff in the October 2, letter, the company is understandably frustrated given the level of support dedicated to the audit. National Grid will work with Staff to complete the audit report but is reserving its rights to contest any findings that may be contradictory to those made by SCG.

XIV. CONCLUSION

For the foregoing reasons, the contested issues discussed herein should be resolved in the manner recommended by KEDNY and KEDLI. The record shows that many of the positions advocated by Staff and the parties are contrary to the record evidence, unreasonable, and would result in a revenue requirement that fundamentally fails to provide the Companies with the revenues needed to provide safe and reliable service to customers, earn a reasonable return on their investments, continue to attract capital on commercially reasonable terms, and deliver on the Commission and State's clean energy goals.

Respectfully submitted,

/s/ Philip A. DeCicco
Philip A. DeCicco
National Grid
One MetroTech Center
Brooklyn, New York 11201

[249] *Id.* (DMM #1).

REVENUE REQUIREMENT

The Brooklyn Union Gas Company and Keyspan Gas East Corporation

	(Millions) KEDNY FY 2021 Amount	KEDLI FY 2021 Amount	Total FY 2021 Amount
ıue Requirements:			
Company Position per Third Supplemental filing	179,797.0	37,535.0	217,332.0
Remove GRT, ETIP and Tax Surcredit	19,797.2	21,941.2	41,738.4
Company Position per Third Supplemental filing	**$ 199,594.2**	**$ 59,476.2**	**$ 259,070.4**
Non-Rate Base Adjustments			
Difference between Company ROE of 9.65% and Staff ROE of 8.20%	(48,482.0)	(31,607.0)	(80,089.0)
Operation and Maintenance Expense - staff adjustments (see detail)	(47,393.2)	(21,603.5)	(68,996.7)
Property Taxes reduce to reflect a 3-Year Average Growth Rate	(1,274.0)	(2,326.0)	(3,600.0)
Payroll Taxes to Reflect Staff's Labor Forecast	(205.0)	(227.1)	(432.1)
Depreciation Expense to reflect Staff's depreciation rates and impact of Capex differences	(13,775.2)	(10,774.0)	(24,549.2)
Tax Expense -Difference for Excess ADIT Amortization of (Company 25 years, staff 10 years)	(10,928.0)	(5,421.0)	(16,349.0)
Amortization expense - To amortize the Economic Development program deferred account balance to offset Staff's incremental program costs	(1,750.0)	(2,250.0)	(4,000.0)
Amortization expense - To amortize the unexpended EEPS and ETIP deferred account balances over a 5-year period	(7,295.0)	(2,050.0)	(9,345.0)
Amortization expense - To amortize Gas Safety NRA deferred balance to offset the costs of specific Gas Safety programs reflected in Other Initiatives	(5,852.0)	(526.0)	(6,378.0)
Gross Margin - Difference in Revenues, Commodity and GRT	(1,230.0)	2,752.2	1,522.2
Difference in GRT related to revenue requirement increases	5,266.0	(980.0)	4,286.0
Tax Expense - Flow through difference from Operating Income	(7,426.6)	(428.2)	(7,854.8)
Total Expense Adjustments	(140,345.0)	(75,440.6)	(215,785.6)
Rate base Adjustments:			
Difference in Net Utility Plant	(2,717.5)	(10,297.4)	(13,014.9)
ADIT Capital Changes flow through	547.1	2,304.6	(3,885.4)
Working Capital - Staff adjustment to reduce working capital removing the projected change in CSC AR balance in RY	(6,190.0)	-	(6,365.9)
Working Capital flow through difference between operation and maintenance expense	(6,365.9)	(318.4)	228.6
Regulatory Assets & Liabilities - to remove the regulatory deferred asset balance related to CSC reimbursable projects from rate base	(22,316.0)	(3,368.0)	(25,684.0)
Sub-Total of Rate base Adjustments (Net Plant, ADIT, Working Capital)	(37,042.3)	(11,679.3)	(48,721.6)
Pre-Tax Return %	8.54%	8.51%	
Revenue Requirement on Rate base Adjustments	(3,162.2)	(993.5)	(4,155.8)
Total Staff Adjustments	(143,507.2)	(76,434.2)	(219,941.4)
Revenue Requirement reflecting Staff adjustments	**$ 56,087.0**	**$ (16,958.0)**	**$ 39,129.0**
Staff Position per Second Supplemental filing	31,024.0	(39,902.0)	(8,878.0)
Remove GRT, ETIP and Tax Surcredit	25,063.0	22,944.0	48,007.0
Staff Position per Second Supplemental filing	**$ 56,087.0**	**$ (16,958.0)**	**$ 39,129.0**

REVENUE REQUIREMENT - Operation and Maintenance Expense

Operation and Maintenance Expense	KEDNY FY 2021 Amount	(Millions) KEDLI FY 2021 Amount	Total FY 2021 Amount
1 Company Third Supplemental Amount	**$ 669,092**	**$ 283,279**	**$ 952,371**
Staff Adjustments:			
2 Reduce Consultant Expense for removal of Alix Partners HTY charges	(1,146)	(714)	(1,860)
3 Reduce Contractor Expense to reflect 3-year average for snow removal	(1,263)	-	(1,263)
4 Reduce Other Expense for 25% reduction in Notice of Violations	(920)	-	(920)
5 Service Company rents - (impact of ROE difference, remove GBE contingencies & adjustment to forecast amounts)	(3,645)	(2,867)	(6,512)
6 Reduce Labor expense for vacancy rate	(3,029)	(3,396)	(6,425)
7 Transportation expense to reflect Staff's forecast of replacement of vehicles	(619)	(559)	(1,178)
8 Productivity - flow through impact of labor expense difference	38	43	81
9 Reduce SIR Expense to reflect a projected average of MGP Costs for FY21-FY24	(15,168)	(1,734)	(16,902)
10 Uncollectibles - flow through impact of revenue differences	(2,536)	(816)	(3,352)
11 Increase Savings reduction for removal of Cost to Achieve and including Level 3	(9,687)	(3,352)	(13,039)
12 Staff increase Low Income expense to latest known budgets	12,934	1,156	14,090
13 To adjust costs associated with projected economic development grant program spending	1,750	2,250	4,000
14 Other Initiatives			
To remove Company's damage prevention contractor update	(6,829)	(2,068)	(8,897)
To reduce Gas IS Opex/RTB by applying slippage to Opex/RTB	(1,600)	(996)	(2,596)
Staff adjustment to IMP/IVP OpEx - IMP (PHMSA Rules)	(4,285)	(2,134)	(6,419)
To adjust Gas IS Opex/RTB to remove CIS program	(10,526)	(4,885)	(15,411)
To remove certain incremental FTE's with Gas Safety Program	(71)	(74)	(145)
To remove certain incremental FTE's with Future of Heat Program	(570)	(182)	(752)
To remove certain incremental FTE's with GIOP Program	(350)	(248)	(598)
To remove Demand Response Program costs, recovered through a non-bypassable delivery surcharge	(1,216)	(577)	(1,793)
To include the CapEx costs of Low-Pressure Main Valve Installations (offset by the amortization of NRA deferral)	2,460	50	2,510
To remove Storm Hardening to reflect pushing program out a year	(357)	(588)	(945)
To remove FOH programs (RNG, Geothermal, Hydrogen Blending, Customer Online Fuel Switching Calculator, UESC, Power to Gas)	(371)	(1,793)	(2,164)
To update labor increases and burdens	(192)	(362)	(554)
To remove Company adjustment for 2020 EE Order - Empower		2,500	
To remove Company increase in EE FTE's	(196)	(258)	(453)
15 Total Staff Adjustments	$ (47,393)	$ (21,603)	(68,997)
16 Staff Second Supplemental Amount	**$ 621,699**	**$ 261,676**	**883,374**

Company	Staff Return On Equity 2023[1]	©Value Line Pub. LLC Return on Equity 2022-2024[2]	Value Line Return on Equity 2020[3]
Allete	8.89%	9.00%	8.50%
Alliant Energy	10.47%	10.00%	10.50%
Ameren	10.69%	10.50%	10.00%
American Elec. Pwr	10.71%	10.50%	10.50%
Avista Corp.	7.93%	8.00%	7.50%
Black Hills Corp.	10.20%	10.00%	9.00%
CMS Energy Corp.	13.79%	14.00%	14.00%
Con Edison	8.63%	8.50%	8.00%
Dominion Energy	12.86%	12.50%	12.50%
Duke Energy	8.51%	8.50%	8.00%
Edison International	13.69%	13.50%	13.00%
Entergy Corp.	10.59%	10.00%	10.50%
Eversource Energy	9.35%	9.00%	9.00%
First Energy	16.84%	16.00%	16.50%
Hawaiian Electric	10.43%	10.00%	9.50%
IDACORP, Inc.	9.46%	9.50%	9.00%
MGE Energy Inc.	12.30%	11.50%	11.50%
NEXTERA Energy Inc.	13.65%	13.50%	12.50%
Northwestern Corp.	9.21%	9.00%	9.00%
OGE Energy Corp.	12.01%	11.50%	10.50%
Pinnacle West	10.54%	10.50%	10.50%
PNM Resources	10.28%	9.50%	9.50%
Portland General	9.30%	9.00%	8.50%
PPL Corporation	13.01%	13.00%	14.00%
Sempra Energy	12.02%	12.00%	10.50%
Southern Company	12.73%	12.50%	12.00%
WEC Energy Group	12.46%	12.00%	11.50%
XCEL Energy	11.25%	11.00%	10.50%
Average	**11.14%**	**10.88%**	**10.59%**
Median	**10.64%**	**10.50%**	**10.50%**

[1]Source Ex. 440 at 2 - See Column 2

[2]Source Ex. 654 - Pages 2-29 - The data is derived under a column labeled "22-24" on the far right of each page of the Value Line data sheets.

[3]Source Ex. 654 - Pages 2-29 - The data is derived under the column labeled 2020 on the right side of each page of the Value Line data sheets.

Company[3]	
Allete	Rate Allowed - MN on com. Eq. 2018: 9.25%
Alliant Energy	Rate Allowed on com. Eq. IA - 2018: 10.0%
Ameren	Rate allowed on com. Eq.
American Elec. Pwr	Various rates all'd on com. Eq.: 9.3% - 10.9%
Avista Corp.	Rate Allowed on com. Eq. in WA - 2018: 9.5%; ID - 2017: 9.5%
Black Hills Corp.	Rate allowed on com. Eq. SD - 2015: none specified; CO - 2017: 9.37%
CMS Energy Corp.	Rate allowed on com. Eq. in 2018: 10%;
Con Edison	Rate allowed on com. Eq. for CECONY - 2017: 9.0%; O&R - 2015: 9.0%
Dominion Energy	Rate all'd on com. Eq. in 2011: 10.9%
Duke Energy	Rates all'd on com. Eq. 2018 - NC: 9.9%; 2017 - SC;: 10.1%; 2009 - OH: 10.63%; 2004 - IN: 10.3%
Edison International	Rates all'd on com. Eq. 2015: 10.45%
Entergy Corp.	Allowed ROE (blended): 9.95%
Eversource Energy	Rate allowed on com. Eq. MA: (elec.) 2018: 10.0%; (gas) 2016: 9.8%; CT: (elec) 2018: 9.25% (gas) 2018: 9.3%, NH 2010: 9.67%
First Energy	Rates all'd on com. Eq.: 9.75%-11.9%
Hawaiian Electric	Rate allowed on com. Eq. 2018: HECO, 9.5%; 2018: HELCO, 9.5%; 2018 MECO, 9.5%
IDACORP, Inc.	Rate allowed on com. Eq. 2011: 10% (imputed)
MGE Energy Inc.	Rate allowed on common equity - 2018: 9.8%
NEXTERA Energy Inc.	Rate allowed on com - 2017: 9.6% - 11.6%
Northwestern Corp.	Rate allowed on com. Eq. - MT 2014 (elec.): 9.8%; 2017 (gas): 9.55%; NE - 2007: 10.4%
OGE Energy Corp.	Rate allowed on com. Eq. - OK 2018: none specified
Pinnacle West	Rate allowed on com. Eq. - 2017: 10.0%
PNM Resources	Rate all'd on com. Eq. NM - 2018: 9.575%; TX - 2011: 10.125%
Portland General	Rate allowed on com. Eq. - 2019: 9.5%
PPL Corporation	Rate all'd on com. Eq. - PA - 2016: none spec.; KY - 2018: 9.725%
Sempra Energy	Rate all'd on com. Eq.: SDG&E - 2013: 10.3%; SoCalGas - 2013: 10.1%
Southern	All'd return on com. Eq. (blended): 12.5%
WEC Energy Group	Rates all'd on com. Eq. - WI 2015: 10.0%; IL - 2015: 9.05%; MN - 2016: 9.11%; MI - 2016: 9.9%
XCEL Energy	Rate allowed on com. Eq. (blended): 9.6%

[3]Source Exhibit 654, pages 2-29, footnote E at the bottom of each page of the Value Line data sheets.